

Mishra Dhatu Nigam (MIDHANI)

Conference call transcripts, oldest-first. 16 call(s). Generated 2026-08-02.

Call: Aug 2022

MDN/CS/COM PLIANCE/2022-23

To,

TheManager,

Compliance Department,

BSE Limited, P.J.Towers, 1stFloor,

Dalal Street,

Mumbai- 400001

Scrip Code: 541195TheManager,

Compliance Department,

National Stock Exchange of India Limited,

Exchange Plaza, 5thFloor; Plot No.CII,GBlock,

Bandra Kurla Complex, Bandra (East),

Mumbai —400051

Trading Symbol: MIDHANI

Sub: Transcript of the Analysts and Investors Meet/Conference Call held on July 29, 2022

Dear Sir/Madam,

1. Further to our letter dated July 29, 2022 intimating you about the audio recording of Analysts and Investors Meet! Conference Call on 'Q1 & FY23 Results' held on July 29, 2022, please find attached the transcript of the aforesaid Conference Call.

2. The transcript of the call is also made available on the Company's website.

This is for your information and record.

Thanking you,

End: As above -- k~yderabad.50005~)

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Compa'S~tary & Compliance officer

q9~p~q ~J~i~s MISHRA DHATU NIGAM LIMITED

(~ii~ ~i) (AGovt. of India Enterprise)

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Date: 01.08.2022

Yours faithfully,

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"Mishra Dhatu Nigam Limited Q1 FY2023
Earnings Conference Call "

July 29, 2022

ANALYST : MR. ABHIJIT MITRA – ICICI SECURITIES LIMITED

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ANAGEMENT : DR. S. K. JHA, CHAIRMAN AND MANAGING DIRECTOR –
MIDHANI LIMITED

Mishra Dhatu Nigam Limited

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Page 2 of 19 Moderator : Ladies and gentlemen, good day and welcome to the Midhani Limited Q1 FY2023 Earnings Conference Call hosted by ICICI Securities. As a reminder all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Dr. SK Jha – CMD – Midhani Limited. Thank you, and over to you, Sir.

Dr. Sanjay Kumar Jha: Good afternoon. It is my pleasure to welcome all of you for this meeting after the first quarter results and I would like to mention few things here before I in fact what I have been telling over the company I would like to get the questions from investors, but I will start somewhere this year the first quarter, which we have ended on the 30th June, the company has clocked a turnover of 14 Crores almost same as Q1 of the last year, but one significant achievement is that our production has gone up in the first quarter, so it is reflected some of

the VoP . The value of production has gone up by almost 90% higher so that this results will be seen in the second quarter and third important point for all this metal companies is that pressure on the profit is mainly due to increase in the cost of raw material , which includes nickel, moly, cobalt and also the increase in the price of fuel . We consume the LPG in large quantity and also power cost also has gone up because we have to whatever we are getting the power from our captive power plants that has not been coming we are getting from that Telangana State Power Corporation so this is what is a major highlights as such for this first quarter and we have made a provision for the dividend is almost similar whatever we have given in the last financial year of that FY2022 of first quarter, and our order book position also is consistent whatever we have started from the 1st April to now. I will be happy to take the questions from the all stakeholders.

Moderator : Thank you. Ladies and gentlemen, we will now begin with the question -and-answer session. The first question is from the line of Viraj Mithani from Jupiter Financial . Please go ahead.

Viraj Mithani : Good afternoon and thank you for

giving me the opportunity. My question is if I see the raw material cost , the percentage of sales in this quarter it has actually gone crazily high , so can you explain what was the reason for this compared to the corresponding last quarter ?

Dr. Sanjay Kumar Jha: Cost of raw material you are telling.

Viraj Mithani : Yes, cost of raw material , it is like 96% or something ,,, so what happened means if you can just throw some light and going forward how are we trying to tackle this ?

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Page 3 of 19 Dr. Sanjay Kumar Jha: You are talking about the cost of raw material.

Viraj Mithani : Correct.

Dr. Sanjay Kumar Jha: Yes, cost of raw material is high because if you see the first quarter of the previous year and now there is an increase in production in tonnage form if you see almost more than two times. Naturally the production has gone up and it has been reflected in the form of VoP

also and there it is coming almost 90% higher. Almost two times increase is there in the VoP also. These are the factors , which have contributed for this raw material consumption number one and number two the prices have also has gone up. If you see from the first quarter of the previous year and first quarter of the current year almost there is an increase of 25% to 30% in the cost of all major raw materials , which we consume for our production. These are the two main reasons or that.

Viraj Mithani : We do not have the escalation clause in our contract when we deal with the customer or we have that.

Dr. Sanjay Kumar Jha: No. It vary from contract -to-contract, but nowadays whatever orders we are getting it will be on the fixed price only.

Viraj Mithani : How are we providing the next quarter onwards , it will be the same impact or we have taken step to mitigate the raw material prices means are there any form.

Dr. Sanjay Kumar Jha: There will be a pressure on the margin level of raw material , not only for Midhani for any metal company . If you see results if that come out coming in any steel plant also because it is reflected in that, and we are also having the single problem, but we are trying to see that how best we can utilize our reverse and recycle or scrap , which we generate internally to minimize the impact of the raw material , but the cost of the power and energy that is in form of the LPG and all , it will remain on the higher price. Overall there will be a pressure on the margin, if you see in the next quarter also probably from the third quarter and all it may get normalize, but first two quarters we will find the impact of that.

Viraj Mithani : If the value of production has increased means that the benefit of that orders would be booked in the next quarter right , so we see the numbers coming in the next quarter for that right, which is reflected in this raw material price is it correct to think.

Dr. Sanjay Kumar Jha: Yes, whatever we have seen that higher value and see in form of inventory we are having in the more. All those things are going to be reflect in the output in sales only. Sales will be on the higher side.

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Page 4 of 19 Viraj Mithani : My next question is since your subordinates like BEL , Hindustan Aeronautics are guiding very strong quarters and since we also perform a part of a defense we also supplying the defense. Can you give sense in terms of growth and like , which you see there and how are you going to be planning now because they have been guiding very, very strong quarters from now onwards.

Dr. Sanjay Kumar Jha: BEL and HAL , they are basically the manufacturer of the defense platform and there what will happen that whatever growth because they have a very good order book position now and also the orders are all long -term orders , so they are planning out that all input material they has been taken care maybe couple of years back only , so that

t the pressure is we are

seeing on the raw material they may not see on that sort of pressure.

Viraj Mithani : No, but do we benefit for their expansion and we supply to them right to the defense so do we benefit from that.

Dr. Sanjay Kumar Jha: BEL no because BEL in TOTEM electronics and but of course for HAL we are getting some of their requirements we are getting from HAL.

Viraj Mithani : You talked about Sukhoi Engine part can you just give some color how is it happening now means that certification we talked about in the last call.

Dr. Sanjay Kumar Jha: Yes, for Sukhoi a committee has been formed now, which is seeing that how the certification work can get expedited and Midhani also is sitting in there. I am hopeful that they will try to see that whatever product is made or indigenize in the country the certification will be faster there. So they are monitoring that and we are also part of that.

Viraj Mithani : My last question what will be the size of that business for us if you can just give some color on that.

Dr. Sanjay Kumar Jha: Sukhoi in fact we have not seen the order yet; order value I cannot tell you right now so that is all in that in fact the total engine and all if you see it is coming on the 1000s of Crores, but what Midhani will get from the raw materials and that we have to see that how much quantity they are going to leverage from us.

Viraj Mithani : No you said we will be making some engine parts also in the last call; give some color.

Dr. Sanjay Kumar Jha: No, engine parts we are making for this is for Jaguar aircraft and this is Adour engine so for that we are getting the regular order after the execution of 40 sets now again we have got the order for around 66 Crores order from HAL for that work. It is we are getting regular

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Page 5 of 19 order for that and Sukhoi the order placement is yet to take place so we have to see that how much parts we are going to indigenize in the country. Last meeting I said that we are developing the grades in advance, so that development we have taken it forward and we have come to the final stage of certification.

Viraj Mithani : Thank you and all the best.

Moderator : Thank you. The next question is from the line of Rohit Ohri from Progressive Shares. Please go ahead.

Rohit Ohri : Two questions. First one is related to the JV that we have with NALCO, so when do you expect that the operations will start.

Dr. Sanjay Kumar Jha: JV work is going on now, but it has slightly slowed down initially because of some issues in the land acquisition and also getting the environment clearances and all, but now those things are in place and we have gone to the first stage of appointing that consultant for execution of the project it will take care of the procurement and remaining part of the project and also we have gone from the first phase, already tender we have floated for getting the interested party who can be part of our this supplier of the equipments and technology, so that work has started and it will take the time which we can get the project to be completed; we are assessing but it will take some time depending on that how much they commit when we are getting the offer and order so that part we are yet to see, but now as well as we initiated usually this type of project once they we place the order from that day to execution, it will take one and a half to two years.

Rohit Ohri : So what sort of investments will be expected from Midhani.

Dr. Sanjay Kumar Jha: Midhani, we are giving the equity of around 170 Crores.

Rohit Ohri : These orders from the railways that has started gearing up for mass production of axels and wheels for certain wagons as well as LHB coaches, what sort of opportunity do we see in that domain?

Dr. Sanjay Kumar Jha: For axel already we are executing one order of around 4 to 5 Crores; it is initial trade, but

we have some future indications are there. We are getting around consistency or getting the orders so maybe around 15 to 20 Crores worth of order will be there in that.

Rohit Ohri : Last question is related to DAC approving the bullet proof jackets with the Indian standard BIS class and the level of projection giving in BIS VI, so their requirements is the order the

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Page 6 of 19 entire thing is around 28000 Crores and moving the Rohtak plant is almost ready what sort of opportunity can Midhani get from this bulletproof jackets or what sort of bids are there or what sort of tenders must have come if you can share that.

Dr. Sanjay Kumar Jha: First of all the 28000 Crores, which have been approved by BSE those number of equipments and I do not know how much is a percentage for bulletproof jackets which the figure is not with me, so definitely with this type of approval we are expecting that tender will be floated now and parallelly we are also gearing up for putting up our production facility. I will give you that exact information after getting that what is the value of tender

they are floating now and what specification we are going to have. you have told was that BIS VI, so it is also has a lot of deviations in that specification, so we are going to see that

then we will comment on this .

Rohit Ohri : Rhotak plants is ready as and when the orders might come are we be able to cater to it.

Dr. Sanjay Kumar Jha: Yes.

Rohit Ohri : Thank you sir that helps thank you thanks a lot.

Moderator : Thank you. The next question is from the line of Hardik Jain from Prudential Partners.

Please go ahead.

Hardik Jain : Thank you for the opportunity. You mentioned that order book is now similar to what it was in March 2022 . Is it from 1300 Crores the outstanding order book?

Dr. Sanjay Kumar Jha: Yes.

Hardik Jain : Last time you mentioned that we will be saving around 60 Crores due to wide plate mill because we are doing the rolling outside and once this wide plate mill start we will do the rolling in-house and we can save around 60 Crores. The benefit of the annual saving of 60 Crores by when we should start seeing. Can it start from the next quarter?

Dr. Sanjay Kumar Jha: No, this whatever I have told is we are outsourcing for our plate rolling so that outsourcing we have stopped, so in the first quarter we have sell around because of that 4 to 5 Crores saving is there. Now then saving in terms that we are also having the expenditure also so normally once we are getting the at most saving for operational cost we have to do that electricity power and all we have to do. So that we have started but 60 Crores only for one product I have told it maybe the total whatever business we do from that facility.

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Page 7 of 19 Hardik Jain : Once we start using the full capacity of wide plate mill, then the savings would be 60 Crores.

Dr. Sanjay Kumar Jha: Yes.

Hardik Jain : Okay thank you.

Moderator : Thank you. The next question is from the line of Abhijit from ICICI Securities. Please go ahead.

Abhijit : My question is on Pinaka . Would you be supplying any material to the Pinaka orders that they are close to formalizing.

Dr. Sanjay Kumar Jha: For Pinaka missile , we have initially developed the material , but at present it is they are getting this material through the open tender and with the amount of open tender we will also participate and if we are able to get the L1, we can get this order , but the material component is very limited in the cost of material and the Pinaka is very less . It is the material is a very low alloy steel and its value is very less , so mainly the missile part other parts are important , which includes your propellant and control system both things are important there .

Abhijit : But I think the order size is pretty big right .

Dr. Sanja

y Kumar Jha: Numbers are quite big in that.

Abhijit : What are your estimate of the total order value because I think they have clocked IFB also and given a number of 8600 Crores within that in front will take fighting vehicle also within the 8600 Crores , but how much would be your addressable market if I assume only the rocket.

Dr. Sanjay Kumar Jha: Frankly I have not assessed Midhani market is there in that , but for Pinaka missile as I told you it is basically the low alloy steel where the margin will be very less probably Midhani we may not able to compete as far as material is concerned. The other things whatever in country and other vehicles where you see in the armor and all we are already working with that Avani and all I think this is as per this.

Abhijit : That is all from my side. Thanks.

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Page 8 of 19 Moderator : Thank you. The next question is from the line of Shalabh from Snowball Capital. Please go ahead.

Shalabh: My question is on inventory, I am not sure what is the current figure in the balance sheet but I guess the last year it was around 200 Crores of scrap in the inventory, so I want to know how do we assess what is extractable from the scrap and what is the process of revaluing this inventory in case we are not able to extract the amount of metal that we think we should be able to .

Dr. Sanjay Kumar Jha: We have two types of generations with scraps ; one time generation is that which we cant recycle. Second which we cannot recycle. Recyclable scrap almost reached a 70% is there which we can recycle and balance which we have to either dispose it or either we have to keep in the stock .

Shalabh: The number that we see in the balance sheet like for last reported balance sheet 2021 , it was 218 Crores that is the 100% scrap right , 70% of which probably is recyclable and balance 30% is not is that understanding correct.

Dr. Sanjay Kumar Jha: I am not clear in that, I will reply it, I will give you that correct value on that. Basically , it is a dynamic one, which we can this change will be there but the current value is how much

and what is that, that we will communicate.

Shalabh: Why this question comes up because it is a sizable part of our balance sheet which goes and fits in that scrap and it has increased significantly over the last many years so until, unless we really use that it is just fixed in the balance sheet, not generating any return for us it is actually genesis of this question, how do we use this finally in the production.

Dr. Sanjay Kumar Jha: Recent past we have been trying to use the maximum quantity of the scrap to make manufacture of product, there is certain limitations so as I told earlier also our customers their demand that whatever certain products, which we work on the aerospace and missile and other service sectors; they say that you cannot use this scrap and certain times they said that the scrap can yield only 50%, so whatever we generate in this process of production we are not able to fully utilized and which I told in the last conference call also that our products are not of same grade, there are some various variety of this, so the scrap which we generate in the first order cannot be utilize in the second order so there is a time restriction Midhani is having and those scraps cannot be sold in the open market also because it is sometimes come with strategic materials. These limitations are there, however we are trying to see that how maximum we can utilize and nowadays also we are looking asking customer Mishra Dhatu Nigam Limited

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Page 9 of 19 to permit us to utilize those scraps certain percentage, instead of utilizing complete virgin material.

Shalabh: In that case because if customers are also not allowing us to do it and probably we cannot use it in the second order as you said and should we be conservatively revalue

this and take

the impact in the P&L because there is a value which is showing in the balance sheet, but probably it is not really useful in the business right.

Dr. Sanjay Kumar Jha: See as you rightly told that any company if the inventory is high it is not the right indication and unfortunately when we are trying to minimize it the raw material prices have gone up, so whatever we are trying to reduce by consuming scraps they have not been reflected because straightaway the raw material prices have gone by 30%, 40% so definitely you will have as in terms of the price or cost that you saw the higher value and this is the main reason for in current situation.

Shalabh: Sure. There was also a media report that there was some (inaudible) 25.22 from with scarp anything any comments on that or how significant was that.

Dr. Sanjay Kumar Jha: In terms of values it was not significant. It was whatever confiscated was only 9 tons and even on 8 tons of the scrap and those scraps were not useful as such in the same form, so it was there but then it was the incident was serious in nature and we have taken lot of corrective actions after that and we see that our systems become full proof in the future it was basically the alarm for us, but the damage was very less.

Shalabh: Just lastly on this quarterly number, if we see the change in inventory is higher than actually the raw material we had consumed, I was just wondering this means that the cost of the material which we have added to the inventory is far higher than what we have actually consumed this quarter for this quarter's production, so how do we understand that in terms of what is actually the cost of the material, which was consumed for the current quarter's production.

Dr. Sanjay Kumar Jha: See, it is not only the cost of material you do the lot of value addition so the material, which has gone to left at the extent of finishing stage definitely it will carry the actual price, so we will do the valuation based on the stages where materials are live. In that respect we will find that this type of discrepancy will be there, though it is not only raw material, you are adding your power, your fuel, your cost.

Shalabh: Correct it is not just the raw material everything is there.

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Page 10 of 19 Dr. Sanjay Kumar Jha: Utilizing the manpower, the equipments all those things are accounted in that.

Shalabh: Correct, which would only mean that what extra we had produced for subsequent quarters is probably more valuable than what we have produced this quarter which is why the...

Dr. Sanjay Kumar Jha: Yes, definitely and then volume also is more and tonnage wise if you see tonnage I have not have the exact figure but since we are doing the calculation; tonnage wise it was as two times than whatever we have got in the first quarter of FY2022.

Shalabh: Lastly just on the order booking, what is our expectation for the full year in terms of the order inflows that we expect.

Dr. Sanjay Kumar Jha: This year we have sure of getting 1000 Crores and our annual plan also is around 950 also to make turnover. We will be maintaining almost in that level of order book, but as I told earlier also the number of cases like,

Moderator: Ladies and gentlemen we seem to have lost the audio from the management side please stay connected while we reconnect the management. Ladies and gentlemen thank you for patiently holding we now have the line for the management reconnected. Over to you Sir.

Dr. Sanjay Kumar Jha: We have already answered , where we have got disconnected I do not know , so can you repeat the question.

Shalabh: This order intake of around 1000 Crores that you said before the call dropped off . Is this primarily from defense?

Dr. Sanjay Kumar Jha: Yes mainly from defense.

Shalabh: Thank you Sir and all the very best.

Moderator : Thank you. The next question is fr

om the line of Sanjeev Kumar Damani from SKD

Consulting. Please go ahead.

Sanjeev Kumar Damani : Namashkar. You have pending order of 1300 or some odd Crores that is listed in the press release, my question was that this is entirely a workable order or many a times orders are received and then lot of things are pending to be done about it.

Dr. Sanjay Kumar Jha: Whatever we have seen all are workable order only and there is no order that cannot be worked up, and you have rightly said that sometime some orders will have some

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Page 11 of 19 developmental issues , but as the majorities are in the executing only developments are very limited.

Sanjeev Kumar Damani : One more sense I want to develop ; do you foresee or if you have your estimate ready in next three months this orders will not be completed means , we have already passed July but by September this order will not get over or it will be for the entire year that this will go.

Dr. Sanjay Kumar Jha: No this whatever 1300 Crores , we have shown we will be adding further there will be some addition also will be there.

Sanjeev Kumar Damani : Agree, but the execution if you have something...

Dr. Sanjay Kumar Jha: No all we cannot execute in this year.

Sanjeev Kumar Damani : Okay they are not executable in this year. Can you kindly add in your presentation the dispatches that are made to various government department s in the sense that to the defense to the air side?

Dr. Sanjay Kumar Jha: Okay the sector wise.

Sanjeev Kumar Damani : Sector wise if it is possible that will give us an idea because you know very well that these days defense is growing (inaudible)31.52 and we all investors are drawing our stake of share by investing into the companies which are doing a ll this work.

Dr. Sanjay Kumar Jha: Yes, you would like to know the sector wise ; space is 37% dispatch, defense 33% plus 15% around 48%, and others around 11% is going to the energy and some part of the exports also.

Sanjeev Kumar Damani : When we talk space, space means Hindustan Aeronautic or something like that and then...

Dr. Sanjay Kumar Jha: No space means ISRO.

Sanjeev Kumar Damani : That directly goes to ISRO only. No t to HAL Hindustan Aeronautic is not our client sir.

Dr. Sanjay Kumar Jha: Yes, it is there in the defense it is coming in the sector of defense and PSU . It is coming under the category of PSU which I have told it is around 15% so and 33% is coming in defense which includes coming directly from the defense like the Indian navy and we get certain times from the armed forces .

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Page 12 of 19 Sanjeev Kumar Damani : Sometime Bharat Earth Mover also maybe giving you certain orders.

Dr. Sanjay Kumar Jha: Bharat Earth Mover practically they are not using our type of materials.

Sanjeev Kumar Damani : Can you kindly tell that are you having monopoly in any of the product that you manufacture that means that you are the only producer in India of that item can we claim something about something then you may not be able to name them for security reasons , but anything that we produce is a monopoly in India that you only produce or there are other manufactures also there.

Dr. Sanjay Kumar Jha: The first point is you have rightly told that certain things we cannot reveal that we have the monopoly is there . The monopoly is not because of the grade it is because of the technology. Certain things we have got the technology transfer or we have developed the technology over a period of time there we had monopoly those things are very strategic in nature it cannot be discussed in open platform , but however I can tell you one thing on titanium production we are the only company in India.

Sanjeev Kumar Damani : This titanium you did going to rise in the days to come in defense and core sector as well as in domestic sector also which t here be a growth

of these items ; utility will be there by a

common man or for the ease of the common man.

Dr. Sanjay Kumar Jha: Titanium is called a Nobel of Golden you can say the wonder metal it is called a wonder metal ; the name is wonder metal because it is a property of very unique and then it carries lot of cost at the cost wise it cannot be utilized for the common purpose . There is application in defense and space and defense you can say mainly it is in the naval and in the

aerospace that is the sector earns badly in the missile also.

Sanjeev Kumar Damani : That you have initiated this correct if I am wrong before few years , I heard that America was supplying titanium utensils to India to be used in kitchen of India.

Dr. Sanjay Kumar Jha: No that can be a brand name utensils are never made in titanium ; it can be a brand name by some company but titanium has its application mainly started from that naval and mainly from aerospace if you see the all our aircraft, aircraft engine components lot of things are made of titanium.

Sanjeev Kumar Damani : Thank you.

Moderator : Thank you. The next question is from the line of Parimal Mithani from Credential Investments . Please go ahead.

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Page 13 of 19 Parimal Mithani: Can you give me the breakup of the current order book and second question is in terms of how do you see the order intake coming, which are the area that you see growth in coming next three to four quarters and since our order book (inaudible) 37.18 orders over a three-year period right sir if I am correct in this.

Dr. Sanjay Kumar Jha: First of all I will just answer your question about the order book. We have total order book is 1377 and breakup is like that not in terms of percentage here I am not having but you can calculate from that so around 600 plus is for the space, 300 plus for naval sector, missile around 130, 100 is coming around energy and balance Aero 67, Airbus 65, Railway 12.5, and others are miscellaneous.

Parimal Mithani: Since there is MOD budget in terms of shipyard in terms of aircraft and all that it is quite high over a period of time and how do you see Midhani's role in it going ahead.

Dr. Sanjay Kumar Jha: You are talking on the defense acquisition and clearance and all that.

Parimal Mithani: Yes, defense acquisition in terms of aircraft the new destroyers and the various orders , which the defense has already given to missile currently it is how do you see your position in things of moving ahead.

Dr. Sanjay Kumar Jha: All whatever the term you are saying the materials are mainly source from the defense vendors. Midhani also is part of that and we are participating in the defense tenders and as per the price alone we are winning the tender , so as and when if the requirements are coming we are getting but so far on the volume of materials I am not finding that huge volume they have. No tender has come for huge volume in their current projects.

Moderator : Thank you. We will move on to the next question that is from the line of Viraj Mithani from Jupiter Financial. Please go ahead.

Viraj Mithani : If you can give us some color and sense like how is the year plan and next year would be in terms of growth, profitability and margins.

Dr. Sanjay Kumar Jha: I can do one thing; we can give you some figure, but in summary I will say that we have given the target of around 25% growth every year, so the idea behind that 25% it is coming under every field since we have to grow by 25% profit also has to go importantly .

Moderator : Ladies and gentlemen thank you for patiently holding we now have the line for the management reconnected. Over to you Sir.

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Page 14 of 19 Dr. Sanjay Kumar Jha: We are discussing about what is the growth plan and projections of profit etc.

Viraj Mithani : Correct.

Dr. Sanjay Kumar Jha: We are with the Ministry of De

fense. Ministry of Defense has given a target of that 1 75000

Crores is a turnover now so they are looking for almost two times the turnover has to go up by 2024- 2025 and export has to go from right now we have around \$1.75 million it has to go to \$5 million , so our targets also has been aligned accordingly wherever today we are from that we have to go to almost double we have to go to our turnover and also export has to go to high exponentially very high. Export is coming to three times, and that get three times I have to get to it four times.

Viraj Mithani : It means that next year we do around 1000 Crores top line and around 200 Crores, 220 Crores profit because we enjoyed 21% net margin; does it mean that we are going by the number so what you are guiding us so what you are telling about that.

Dr. Sanjay Kumar Jha: You could infer from that , but I cannot share about the figure but definitely our target is to meet the requirement of our department.

Viraj Mithani : Net margins would be 21% only and now net margins would be going down because of the commodity inflation , competition .

Dr. Sanjay Kumar Jha: I cannot say on that figure, that figure is very difficult to predict right now . In fact you people are the right people to predict because after predictions are not so accurate; you can see in the market we know what is the forecasting and all I mean to say.

Viraj Mithani : This we talked about 1000 Crores orders , which this is the 1300 Crores plus 1000 Crores total.

Dr. Sanjay Kumar Jha: Yes, 1 300 is there 1000 Crores is for this year.

Viraj Mithani : So there will be 2300 Crores right total.

Dr. Sanjay Kumar Jha: Yes, we will be increasing I will be increase 1000 Crores also so definitely it is the starting.

Viraj Mithani : What is the order book timeline like the order book would be 1300 Crores order book we executed ?

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Page 15 of 19 Dr. Sanjay Kumar Jha: It varies , lot of variations are there, lot of variations and depending on the product because

Midhani product profile is huge . We make a small wire of around 102, 250, 280 and bar , so there are various type of products there. We make a small washer to one ring of three -meter diameter. My point is that we have a various type of product profile so depending on the products and all we decide that what with the time of (inaudible)43.34 .

Viraj Mithani : Can you give the average time of execution . It is not like one and a half years or the two years or how do you think how do we look at it.

Dr. Sanjay Kumar Jha: Average time is one year.

Viraj Mithani : Okay thank you Sir and all the best.

Moderator : Thank you. The next question is from the line of Prabir from Adhikary . Please go ahead.

Prabir: Thank you for providing me this opportunity. My question is about the addressable opportunity for aerospace like in next ten years around 100 odd fighter jets going to be manufactured in India, of it what could be the size addressable possible market size for company like Midhani , and also in next ten years also there will be a hypersonic missiles where lot of specially grade d air alloys or metals will be required so if I put together in these context , can you please help us understanding the requirement and possible marketable size?

Dr. Sanjay Kumar Jha: This exercise has been already done by our consultant recently and they have given the business potential and we have mentioned about some of the programs so the figures are not clear . Right now it is under evaluation and ministry is already taken for its evaluation and we are expecting shortly the figures will come out and we may discuss afterwards, but as you have rightly told that this programs are there in the country now and it is moving in the better higher pace, but whatever you have mentioned those things are time taking it is not translating immediately , but initiations have been made

and visibilities are good in the sense

that as you mentioned about the fighter plane, now the fighter plane whether the engine has to be purchased from the outside or made in -house, so these are the different ifs and buts what are there, so work is going in that direction, but if it is getting from the outside , the entire thing will be coming from the outside only. Since that is the case for the overall of the Indian MRO facility . The MRO wise it is comes in the India two, three MROs definitely coming from the material go out , so these things are very in nascent stage, I will not about to comment on this but Midhani has a better opportunity because we are already supplying the aero engine materials from last 25 years.

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Page 16 of 19 Prabir: If you exclude this engine part for this aero frame and all so rightly recently there is a 46000 Crores of orders given to HAL for Mark1A , so in that what could be the size of this material for aero frame and all and other whatever required materials.

Dr. Sanjay Kumar Jha: You have told very correctly that you are mean the aero engine. Aero engine is the biggest ; material cost wise highest in that and second comes the frame now the frame is also not made from the Indian material whatever LC you are seeing it is getting from the imported source only so the balance material left for very limited in quantities ; there also I will tell you the number of things are coming from the outside so still we have lot of things indigenized but progressively we are doing indigenization and it will be getting reflected better in after four to five years once the indigenization is complete and again the engine is

our own engine now engine also is now the entire engine is coming from the outside.

Prabir: Understood. My last question is who do you think your competitors in this business where you are right now.

Dr. Sanjay Kumar Jha: You are asking the name or you want to if people are there. .

Prabir: Yes, the companies that are in India which is doing the kind of work.

Dr. Sanjay Kumar Jha: No, people are there now there are lot of people are there in India started manufacturing so people are. Good margin product will be there , so people are coming forward.

Prabir: Okay Sir thank you.

Moderator : Thank you. The next question is from the line of Darshan Shah from White Equity. Please go ahead.

Darshan Shah: Thanks for the opportunity. I have two questions ; one on the inventory side so we are carrying inventory of almost 1000 Crores versus our revenue of 800 odd Crores , so what is the normalized level of inventory that we are aimed and by when do we expect to get that.

Dr. Sanjay Kumar Jha: Normalized level of inventory projections are being given by the consultant right now and

we cannot reduce immediately but our efforts are on . As I told earlier also we have tried to reduce it but then the raw material prices have gone up in the recent past , so I am not seeing that near future it will come down because the prices of the raw material has gone up and at the same time there is a supply chain disruption also so because of that we have to stop . We cannot go to the situation where on monthly or by monthly basis I can buy the material I can run my store. These are the main reasons for getting high inventory , but it will get

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Page 17 of 19 addressed , we are trying to address it by consuming more and more scrap see that our raw material consumption will come down.

Darshan Shah: Second question is on the LCA aircraft opportunity. In some of the earlier calls , you have mentioned that per aircraft raw material requirement would be around 25, 30 Crores is that correct.

Dr. Sanjay Kumar Jha: Yes, ideally, the requirement is there, but what has happened that initially for initial feeds of 15, 20 year craft since the HAL our materials are not

certified so HAL has taken the preference state to buy the material from the outside and slowly they are giving the orders for indigenization , so right now we have the order of around 20, 25 Crores of order for LCA and it is getting added further as we progress.

Darshan Shah: Thanks that is it from my side.

Moderator : Thank you. The next question is from the line of Abhijit from ICICI Securities . Please go ahead.

Abhijit : Just to add to the aero question , out of total 55 Crores of order book that you have from aero 25 Crores is from LCA and the rest is from development materials for AMCA , is that right.

Dr. Sanjay K umar Jha: No, AMCA is not included in that . We have for aero that Adour engine that we will see that as I told you that engine -based crafts. Then also we have for this recovery dry engine is there for GTRE.

Abhijit : Well these are what slow moving orders or what.

Dr. Sanjay Kumar Jha: No, it is not slow moving these are all very fast moving only.

Abhijit : They are procuring materials for cover the engine on a regular basis.

Dr. Sanjay Kumar Jha: Yes, it has started now that the cover engine , dry engine has started for what I have heard about India has gone to the first trial has taken for UCAV that is Unmanned Aerial Combat Vehicle. Already they have taken the first trial and this now the idea is to make more and more so there the engine will be used from that cover dry engine.

Abhijit : This would be one time orders right , I mean as of now it looks like it would be one time order.

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Page 18 of 19 Dr. Sanjay Kumar Jha: No, I think if it is getting cleared then India is going for a big way to manufacture that craft

because you need lot of drones for high -end delivery.

Abhijit : But they have stabilized the technology and all.

Dr. Sanjay Kumar Jha: I do not know the exact performance of the first trial , but it was reported it has given the good performance.

Abhijit : Got it and any execution delay that you would have faced because of lack of materials based on Ukraine or Kazakhstan or that region.

Dr. Sanjay Kumar Jha: No not delay in our execution , but some sales got affected in our last financial year because of that and then the cost of the raw material has gone up because of this war , so those were the major factors , which are affected.

Abhijit : This year will there be any effect on sales because of supply disruption.

Dr. Sanjay Kumar Jha: Not sales I will tell you , but on the margin it will be there.

Abhijit : Margin impact will be there.

Dr. Sanjay Kumar Jha: Yes.

Abhijit : From your commentary , it seems that some of the margin impact is there in Q1 also but on an overall scale it does not show maybe because of the mix or size of the disruption.

Dr. Sanjay Kumar Jha: Mainly because of the utilization has improved . We have tried to compensate with the scrap utilization . Thoughts are on to do there , but we have to see how much we are able to.

Because there we would have to also see that product not get affected , so the technology has to be reversed in that range so you cannot go for the full scale at one go. You have to go stage wise .

Abhijit : Got it, just to go back to last point which is UCAV, which UCAV are they procuring for this Kaveri is it TAPAS or something else.

Dr. Sanjay Kumar Jha: What is the name you say, I understand the name is different.

Abhijit : Yes, TAPAS.

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Page 19 of 19 Dr. Sanjay Kumar Jha: TAPAS , I do not know but the engine name is some name I am not clear is basically what

name that I am not clear at least for the craft engine.

Abhijit : Got it. that is all from my side. Thank you.

Moderator : Thank you. Ladies and gentlemen, that was the last question. I now hand the conference over to Dr. SK Jha for his closing comments.

Dr. Sanjay Kumar Jha: Friends it was a very

nice interaction so whenever I interact with the team as lot of things

come to us and with me the entire team was also there with me Finance and Marketing and Corporate Planning, Company Secretary who all have joined and have been part of this

meeting so I hope whatever we have discussed here it will further give our commitment to

meet the expectation of the stakeholder and Midhani . We have been very fortunate that all

of you have got the confidence on us and I am sure that with the future performance, it will

be kept and we will be meeting of your expectations and better scale. Thank you very much.

Moderator : Ladies and gentlemen, on behalf of ICICI Securities that concludes this conference call. We

thank you for joining us and you may now disconnect your lines.

Call: Nov 2022

~DHAN I

MDN/CS/COMPLIANCE/2022-23 Date: 25.11.2022

To,

TheManager, TheManager,

Compliance Department, Compliance Department,

BSE Limited, P.J.Towers, 15th Floor, National Stock Exchange of India Limited,

Dalal Street, Exchange Plaza, 5th Floor; Plot No. CII, G Block,

Mumbai- 400001 Bandra Kurla Complex, Bandra (East),

Mumbai —400051

Scrip Code: 541195 Trading Symbol: MIDHANI

Sub: Transcript of the Analysts and Investors Meet/Conference Call held on November 21, 2022

Dear Sir/Madam,

1. Further to our letter dated November 21, 2022, intimating you about the audio recording of Analysts and Investors Meet/ Conference Call on Q2 —FY23 Results, held on November 21, 2022, please find attached the transcript of the aforesaid Conference Call.

2. The transcript of the call is also made available on the Company's website.

This is for your information and record.

Thanking you,

Yours faithfully,

For Mishra Dhatu Nigam Limited

Paul Arity

Company Secretary & Compliance officer

company.secretary@midhani-india.in

End: As above

1~P3T~~ I~t1~i>s MISHRA DHATU NIGAM LIMITED

(~u~~ ~r~i) (AGovt. of India Enterprise)

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I~'II~lc1 ~1~TT ~.CIN: L14292TG1973G01001660~ Website: www.midhani-india.in

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"Mishra Dhatu Nigam Limited

Q2 FY '23 Earnings Conference Call "

November 21, 2022

MANAGEMENT : DR. SANJAY KUMAR JHA – CHAIRMAN AND MANAGING

DIRECTOR – MISHRA DHATU NIGAM LIMITED

SHRI. N GOWRI SANKARA RAO – DIRECTOR FINANCE –

MISHRA DHATU NIGAM LIMITED

MODERATOR : MR. AMIT DIXIT – ICICI SECURITIES

Mishra Dhatu Nigam Limited

November 21, 2022

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Moderator: Ladies and gentlemen, good day, and welcome to MIDHANI Limited Q2 FY '23 Earnings Conference Call hosted by ICICI Securities Limited. As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the

presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Amit Dixit from ICICI Securities. Thank you, and over to you, Mr. Dixit.

Amit Dixit: Yes. Good afternoon, everyone. On behalf of ICICI Securities, I welcome all the participants for MIDHANI Limited Q2 FY '23 con call. At the outset, I would like to thank the management for giving us an opportunity to host this call. From the management side, we have with us Dr. Sanjay Kumar Jha, Chair man and Managing Director, and Shri. N Gowri Sankara Rao , Director Finance.

Without much ado, I would hand over the call to Dr. Jha to take the forward. Over to you, sir.

Sanjay Jha: Good afternoon to all investors joining for this meeting. And before proceeding for your questions, I'll just try to give overview of what we have achieved in this up to the quarter two. And Q2 results already it is out. And the major significant outcome of our Q2 report is VOP, there is a significant increase compared from the last year's VOP of around 41%.

And also we had, in spite of having a lot of additional expenditure coming out from due to higher cost of the raw material power. The company has maintained the profit almost similar to whatever the like previous year. And also, we had -- if you can see our digital, even though the sales is slightly marginally on the lower side, I am talking about in the first half. We have got kept the profit at the level of similar level. Almost the PBT is around 2.6% higher only compared to the last year.

And considering that, only of the path is slightly on the lower side, very less difference. So these things are -- their data is available, in addition to that, I would like to mention some of the other highlights during this period where we have established a number of products coming out from the wide plate mill.

And in that, some of the noteworthy developments in the wide plate operation is production of nickel based super alloys plates, which we have made some export also using that setting. And we are also seeing the development of another nickel based super alloys required for our indigenous production of -- the desulfation unit required for various power plants which is operating in the country. So that sets also we have developed successfully.

And now we are expecting that the entire quantity, which is being imported as of today in the country, we can fulfil the requirements coming out from this facility on developments are connected with wide installation of wide plate mill. And also, as we have told previously that 8 - Mishra Dhatu Nigam Limited
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ton vacuum induction melting also got fully all started. So combination of those two equipment's has driven this outcome.

In addition to that, your company also has developed the armour steels, which is being used for vehicle armoring our Rohtak facility. And there also, we have got almost armoring of around 100 number of vehicles. Out of that, already 15 numbers have been rolled out from the factory and balance are under various stages of the fabrication.

So the steel develops being made in our new installation of pipe treadmill. In addition to that, we are also trying to see that the requirements of armour steel used in various applications of our armoured tanks and other ordinance factory, as well as ordinance factory requirements, we can meet from this facility. In this

period, in recently conducted defence expo. We have launched six different new products which includes as I said, super alloy nickel -based alloy sheets. Then Titanium moulds, which we have exported and also some of the grades of special materials. So these are the highlights coming out from this next two, first and second quarter. So -- and during this period also, we have made some of the important MOUs we have signed and recently the concluded defence -- Defexpo, which includes a business cooperation agreement with Boeing in the area of raw materials, which is being used in manufacture of various type of components in India for their supply chain and supply chain as well. These are the nutshells, I just put a brief things here. Anything special afterwards, now I'll request you to give your queries based on this performance of the company.

Moderator: The first question is from the line of Aditya Deorah from Divisha Investments.

Aditya Deorah: Sir, you had mentioned in your opening remarks also that the value of production has gone up for this half year. And I guess, even for the last financial year also, the value of production has gone up. But sir, we are not seeing the corresponding increase in sales. And as a result, our inventory has moved from around INR 800 crores in -- at the end of financial year '21 to maybe INR 1,091 crore at the end of financial year '22, and it has moved to INR 1,280 crores for this half year. So sir, when do we expect that we are able to build this inventory that we have built up?

Sanjay Jha: The inventory is a very important part and important issues, which we are dealing with a day - to-day basis. But the major reason for the inventory increase build up in inventory is mainly because of raw material also, because the raw material costs have gone up. So we have to also stock some of the requirements coming out required for the nickel -based alloys. And earlier, our production of nickel -based alloy are very less. Now the requirement has gone up for super alloy production. So therefore, it adds to the inventory in a very high value material and which is nickel. This is the one first part.

And second part that, of course, the WIP, which already you have mentioned, which I have already told that, it is the -- whatever the VOP has been build up. And you said that last year also, it was like that. So if you see the performance of the previous year also, the Q3 and Q4,
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there is a substantial increase in the sales. So I said that whatever you have seen n ow, it will translate into the sales in the coming months -- and another part is that this year, since our Rohtak facility also started working -- so partly, there also some -- the WIP has been build up. So they're also to provide some of the materials, wh ich we are depending on the outset on the import also raw material. So there also, there is some amount of inventory is required to maintain our production on time.

Aditya Deorah: So for this financial year, how much sales growth are we budgeting? For this financial year, how much -- I mean like what kind of sales growth are we expecting by internal targets?

Sanjay Jha: Our internal target is INR 1,000 crores.

Aditya Deorah: Is it the value of production or the sales?

Sanjay Jha: I'm not talking about this.

Moderator: Next question is from the line of Ankit Shah from White Equity Investment.

Ankit Shah: In Q2 F '22 conference call, the management had talked about having a fixed asset turnover of about 2x from projects such as the wide plate mill and the Rohtak plant. However, later on, it was changed to potential revenues of INR 500 crores from wide plate mill and INR 100 crores from Rohtak plant, which results in a fixed asset turnover of 1x. So can you throw some light on this discrepancy? And help us understand this better?

Sanjay Jha: You said that

management has projected 500 crores of revenue in current financial year?

Ankit Shah: No, last year in one of the calls, management has said that we will have a fixed asset turnover of two times from wide plate mill and Rohtak plant?

Sanjay Jha: I understood the question. What we have projected that once this mill is established fully, we can expect the revenue of around INR 500 crores from the wide plate mill. And now this mill is still under on trial, trial means that we are making the products one by one, we are moving towards. Once we go to the full scale of because any project, you cannot get the full scale of operation in the first year of itself, sir. So this year, we will be seeing like tr ials are getting conducted. And initially, if you see the first quarter, there were no addition much from the wide plate mill. Second quarter, it has improved. And third and fourth, we will see the further increase in the coming revenue coming from wide pl ate mill.

Coming to the Rohtak also, Rohtak also started giving in this quarter only second quarter only we have got some addition revenue. Our fourth, again, we'll see the major change, because as I said, things are now in the area of that production, we have around 70 -80 vehicles are there for armoring, then we have the jacket for 1,500 also to execute. So these things are moving on now and that increase will be there. But the complete INR 500 crores, we are expecting that from the next financial year onl y it will start coming, once our entire all the product range are established.

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Ankit Shah: Sir, the peak revenues from these two plants will be INR 500 crores and INR 100 crores or it be higher?

Sanjay Jha: We have -- this is our estimation. See, our estim ations we have kept like this. But higher is possibility is there, it can go higher also. But we cannot say right now, with the current market scenario and our execution capacity, we have given this figure . And as we progress, we suppose you have -- you've got an order, where your value addition is much higher than this sales of the product is very high because of the high -value items. It can go and increase, but all depends on what is the market scenario in that case.

Ankit Shah: And this INR 500 crores a ssumes what kind of capacity utilization? Would it be like close to full utilization? Or would it be lower?

Sanjay Jha: It is full creation.

Ankit Shah: Sir, next question is on the LCA opportunity. In the previous call, you had said that we are awaiting certification for supplying certain raw materials for the LCA order. So by when can we expect to get the certification? And what would be the potential order size post certifications are achieved?

Sanjay Jha: LCA order already certification as awaited only for a couple of items, two, three items are there for it. But more or less, whatever we are supplying now is already certified. -- items are certified, and we are supplying.

Ankit Shah: And once these two three items, certification also comes in, what would be the potential order size from the LCA opportunity? Let's say, per...

Sanjay Jha: I cannot really see those items which I have told it is not only exclusively for LCA, it can go for other requirements also because the common materials are used in the different areas. So we are in the mode of now developing those items, the product. So based on our outcome and the cost of production, the order will be placed on MIDHANI. So right now, these values are difficult to predict because their project also, there is no clarity that how much of the equipment they are going to get the orders from the services. What I mean to say that air force and all.

Ankit Shah: Sir, is it possible to share some idea about the per unit order size? Just a ballpark number just for us to understand the scale of the opportunity.

Sanjay Jha: For LCA, we

'll tell you that we'll give you that input.

Ankit Shah: Sure, the next question is on the inventory side. Can you share the amount or percentage of non-recyclable scrap that is sitting on our balance sheet. And what would be our plans for the excess scrap and potential inventory write-offs that we could be looking at in next two, three years?

Just more color on the inventory piece if you can share.

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Sanjay Jha: See, whatever is the non-recyclable scrap you are talking. Normally, the scrap, which we cannot use, we will sell in the market. We'll auction and then we'll sell. Whatever we can recycle that only we keep with us. So a question of that scrap, retaining it has done on the rise. Of course, it may remain for some time until we get the right price and we get the right customer because the number of times if you auction and you are not getting the correct price, you will not sell. We'll try to see that how maximum benefit company can get by reselling scraps.

Management: Adding further excess scrap we cannot sell up because the government regulations are their certain types of scrap we cannot sell. So those stocks also needs to be meant for internal use as and when we get a first type of order say, our scrap level is more, there is no non-recyclable scrap like that only as [inaudible 0:18:25] is selling. We will sell the scrap wherever it is sellable.

Wherever it is internally useable because our scrap is not a simple MS scrap or SS scrap. It is a high value scrap. If I am able to use it in my production process, it gives me good margin.

Ankit Shah: So this scrap is largely going to be metals, which would not require any write-off hedge?

Sanjay Jha: Write-offs are not done, there are no write-offs.

Ankit Shah: Sir, next question is on the exports. So how do you see exports shaping up over next, let's say, two, three years? And any certifications that we expect to receive in the near future, this financial year or maybe next financial year, which could boost exports.

Sanjay Jha: Yes. Export, we are doing right now, even though certifications are not required in that area already, we are making the export -- and as you said, for certification also the work is in progress. And we expect by this year-end, we are not by mid of the next year, we will start getting the certification.

Ankit Shah: And sir, on that basis, what with the export potential for us? I mean what kind of exports are we looking at for next two, three years?

Sanjay Jha: As export potentials are good potential is there, but the only issue today is the payment conditions and pricing. So we are seeing that based on those two aspects, we are booking the export. So for LCL is quite good. But only thing is that you have to get the proper price as well as seven terms also. We have a number of vendors outside customers, they are asking for almost a grade based supply system. -- grade-based supply systems is not acceptable in our case. So we are looking for alternative that how we can meet their expectations by adopting certain changes in our, I say that business conditions

Ankit Shah: On next question on Su-30 MKI engines. or HAL potential orders for Su-30MKI engines about 240 engines and 80 engines for MiG-29 that order size for HAL would be around INR 33,000 crores. So do we see any opportunity for us flowing from these orders?

Sanjay Jha: Su-30 is a licensed agreement with the engine supplier to HAL. Now question is that how much percentage they allow them to indigenize it depends on the type of contract they sign. We are not aware of that, what is their conditions in that, that how on the, as far as the material is

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concerned. But they are also looking for to indigenize it even for the existing fleet also. But then as I said, unless the engine

supplier is not gaining the permission, you cannot use materials, which is not certified by them. So India is looking for that sort of development, but it has not resulted in the clear cut in the business proposition. However, developmental work MIDHANI is your company is doing. We have taken some steps to indigenize the alloys, which are very critical for Su-30 engine. So we are working towards that. When we come to the business space, we'll definitely inform the investors.

Ankit Shah: And on the MiG -29 engine, is it a similar situation or their Indian materials allowed?

Sanjay Jha: MiG-29, I have no idea precisely what is the materials. But for MiG -- other MiG-19 and all, we have developed the materials earlier, but whether they are going to utilize, again I would say, engine materials, it all depends on the type of contract they enter with the supplier. So for which I do not -- we don't have the right information at this stage.

Moderator: Sorry to interrupt you Mr. Shah, I request you to come back in the question queue for a follow-up question. Thank you. The next question is from the line of Venkatesh from Logic Tree Investment.

Venkatesh: My question is on what is the kind of opportunity size our company can target over the next four to five years. So broadly, both in terms of domestic as well as exports? And is there a company that we can benchmark ourselves with globally, who is in the same space and who will probably at a significant scale or something just for comparison?

Sanjay Jha: This question is very apt question you have asked and already as far as the benchmarking is concerned, it was done earlier, and it was seen that MIDHANI far as profit percentage and all is matching with some of the leading international manufacturer in the similar domain.

But the volume-wise, our volume is very less. So the volume depends on that how your domestic industry is growing, and you have rightly all about next four, five years. I see next four, five years, scenario is very good for the entire engine industry, which is operating in the area of defence manufacturing. Because of the various policies and various tests taken by Ministry of Defence indigenization of various equipment platforms, materials in the area of defence.

MIDHANI is also a part of that. And I feel that our growth also will be on the similar lines, as you see in the other PSUs, the difference only in our case and other case that we are not in directly getting the equipment or reforms coming to us. We are basically some sort of raw material supplier going to that. And their moment it is coming out in the raw material side, there is a lot of competition among the various manufacturers in India. And in itself past many new interims are there in this field. So it is not a monopolistic area.

We have to be competitive. And we are also competitive today. A lot of orders we are getting on the competitive bidding only. They're not coming directly in our lab. So I think there is a

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good opportunity as our efficiency is going up and market also is growing. There's a good opportunity for us to get them.

Now what is the quantum and all, the target which has been set up by Ministry that defence manufacturing should go two times of whatever we are doing today. Almost INR 1,75,000 crores of turnover and then around \$5 billion of export. We are also trying in that sector and accordingly, our targets also have been fixed year after year.

Venkatesh: Right. So is it fair to expect that we could probably double our revenues over a four-year period, sir?

Sanjay Jha: Yes, there are targets are there, but then we have to do a lot of work behind the scenes that our infrastructure has to go up, modernisation license plan has to pick up. So a lot of investments are required in that area. We are working towards that.

Moderator: The next question

is from the line of Romil from Electrum PMS.

Romil: Sir, I just want to understand a couple of things. One is on your titanium business. So can you just explain this business? I mean, what kind of products you make? What is the process? What are the raw material sources, some bit of margin outlook and everything on that particular part of the business?

Sanjay Jha: Now this is a very fundamental question you ask titanium. So let me tell you, first, titanium is called a wonder metal. Why it is called a wonder metal? Because it has a very wide especially because of its light weight and high strength ratio, it is a lightweight and high strength. We had a tremendous application in the area of aerospace and other side also, it has a very good corrosion

resistance, especially against the seawater. So if you see that this material can work on the – above the ground in the aerospace and other side, under seawater. So if I'm clear about the application, then I can proceed further.

Romil: Sure, sir. Absolutely, sir.

Sanjay Jha: So because of this nature and very good properties and in addition to that, other properties also high temperature then it can work under high temperature -- so all those properties make it very unique material. And MIDHANI, our company, we have the expertise of this alloy from last 25 to 30 years. We are working on the alloys. So we have the complete control of the process.

Now you have asked about the raw material. Raw material in this case, today, we are depending on the import. Raw material, we are not able to manufacture in India. Again, it is an economic of scale because of our requirement of raw material of that is called titanium sponge is only 800 tons to 100 tons max. And the plant is economical, if you go 5000 tons, 10,000 tons.

So that's why our production of titanium sponge in India, even though it is taking place at a very low scale, its cost is very high. So we have to depend on the -- totally on the import of titanium response. And with the current world scenario, which we see in the -- that like in the aftermath

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of Ukraine and Russian conflicts, there is definitely very much pressure on the supply chain of this material. So we are also getting affected.

And but so far, we are able to manage and that earlier, when we are discussing about some of the requirement of inventory also, probably, that is also one of the reasons why we have to stock some more quantity so that we should not suffer for want of material in the immediate future.

So is there. And our target is that whatever we are producing today there less scale, we are going to almost double our production. So we are setting up a facility, new facility coming up where my titanium production is going to increase by two times.

Romil: And sir, what are the products that you are manufacturing in titanium right now? And when will this new facility come up, the capex and the new products that will be there?

Sanjay Jha: Titanium, we are producing right from heavy forging to even a small thickness of wire also. So MIDHANI product is diverse. We make plates, we make sheets, we make foil, we make rings and we are also making different castings, we are making different types of assemblies. So titanium production in our case we are making any size and shape you ask, MIDHANI is able to make that.

Romil: And sir, who is the competition in the titanium business directly competing with us in India?

Sanjay Jha: India so far industry called PTC has come out in Lucknow and they are doing only in the one of our problem in titanium casting. But in future people may enter in this business, we do not know.

But this technology is slightly difficult. So it takes time for people to get out.

Moderator : Romil I request you to come back in the question queue for a follow-up question. The next question is from the line of

of Renjith Sivaram from Mahindra Mutual Fund.

Renjith Sivaram: Sir, congrats on good execution, though the top to bottom line is a bit stretched. So just wanted to understand because this, as we look at the broad commodity prices have come down. So was there any inventory-related readjustment in the income statement this quarter because the prices have come down?

Sanjay Jha: Prices. So I don't think anything has come down so far.

Management: Commercial steel prices have come down, not the special steel Yes, only like MS where the price...

Moderator : Sorry to interrupt you, but you are sounding little distant may I request to speak a little louder?

Sanjay Jha: What we are not using that commodity steel in our manufacturing. So what we are talking about the price is those areas where the prices have come down. We are also -- I tell you that prices -- our raw materials are mainly nickel, cobalt, moly, tantalum and iodine. So there, the prices have not come down, in fact. So there is a pressure on the prices of today also. So I don't see any

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reason there that we have adjusted because of that. And so I think that is -- will be given or any other where you want to make...

Renjith Sivaram: When I read your annual report, you have this R&D tied with Carborundum for ceramic-based armor plates. So what -- how large is that opportunity? Will everything will shift to ceramic?

And like what is the status of that? Will that be manufactured in Carborundum facility and the Rohtak? Or will...

Sanjay Jha: This is Carborundum I have seen in context with one of our products called our bulletproof

jackets. With Carborundum, we are trying to see only the silicon carbide tiles, we wanted to procure and see that -- with using that tiles, we wanted to make the bulletproof jackets. So this is still in the R&D developmental mode. But if that development is completed, and we are through in our development, you might have seen a lot of requirements are coming for the bulletproof jacket, either from the Paramilitary Forces or from the Armed Forces.

So there are immense potential in that area. But nevertheless also we have lot of manufacturers in that extent also. Jackets a lot of people are there in India to make that. So how much we are able to capture, we will tell you whenever we get the certain amount of orders. But that is in context of the development of a specific product, it is not a substitute of the metal, which we are discussing.

Renjith Sivaram: So you are not substituting the current metal with that?

Sanjay Jha: Yes.

Renjith Sivaram: And sir, this Rohtak, when do you expect this Rohtak facility will be in 100 -- in terms of utilization level at a normalized level and what kind of revenues can we expect from Rohtak, if not this year, next year onwards and incremental revenues?

Sanjay Jha: This year, we are targeting around INR 100 crores, but let us see. We have the order book -- order is there. We have the order to be able to execute and complete, but there are certain constraint on the supply chain. So we are assessing some problem in the completing all orders. But we are making an attempt to get almost INR 100 crores of sales coming from the Rohtak facility this year.

Renjith Sivaram: And in terms of the future growth opportunities like in future, if we are going for this -- Rafale is currently now imported. So is there any chance that the future Rafale, the material technology and requirement will be done by us instead of importing from France? Is there some thought like that or for any other major aircraft we can look at we being the sole supplier of the material?

Sanjay Jha: First of all, I'll tell you MIDHANI cannot claim today that we are the sole supplier of the materials. Because in India, a lot of other companies, they have come up with the various facilities in the

area of special alloys production. The only an advantage with us that our alloys are certified for the aero applications. Now coming to the Rafale, Rafale is basically, the Mishra Dhatu Nigam Limited
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structural part today is completely composites. So we have to go for the composites, then only we can make. That is number one.

Number two, coming from the Aero engines, the Aero engine is either Safran or [inaudible 0:38:22] whatever Aero engine thereby, it has been supplied through the complete setup of OEMs such as it elsewhere. Unless India develop its own aero engine or some OEM can setup the facility in India and then utilize our certified material then only it is possible in their domain. So that's why recently it was felt that why not, we should Indianize the material from Sukhoi which is very well, it is a Russian origin. So we are working towards that. So definitely, as you progress, one development will give the chance of getting the other one. So we are working towards that and see that how our company can capture the other market if it comes to operate in India.

Renjith Sivaram: Sir, lastly, if I can ask one more, like you if I look at the overall space opportunity now that most of the space engines are now with cryogenic or everything is going to be manufactured in there.

So what is our overall contribution in this space as a segment? And how do you see that?

Sanjay Jha: Yes. Since our contribution has been enhanced today also rocket motor casing and material required for various fuel tanks and also we use for cryo and semi-cryo special castings, special steel, special alloys, they're all going from MIDHANI only. But then likely to the future, the other manufactures also are coming up. So we have -- but then the market here that their volume also will be going up because there's a big ambition or big plan for Indian defense industry, and that is those plants are coming to the reality, definitely, MIDHANI also will be benefited, our volume also increase and maybe other also. Again, we have one advantage that our material has proven for the last 35 years. So they can have more. But then the price also is the one factor which we have to be very competitive.

Moderator: The next question is from the line of Charanjit Singh from DSP Mutual Fund.

Charanjit Singh: Sir, my first question is regarding overall order inflow scenario, maybe the tenders, which you would be seeing in the pipeline. If you can tell us in terms of how defense segment would see the growth space and nuclear, are we seeing good pipeline building up? That's my first question.

Sanjay Jha: Yes, order flow, we are expecting that whatever order position is there as on today are INR 1,500 crores, order book will remain after the closing of this assessment year also, this is our expectation. And we are also trying to see that how we can get the other product also in our fold, which includes the export, which includes certain things require from our Wide Plate Mill as it progresses, if we get converted into some of the products into the large volumes then that also

expected. But these things are all a future for which our team MIDHANI is working very hard. And as we progress, as we get some good business in this area, definitely, we'll be telling to the investors. But as you have rightly told, there is a lot of requirements coming out from these sectors right now. So we are also hopeful that whatever best we can capture in the advantage as far as.

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Charanjit Singh: Sir, if you look at there was a lot of CWIP also in the process. And so what is our gross block right now and on that gross block, what is the kind of asset terms and revenue generation, which we can do?

Sanjay Jha: This question, I'll give it to our Director Finance to answer.

Management: Yes, if you

you see our gross were presently INR 937 crores and with the addition of INR 982 crores, after capitalization, one more addition of INR 100 crores will come. Nearly, you can see that by the year end, it will be INR 1,100 crores. And we are expecting at the same level of price or same we were selling at INR 1,000 crores. Seeing that all the new, whatever new facilities have come if it is stabilized and it creates some production level, we can easily same level of gross block as our revenue.

Charanjit Singh: Sir, but the asset turns here will be like we have already all about 2x. So it should be a much higher top line, what we can deliver?

Sanjay Jha: I could not understand your question. Your telling that asset turnover ratio, you're telling?

Charanjit Singh: Yes, sir.

Sanjay Jha: Asset turnover ratio...

Management: Asset turnover ratio normally will within total effects. Our total assets are mainly INR 2,900 crores. Only if you take non-current assets, it is around INR 1,121 crores, exact that level, we can achieve but if the total is INR 2,900 crores or INR 3,000 crores once it is resumed by the year end, our turnover will be around 40%, 35% - 40%.

Charanjit Singh: Sir, on the space side, we had earlier seen there was a weakness in terms of the launches. How is that opportunity building up now going forward? Are you seeing that traction going to pick up on the space front?

Sanjay Jha: Yes, we are also listening through media only. And also recently also, I assume that there were news that more than 300 satellites are already in the queue and ISRO having the to utilize that opportunity. So definitely, those things have to go into the orbit, you need more and more launch vehicles. So I see that it will pick up now as the time goes up.

Charanjit Singh: Okay. Sir, lastly, if you look at from BDL's perspective, so Astra and other missiles increasing need where more domestic missiles will be integrated with the current platforms. So how do you see that now shaping up going forward, especially from Astra and other missiles programs? And what percentage of that order if BDL gets can benefit MIDHANI?

Sanjay Jha: Are you talking about Astra? Astra is definitely -- but the induction of Astra every year, hardly 100, 150, 200, they're not beyond the must be. So corresponding to that, we are getting the orders and we are only supplying in areas. But other missiles like Akash is already -- we have given all the materials required for the Akash. Unless they get the fresh order then only we can get for

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Akash. And also, we have certain other missiles, which they are producing for naval applications and all. So we are supplying some materials in that.

Charanjit Singh: Okay. But on an annual basis, is there any number which you can highlight that from the missile programs, how much revenue which you can achieve as more of these missiles get approved?

Sanjay Jha: Right now exact figure, I'm not having, but I understand. Almost last year, how much we have done?

Management: INR 12 crores.

Sanjay Jha: So last year, we have done about INR 12 crores business. This year also, maybe similar to that coming from the missile sector.

Charanjit Singh: Sir, just lastly, on the nuclear side, what we are seeing is there's a lot more traction when the orders are getting placed to the pump manufacturers and the other larger contractor. So on the nuclear pipeline, anything you can highlight for us?

Sanjay Jha: Yes, nuclear business also projects are getting on the fast track now, but -- so far, what we are involved in the manufacturing of certain products like lattice tubes, we are supplying already and we have new requirements also, I hope it will be coming up. But again, there also MIDHANI is not the only supplier, we'll have lot of competition in that. Another idea is that some

requirement for super la

rge pressurizer generator turbines . So already, we have on order, which we are executing now and also participating in some other orders also.

Charanjit Singh: So we are...

Sanjay Jha: Though -- our product range required for nuclear business already we are working with them. But pumps and all is not our domain, which is done by like -- even the steam generator also is being done by either L&T or some other companies. We are only supplying certain raw materials.

Moderator: Next follow-up question is from the line of Ankit Shah from White Equity Investment .

Ankit Shah: On the precious metals scam that we shared the last quarter, can you update us on the progress on that? And as a follow-up, are we looking at appointing some better internal auditor, ENY or anybody else to strengthen our internal controls?

Sanjay Jha: We have already our internal auditor it is there, and they are already taking care of our auditing system and all. You know that we are having a quarterly review of the audit results. It's being monitored by several independent directors are there on our Board. The systems are well placed. Requirement of the consultants arises when we have some specific problems. So for which also recently ministry has appointed certain consultants and they have submitted the report on our business growth plan and which we are considering and we are trying to see that how it can be implemented.

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Ankit Shah: Okay. And update on the precious metals scam that happened?

Sanjay Jha: Which one?

Ankit Shah: Sir, there was precious metals scam CBI directed some people...

Sanjay Jha: That was a small theft took place. It was a basically theft of scrap, not precious metals. It was theft of the scrap reported in the media and the people involved in some contract workers, some security staffs, they were being like arrested and then later on it was investigated. But it is not related to any precious metal. It was a scrap which normally used recycling in our system.

Ankit Shah: Can you share some light on the same? Actually, what was the quantum of this scrap that was stolen?

Sanjay Jha: I am not the right person to ask because they are already investigation is done by CBI. So that information lies with them. I am not right to say that. So what they have given in the media also and what we have also seen that 950 kgs were intercepted by CBI. Beyond that, we don't have the information.

Moderator: The next question is from the line of Rohit from Progressive Share Brokers.

Rohit: So three or four questions. The first one, you're saying that Q3 and Q4, you will see a pickup, and that is slightly a bit of bullish commentary to reach INR 1,000 crores. So sir, what are the factors that will cause this? One, it is because there is a slight change in the product mix or is it because of the short cycle kind of orders that you have? Or is it because of the absolute ramp-up that we see in the plant?

Sanjay Jha: Both the things are not required in our case. Our conversion cycle time is slightly on the longer one, because we are dealing with the very precious materials. So the number of steps required for processing those materials are quite large. And that's why you will see that whatever we produce, let's say in the first quarter, I will sometime able to do supply in the second quarter or in third quarter. Because the gestation time for the materials from manufacturing to supply runs in the average almost seven to eight months. So this is the reason for precisely for getting up so much the WIP. Nothing else, otherwise beyond that.

Rohit: Okay. Sir, you did touch upon certain issues related to Russia, Ukraine and raw material and nickel molybdenum. So going forward, do you think you'll be able to maintain the EBITDA margins of 30%, 33% that we usually have?

Sanjay Jha: Right now I see with the available

product mix it may be possible to maintain that. I am not seeing any reason why it should not be there. But then you know the factors are there where we now see as I told cost of production has gone up because of the raw material cost and also we have taken the orders with the fixed rate from the customer.

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So definitely it is going to give pressure on our margin. So far it has not been reflected because of certain measures, which we have taken to reduce the consumption of raw material or improve

our efficiency. Let us see how we are able to take up the challenges in the future. But we have some excellent plan on hand to take up those things like reduction in the consumption of raw material, pure raw material. So more scrap recycling for getting the -- so those things are in the line now.

Rohit: So if I were to break the order book into different space railways and others, how would that be currently?

Sanjay Jha: Yes, order book position I have worked out. Around 40% is coming, 40% to 55% is almost defense now. Okay. The space is coming around 35%, order book position today and balance around you say armour is around 3%, 3.5% and 4% like that.

Rohit: Sir my last question is related to the NALCO JV. Since last three four years there has been absolute delay in that. So any thoughts on what is causing this delay apart from the land acquisition issue which was there or are you looking at some new property or land where you would do a deal with this Utkarsha Aluminium Dhatu Nigam Limited?

Sanjay Jha: See, first of all I will tell you this project is not delayed. This project is of very high value in nature. So once a company like MIDHANI wants to invest, it's hard, it's hard money where we have used, you told that our margin is quite high and then we are keeping the equity in that project. We have to see that our return on the investment should be good. So considering that, since project evaluation was done four years back to get the certain amount of return on investment, we thought this is the right time we should re-evaluate that in the current world scenario and then take a call whether we should invest or not.

Probably that is the one reason which has made us to give some time, take some time, which is already on the way now and we expect that in couple of months we'll get the right information. If the inputs are encouraging, coming from the consultants, we will definitely take up the project fast. But on the ground, you know, lot of work we have done, all clearances are there, we have consent to establishment, we have taken the pollution control approval, we have taken the approval from the Ministry of Environment and Forest clearance is there.

So all clearances are there now. And also we have appointed a consultant which can go for engineering procurement and management systems for civil construction and all. So these things are already in place. We will be giving you the right information at the appropriate time. Even our Phase 1 construction, for Phase 1 also tendering is over and we have already sought to set the firm which can take up our first phase construction.

First phase technology as well as the equipment supplier that also has been finalized. But then as I told investment, before going for investment we need that clarity and then only we will come to the board for getting the approval for investment.

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Rohit: So when do you think that Phase 2 could also be completed if at all the returns are favourable for us?

Sanjay Jha: Phase 2 is also already in hand. We have made all the tender documents ready. Moment we see that Phase 1 is clear, then Phase 2 also will be in place for the tender.

Rohit: Sir, are approximate investment could be in the range of INR 1,000 crores, 1,500 crore, is it fair to assume that?

Sanjay

Jha: The total investment is INR 4,000 crores for this project. And that's why our equity is not sufficient, which I told you. So that's why even if you go to any investors also for money and the bank, you have to go with the proper business proposal. So precisely we are working for that.

Moderator: As are no further questions, I will now hand the conference over to Mr. Amit Dixit for closing comments.

Amit Dixit: Yes. Thanks, moderator. I would like to thank everyone for attending this call and a fruitful discussion that we had this afternoon. I would now like to hand over the call to Dr. Jha for any closing comments. Over to you, sir.

Sanjay Jha: Yes, I believe at the end I tell you this quarter two has been very, very difficult for us because the prices have gone up for all the commodities. In this situation maintaining the profitability has been a big challenge, but again I appreciate your patience and the customer's confidence that we are able to get this type of performance at present.

But definitely we will try to see that our performance improves further and we can establish MIDHANI as one of the important company where investors will have interest. And also now we are entering our 50th year of our formation. So this is the golden jubilee year for our company. The day starts plotting from today. We see that in this period, companies should do a lot of projects, establishment and products. We are trying to see that we can get a very good performance from this country.

Moderator: Thank you very much. On behalf of ICICI Securities Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines. Thank you.

Sanjay Jha: Thank you.

Call: Feb 2023

MDN/CS/COMPLIANCE/2022-23

To,

The Manager,

Compliance Department,

BSE Limited, P.J. Towers, pt Floor,

Dalal Street,

Mumbai- 400001

Scrip Code: 541195 The Manager,

Compliance Department, Date: 10.02.2023

National Stock Exchange of India Limited,

Exchange Plaza, 5thFloor; Plot No. CII, G Block,

Sandra Kurla Complex, Sandra {East),

Mumbai -400051

Trading Symbol: MIDHANI

Sub: Transcript of Analysts and Investors Meet/Conference Call held on February 8, 2023

Dear Sir/Madam,

1. Further to our letter dated February 8, 2023, intimating you about the audio recording of Analysts and Investors Meet/ Conference Call on Q3 -FY23 Results, held on February 8, 2023, please find attached the transcript of the aforesaid Conference Call.

2.The transcript of the call is also made available on the Company's website.

This is for your information and record.

Thanking you,

Encl: As above Yours faithfully,

For Mishra Dhatu Nigam Limited

Paul Antony

Company Secretary & Compliance officer

company.secretary@midhani-india.in

MISHRA DHATU NIGAM LIMITED

(A Govt. of India Enterprise) ■■■ cflg ■ ■f'leg

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“MIDHANI Limited Q3 FY23 Earnings Conference Call”

February 08 , 2023

M
ANAGEMENT : DR SANJAY KUMAR JHA – CHAIRMAN AND MANAGING
DIRECTOR , MIDHANI LIMITED
MR. GOWRI SANKARA RAO – DIRECTOR FINANCE ,
MIDHANI LIMITED
MR. T. MUTHUKUMAR – DIRECTOR (P&M) ,
MIDHANI LIMITED
MODERATOR : MR. AMIT DIXIT – ICICI SECURITIES

MIDHANI Limited
February 08,2 023

Moderator : Ladies and Gentlemen , Good day and welcome to MIDHANI Limited Q3 FY23 Earnings Conference Call hosted by ICICI Securities .

As a reminder , all participant lines will be in the listen -only mode and t here will be an opportunity for you to ask questions after the presentation concludes. Should you need assis tance during this conference call, please signal an operator by pressing '*' and then '0' on your touchtone phone . Please note that this conference is being recorded.

I now hand the conference over to Mr. Amit Dixit from ICICI Securities. Thank you and over to you, Sir.

Amit Dixit : Thanks Roshan. Good afternoon everyone and thanks for joining the call today. At the outset I would like to thank the management for giving us an opportunity to host this call. From the management we have Dr Sanjay Kumar Jha – CMD, Mr. Gowri Sankara Rao – Director Finance and Mr. T. Muthukumar – Director (P&M).

Without much ado, I would invite Dr. Jha for the opening remarks , post which we will open the floor for an interactive Q&A session. Over to you, Sir.

Sanjay Kumar Jha: First of all, I welcome all the investors and the stakeholders and my colleagues who are joining for this important deliberation.

If we are talking about t this quarter we have done reasonably well in the sense that there is an increase in EBITDA in the third quarter from the last year of the third quarter of around 10%.

Also, even though there is some slight reduction in the revenue by instead of earlier t hat turnover of 234 crores against that we have 231 crore in this quarter. However, the EBITDA has increased by 10%.

There is an almost slightly decrease in the PBT because of the different additional financial cost have gone up certain other areas and we also have the depreciation also on the higher side because of commissioning of every important equipment which already we have communicated to you and I would like to share that the facility which we were waiting since so many years got commissioned in this year and Honorable President of India inaugurated that facility in the month of December than this equipment has started operating now and we have achieved many milestone in that in terms of establishing the technology, in terms of establishing the prod uct, but the volume of production has to pick up now and we are getting the indications are good.

So, we will be seeing that it will also add in our earning as we progress in the coming months and also the next financial year. The VOP also has gone up from the last quarter to this quarter, but however if you compare it with the previous year there is some decrease and this we have tried to see that how we can clear our focus was mainly on the side of clearing the inventory. So, we have seen that why we hav e maximized the sales and that has been our target. In addition to MIDHANI Limited

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that in this quarter we also made number of new developments in the area of the different products and that has I think one of the important landmark that your company has also started making the seamless tube by hot extrusion which we have established and we have dispatch in this quarter.

Also we made some of the super nickel that is nickel based alloy products which we have made through newly commissioned wide plate mill and many other pr oduct developments have been taken place during this period and in this also I would like to mention that Rohtak facility the armor with a symbolic some small set of the business started giving the contributed in our Quarter 3 production so it is going wel l as far as production is concerned and we have today the order b ook position we have maintained at the similar level which we had in the month of March so order booking also is I will not say very good, but it is also picking up and we are able to use.

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ow the new facilities we are expecting more and more orders is coming. So, this is what I would like to submit here and more than my speaking about the performance I would like to like from the investors that what is your concern, what are your questions regarding the performance of the company.

Moderator : Thank you very much. Ladies and gentlemen we will now begin the question-and -answer session. Our first question is from the line of Amit Dixit from ICICI Securities. Please go ahead.

Amit Dixit : The first for that related to the space budget as we saw that there has been a meaningful cut in the space budget this time around and since MIDHANI has got a significant stake in this space sector as well, so how do we understand this in terms of future ordering for the company in particularly in spa ce sector?

Sanjay Kumar Jha: In fact if you have might have seen the space budget is only for the R&D. What the space today policy is that they are diverting now the space business towards the private sector so I feel that as far as the investment in space is concerned it cannot be benchmark with the government allocation allocating the funds. So, you will find that as you might have seen that recently the

L&T and HAL consortium have taken that one order for making the 5 PSLV. So, this is one example how space is moving towards privatization. In fact, for SSLV also you will find that many private players will be coming in this field. Now the space now has entered in the new domain so that is why you might have the reduction in the money, but as far as R&D work is there we are very much interested and we are very much excited that some of the new projects also it is coming up in the ISRO. So, those things also will flow to our kitty, but then many other players are also coming in the manufacturing of the materials in the country. So, it is not that MIDHANI will have the monopoly and exclusive right on that, but as on today on the many materials except MIDHANI no other players are there in the country, but it is going to have another player also, but business is also when was this going to pick up in the coming years.

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Amit Dixit : The next question I have is essentially on raw material price last time you indicated that the prices of raw material for us have not come off and unlike the prices of raw materials for the steel sector so just wanted to understand what is the scenario now, have we seen some erosion in prices or have they picked up again from this quarter?

Sanjay Kumar Jha: Prices of raw material I think it has established I mean stabilized, but there is some stabilization in the price, but today now only the price is a criteria in fact getting the raw material on time and getting the shipment and all is a big challenge and that also on the very high end materials definitely there is a scarcity and there is a problem in getting the materials in the future also and this is going to continue for some more time I do not know for how long, but it is going to have impact on any manufacturing industry depending on the import of the raw material. So, not only in the MIDHANI and since our requirements are very exclusive in nature it will definitely there will be effect on the raw material supply as well as in the price also.

Moderator : Thank you. Our next question is from the line of Nikunj Mehta from Wealth Guardian. Please go ahead.

Nikunj Mehta : I have two questions first is regarding the scrap and the rejected material that we have it is not putting under this quarter, but in the last four years that number has kept on rising and as I see it is about 22%, 27% of your total inventory and about 16%, 17% of your total capital employed, now from what I understand it is part of business, but at the same time that much part of our capital employed is not running anything meaningful for us, so I would

like to just understand how you are going to try and what are your thoughts on tackling this one aspect of our business and can we reuse this in any form of shape into some other products so that was the first question?

Sanjay Kumar Jha: In fact, I told rightly that valuation of the scrap is going up. One part is that since the cost of the raw material also has gone up so scrap cost also will go up because valuation depends on that what is the price of the raw material number one. Number two is if the quantity is increasing and you say that consumption part has been same. So, we have taken a big initiative that how to consumers the reverts or recycle raw material as much as possible in our own systems so that we can also save the consumption of pure raw materials coming from the import source. In this direction if you see in this quarter there is a substantial increase in the percentage of scrap used

in our operation of alloy making. So, it has gone up earlier something around 40 to 45 to now around 60 it is increasing now, but at the same time generation is also there and certain scraps we cannot recycle, we cannot sell also because of the strategic material the scrap. The scrap you are selling in the market will not be good as a national perspective because these materials are very strategic in nature. So, we have to keep it within us and if possible the customer says that you can recycle the scrap if they permit then we can recycle those things. So, slowly now the customer also we are improving our technology and we are also trying to convince the customer that by recycling also we can get good quality. So, there is change in that also and you will find

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that with this type of initiative I am hopeful that it will come down, but it cannot go to the very low level just in the immediate future so it will take some time to come to that level.

Nikunj Mehta: If you could just portray some picture on the competitive scenario that is there in the market especially the domestic Indian players, are you seeing any rising competition there or we continue to dominate the market as of now?

Sanjay Kumar Jha: No, competition is very much in the market there is no doubt. Many players have come in the area of special steel, nickel based alloy of course titanium still we are the only player in titanium, but in nickel based alloy they are coming forward, but I am also seeing that there is a volume also is increasing, requirement also is increasing and not only in the Indian market there is an export potential also is there. So, opportunity is also there, but then you see the competition so it is like a situation where we have to improve our efficiency and we have to see that we can cut

down the cost of production so that it will be more competitive in the market. I will tell you many orders MIDHANI is now taking on the competitive bidding. We are not taking like on the nomination basis. So, we know that where we are today in terms of the price, in terms of our efficiency and I am sure that in the coming days in future we will improve further so that we can be leading player not only in terms of our technology and quality also in the price also. This is what we have our plan is there and we are working towards that.

Moderator : Thank you very much. The next question is from the line of Abdul from HDFC Securities. Please go ahead.

Abdul : What kind of opportunity MIDHANI can target over the next two years this is my first question and what are the key development MIDHANI has in next last quarter?

Sanjay Kumar Jha: I think this is a very important question you have asked both questions are very important. Next two years our target is we have to enter in the new segment of the products and the new segments already we have initiated that is answering your second question regarding the developments. So, recently in the last quarter if you

see we have made nickel -based alloy called Hastelloy , Hastelloy plates we have made from our own new wide plate mill , it is totally entirely imported in the country so that is the one product we have I am very hopeful that we will be able to do in the good market. In addition to that the similar product we have the cold rolled sheets also and in the area of seamless size of the tube making when we have installed our new facility commission that also I am seeing that opportunity is there for us during the new segment. In addition to that whatever we have installed the new vacuum induction melting of 8 -ton capacity is going to enhance our production capability for nickel based alloys and that facility also is so well means equipment is there that we can recycle the scrap, it can melt the 100% scrap in that. So, we will get the cost advantage also because of that. So, this is one area also we have in fact the certification we have achieved for making the plates for oxygen plant for a very reputed company this is the wider plate 2 meters. So, this we have made for making the oxygen plant

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making facility. So, today in the country for making the 3 -meter width stainless plates no facility is existing and India what we have assessed the market is there for almost around 2,000 crores. So, if you are able to pick up part of that also in the coming years it will be a good value proposition for us. So, in nutshell I can say that for our wide plate mill we have the technological advancement what our people have done, there is lot of potential, also we have produced the armor steel like it is being imported in the country for many different applications. So, we have one advantage that we can make a very low thickness also armor plate in our facility and we can meet the requirements of armor steel consumption in the country it is coming in the big way and armor also there, vehicle armor facility is also there then many of the alloys Indianization program is there in the country. You must have heard about that India is trying to do that how to indigenize the alloys used in some of our very important fleets of aircraft supplied by the OEMs either from the Russian origin or from the other western origin. So, there also many alloys we have developed and I am hopeful that business is already coming up, it will be growing in the future. I cannot tell you the value for that, but it is going to be if those things are into the coming in the form of the business there will be a big opportunity for us into that business. So, this is our nutshell, but we are also now installing our 10 ton VAR we are going to commission. So, titanium capability also will be enhancing almost it is going to more than 2 times whatever we are manufacturing today. So, like that many more things are there you will be getting that information as and when we start getting the product utilization.

Abdul : What kind of exports are we looking for next two to three years?

Sanjay Kumar Jha: My export I will say mainly if we see last couple of years our main idea that how can MIDHANI as a brand in the international market. So, you know, that initial the brand making requires lot of credibility or quality should be good, your price should be very competitive, delivery also should be on time. So, there are many factors. So, we have worked hard and our team is still working and those things are getting established. So, I am hopeful that there the target which we have decided to reach over 250 crores in another two years. I think it is not impossible to achieve that.

Moderator : Thank you very much. Our next question is from the line of Anik Mitra from Finarthaa Research . Please go ahead.

Anik Mitra : Sir your order book position look bit tangent for some time so sir can you throw some light like what is the contribution of various segments in the order book,

what is the execution time of

those orders and what is your take going ahead this is my first question?

Sanjay Kumar Jha: Order book whatever we started in the first March to today it is almost at the similar level. So, it is like that whatever we have produced that much only order we have booked, but there are

some indications where we are waiting for certain orders to come so it is going to flow slowly, but as I have told that we are not only this is coming from that sector in fact many of the things

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we are depending on that how quickly you can execute the one order so that second will come. So, many orders are like that today and there as you said, the time required for conversion given is very less especially in area of export. So, with the additions of new facility now we are hopeful that those things also is going to address. So, that will see the good inflow of the orders because without orders how you can claim that I will be improving my business. So, there are some potentials there which I cannot tell you at this moment, but many things we are working and we are trying to interact with that customer and as and when we get this type of opportunity to interact we will inform, but things are there in different directions are there. We will see that this can be done and today we have the visibility of another 600 crores of order, visibility is there, but it will be coming at the different level of time.

Anik Mitra : My next question is regarding the import of certain acquisitions like are you facing any trouble due to Russia -Ukraine war till date?

Sanjay Kumar Jha: Yes Russian -Ukraine conflict has put lot of pressure on the supply of raw material for all countries so that for India also, but we are affected for mainly one and two raw materials because of that so that we are trying to resolve it, but it has really affected some of our areas like titanium is a one sponge which is coming from the outside. So, that has got affected because of this conflict because Russia those countries are having one of the biggest production capacity and raw material resources also. It has really affected our production on the titanium front, but we are trying to address those issues with proper agreement or proper procurement system, but yes there is some effect is there on that.

Moderator : Thank you very much. We have a question from the line of Rohit Ohri from Progressive Shares. Please go ahead.

Rohit Ohri : Few questions the first one is related to the strategic and technical tie ups that we have and in terms of the MoU with Boeing India where we were supposed to supply some raw materials for aerospace and some more tie ups which were there with Lockheed Martin, if you can take us through the developments in that and if at all there are some orders that are flowing from that?

Sanjay Kumar Jha: From Boeing whatever Boeing directly, they are not buying the raw material. Boeing philosophy is that home server is working with them for supplying certain components, certain thing so they are all connected within their supply chain. So, they buy the material, but Boeing will certify the company from where they should buy. So, we have entered in that first stage where Boeing has assessed our capability and they have also told all their MSME and industrial partners that you can buy raw material from MIDHANI. Now we are there looking for when they need the material then they will come to us for getting the raw material for their component production. So, in that connection we have move forward and we are hopeful that some of the people who have interacted with us recently can come forward and take the material from us and supply the material for the Boeing supply chain system.

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Rohit Ohri : And for Lockheed Martin if any developments over there?

Sanjay Kumar Jha: Loc

keed Martin is also on the similar lines, they are also not buying directly, but their our main idea with Lockheed Martin was to have some of the investment type of proposal, strategic type of alliance. So, which at this juncture they have shown that they are not in a position to invest in different areas, technological area where we wanted to work with, but we are in touch with them regulatory, but let us see when we can convert something to the business, but today we are only in the area in discussion mode, no indications of any orders or any raw material buying from us rather we have some indications from we have something from Rolls Royce, Pratt & Whitney. So, these are some of the discussions going on, orders also is expected may not be in the large volume, but with the small beginning, small orders we are going to start.

Rohit Ohri : So, last time when we spoke about JV with Nalco and we were speaking of appointing some consultants and there were some requirement that time which were floated so any developments have happened over there or by when do you think that things will fall in line for the JV?

Sanjay Kumar Jha: Since that project which we are planned initially to make 60,000 tons of flat products and investment also was quite big. So, we wanted to reassess again whether the market potential is there for setting up a facility. So, we went for exercise by appointing a reputable consultant who have this the capability to work in this sector. So, they have done a good job and initially they have submitted a brief report they have submitted and based on that report we have allotted some more studies. So, they are still connecting the studies by interacting with the various

stakeholders, customers and producing agency and it will be after that the entire scenario will be renewed at the highest level in our ministry and once that is given clear then we can decide what is the direction of our joint venture.

Rohit Ohri : So, in terms of the axles and wheels which is a requirement for the Indian railways and even if you check with CONCOR they also mentioned the same that axle and wheels is something that the requirement of the government. So, is it that MIDHANI can play a role and do we have some orders for axle and wheels for Indian railways?

Sanjay Kumar Jha: Yes we have axle already we have supplied 500 number axle already we have supplied and another 1,000 numbers already we are executing now and as you said about the CONCOR also we are participating on one of the tenders. So, on the axle side we are moving well, our technology and production facility has been certified and the product also has gone into their system. Wheel of course we are not making the wheels this is not our product and not the facility, but axle yes we have entered.

Rohit Ohri : But what approximately what sort of numbers in terms of revenue can this fetch for us in the axle business?

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Sanjay Kumar Jha: It depends on the requirements how much they consume. At this juncture in fact, we have recently established only and whatever I indicated that another 1,000 we are working and another some 18,000 number are there. These are all numbers are floating as and when we receive the order we will communicate to you and that area is established manufacturing facility is there.

We have to only map up some resources like our downstream facility where I can do finishing operations quickly those things we are handling up.

Rohit Ohri : Vande Bharat trains as well as Vande Metro trains they can be good opportunity when they click well for us, so my next question is when we say that we are into recycle some of the scrap that we have is the quality of the output is it good or does it match the requirements of the customer as well, is there any issue related to the recycling of scrap and using the material again because of course the efficiency re

duces, the purity of the metal also reduces, so are they okay with these kind of initiatives from our end?

Sanjay Kumar Jha: I will tell you we are in the business of high-end applications like aerospace, missile space where the people are looking for consistency in the product quality. So, any deviation in the product process has to be go for a number of trials and runs and you know that you cannot risk a satellite with just small saving because of raw material, you cannot take the risk on the missile by saving the small cost in the raw materials and same is the case for the aerospace also any aircraft. So, people are very careful in deciding the process. So, any customer who is coming towards some this sector they specify that what will be the content of the raw material, what will be the quality of raw material from that stage they take care. So, that is why many times you cannot play with that type of scrap which is already with you. So, it requires lot of evaluations then only we can go that is what I said from client to the earlier some of the participants we are trying to do that and see that those things can be proven once proven and then they will also give the approval to go ahead, scraps are not bad, we recycle the scrap very carefully we process it, we certify that, we test the scrap composition everything is taken care we have in house all the quantity then only we process.

Rohit Ohri : Last question is related to the breakup of the order book if you can break into space defense, energies and exports?

Sanjay Kumar Jha: We will give you no problem, but around 50% is from space and it will be around 30%, 35% will be the defense and the balance will be from that energy and exports so that will be the proposition.

Moderator : Thank you. Our next question is from the line of Mohit from ICICI Securities. Please go ahead.

Mohit : So, I have two three broad questions number one is what kind of supply chain disruption we have talked about earlier and whether this will have any bearing on our business?

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Sanjay Kumar Jha: Yes supply chain disruptions are there because I will say titanium sponge. So, it has not affected us adversely as yet, but with our lot of persuasion and taking the initiative at the right moment we are able to fill the gap with certain other resources. So, now I am hopeful that those things will be also addressed and we are getting good response from our OEM, the supplier from the overseas for this material.

Mohit : Also, sir revenue guidance for Quarter 4 and next year and also on the EBITDA margin front?

Sanjay Kumar Jha : The figures are very difficult to predict at this moment, but as and when the results are there it will be communicated to you, but we are trying to do our level best so that we can improve from

the previous year performance.

Mohit : Sir whether there will be any completion of EBITDA margin or whether we will see any pressure on the EBITDA margin or it will largely be maintained like we have done in the 9 months?

Sanjay Kumar Jha: Very difficult to predict at this stage, but our target is to maintain for the same level, but let us see how the things are holding. As on date I am not seeing any uncertainties, things are well in control not only for MIDHANI for the entire country. So, if that way if you move we will be in a better situation only.

Moderator : Thank you. Mr. Dixit would you like to add a few more questions.

Amit Dixit : So, I had couple of more questions actually the first one is continuing the question of Mohit and the previous participant on the order book side, sir what kind of order inflow can we expect in next year FY24 if you can let us know broadly the segments wherein these orders will come particularly products so that will help us to crack them also the quantum would be very helpful?

Sanjay Kumar Jha: Broadly the sectors where the order is expected

in the next year mainly from the energy than

also we expect from defense, we also expect that something will come from the aerospace. So, those are the things and then in addition to that something from railway also will be there, armor

then we also expect that some of the things on the commercial domain also, some of the product

which we have qualified for 3-meter-wide plate for stainless steel. So, from that with the

application is basically in the area of oil and gas so those things also is expected. So, based out

of various now our domain is we are widening our product base so definitely I see the customer

also is going to be widened because of that. So, dependency on the one or two segment is not going to give you good

business in the future. So, concerning that only whatever steps your

company has taken in the last couple of years. So, now you are confident that we are able to enter in the new areas with our unique quality of the product.

Amit Dixit : Sir is it possible to quantify it in different buckets that you mention, for instance, defense, aerospace in terms of growth how much do you expect the order inflow?

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Sanjay Kumar Jha: I have not worked out yet after sitting here, but we will tell you because many areas where I see some place there may be very large volume also, low also and we are just hopeful of giving the better one. We will communicate to you as and when we start getting the things and holding in our favor.

Amit Dixit : In last concall you indicated that the revenue from wide plate mill and armor plant on a steady state basis could be to the tune of 500 crores per annum each, so what kind of revenue from these two facilities specifically we can expect in FY24?

Sanjay Kumar Jha: Yes FY24 only we expect that something is better. So, whatever the figure we have told we are trying to target those figures, but let us see that how we can realize, but potential is there in that

sector and as our economy also is in the good health I am sure that market base also is good. So, there are certain areas where we are working still like getting the supply of input material because

we are not making the input material of large quantity within our premises. So, these are the challenges which we are facing that how to get the input material on time and that also with the proper less cost so that we can maintain our margin and sell the products. So, these are the

challenges we are facing, but we are trying to resolve it from there.

Amit Dixit : Sir in the last concall you also indicated that there is this for vehicle armory out of 100 odd vehicles 15 have already been done, so till now what is the progress on that front, how many more vehicles can we do in this quarter?

Sanjay Kumar Jha: See we have the order of almost more than 100 vehicles are there with us. So, we are executing also, but this quarter we are trying to touch around 60, 65.

Amit Dixit : That is by Q4 end?

Sanjay Kumar Jha: Yes correct. New orders are there in the market now that also our team has participated and it is a very huge quantities. So, there also we have put our participation is there. So, let us see if those things are there it will also add to our business.

Moderator : Thank you very much. Ladies and gentlemen that was the last question. I now hand the conference over to the management for closing comments.

Sanjay Kumar Jha: Before closing comments we have my both directors are available so I will ask them to give some their remark and then we will conclude. So, first I will ask Director Finance to tell something here.

Gowri Sankara Rao: Good evening all the investors. This is Gowri Sankara Rao – Director (Finance). As you have seen for the last three quarter performance it is more or less equivalent to the last year despite lot of disturbance in the Russia-Ukraine war and material supplies and all, still we have achieved

the same performance and you have seen for the last so many years for MIDHANI fourth quarter

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is the best quarter in same way this fourth quarter also we are expecting to achieve more business as we have come up with some more facilities like WPM we made 8 tons with these facilities and Rohtak also which are all additional facilities compared to last year which we hope with these facilities we can do more business and we hope that we will achieve better than last year. Thank you.

Moderator : Now I will give it to Director Production and Marketing Mr. T. Muthukumar .

T. Muthukumar : Good evening. This is Muthukumar – Director of Production and Marketing. As it has been indicated though there is a sharp increase in the raw material price as well as the power and fuel we could able to maintain our last year performance to this year also and now since we have established the wide plate mill there is a much hope on the performance of the MIDHANI with respect to some special ways which developed one grade called Super Alloy 276 which is used in the energy sector and this sector about 400 crores of the material it is being imported by BEHL . So, this will be a direct replacement to buy MIDHANI in this sector. So, this is a lot of hope on MIDHANI so that we can improve our performance. In addition to that MIDHANI has got the advantage of producing plates which is 2 meter and above which is not there in the country and worldwide also there are only four or five people only. So, now we are using this wider plate mill with respect to gas walls, our oxygen plant. So, now we have to depend on MIDHANI and we already established the process, we are contacting the parties to whom we can supply. So, with that coming years there is a good prospect for MIDHANI so we can improve our sales over this products and definitely our performance should be better.

Sanjay Kumar Jha: So, at the end I will thanks all the participants and also the stakeholders first of all putting faith on us and supporting us and I hope that our relationship will continue like this and from the MIDHANI management I assure you the type of the committed people and committed team we are having and type of the technological knowledge this company is having our next financial year or this year we will be giving good results to the investors and as our country also is in very good position as on today across the globe. So, definitely I see as a good opportunity also for MIDHANI also to contribute in the nation building and we are doing and as and when we will be doing certain things, new things will be there, we will be communicating to you with the different social media platform and also communication through the proper statutory systems. Thank you.

Moderator : Thank you very much members of the management team. Ladies and gentlemen on behalf of ICICI Securities that concludes this conference call. Thank you for joining us you may now disconnect your lines.

Call: Jun 2023

MDN/CS/COMPLIANCE/2023-24

To,

The Manager,

Compliance Department,

BSE Limited, P.J. Towers, 10th Floor,

Dalal Street,

Mumbai- 400001

Scrip Code: 541195 The Manager,

Compliance Department, June 02, 2023

National Stock Exchange of India Limited,

Exchange Plaza, 5th Floor; Plot No. CII, G Block,

Bandra Kurla Complex, Bandra (East),

Mumbai -400051

Trading Symbol: MIDHANI

Sub: Transcript of the Analysts and Investors Meet/Conference Call held on May 30, 2023

Dear Sir/Madam,

1. Further to our letter dated May 29, 2023, intimating you about the audio recording of Analysts and Investors Meet/ Conference Call on Q4 -FY23 Results, held on May 30, 2023, please find below the transcript of the aforesaid Conference Call.

2. The transcript of the call is also made available on the Company's website.

This is for your information and record.

Thanking you,

Encl: As above Yours faithfully,

For Limited -
Secretary

Company Secretary

Company Secretary: WV compliance officer

company.secretary@midhani-india.in

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Mishra Dhatu Nigam Limited (MIDHANI)

Q4 FY23 Earnings Conference Call"

May 30, 2023

MANAGEMENT : DR. SANJAY KUMAR JHA – CHAIRMAN & MANAGING DIRECTOR

MR. N. GOWRI SANKARA RAO – DIRECTOR (FINANCE)

MR. T. MUTHUKUMAR – DIRECTOR (PRODUCTION & MARKETING)

M

MODERATOR : MR. AMIT DIXIT – ICICI SECURITIES LIMITED

MIDHANI

May 30, 2023

Moderator: Ladies and gentlemen, good day and welcome to the Q4 FY23 Results Conference Call of MIDHANI hosted by ICICI Securities. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation

concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Amit Dixit from ICI CI Securities Limited. Thank you and over to you sir.

Amit Dixit: Good afternoon, everyone, and thanks for joining the call today. At the outset, I would like to thank the management for giving us an opportunity to host this call.

From the management, we have Dr. Sanjay Kumar Jha -- CMD; Mr. N. Gowri Sankara Rao -- Director (Finance); and Mr. T Muthukumar, Director (Production & Marketing).

Without much ado, I would invite Dr. Jha for opening remarks, post which we will open the floor for an interactive Q&A session. Over to you, sir.

Dr. S.K. Jha: Thank you and I extend a hearty welcome to all the stakeholders. Stakeholders for this important Conference Call after our Annual Results.

Dear all, in fact, this year has been a unique year for MIDHANI. Unique in the sense that even though we have got the sales of Rs.871 crores, but we had some idea that PAT has come slightly lower compared to the previous year. I will come to that in our discussion afterwards.

There are a lot of challenges we have faced this year that cost of power has gone up extensively, cost of our fuel also has gone up extensively, almost 1.5 times compared to previous year, at the same time, the raw material cost also has seen a quite big surge in the raw material.

To consider all three adversities also, if you see our EBITDA is almost maintained to that similar level as we have got from the previous year. The reason behind that is if you see our power consumption has come down and our fuel consumption also has come down. So it has compensated our cost because of this, but in addition to that, the raw material cost has also given a lot of impact. And in that our outsourcing that whatever we do outsourcing has come down.

The two major developments in this year that our Rohtak facility, which already I was interacting with you earlier started working and we have got in fact it has worked in the last quarter only. In the last Q4, we have got the sales of Rs.32 crores from Rohtak. And our white plate mill, the project which was commissioned almost in a couple of months back there also it has stabilized now in this year and we could able to get almost sales of around Rs.219 crores from that white plate mill. In addition to that, the saving which I'm talking today on the outsourcing has come because of the operation of our wide plate mill.

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During this period, a lot of other facilities like 8 tonne vacuum induction melting also got commissioned. Just now, we have crossed 100 heats also from that equipment. And this equipment has given the initial month itself we have got output of alloy called C-276. That business we could capture only because of that (VIM), the vacuum induction melting 8 tonne. And using our white plate mill, we have done a very good substitution of the import. And that is of the C-276 plates and sheets. And those achievements are very good foundation for the company. And we are expecting now with this business is going to grow further in a big way because as of now the entire quantity in the value of around 250 to 300 crores requirement is getting imported in the country. So our idea is that to capture that market as much as possible in the coming period because of that mill.

In addition to that, this mill also has a lot of new developments, we are able to

develop the

armor steel which we used to get from the outside earlier. Armor steel plates we are making ourselves and we are doing normally of our vehicles, which has been done in our Rohtak facility. In export area, there's a tremendous progress, in the sense that many new alloys we have developed and we have supplied to the overseas customers. And there is a good indication for this year based on that we are expected to get a good amount of orders coming from export market also.

In addition to that, this year has seen a highest ever order booking from the aerospace. We have got Rs.130 crores aerospace order, the highest in the history of MIDHANI. At the same time, super alloys category, we have booked almost Rs.138 crores order also. Titanium, of course, we are doing earlier also, but this year also titanium has done a good order booking.

And direct export which earlier used to take the deemed export also into our account, so this year we have focused on the direct export which we have got almost an order booking of Rs. 35 crores in the last year from that side and good indications are there.

Some of the highlights on the export I would like to mention to the investors. We have supplied Alloy called Alloy 108 rings to the USA and that firm is supplying to the SpaceX for their launch vehicle. So this was a very small amount of order, but it has gone for the evaluation. Once it is successfully evaluated they are going to place the order for these rings from our company.

We have also received the three different orders coming from Pratt & Whitney, which is from Poland of their brands, already we have got the order and we are expecting the other places also going to place the order from Canada requirements, for other countries requirements also. And we are expecting that MIDHANI will be approved as a supplier for Pratt and Whitney in the

future and the audit is expected in next month.

I'm also happy to inform you that we have also got the order from the Israel Rafael from Israel . And there we are already supplying managing steel for their application . And subsequently the MIDHANI
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GE Healthcare also has approved us for a special alloy which is being used in healthcare system , that is 909 and MIDHANI is going to be one of their approved suppliers in the future and initial orders already we have received .

So like that in the oil and gas also , a very leading big company of the US, they have also come and they have given the trial order to us and I'm sure that once it is getting approved we will be regular supplier . Rolls Royce also has audited MIDHANI and also we are going to get the initial requirement from Rolls Royce we have received the order and we are going to execute for their requirements. So like this, our people are supplying to Sweden, Turkey and Germany for the different type of requirements.

So export is the one thing I will say this year '22-23 has been an excellent year for MIDHANI .

In improving the domain of the export area in a big way because there are the multiple many customers, and that also in the high -end customers basically coming from the aerospace and healthcare, those things are as high and premium markets we are trying to capture.

In addition to that, many other license program for our domestic projects also is going on which includes already we have executed further advanced multi -combat medium combat vehicles for our aircraft for our AMCA program. Also, MIDHANI is supplying materials for Kaveri dry engines which is making the unmanned air combat vehicles. And many other like of course LCA is already we are in touch with that . And now currently we are trying to see that how we can analyze the materials we're using for our Sukhoi aircraft engine. And Adour already we have done earlier as I earlier also said about titanium alloys. Now super alloys also we have made the turbine blades

for using the power engine.

And this year, our skull melting furnace also is almost commissioned and now we are making a special alloy used for that in the biomedical application. So it is under trial now. Once that material is approved, that will be another very good opportunity for us to enter in the new horizon of the business.

And my new project 10 -tonne Vacuum Arc Remelting (VAR) , at our new plant of titanium is coming up and we are almost going to commission very shortly that plant also. So the project is also getting the getting completed. In this , full of activities for us. And we are eagerly that how we can get certain other requirements.

One of the major products in the bulletproof jacket, this is the new development which I think the investors should also see that we have made a Bullet Proof jacket for Air Force , it's called Garuda. And that is the first time developed in the country having very unique features , production level of BIS level 6 , NIJ-4. And also we have made our product acceptable to airports and we are going to supply shortly in next month to complete the order . So this will be one of our unique developments by your company , and that is I think the first time in the country . We will be trying to see that how it can be used for other armed forces also.

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And there are many other developments which I would like to answer as we go for the questions and all. So , I will try to close here. If you have questions on financial, I have director, finance with me to answer those . On operational efficiency , we have director , production & marketing here. So we will try to answer all those.

Moderator: We will now begin the question -and-answer session. Our first question is from the line of Manan Poladia from MK P Securities. Please go ahead.

Manan Poladia : Sir my question is basically from what I've seen your gross block till about approximately two years ago was about 400 or 430- odd crores and you've been doing a revenue points for the last three years of 800 something. So that is in fact of maybe 2x. Now what I want to understand is that you put in about 600 crores of CAPEX in the last two years, right , in the two new factories that you put up. What I wanted to understand is what is the potential impact from these two factories?

Dr. S.K. Jha: In fact, you have put very right question that , why our production is not increasing that is I think your question. In fact, earlier also , I have told this, project whatever we have commissioned and a lot of technological challenges we have to resolve. I'll talk about one of our major investments that is around 500 crores plus of wide plate mill. It was made to design earlier to use only specific product, so their turnover was expected was very less. But we have to modify the equipment for the commercial application and those things require some time. So I think this year I will say is for development of products using this facility . You will see the impact output of that in the coming years.

Manan Poladia: But sir, my question also was that what is the expected impact basically like are you expecting 2x sort of number or 1x, 1.5x if you can quantify?

Dr. S.K. Jha: I cannot tell you at this stage, but market potential is very good and many of our products we have given for qualification. We are correcting the result. If the results are coming all right, definitely it is going to increase as you said 1.5x or can go for 2.2x also.

Manan Poladia: Is there anything that you are guiding on a consol basis for the company in terms of the next two to three years like in terms of sales or PAT growth?

Dr. S.K. Jha: See at this stage that value figures and all. I cannot give. But definitely, our target is in line with the requirement that the restricted line of the ministry where you might have seen the Ministry of Defence also is going to increase

ease the production almost 1.5 times in the next two to three years.

So MIDHANI is also in line with that.

Manan Poladia: On the operating profit margin basis, you would say 30% is a good number to go with?

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Dr. S.K. Jha: Operating profit margin, I don't think it will be maintained at that level because once you are going in the products which are highly competitive in nature in the market, that much margin may not be there, but we will try to see that how we can improve. As I have told in the beginning only the fluctuation in the raw material cost is a big issue today. I think that figure is very important. Geopolitical situations are not very favorable.

Manan Poladia: I completely understand sir, with the Russia-Ukraine war as well. Would you guide for 500 bps or what range would you guide if a 5% range of errors?

Dr. S.K. Jha: 25% to 30%.

Moderator: Our next question is from the line of Nikunj Mehta from Wealth Guardian. Please go ahead.

Nikunj Mehta: I am looking at the numbers for the last five years and we've put in a lot of capital, top line been flat, profit has gone from 180 to about 217. But at the same time, our inventory has gone up from 500 to 1,225 crores. That has kind of resulted in us being 100 crores odd, 90 odd crores of cash when we had in 2019, today we have about very close to about 500 crores of debt and capital employed has expanded, but top line is still not crossing about 900 also it used to be about 700 then. So on the P&L side, whatever developments that you spoke about in your opening remarks, that is encouraging. But this inventory, do you consider this as an issue and what are you planning to do as a team to correct this issue and year or two down the line where do you see this balance sheet skewed up towards the working capital intensity, how do you plan to solve this working capital issues?

Dr. S.K. Jha: In fact, you have rightly mentioned about that inventory issue. We are also very serious in that and you might have seen that this year in spite of raw material costs going up, then also we have maintained the inventory, very less increase compared to the previous year or earlier was increasing at the very high rate, this year we have controlled. I will ask director, finance to add further on this issue.

Mr. N. Gowri Sankara Rao: Yes, Mr. Mehta, as you rightly said that inventory has gone up, but mainly two reasons are there. One, we are establishing new facility like WPM has started, Rohtak facility has come, and we have remade them. Because of new facilities and our production of items is going up. Compared to Q3, Q2, now the inventory is coming down, which we are planning this year it will come down further. As new facilities come because of our production timelines some quantities are there which we are going to reduce in this current year '23-24. And as far as the raw material inventory is concerned, it has come down for WIP because in the production process, this inventory has gone up. But compared to Q3, Q4, it has come down. Our aim is to reduce further and make the end product expansion goes and dispatch to the customers that we are planning in '23-24. In '23-24, our target is to reduce the inventory.

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Nikunj Mehta: Any quantification if you can give how much the reduction could be in number of days or in absolute rupees crores.

Mr. N. Gowri Sankara Rao: The absolute number of days means it depends on our range of production. If we produce more value items, inventory value increase. See, MIDHANI will produce low alloy steel to very high alloy, that means high end steel also is there, and we produce more high-end steel to our requirement of our customer, the inventory value will be more. When we supply to the commercial grade from low alloy steel it will be less like when we supply to the railways and all. Now, pre

sent condition is we are completing the supply pending with ISRO, VSSC and Mission Shakti some supplies are there for which orders were received in 2019. If that orders we are closing this year, definitely this inventory slowly maybe by 100, 120 crores like that it will come down this year.

Nikunj Mehta: The second question is, sir, that within the inventory we had this number of scrap that was building up. If you could guide on that also what steps are we taking to reduce that, sir?

Mr. N. Gowri Sankara Rao : See, as I told you that when we are producing for VSSC, Mission Shakti products where we have high margins, normally rejections also will be there. So definitely scrap inventory also will go up. Now VSSC has given a dispensation to MIDHANI with 80% of the scrap also I can use in their product.

Dr. S.K. Jha: Once we use, definitely scrap quantity also will come down.

Mr. N. Gowri Sankara Rao : If you see this scrap value also has gone up because recent days all raw material prices have gone

up. Normally, we value scrap only to the extent whatever is the material content is there, like molybdenum, nickel or other products whatever is there, to the extent only we will take with 90% recovery rate. But the prices have gone up in last year '22-23, that's why the scrap value also appearing more but we see here we are going to use the scrap so it will come down.

Moderator: Next question is from the line of Anuj Kapil from Taurus Mutual Fund. Please go ahead.

Anuj Kapil : I just wanted to know that how much amount we are expecting from government spending on indigenous defense orders over the period of like say next three to four years?

Dr. S.K. Jha: Government spending today last year, if you see almost around 1 lakh crore have given to the CAPEX for indigenous industry, and this year also you can say that growth will be not less than 10% to 20% easily. I see that the requirement of the materials or the equipment's are going to increase in the future more and more. And not only MIDHANI, but many other industries will also get benefited because of this.

Anuj Kapil: You are focusing on the export as well. So how much percentage you are seeking like it will be increased by end of FY24?

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Dr. S.K. Jha: We are targeting 10% of our sales on the export.

Anuj Kapil: There will be incremental increase by 10% sales?

Dr. S.K. Jha: Sales, whatever we do, on that 10%, so last year our export was not so high, it was low only, it is almost around 35 crores, but '21-22 it was almost 10%. So this year also we are targeting that we should go to the level of 10%. So it will be around Rs. 100 crores.

Moderator: Next question is from the line of Viraj Mithani from Jupiter Financial. Please go ahead.

Viraj Mithani : Sir, I would like to understand with all this new initiative coming on stream, what would be our like top line growth and the bottom-line growth would be, any ballpark figure or some guidance on that?

Dr. S.K. Jha: Top line almost for coming year will be around 20% growth is expected.

Viraj Mithani: And the margins would be the same level or would be lesser than the last year level?

Dr. S.K. Jha: This market is very dynamic today. Our major input cost is coming from the raw material, then the fuel and the power. These three contents if the prices are stable, then we have no issues. But what happens that initially if you take order when the prices are low and in between prices goes up, we have no scope of getting that compensation from the customer. So it may create some problem in the future. As I said in the opening remarks itself, we try to offset this increase by doing certain operational efficiency, but there also you have certain limitations. So we could manage this year to make our EBITDA level same, but then it has to be seen in the future how to do. And then the finance cost also has gone up because of inter

est lending rate is very high. So

those things are definitely a pressure is there on the profitability. Otherwise, we are definitely going to improve.

Viraj Mithani: And sir my second question is like, I have been following this company since 2019. I fail to understand being such a unique company, we are not able to grow compared to our peers. Like probably we should be the best growing company. Is it the business model, lack of initiative by the management, what is it that is hindering the growth if you can throw some light on that?

Dr. S.K. Jha: See, we have a certain level of limitations based on our capacity. So now only this as I told in the opening remarks due to this capacity whatever we have invested the money it has come to the operation now. So you will certainly see the impact of those things in the coming years. So definitely when a company is investing some CAPEX, you will find that investment is there, but the output is not there. It will take time because the defence items whatever we produce it takes time to get qualified, a lot of analysis, verification, and as I said in the export market also when I'm sending a product to them, they will check for it to their application then they see that how it is performing, then only they will approve you so that further business can be seen afterwards.

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So I expect that now as these things are going we have resolved many things, it is going to give the output in the coming years.

Moderator: Next question is from the line of Shri Ram Kapoor from Prabhudas Lilladher. Please go ahead.

Shirom Kapoor: Could you give us the segmental split of revenue between your segments of defense , space, energy and the rest? And similarly, could you also give the order inflow for FY23?

Dr. S.K. Jha: In fact, for space, we have given almost 40% , then followed by defense has gone to 24% , and PSU includes also mainly in defense only , we have around 21% , and the 6% balance goes for the energy , other s and export is 5% . We have put in the railways , is very bigger, maybe coming to hardly one this time this year also we have started supplying 400 axles to railway s, new coaches are coming up, for ICF we have supplies. This segment is also going to pick up in the future . Shirom Kapoor: And would you be able to give the same mix of order inflows as you usually do in your annual report ?

Dr. S.K.Jha: Order booking for last year was 900 plus.

Shirom Kapoor: No, I meant the order inflow by segment , defense, space, energy if you could give that split ?

Dr. S.K. Jha: Defense has gone up; we have 40% coming from the defense now , order position . Space is coming down ; become almost around 30% , and aero we are talking around also is there 10%, but the aero is almost you can same as the defense only. So like that we have the energy , armor. If I combine armor , navy, defense, almost I can say 60 % , 70% we have . Around 10% to 12% we have the space export also booking is there. Railway s also we have the booking of around 2 % to 3%. So like that the order position is there . Now that total position is not changing now. And you see this change also coming in the defense in the future also. Defense also has a good visibility and you must have seen today also they have given more successful launch. So, the space is also going to pick up again because their launches are picking up now.

Shirom Kapoor: In defense and space you see which are your two dominant segments . In defense and space there's a good outlook in both right and not that maybe only defense will be the driving factor going forward ?

Dr. S.K.Jha: We have a good diversification now , railway s also we are trying to capture as much as possible whatever we can do as per our capacity. Possibly , energy sector also is a good possibility now because as I said, almost Rs. 125 crores order booking we are having for t

he energy out of 1, 350

crores, and as it includes our special grades, which I have told about C -276.

Moderator: The next question is from the line of Namrata, individual investor. Please go ahead.

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Namrata : My first question is what is the peak sales that we can achieve on our current asset base?

Dr. S.K. Jha: Maximum sales there is no limit , I will not say the limit as some investors rightly told that the way it was supposed to grow, you are not growing, so the maximum limitations are there , certain deficiency in our working infrastructure , already those things we have filled the gap now. So I'm sure that those things will increase and as I told earlier also we are expecting the growth of not less than 20% in the future . But as you have told that number figures, let's see , we'll be reporting as and when the figures are coming improving.

Namrata: My second question was are we looking at any other new products going forward?

Dr. S.K. Jha: Yes, this year I have told we have made plates, sheets at wide plate mill . We have done the pipe extrusion which was not there in the MIDHANI earlier, so this also we have installed one equipment , for that equipment technology has been established now. So already 5 crores business we have done last year from there and we have good amount of orders coming from there also on that facility. So you will see that those things will be picking up in that product . And axles we have made for the railways , last year it was only 400, 1,500 orders already we have been in our hand now for axles. So Container Corporation of India has given this thing. I'll ask my director, production and marketing to apprise you on this.

Mr. T. Muthukumar : There would be an increase in the requirement of the axles. Container Corporation of India has given a trial order of 540 numbers , and on successful completion within two months there are going to be tender for another 20,000 numbers . And railways also , now we are having about 1,000 numbers for executing, and on completion of that, there is going to be a tender for another 20,000 number also , that also we are upgrading our equipment and we have put our CNC two machines we have brought which is one thing about 10 crores and we installed it and this will enhance our productivity so that we can supply in short span of time. Apart from that, other equipment's already , as CMD has briefed , which we had installed. That is going to help in long way to give this grade 276 which is being imported to the tune of about the 350 to 400 crores. So that will become 100% indigenized and we will be the only party to be able to supply mainly for the energy sector . So order wise there is going to be a good future. So only we have to augment our supporting equipment and supply the material.

Moderator: Next question is from the line of Viraj Mithani from Jupiter Financial. Please go ahead.

Viraj Mithani : Sir, any update on the Nalco JV which you're planning ?

Dr. S.K. Jha: Yes, one update on JV with NALCO, that recently we have appointed a consultant since we wanted to finance that project. So for that we wanted to make bank account reports using that one of the consultants. But to our surprise, the consultant has given that requirement of product which you wanted to plan in that facility is very less in the country. So earlier report projections were very high that projections

a re not reaching even to the 10% also of that whatever we wanted
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to make there. So considering that we are rethinking that, whether we should go to that scale or that project or not? So we are still under the analysis only. But meanwhile, your company is having lot of other opportunities where I invest my money I can get the output and market is available, as I told the export market today is very much, in fact, many export orders we are not booking to

day because their delivery time is very less and they want the product of the different type where we need the additional facility we have to put in our plant. So we want to improve our infrastructure to meet those requirements. So there only our focus is there, how we can quickly make our products in large volume to meet the requirement of overseas customers, which includes in the area of aerospace, oil and gas and other commercial applications.

Viraj Mithani: What will be the CAPEX figures for the years to come like two or three years, will it be any significant CAPEX or would be just an OPEX?

Dr. S.K. Jha: No, whatever CAPEX we have invested, we want to take the output from there. But nevertheless, the CAPEX is not stopping here, in fact last year also we have almost spent around 70 crores already on CAPEX and this year also we are targeting at a similar level, so around 100 crores.

Mr. N. Gowri Sankara Rao: Instead of major CAPEX, whatever CAPEX we have invested so far for that any additional facilities is required, there we are concentrating.

Dr. S.K. Jha: We are augmenting our capacities, modernizing our areas where the equipment's are very old and see that we can meet the requirement of international customers and increase our volume.

Viraj Mithani: We have sufficient capacity for the new initiatives to take care of, is that right?

Dr. S.K. Jha: Yes.

Moderator: The next question is from the line of Rohit Ohri from Progressive Shares. Please go ahead.

Rohit Ohri: So my question is any more orders from metro related to the same or how is ISRO sourcing things ahead?

Dr. S.K. Jha: Yes, ISRO already, the five PSLV which they have outsourced given to the private firms, there already we are in the process and I am expecting that anytime this order will come. We are going to supply. Rs.100 crores order we are going to get from our L & T who is the supplier in. So it is not that ISRO only it is coming from now VSSC, now it has gone to the private firms also so.

With the success of the different launches by ISRO, I think this is going to pick up in a big way.

Rohit Ohri: So you did mention about a lloy and the opportunities with probably L & T and others. Sir, if you can put some number to that, that what sort of opportunity can we see from this initiative in the next two years or three years?

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Dr. S.K. Jha: Already, we have booked the order of around 200 tons. 100 crores already we are having. Another tender is coming now. I am expecting that this year it will be around 200 crore orders we will be booking.

Rohit Ohri: So sir, this 200 plus 100 is in addition to the already existing 300 crores that we had on -?

Dr. S.K. Jha: Yes, in fact, we have already price negotiated. Rs.550 crores I am expecting in this quarter only.

Rohit Ohri: This also includes the axles which might come from the requirement of the government and maybe for Vande Bharat?

Dr. S.K. Jha: Many things are from the government, from defense, from missile, a lot of strategic government sector, that is coming from Akanksha.

Rohit Ohri: So my last question is related to the land requirement and the request that we were putting in for Adibatla. Any improvement on that or any positivity shown by the government over there?

Dr. S.K. Jha: Adibatla, we have not requested for land because already we have our land in Hyderabad, Kanchan Bagh area and that land itself today is very, very costly, in fact much higher than whatever the Adibatla land. And we are also very close to aerospace. So why you should go and make a separate facility there.

Rohit Ohri: My thought process was that you wanted to come more closer to the aerospace via Adibatla, that's why I asked the question.

Dr. S.K. Jha: Already we are very close to aerospace. In fact, we are already trying to discuss from the Tata Boeing, how can we meet their requirements of certain miles and all. We are interested to

participate in that. We are also thinking that how we can enter in the supply chain of the Safran. So these are all in the line now we are trying to. Because if you enter in the supply chain, you have to first get it approved against the international supplier, raw material supply is only through the international source for them today. So anything we are going to have it is we have to compete with the international supplier and they will also qualify based on their performance. So we are already talking to them.

Rohit Ohri: So the 1, 300 crore order book if I was to break it in two parts, one is short cycle and one is long cycle, short been less than six months and long been less than a year, so what is the ratio in that

short cycle versus long cycle?

Dr. S.K. Jha: I think the majority 90% is short only now. Space also is a very long cycle. We have to complete. Already we have delayed, within one year we have to finish.

Moderator: The next question is from the line of Dhwanil from Hinglaj. Please go ahead.

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Dhwanil: Hi sir, where do you see the debt at the end of this year and when do you expect it to go to '19-20 numbers?

Dr. S.K. Jha: Your voice is very feeble. Can you just increase your voice and repeat the question please?

Dhwanil: Can you throw some light on where do you see the debt at the end of this year and when can we see some 100 levels?

Dr. S.K. Jha: Debt part is not very high. In fact, Rs. 100 crores we have taken for the capital requirements. Balance we have taken the money we have taken for the working capital. So that anyhow it will be there but it will be going up and down, but we are not getting any advance money there. So that normally if you see other defense companies you compare, they will get always surplus because they get the advance from the big-ticket projects, the projects will be there for five years but they will get the advance now itself, so that difference will be.

Mr. N. Gowri Sankara Rao: To your question, this Rs.300 crores working capital that is there, for the inventory and our receivable, once we get the orders, sir, the Rs. 300 crores, we will maintain after four months. But coming to Rs.100 crores long term debt this year, repayment starts every year, Rs.20 crores we will pay. So slowly that down the line this Rs.100 crores will be repaid and we are always planning to meet our CAPEX requirement, those things from internal generation only.

Moderator: The next question is from the line of Mr. Amit Dixit from ICICI Securities Limited. Please go ahead.

Amit Dixit: I have three or four questions. The first one is in this quarter we saw that raw material as a percentage of VOP shorter. Now, what are the key drivers for that, was it price and where do we expect it to settle at in this quarter because raw material prices seem to have stabilized at least as of now?

Dr. S.K. Jha: You have asked me that it was seen raw material price has been stabilized you tell.

Amit Dixit: So, what would be the sustainable raw material cost as a percentage of VOP, I mean, if there's a number or a range you can give us?

Dr. S.K. Jha: Raw material cost, we have total around 35.5% is the raw material cost VOP.

Mr. N. Gowri Sankara Rao: The quarter-to-quarter it will change. See, sometimes when we produce the material for our strategic customer, there, we use virgin metals more, then my raw material consumption will be more. When I use for other customers, then I will use more scrap, then my raw material consumption will be less. Like that it will change. More or less always it will be around 35%, sometimes it may go to 40% depending upon the product which I'm manufacturing. Coming to your next question, moly and other prices, see initially due to Russia-Ukraine war, the prices

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have go

ne up. Normally we buy for one year requirement seeing the price trend. Recently, moly prices have gone up. When it has gone up, we have taken a decision that we should not buy full requirement of the year. So, we have purchased only emergency basic requirement to not to stop the production. But subsequently, if you see recently the moly prices have come down, nearly 40%. So it has given an advantage by not booking the supplier order, I could save some 40% of cost. Now, when I place the new order, I will sell in the price per Kg; it was earlier 9,000, now it has come down to around 5,000 and odd, it saved me nearly Rs.4,000 per kg. In the same way, some other materials also the nickel, you know very well nickel has gone up to \$100 per Kg. Now earlier days it was only around 17 to 18, now, it is stabilizing at 22. That's why if you see my raw material inventory also last year I have an inventory which could have saved MIDHANI, even though pricing is there we didn't venture into the market, but now the price is stabilizing at \$22.00, now I am buying nickel for my requirement among the other materials also. Only issue now is titanium sponge, which we are also sourcing slowly. That's why if you see that my inventory is level fast, now it is in the range of Rs.100 crores. Hope I clarified you.

Amit Dixit: Second question is on the scrap usage in this particular quarter Q4.

Dr. S.K. Jha: Scrap have been very high, in fact, if you see in terms of tonnage it is almost a double from previous year and the saving is almost 60% scrap used in the Q4. If you compared the last year, it was 40%.

Mr. N. Gowri Sankara Rao: Beginning of the year, if you see our scrap was only 40%. Quarter wise it has gone slowly up, at the end of the fourth quarter, we have used this scrap for 60% remaining 40%. So we started using identifying usage of scrap and we started using more of scrap.

Dr. S.K. Jha: Scrap management team has done a very good job and this is a total achievement of our operational team, they have done very good job by optimizing this because purity of the material

is very important and we are not using only one grade, two grades, we are getting more than 100 grades. So managing the all grades scrap and then without mixing is a big challenge. So, that has been done by our team and that's why as we have told you our scrap consumption has gone up.

Amit Dixit: In your opening remarks you mentioned about some of the good opportunities at the Rohtak facility and white plate mill. We actually expected to obtain around Rs.500 crores of revenue in a steady state from both these facilities individually. Now, for FY24, how much revenue can we expect from both these facilities?

Dr. S.K.Jha: Yes, put together it may be similar to that.

Amit Dixit: So Rs.500 crores put together for Rohtak and wide plate mill?

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Dr. S.K. Jha: Because we have many things have to still get stabilized because one grade is there which is already we are done. But if you see that whatever we are doing, margin still will go up. So it will go near into that.

Amit Dixit: What is the order inflow we are looking in FY 24? From where we are looking from this particular order inflow?

Dr. S.K. Jha: There are many things under pipeline. One is that you must have seen now the missile also requirements have gone up. So I am expecting that we will get from the missile sector also, we are expecting as I said about the space also and defense also. In fact, this matter, as I told that first quarter itself I am saying we can book the order of around Rs.500 crores. So, we'll see as we progress in Q2, Q3, but all orders which is coming now we have to execute very fast. We are also seeing now the export enquiry of around Rs. 200 crores worth is there pending with us and we have to see that how quickly we can dispose that. So orders is not the issue. How

quickly you

can execute and give to the customer this is the challenge, because nowadays if you are going to the segment where it is not a long-term project, we have to supply the material in very short time.

People are not willing to block their money in the raw material. So turnaround time is very less.

We have improved many areas in that side also and there are certain examples where we have received the order then we have done the melting processing, in two three months also we have supplied. So those things are there. Let us see.

Moderator: Ladies and gentlemen, due to time constraint, this was the last question. I now hand the conference over to Mr. Amit Dixit for the closing comments.

Amit Dixit: Thanks everyone for attending this call and thanks, Dr. Jha for answering the questions very patiently. Sir, if there is any closing remarks that you would like to make before we close?

Dr. S.K. Jha: First of all, I am very much thankful to all the investors for their active participation and keeping very close watch in the performance of our company. Believe me, this type of involvement is also making us to drive and strive for the excellence. But as you know, defense, we have certain, we call one word patience. So you people are getting patience and definitely I can tell you on behalf of the management, we are not going to disappoint you. Many technological developments which we have done this year, I feel very proud of that, very difficult to mention at this juncture

or everything, but whatever we have mentioned so far is going to give a lot of I think advantage in the future as I talked about the development of alloys for the railways, development of the materials for energy sector, C-276, development of the alloys for export. So, there are many, many firsts are there in this year. So probably those things are definitely a strength for the company. And I'm sure that the current scenario in the world where the scarcity of the raw material because the many raw material suppliers were leading suppliers their capacities are not running at the full scale and that is where MIDHANI has a great potential. In fact, we have done a market survey in the different countries and we could find that many things where we can capture in the export area. So you will find that your company will be moving towards aerospace

MIDHANI

May 30, 2023

and export in a big way in the coming future. And many projects which is going to be announced or many things we cannot also tell in the open platform because our certain projects are very secret in nature. But we are very much in that and their development, their work also is increasing now. So you'll find that. I may not be able to give you what are the grades and all, but in terms of the volume it will go up. Our order book position and all. So once again, I thank you all and also my all both the directors who have participated with me and along with the company secretary for making this conference call possible today. Thank you.

Moderator: On behalf of ICICI Securities, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

MDN/CS/COMPLIANCE/2023-24

To,

The Manager,

Compliance Department,

BSE Limited, P.J. Towers, pt Floor,

Da la I Street,

Mumbai- 400001

Scrip Code: 541195 The Manager,

Compliance Department, August 28, 2023

National Stock Exchange of India Limited,

Exchange Plaza, 5th Floor; Plot No. CII, G Block,

Bandra Kurla Complex, Bandra (East),

Mumbai -400051

Trading Symbol: MIDHANI

Sub: Transcript of the Analysts and Investors Meet/Conference Call held on August 22, 2023

Dear Sir/Madam,

1.Further to our letter dated August 22, 2023 intimating you about the audio recording of

Analysts and Investors Meet/ Conference Call on Q1 -FY24 Results, held on August 22,

2023, please find below the transcript of the aforesaid Conference Call.

2.The transcript of the call is also made available on the Company's website.

This is for your information and record.

Thanking you,

Encl: As above Yours faithfully,

For Mishra Dhatu Niga Limited ■■■J .. ntony

Company Seer lance officer

company.secretary@midhan i-india.in

fg■■■■ ifflles MISHRA DHATU NIGAM LIMITED

(liml ■ ■ ■) (A Govt. of India Enterprise)

■ ■: '!ft.:ir. ■, ■' ■ -500058 Registered Office: P.O. Kanchanbagh, Hyderabad, Telangana-500058

iFr Telephone: 040-24184000, \$.m Fax: 040-24340039

■■■- CIN: L 14292TG1973GOI001660

■ Website: www.midhani-india.in

Page 1 of 17

“Mishra Dhatu Nigam Limited Q1 FY2024

Earnings Conference Call "

August 22, 2023

Analyst : Mr. Amit Dixit – ICICI Securities Limited

Management: Dr. S. K. Jha - Chairman and Managing Director

Mr. N. Gowri Sankara Rao - Director (Finance)

Mr. T. Muthukumar - Director (P&M)

Mr. Paul Antony – Company Secretary

Mishra Dhatu Nigam Limited

August 22, 2023

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Moderator : Ladies and gentlemen, good day and welcome to the MIDHANI's Q1 FY202 4 Earnings

Conference Call hosted by ICICI Securities Limited . As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing “*” then “ 0” on your touch tone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Amit Dixit from ICICI Securities . Thank you, and over to you Mr. Dixit.

Amit Dixit : Thanks Nirav. Good afternoon everyone and thanks for joining the call today. At the outset I would like to thank the management for giving us an opportunity to host the call. From the management we have by Dr. Sanjay Kumar Jha – CMD, Mr. N. Gowri Sankara Rao – Director (Finance) and Mr. T. Muthukumar – Director (P&M. Without much ado, I would like to invite Dr. Jha for opening remarks post which we will open the floor for an interactive Q&A session . Over to you Sir !

Sanjay Kumar Jha : Good afternoon and I extend my hearty welcome to all the investors for joining us through this conference call and we have with us Director (Finance) Mr. N. Gowri Sankara Rao , Director (Production Marketing) Mr. T . Muthukumar and we also have our marketing AGM and Company Secretary Mr. Paul. So in a nutshell what I want to brief on the result which has been already published , but I would like to mention some of the highlights for this quarter. So, this quarter has been a very unique for us because in this quarter the first thing is that there has been substantial increase in our revenue that means sales has gone up from the compared with Q1 of the last financial year . So Q1 revenue has gone up by almost by 60% year on year and also the Value of Production (VoP) also has gone up by 26% but the main highlight is that our sales has gone up. In addition to that , in this sales MIDHANI's Rohtak facility has a contribution of almost 30 %. This is also a good sign for the investment which we have incurred on the new projects

. In addition to that , this quarter the order booking has also been very good . I think we have crossed more than 500 Crores order booking in Q1 of this financial year and export order booking also was good during this quarter and we have executed that court order also in this quarter that was around 5 Crores, but it has gone up subsequently and in that the major highlight that I would like to mention here is that for an order received from the Rolls Royce ,we have completed the first trial order given by them and now we are in a process to get the next order also from them and in addition to that there is a substantial interest , lot of interest is shown by international companies or leading aerospace companies of the world . They have also shown the interest in MIDHANI 's materials and we will be seeing this result as we progress in this financial

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Page 3 of 17 year. We have booked an order , from GE Aerospace also, so these were some of the important things which had happened during Q1 and as on today, so, with this , , I would like to take the questions and queries from the investor so I request your queries and questions , thank you .

Moderator : Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Amit Dixit from ICICI Securities . Please go ahead.

Amit Dixit : In the time the question queue assemble s, I would just like to ask a few questions Sir. The first one is you talked about 500 Crores of order booking in Q1 FY20 24, if you can throw some more color on that which platform exactly this order booking happened and what kind of execution timelines we are looking at .

Sanjay Kumar Jha: In fact it is mixed bag of orders I would like to mention here but majority is from the defence sector also include some of the export order also so I can give you the breakup of all Rs.520 Crores but mainly it has come from the defence one order is for Rs. 170 Crore plus also which we have informed to the stock exchanges also. Then we have got one order from L&T that is for the space requirement , they are manufacturing the five steps of PSLV. This will be the first of its kind in the country because of the participation by the public and private participation by private sector alone so they are basically having a consortium sort of thing where L&T and HAL they are participating together and they are going to make that PSL V that order was also almost around a value of around 95 Crores we have received and in addition to that some of the orders we have received from the Aerospace industry also so we can give you the breakup of those things .

Amit Dixit : Sir that is Rs. 170 Crore plus Rs. 95 Crore and then aero how much order was there .

Sanjay Kumar Jha: Rs. 50 Crores have come from the aerospace and Rs. 30 Crores exports, remaining from defence including missile and all. It will be mixed. I will tell you the total figure. It was in fact more than Rs. 500 Crore it is around Rs. 520 Crore but what I would like to emphasize is this quarter the order booking has been very good, of course it is not that we have done suddenly, it was in the pipeline. It has materialized in this quarter and we are now looking ahead for this quarter also for further order booking .

Amit Dixit : Okay wonderful Sir. We have a question in the queue I will come back later . Nirav you can

move to the question queue please.
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Page 4 of 17 Moderator : Thank you. The next question is from the line of Sunny Agrawal from SBICAP Securities. Please go ahead.

Sunny Agrawal : Good afternoon Sir and thanks for the opportunity. Kind request to shed more light on the export opportunity for MIDHANI's products. As we have mentioned, we have received a good enquiry on export front so what is

the opportunity we are seeing over there in medium to long term as far as export business is concerned.

Sanjay Kumar Jha: As we have mentioned earlier also since we are entering in the export market in the areas of high end technology like aerospace so aerospace and oil and gas etc., so basically for those sectors we have to first get approved by the customer which I mentioned that regarding Rolls-Royce. Rolls-Royce they have taken our product and it was certified and cleared so now we are looking for a next order from them in addition to that which I mentioned about the GE Aerospace. They have taken initially our material. They have checked the property and then they have placed order for the requirement of the material to us. Again based on this supply whatever they have given the order now they can increase the quantity by further three or four times depending on the requirement of that specific grade. In addition to that, earlier export order which pertained to oil and gas sector. They are also looking for the new orders which we can expect to come and I would like to mention here that, we have provided material to Pratt & Whitney and they also have agreed to provide new requirements but as and when we receive this type of orders and quantity we will be definitely informing to the investors and you will get the information from us.

Sunny Agrawal : Sir my next question pertains to margin profile. Sorry I am new to the company asking a very difficult question so depending on the end user industry whether it is defense, whether it is aerospace, whether it is oil and gas does our margin profile varies or it is relevant to track margins based on the end user industry used for our product.

Sanjay Kumar Jha: Definitely margin will vary depending on which sector, which customer you are serving and many orders which we are looking for it is coming under competition only because export market also is not exclusive to us any aerospace or oil and gas companies, they are operating at large scale. They are having a list of suppliers with them. We are getting introduced or even inducted as one of them so definitely they will not only compare the quality, they will also compare the price also, first our task is to get it qualified, our quality should be proven with the cost also and then whenever they go for the bulk purchase they will see the price, delivery, and of course the quality is already getting confirmed by them. I am talking about the export market but many things which we are getting are not because of nomination basis. It is not that exclusively MIDHANI will get orders but there
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Page 5 of 17 are certain technology, certain product which already exist. We have made our technology exclusive, only there is a possibility that we can get on nomination basis but there also today government for any of our customers they definitely will try to compare the price for similar type of materials from elsewhere so the margin definitely will be under pressure, you cannot charge anything from the customer today.

Sunny Agrawal : Sir is it fair to assume on a medium to long term basis 28- 30% EBITDA margin is a sustainable margin for Midhani as an organization.

Sanjay Kumar Jha: 20-30%.

Sunny Agrawal : 28-30%, 25 -30%.

Sanjay Kumar Jha: 25% can be the max If we are crossing 25 it will be great that is what I guess.

Sunny Agrawal : Sir again one very basic question. Sir our inventory on books is very high as compared to our sales so any plan to reduce our working capital cycle or the nature of the business is so that the inventory days will continue to remain on a higher side only.

Sanjay Kumar Jha: Your both statements are true. Nature of business is also like that but we also have plan to reduce the inventory. We cannot simply take the shelter of nature of business and go on

building up the inventory so we have a continuous plan to cut short our inventory. We are working towards that and result of course it will not come immediately because whatever material we are using now the cost also has gone up probably if I am using the low alloy steel and very cheap quality of commodity that control will be faster but since we are all end high product so the value will be going so high that even the tonnage is less, money wise you will see that it is going up and our product is that we have mix of product, sometimes we are having normal steel sometimes we have very high end product, nickel

based alloys and their additions will be so high some of the material will be costing around Rs. 4000 to 5000 per kg single element so these things will definitely have pressure on that . We have plan to cut down the inventory. Our regular review is there by our auditors , audit committee , board , and even at the level of our directors , so regularly we review and see that how we can cut down our inventory .

Sunny Agrawal : So Sir any guidance you would like to give on how we are going to reduce the inventory over next two to three years if you can share that.

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Page 6 of 17 Sanjay Kumar Jha: It is very clear that recycle more and more material whatever you produce , if it is rewards coming from your system . We are making a policy where we should have the zero waste , zero material should be there so this is what the policy is there . We are trying to track each and every product and try to recycle it since earlier the volumes are less now the volume is increasing for high end alloys and number of alloys also are coming down so it is possible to do that so that we are trying to do that next year.

Moderator : Thank you. The next question is from the line of Harshit from Elara . Please go ahead.

Harshit : Hi Sir thanks for the opportunity . Just wanted to get a sense on the capex which you had earlier indicated which we were doing in wide plate mills, the armored facility for helicopters etc and any other new capex that you are looking at apart from the aluminum JV which you have with NALCO so update would be very helpful on commissioning and what kind of a turnover one can expect thank you .

Sanjay Kumar Jha: I think you are asking about the earlier committed capex for wide plate mill.

Harshit : Yes Sir.

Sanjay Kumar Jha: Wide plate mill already we have commission and it is operating from past one and a half years , and also we have commissioned our Rothak facility for armor products and many other projects we have indicated earlier have been commissioned, coming to the future projects also we have indicated at some place that this year we are going to spend at the tune of around 80 Crores for the capex expenditure. We are very much on the track now but anyway the limit of capex also we have to keep because unless whatever capex you are doing is converted to the sales or getting the revenue we have to take some limitations but we have kept that capex. It is not that we have made it nil but we are already having some plan for the capex. We will inform you as and when but you can check our annual report it is already available at whatever equipments we have installed and commissioned I think last two to three years. It is available.

Harshit : Sir the 80 Crore Capex that you have planned on this attributes what if you can share and the status on the NALCO JV Sir where have invested, the capex?

Sanjay Kumar Jha: NALCO JV is a very huge capital investment project.. The total project cost is Rs. 4500 Crore. The CAPEX from MIDHANI's end is very high almost i.e. around Rs.170 Crores but the major question mark is on the project viability itself has come because high end aluminum consumption in India whatever was forecasted but we are not able

to see the

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Page 7 of 17 demand in coming next five years so considering that we are not able to make a viable report on the project DPR to go for the support from the loan from the banks and all so it is held up at that stage. We are still trying to work out but as on now we feel that investment in that project is not viable so we are keeping it hold and we are trying to invest in the areas where we see the opportunities there for Midhani for quick conversion or quick realization of the cells by investing in our precious capex.

Harshit : And the Rs. 80 Crores capex which you are doing is towards which facility Sir?

Sanjay Kumar Jha: We have various facilities. We are now putting the fasteners plants for making the aerospace fasteners . The aerospace fasteners are getting imported in the country in large quantity so we are trying to make the aerospace fasteners plant. In addition to that we are also having on titanium plant where we are going to make the Titanium reverts , enhance the capacity of our titanium . Then we have modification of bar and wire facility where we have seen, there are a lot of opportunities in the area of filler wire and all so these are basically the augmentation of our facilities and skull smelting also we have commissioned now for melting for making the titanium castings.

Harshit : The wide plate mill facility which had started one and a half years back what is the revenue run rate that you have achieved from that facility till now Sir on a yearly basis or a quarterly basis would be helpful?

Sanjay Kumar Jha: Last year it was around Rs.45 Crores . In addition to that we also saved outsourcing cost but this year WPM is being operated in full-fledged manner . Last year it was operated for only one and a half quarter it has given the full potential. So this year, we are going for

Rs.150 Crores from that facility.

Harshit : From that facility okay and what is the current order book which you have Sir and is it possible for you to give the breakup in terms of defense and aerospace as far as the business is concerned?

Sanjay Kumar Jha: Yes we have today Rs.1570 Crores order book and in that some breakup is there. We will give you no problem but I will tell you total we have Rs.1578 Crores we have.

Harshit : And by the end of the year do you expect to cross Rs.2000 Crores in terms of order book Sir?

Sanjay Kumar Jha: In that 70% is defence and balance 30% we have aerospace, railways and others.

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Page 8 of 17 Harshit : Okay Sir thank you Sir. Thank you very much and all the best.

Moderator : Thank you. The next question is from the line of Khush Nahar from Electrum Portfolio Managers Limited . Please go ahead.

Khush Nahar: Sir thank you for the opportunity. Sir one question regarding the order inflow so what kind of order inflow are we expecting say in the next three years?

Sanjay Kumar Jha: For the next three years?

Khush Nahar: Yes I like seeing our Q1 was Rs.550 Crores so would that be a sustainable order inflow expected ?

Sanjay Kumar Jha: Today the market is good. Whatever we can execute we can get. The market is not the problem and I think one of the biggest thing I am able to see the opportunities for MIDHANI in the near future is coming from an aerospace material so department is now pursuing in a big way to indigenize the materials for our earlier platform like Sukhoi and LCA for which export plan is there .. We are also fulfilling the LCA requirement and in future which can get the good requirement and AMCA project also developmental work is going on in the full swing. LCA Mk2 is coming now so Mk2 also we are getting some initial orders we have got so many things are there in the pipeline . Then some of the development for 110kn aero engine for AMCA so initial material development program

has

been finalized by development agencies so many things are lined up and you must be listening about the different type of missiles and all also is coming.

Khush Nahar: Right and Sir the second question what would be the execution period for order book of Rs.1578 Crores?

Sanjay Kumar Jha: It varies. I cannot say that many orders are there which I have to finish in three months also because the export orders the time is very less. We can give it three months but some of the orders we have the span of around two years also so it depends on that many things required for that like naval application we have some orders which varies from one and two years .

Khush Nahar: So average within two years?

Sanjay Kumar Jha: Average time if you see, if I say the total order, this order is for our MIDHANI I can say for one year to one and a half.

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Page 9 of 17 Khush Nahar: One and half. Thank you Sir.

Moderator : Thank you. The next question is from the line of Romil Jain from Electrum Portfolio Managers Limited . Please go ahead.

Romil Jain: Thanks for the opportunity Sir. Sir I just want to understand in the backdrop of this strong indigenization efforts at India a level how has MIDHANI positioned itself over the last few years in terms of manpower, material , and policies at the company level because as the order flow keeps on getting stronger and stronger I think we will need to be much more agile so if you can just give some more strategic understanding of what is happening at the corporate level ?

Sanjay Kumar Jha: See as you have rightly told that indigenization there is thrust on indigenization so what you need, you need the capacity, you need technology, you need the skilled manpower, and you need the proper policy in place to like I say corporate governance so all these things are in place and regarding capacity and all as you have seen the capex infusion by the company in the last four to five years which has been quite good I think those things are now paying us because we have the sufficient capacity to handle the requirements coming from indigenization parts .

Romil Jain: Okay and second is on aerospace as well as the titanium projects that you mentioned so just want to understand on the titanium side at what stage we are in terms of finalization of the projects and when the revenues can start coming in and broadly what kind of revenue can come post the titanium projects are in place and whether titanium would be helpful on the indigenization of the aerospace equipments and engines and sorts of that so this to it as a complementary question on aerospace as well as titanium if you can throw some light?

Sanjay Kumar Jha: See aerospace we have broadly three classes of materials are required special steel, then you have nickel based alloys super light. It is called super alloy also and titanium alloy so we have all the three areas and we are working on them Now what we are doing for titanium , is that, we are augmenting our capacity in titanium because we have a wide plate mill also . There also we need some input material so that we can make the flat product using the rolling so considering that , this facility has been expanded and already this month we are going to commission the entire facility.

Romil Jain: On the titanium side?

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Page 10 of 17 Sanjay Kumar Jha: Titanium side and super alloy already we have capacity that is sufficient. Of course we are improving our equipment capability and technology. Those things are regular phenomena but super alloys we have no problem as far as the capacity as on today but there also I am seeing that good demands are coming in the future. Probably we have augment some more in the facilities for which already our people they are working and we have some projects for our future

equipments and projects that has been planned now.

Romil Jain: Okay and in terms of bid pipeline in the last two to three years how has the pipeline changed for the company because we have seen very strong order inflow in the last two quarters or so before the indigenization efforts and everything that the government took and presently when we are sitting on this order book as well as pipeline how has the pipeline shifted if you can put a number to it and the conversion it would be really better to understand?

Sanjay Kumar Jha: Order flow you are asking. ?

Romil Jain: No bid pipeline so we would have bided for certain projects which we have not got yet so how has that changed over the last five years?

Sanjay Kumar Jha: Bidding in the sense that it is not bidding. We are as and when we see the requirements we are bidding against that but I am just talking about at the level of equipment sanctioning itself. The Ministry of Defence has taken a very quick action and whatever are the requirements coming from the country like you have seen in the recent past. I will give one example of Tejas only. Tejas they have sanctioned. They have also given the ALH Helicopter. They are also sanctioning the different types of other requirements like missiles so those things are getting sanctioned fast. I think that is where India industry not only MIDHANI other industry also they are getting benefited so the moment we have that inflow, the requirement of materials will start increasing and in addition to that there is a need now considering the current global scenario and whatever you have your Russian origin platform or some Western origin platform you have to make your own material so that in a sense of cutoff in supply chain, your platforms will not get affected. Your operations will not get affected so that is the reason where there is a focus on that indigenization on the material which we are importing today for existing platform also so. One is that new platforms are getting sanctioned by the government quickly and existing platform also there is a need for indigenization of the raw material.

Moderator : Thank you. The next question is from the line of Rohit Ohri from Progressive Share Brokers Private Limited . Please go ahead.

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Page 11 of 17 Rohit Ohri: Sir a couple of questions. The first one being you mentioned that you are working with some leading airplane manufacturers and if we go to the industry Airbus, Boeing and Tata Consortium they are looking at lot of developments in the civil final assembly line so is it fair to assume that Midhani can play a role over there for these giants and big players ?

Sanjay Kumar Jha: Yes, in fact you are talking about the Tata Boeing.

Rohit Ohri: Yes sir.

Sanjay Kumar Jha: Yes, Tata Boeing is already having one facility in Hyderabad and they are working making some of the , I think assemblies and subassembly for them here so we have explored the possibility of getting included in the supply chain and we are already discussing with their team and it is possible to enter in that domain also but there is no barrier for the civilian or military. In fact they are working all for civilian aircrafts so I am sure with the aerospace industry growing MIDHANI will have the opportunity to enter in that area also and in that situation maybe our existing capacity may not be sufficient. We have to look for some more addition of the facilities but we have the technology for that . See whatever material is going for aerospace industry going for the military or civilian the material will be the same.

Rohit Ohri: Okay and Sir when you say that the order book for the export is going to be like three to four times so are you looking to close the year with export orders more than Rs.100 Crores or something?

Sanjay Kumar Jha: Yes, in the tune of that is correct.

R

ohit Ohri: Is it more than Rs.100 Crores or is it?

Sanjay Kumar Jha: We will tell you. Our target is to go for more than Rs.100 Crores, so we have right now Rs.35 Crores already. Already a round Rs.15 Crores already we have executed. We are in discussion with the platform for another Rs.30 Crores to Rs.35 Crores.

Rohit Ohri: Okay. Sir when we talk about these order books and the short cycle and long cycle what proportion of it currently is a short cycle order book and what is a long cycle order book?

Sanjay Kumar Jha: Very few long cycle. 50% is long cycle and 50% is the short cycle.

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Page 12 of 17 Rohit Ohri: Okay so that explain the reason why our margins or maybe that you have cut down your guidance to somewhere like 25 % EBITDA margin is that the reason that the short cycle orders we get as little.

Sanjay Kumar Jha: Short cycle however is better for the company because you have to get quick money and short cycle is better in fact if you are getting short cycle also it is better for the company to perform. The only thing is that what type of margin you are booking the orders. As the order booking depends on that in what is your domain of working if you are going in the international supply chain that will be there, if you are also bidding against the community bidding in the domestic tender also there also the cost will come down so market is competitive definitely but the market opportunity is good, I will say market is competing but opportunity is good. We have the good potential.

Rohit Ohri: So that will get you volumes and sacrifice a little bit on the margin point is what you say?

Sanjay Kumar Jha: Yes, it is appropriate.

Rohit Ohri: Last two questions related to the raw material. I understand that there are certain difficulties but was that at a one-off in this quarter related to the raw materials where you must have kind of liquidated some old raw material or some old assets and because the percentage if you see raw material is quite high for the quarter under review?

Sanjay Kumar Jha: Yes, in fact actually what Director of Finance is already putting this, answer to the question, because of our product has changed to the very high end see earlier if I was selling a steel of let us say Rs.2000 per kg, now I am selling super alloy at Rs.4000 per kg so definitely the cost of your input material go up.

Rohit Ohri: Okay.

Company Speaker: So we have to go for nickel, cobalt, we have to go for moly, we have to go for tungsten and these things are very costly in nature. Earlier that product mix super alloy was very less for the MIDHANI, now whatever super alloy we have done the last financial year in entire year only in one quarter we have completed that much quantity.

Rohit Ohri: Okay so going forward this kind of the ratio for the raw material will continue what you are trying to say?

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Page 13 of 17 Sanjay Kumar Jha: The raw material cost will be definitely on higher end, there is no doubt. Yes, we have to stop the today's market because market is also looking for that type of alloys only which is difficult to get elsewhere.

Rohit Ohri: So my last question related to this inventory that we continue to have and I understand there are certain strategic materials which is lying with us and probably there could be an event where there could be certain orders which may come where we can use this strategic material so what exactly are these kind of orders, is it related to HAL, Tejas helicopter or maybe due to some super conductivity materials what are these orders which if they come then our right?

Sanjay Kumar Jha: I will try to, first of all some of the word I will try to answer you. Superconducting has nothing to do. We are not making any superconducting material. Superconducting is totally different and

and no people more in the world they have come to the stage of making superconducting material coming to our scrap position precisely as you mentioned about the HAL. Aerospace industry is responsible for keeping us more amount of inventory because they are having a condition that you cannot use a recycled material for making any product. A product has to be made for aero engine or any moving part in the aircraft or even the other non-moving also could have the pure raw material so whatever reverse we generate in the process it will remain lying with us so if we have another customer where this type of conditions are not there we can serve those things so now we are trying to get some of the customers like that because either from the domestic or from the national markets if it is there we are trying to consume those things, those materials. But aerospace will not allow to use recycled material.

Rohit Ohri: So sir hopefully these orders come maybe in next year or maybe two years and hopefully these inventories get liquidated and the questions keeps coming every quarter as to what we do with the se inventories that question will be eliminated and there would be lot of cash flow that would come. Thank you sir , thanks a lot for answering my questions , thank you sir.

Sanjay Kumar Jha : Yes, thank you .

Moderator : Thank you. Next question is from the li ne Prabir Adhikary from Ratnabali Group . Please go ahead.

Prabir Adhikary : Hello.

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Page 14 of 17 Moderator : Prabir you are not a udible .

Prabir Adhikary : I am I audible.

Sanjay Kumar Jha : Yes audible.

Prabir Adhikary : Thank you for the opportunity. Sir my question is regarding this aerospace industry, as you say that.

Moderator : Prabir your audio is not coming clear, can you please speak through the handset.

Prabir Adhikary : Is it okay now .

Moderator : There is a bit of echo while you are speaking.

Prabir Adhikary : I am I a udible right now properly sir.

Moderator : Slightly better .

Prabir Adhikary : Okay. My question is like you say that the elusive material are segregated majorly in three parts Titanium , another is super alloy these are specialized. I wanted to underst and thi s aerospace market in India you said that mention of these material will give the company revenue stream. Right now if I consider a fighter jet so out of say for example if it is a Rs.100 cost so aerospace material cost would be how much and probably all t hese components will not be able to be manufacture d in India because of t he absence of the capability so what is the capability we have in India where we can manufacture part of that so that is what I wanted to understand sir?

Sanjay Kumar Jha : If I have u nderst ood correctly you are asking f irst what is the cost of materials us ed in a given jet engine ? Is it correct?

Prabir Adhikary : Jet engine or an aircraft , sir.

Sanjay Kumar Jha : Aircraft per se is having a totally different material , aircraft if you see aircraft is going today with the composites, it is having the aluminium alloys , it contains many other things there, but what we are serving basically our material goes for the mostly for the aluminum related products and some of the aircraft also but ...

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Page 15 of 17 Moderator : Participants please stay connected while we rejoin the management back to the call . Ladies and gentlemen thank you for your patience . We have line for the management reconnected.

Follow -up question is from line of Prabir Adhikary from Ratnabali Group . Please go ahead .

Prabir Adhikary : Hello sir, I a m I audible right now.

Moderator : Yes sir go ahead.

Prabir Adhikary : Okay as you said that basically the aero engine m arket which your right now carrying if, I am saying that out of this for example if consider this aero engine market 100, then what is our

availability , Indian companies capability in that and in that capability how much is public and how much is private ?

Sanjay Kumar Jha : You are asking about the a ero engine m arket potential ?

Prabir Adh ikary : Not market potential . I am asking that if a mark et is 100 then do we have the full capability to cater to full 100 or for example only 60 % of that market we are right now capability to meet. If we are ready ?

Sanjay Kumar Jha : Today aero engine market is a big market . If we are able to even serve the 2% also I am just saying 2% also it will be a very big a chievement for us . Aero engine market is a very big market again. So as I have mentioned that if it starts growing in the country definitely we have to also increase our capacities in the future and prob ably we have to look for that, we can divert our business from other sector to aero engine sector , so aero engine market is at the nascent stage in the country now, very beginning stage and one advanta ge with our company is that we are in the aero engine material right from the beginning, so we have no problem in traversing our credentials in the market and our quality capability so that is what we have mentioned earlier and we are picking up on both si des so the first step towards that we a re trying atta ch ourselves for getting certified in the international supply chain with aero engine manufacturing company so those things are getting certified means we have a better c hance, if it comes in the India w e can directly apply, like GE already is trying to se e

that how they can make the engine with HAL , so we are trying to see that how quickly we can establish ourselves as a aero engine material supplier company .

Prabir Adhikary : Okay sir. Thank you.

Moderator: Thank you . Next question is from the line of Amit Dixit from ICICI Securities Ltd. Please go ahead.

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Page 16 of 17 Amit Dixit : Sir just a couple of questions from my side . Now this quarterly saw a very good revenue growth and you have mentioned that the order booking is also robust , so would you be willing to revise your guidance of 20 % top line growth for this year I mean in FY2024?

Sanjay Kumar Jha : We have not revised it, but definitely we are adding more than 20.

Amit Dixit : Okay and the second question is more of a strategic one during PM's visit to US there were two agreements under discussion pertaining to security of supplier inventory and then local dispense procurement agreement, now these agreements were essentially in light of what you discussed in the last call about you working with the US aerospace company, so wanted to understand where we are under these agreements have been moved ahead, is discussion going on and how much we are involved, how much benefit we will get from these if there is agreement?

Sanjay Kumar Jha : You are talking about the agreement just like deal you are talking?

Amit Dixit : Yes. The agreements that were under discussion during when PM visited the US?

Sanjay Kumar Jha : See what I say that as I mentioned earlier also that since we are trying to enter in the international supply chain of the GE so definitely when the GE is setting a facility in India we will have a fair advantage and better advantage to tie up with them but right now there is no commitment as such but they are going to talk for there all the requirements because this is also in the preliminary stage but we are trying to see that how we can get qualified or getting established as a material supplier to GE aero engine domain.

Amit Dixit : Okay sir two more questions from my side. One is on there was a media article suggesting that you have a receipt order for armor for the Arjun MBT from Agni so just wanted to get a sense of how much is this order and when the timeline for this execution.

Sanjay Kumar Jha : See we have not received the order. I do not know

now why it has come in the media. We are in

the process of negotiating the order because we are having the technology for that so we are now in the process of getting that but the values and all right now I cannot clear a figure as and when it is coming I will definitely give you the information that what is the amount of the orders. We are in the process of negotiating with that. So earlier also MIDHANI has only supplied that type of material to for armoring of the tank.

Amit Dixit : So when is it expected to be awarded that particular order?

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Page 17 of 17 Sanjay Kumar Jha : Shortly I am seeing in this quarter ..

Amit Dixit : Sir the last question from my side is that after this titanium capacity is commissioned what would be the capacity mix between titanium super alloys and the specialty steel?

Sanjay Kumar Jha : Capacity wise it is product mix that what I say titanium addition will be almost 500 tons we can produce extra whatever you are producing now so we will be almost reaching around 750 to 800 tons per annum.

Amit Dixit : Okay so great thank you and all the best.

Moderator : As there are no further questions , I will now hand the conference over to Mr . Amit Dixit for closing comments .

Amit Dixit : Hai every one. Thanks for attending the call and thanks for very patiently answering our question. I will now pass on to call to Dr . Jha for closing remarks . Over to you sir.

Dr. Sanjay Kumar Jha : Okay closing remarks , I will ask my Director of Finance to talk.

N. Gowri Sankara Rao : Thank you very much. Thank you all the investor for your valuable question. MIDHANI is progressing every quarter by quarter as you people rightly said that the inventory levels which are very high, our concerns were already expressed. We are in the way of controlling the inventory when we are producing high value materials and the present conditions of the increasing cost due to the present international market conditions like Russia Ukraine war getting the material itself is a difficult situation still we are managing so the prices have increased but our operational efficiency we are able to maintain the margins as investors expect more margins but the margins may not come in percentage terms but we assure that in absolute terms the margin will go up, it means EBITDA, our net profit, PBT and all will go up and our plan is to more increase the revenue than concentrate on margins and utilize our facilities to optimum extent . Thank you once again. Thank you all the investors. Thank you very much .

Sanjay Kumar Jha : Okay. Thank you.

Mod erator : Thank you . On behalf of ICICI S ecurit ies that concludes this conference . Thank you for joining us . You may now disconnect your lines. Thank you.

Call: Nov 2023

I N

MDN/CS/COM PLIANCE/2023-24 November 17,2023

To,

TheManager, TheManager,

Compliance Department, Compliance Department,

BSE Limited, P.J.Towers, 1stFloor, National Stock Exchange of India Limited,

Dalal Street, Exchange Plaza, 5thFloor; Plot No.CII,GBlock,

Mumbai- 400001 Bandra Kurla Complex, Bandra (East),

Mumbai —400051

Scrip Code: 541195 Trading Symbol: MIDHANI

Sub: Transcript of the Analysts and Investors Meet/Conference Call held on November 15, 2023

Dear Sir/Madam,

1. Further to our letter dated November 15,2023 intimating you about the audio recording of Analysts and Investors Meet/ Conference Call on Q2 —FY24 Results, held on November 15,2023, please find below the transcript of the aforesaid Conference Call.

2. The transcript of the call is also made available on the Company's website.

This is for your information and record.

Thanking you,

Yours faithfully,

For Mishra Dhatu Nigam Limited

Paul Antony

Company Secretary & Compliance officer

company.secretary@midhani-india.in

End: As above

j~f~ ~T9 firm ~i~i~s MISHRA DHATU NIGAM LIMITED

(~m~ w~i~) (AGovt. of India Enterprise)

~1~1~I ci~Iglc~I~:~ ~1~wl,~ ~i'iiii -500058 Registered Office: P.O.Kanchanbagh, Hyderabad, Telangana-500058

'I~tT Telephone: 040-24184000, ~ Fax:040-24340039

Piii~i t~fl~ ~.CIN: L14292TG1973GO1001660

~i~ii~ Website: www.midhani-india.in

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Q2 FY24 Conference Call "

November 15, 2023

MANAGEMENT : D R. SANJAY KUMAR JHA – CHAIRMAN & MANAGING

DIRECTOR – MISHRA D HATU N IGA M L IMITED

MR. N. GOWRI SANKARA RAO – DIRECTOR (FINANCE)

– MISHRA DHATU NIGAM LIMITED

MR. P. BABU – ADDITIONAL GENERAL MANAGER

MARKE TING – MISHRA DHATU NIGAM LIMITED

MR. PAUL ANTONY – COMPANY SECRETARY –MISHRA
DHATU NIGAM LIMITED

MODERATOR : M R. AMIT DIXIT – ICICI SECURITIES

Mishra Dhatu Nigam Limited

November 15 , 2023

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Moderator: Good morning ladies and gentlemen. Welcome to Mid hani Q2 FY24 Earnings Conference Call hosted by ICICI Securities. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Amit Dixit from ICICI Securities. Thank you and over to you sir.

Amit Dixit: Thanks Lizann . Good morning everyone and thanks for joining the call today. At the outset, I would like to thank the management for giving us an opportunity to host this call.

From the management team today, we have Dr. Sanjay Kumar Jha, CM D and Mr. N. Gow ri Sankara Rao, Director Finance. Without much ado, I would invite Dr. Jha for opening remarks covering the performance and outlook. Post which, we will open the floor for an interactive Q&A. Over to you Dr. Jha.

Sanjay Kumar Jha: Very good morning to all the investors, stakeholders joining for this Investor Conference Call . I am very pleased to join with all of you and with me we have our Director Finance, Mr. Gow ri

Sankara Rao and we have our Additional General Manager Marketing, Mr. Babu is there and Companies Secretary , Mr. Paul

is available with me. So I would like to start from the results

which you have seen for the second quarter for this current financial year.

The second quarter we have achieved a turnover of INR 227.48 crores and we have registered a growth of 25%, around 26% against the previous quarter of the previous financial year. And also the VOP has increased by 16% compared to the second quarter of FY23. There is a substantial increase in the total VOP and turnover in the half yearly basis also, H1 of this FY24.

We have a growth of almost around 40% on the turnover and also 21% on the VOP compared to the FY23. However, there is a drop in the PBT PAT for the FY24 come to the FY23 on the all quarter basis also and the half yearly basis also. We have the reason behind that mainly because all expenditures are well in the control except the raw material has taken the major toll in this half yearly account.

On two counts, first because of the consumption also has been on higher side because many of the alloys which we have produced during this period is all super alloys which is a nickel based alloys. Nickel being the very costly raw material, it has been there is an impact. But moreover

that the increase in price also is there from the, if you see the FY23 to FY24, there is a substantial increase in the raw material cost which has given the major impact.

And that part is almost coming to almost around more than INR 50 crores is coming because of the increase in the cost of the raw material. So, this is mainly because of the super alloys productions have gone up in this quarter and we have seen that the possibility of reducing and consumption and all because the requirements is mainly for the aerospace grade and aerospace grades. The virgin pure raw material only required to be put for making the different heats.

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So, we will see that as we have the product mix, it may get stabilized in the future. Our order book position also is coming all consistently it is around INR 1500 crores. And if you see in the H1 already we have booked the order almost INR 720 crores order we have booked in the first half and H1.

And we will be seeing that similar type of growth coming in the second half also. The indications on the order book front. Export has been also significantly up but of course the base was very less on the last financial year.

So, we have substantial change b

ecause of that. But we expect that this trend will be maintained on the export front also for this financial year. So, with this the initial introduction now I will leave it. I will be more comfortable in taking the questions because you will have the many queries. So, we can have the questions coming from our investors. Thank you.

Moderator: Thank you. The first question is in the line of Venkatesh Subramanian from Logic Tree Consultants Private Limited. Please go ahead.

Venkatesh Subramanian: Yes, good morning Dr. Jha. Good morning. I wish you a very happy Deepavali and a very good new year ahead.

Sanjay Kumar Jha: Happy Deepavali to you also and all our investors and New Year ahead for all our investors.

Venkatesh Subramanian: Thank you. Sure. Thank you so much, sir. So, basically two questions. You are saying, of course Midhani is a very unique company and we are looking at being a provider of various solutions in the defense and other spaces over the, both in domestic as well as exports. My question is what is the total size of the opportunity that Midhani can participate over the next 3 to 5 years? What is the broad big picture number that considering if Midhani had all the resources in place, how much, what is the big picture? Number two, what is it that we can target as an entity over the next 3 to 5 years? My question is example, for example, the total size of the pie is INR 12,000 crores or INR 15,000 crores. Can we be, can we have a top line of say INR 3,000 crores over the next 3 to 5? Do you foresee that happening and are we prepared for it?

Sanjay Kumar Jha: Yes, this is very, very good question I'll say. And we also, we have been working very hard to find out that what will be the opportunity in the future. And also the many, our internal assessment we have done, we have done the market analysis, we have seen our potential. And considering as you said the market potential is of INR 12,000 crores. So, this also is a very good figure. And definitely we will be, you will be seeing the growth in our sales also, revenue also coming in the future.

In fact, in this quarter only, this half yearly only we have seen that 40% there is a change in growth in our revenue on the half yearly basis. And if the trend continues, I think we'll be definitely coming to not less than 25% growth overall as this year -to-year basis. And coming to that future that what will be the FY '25, FY '26 and all, we are expecting similar type of growth but you know that for any growth and all you have to see your capacity also.

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So, whatever capacity we have now, we have made and we have invested our capex and something is already also going on. I feel that similar type of growth will be possible for the company to maintain. And in this entire activity, I think there is a tremendous pressure will be there on our -- how we are able to make our finance. Because mainly the coming that our working capital is the one issue which we have to see that how we can cope up. But the moment you have to increase your like capacity and all, there will be a different requirement of working capital increase. So, you must have seen our finance cost also has gone up.

So, these are the challenges are there but definitely and also as you said about INR12,000 crores of the market potential. This INR12,000 crores having the lot of competition will be there. It will not be very simple cake walk for any companies. So, we have to also see that how we can optimize our cost of production and then we can also see that how we can capture the many orders. So, if we divide this INR12,000 crores expected market, there will be I think hardly 20 % to 25%. 20% only will be there for maybe for the very exclusive type of not even 20%. I will say, I can say around 20% will be there or 10% they can say will be there which will be a good potenti

al margin will be there.

But the other aspect will be mainly which is having lot of competition. So, there will be tremendous pressure on the margin also because of this but definitely I see the revenue will be going up as we go year -by-year. So, that will be already we have worked out our corporate plan and all is there. So, we will be sharing the information as and when we will meet our investors.

Venkatesh Subramanian: Okay, sir. Just a follow-up question on that is I understand that obviously considering the current resources and current capabilities that you have, you said over the next three years we can probably pursue these opportunities. But to target additional growth, you said you will be seeking more working capital or capacity increase as we go along. I am sure you will find a solution. Midhani is a blue chip company. I do not think it should be an issue, sir.

But my question is out of this size of the opportunity that you are talking about, is it just India domestic business or exports put together? Do you have two different buckets under which you classify your business growth?

Sanjay Kumar Jha: Yes, export also is in our bucket list. Export, always the target which we have set for this year is around INR200 crores out of maybe almost coming to around 15% of our expected turnover.

So, 10% to 15% definitely will target to get the export. But export has a bigger potential also. But today the challenge is that first we have to see how we can meet the domestic requirement. Then based on that additional capacity only we have to go for the export.

So, one balance has to be maintained by a company like Midhani, where if the spare capacity is available, then only we should enter in the export market. Otherwise, the domestic requirement also is increasing. And there is a lot of...

Venkatesh Subramanian: I think Midhani is strategically important for the country. So, I think our requirements come first. Is that right, sir?

Sanjay Kumar Jha: Yes.

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Venkatesh Subramanian: Okay. So, this new announcement with Hindustan Aeronautics and Boeing where they are thinking of setting up some facilities in India, etcetera. Would we play a role somewhere, sir, in that?

Sanjay Kumar Jha: I think not Boeing. I think Hindustan Aeronautics and GE. GE for...

Venkatesh Subramanian: The latest one that has come up where Hindustan Aeronautics and Boeing, they are going to set up some sort of an MRO facility for Boeing planes in India?

Sanjay Kumar Jha: Yes, MRO is one area which I think MRO initially, the major challenge in the MRO is first to start establishment. And then before that I see the opportunities there in the other areas where you see that aero engine manufacturing with the GE collaboration and all is going to take off faster than that.

But MRO also we can join. But first of all, in any foreign OEMs supply chain, unless you enter in the main manufacturing side, then only also you can put in the MRO also. So, our target today is that how we can enter in their supply chain of these OEMs, international aerospace companies. So, this is our target Midhani is pursuing in current scenario. And we have got initially we have got, we have made some initiation.

I think that will pay in the future and we will be getting this type of opportunity also to enter in the MRO also and as and when the requirement arises. But before that, we will be having the major, I think our target should be to enter in the aero engine manufacturing when they are entering our country. And we

should see that they should also source the material from the Indian source, India only.

Venkatesh Subramanian: Got it, sir. Super. Sir, I have one more question on nickel self-sufficiency. But I will join the queue and I will come back again, sir. Thank you.

Moderator: Thank you. The next question is from the line of Romil Jain from El

ectrum PMS. Please go ahead.

Romil Jain: Thanks for the opportunity, sir. And I wish everyone in the company a happy and a prosperous new year. Sir, I have a couple of questions. So, one question is on the raw material side. I

understand, I think in the last one year or so, we have had a lot of challenges on the raw material side. But if you could just explain a bit more in detail as to which are the raw materials which are contributing to the stress right now. And if at all, we have any sense of when this raw material issue can reverse? And probably, what would be the sustainable margins going ahead if things start normalizing soon? So, if you could give some gist on this?

Sanjay Kumar Jha: First of all, regarding raw material side, I would like to mention here that major, if you see the tonnage wise, nickel is going to play a major role. And you see the nickel price is controlled by the LME price, that is London Metal Exchange price. LME will be the deciding factor. So, LME

fluctuations are there quite big in case of nickel. And we are also affected because of this. And we cannot stock also in the large quantity when the price is low.

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And when it is low, we also cannot say. Many times that effect will be there. I was just trying to turn the page and see that in this year itself, if you see our raw material, the last year in the same half yearly, our consumption, that time the rate of nickel was around INR1,700 per kg. And in this half yearly, it has gone to INR2,100 per kg almost. So, there is an increase in the price in that way. And that is, I think, has played a vital role almost. You can say around 20% increase is there. So, that type of fluctuations are there. And since the nickel consumption is a larger number quantity now, so this impact has come.

So, as of now, nickel price has cooled down. And I am expecting this will continue for some time. But you never know. The current geopolitical situation is very tough to predict. And it is precisely controlling the entire raw material price because of this. Many places, because of the panic situation, because of the uncertainties, people try to start -- make the stock. And when they find after some time that the stock is excess, then they release in the market. So, the price will be cyclic in nature. And that is going to continue for some time. And other raw material, I would say the titanium sponge, which is used for titanium alloys. That price also has gone up almost 40% or 50% price has gone up.

Romil Jain: So, what is the price right now of titanium sponge?

Sanjay Kumar Jha: Sponge, that is the input material for making the titanium alloys.

Romil Jain: So, what is the price right now for that, sir, currently?

Sanjay Kumar Jha: I was just again that price, last time it was INR700 per kg. And now it has gone to almost INR1,200. So, INR1,200 almost, not INR1,200, I would say almost INR1,300 you can say. So, there is a substantial increase in the price. And orders which normally we book, we have to book on the fixed price. We are not putting any variable costing with the raw materials anymore.

These things are going to impact because our main product is going for the nickel-based alloys and titanium-based alloys for all aerospace and high-end applications in the area of defense and space. So, there we are getting this type of impact. If you ask me to predict again the price, how it is going to be in the future, right now nickel, as I said, has cooled down. But then titanium sponge, again it has picked up, it is on the higher side. So, this is the scenario today. But as and when the impact will be there, since our consumption also is not scrap, we cannot use the scrap, recycled one. So, especially we have to take on the pure metal side only. So, that type of impact is coming.

Romil Jain: So, sir, just one clarification on this point that

you mentioned. So, the contracts are in terms of pricing, we do not have pass-through, right? So, they are fixed price contracts. But at the same time, when we get the contract, are we hedging it or can we hedge these prices to some extent? Or that is not possible?

Sanjay Kumar Jha: See, hedging is not allowed. First of all, we are not going to hedge it. But even if somebody is, I am not talking about Midhani, if some company is trying to hedge the raw material price, how you are sure about that the price will not come down? So, today suppose I am hedging the price and tomorrow if it is coming down, then you will be in loss. So, that situation is prevailing.

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And for the item which I have mentioned, the source will be, in fact, you cannot [pre-empt], aluminum is available plenty in the market. The source, the supply itself is a constraint. At any given point today, we have a single source, single supply source. And there the requirement has gone up extensively. So, it is a supply- demand situation. So, demand is on the higher side, supply is less.

In fact, titanium sponge is controlled by the Russian company. Now Russia is not even sparing a single gram or so of titanium sponge. Ukraine has already, how it is getting devastated. So, there is no production in the Ukraine. Many things are suffering because of that.

Romil Jain: So, are we looking at some alternative sources in titanium? I mean, what is the way out here, sir?

Sanjay Kumar Jha: Yes, there are some programs, sir. There is some think tank is working on that. It is some for strategic requirements. So, we will be trying to see that how we can indigenize in our own country. But all those things will take time. And also, there also it will have to pay a price. It will not come at a very low price. Because in the initial stage, you have to also have the old technology, then the equipments are old.

So, the increase in the production requires some sort of investment. And that investment is not economical in nature.

Because the economic scale is not there. Even if you try to make the sponge in the country, your requirements will be, let's say, 1,000 tons, 2,000 tons. But the plant will be economical with 20,000 tons. So, you have to look for the alternative market elsewhere. Otherwise, increase the consumption in our own country. So, these things are all sites is going to take some time. But we have initiated some program on that.

Romil Jain: Okay. And, sir, on the inventory side, any concrete steps that we are taking to kind of control this situation? Because I understand about the scrap issue. But what are we trying on the inventory side? Because, sir, in terms of growth that you mentioned, revenue growth and order inflow, I think there is no problem on that side. There is no issue on the opportunity side that you mentioned. But I think inventory is one area where we need to really work hard on. So, any concrete steps and any guidance you can give that in the next two years, we are going to come at some sustainable levels or something like that, sir?

Sanjay Kumar Jha: Maintaining the current level of inventory itself is a big challenge. Because one way that your cost of raw metal also is going up. So, definitely even the tonnage will be reduced, less tonnage. But the cost will be on the similar line.

This is the one challenge which we are facing now. And many materials which we produce, we are not having a secondary market or secondary source where we can sell it. So, this is the challenge we are facing.

But nevertheless, if you see in this quarter, we have tried to balance, control our inventory. But the scrap has gone up by some amount. So, again the scrap cost valuation also, valuation will be on the higher side. Because your content raw material which is there in that, that cost also has gone up. So, this is the balance is planned. But

today, I am not seeing the immediate future.

Because as you have told, I have told the uncertainty.

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Some raw material also I have to store. Otherwise, I will be having production will get suffered.

So, raw material side also some inventory has to be maintained. Otherwise, we cannot maintain our flow of the production. It is happening because of this.

Romil Jain: Okay, thank you sir. I will come back in the queue for more questions. Thanks.

Moderator: Thank you. The next question is from Viraj Mithani from Jupiter Financial. Please go ahead.

Viraj Mithani: Yes. Good morning sir. Sir, we talked about this inventory, raw material, cost price, inflation. I just want to know, why can't we have a contract where we can pass through the raw, in such an environment where there are so many geopolitical issues. Why can't we have this thing built up in the contract with our customer?

Sanjay Kumar Jha: I think you are asking that we should have a long-term contract with the supplier?

Viraj Mithani: No. Increasing the, since you are mentioning the raw material cost, raw material prices are so much fluctuating with geopolitical...

Sanjay Kumar Jha: Sir, everything in order, customer, with the customer.

Viraj Mithani: With the customer, yes?

Sanjay Kumar Jha: The customer, see, when the customer is sourcing material from us, they are also getting the project based on certain -- see, if you see that whatever project we are taking, they are also getting at a fixed price. So, they cannot afford to have that type of fluctuation in their project.

So, let's say if I am supplying the material to HAL or any aircraft manufacturing company, they have a fixed contract, the cost

is fixed. So, they cannot absorb that fluctuation if you are asking that type of cost.

So, basically this is not possible. In certain cases, earlier, when we have the long-term order coming from, let's say, from a space earlier where the order is for three years, four years, so there we had some provision for that raw material, sort of that inflation and all, it was inbuilt in that.

But it is not being done in all the projects because their supply time is very less. Now we are getting the orders where we have to supply within six months, within three months, within four months. So, for that, nobody is, no customer is willing to give that type of provision.

Viraj Mithani: And sir, what will be our breakup of our revenue and order book, if you can give the breakup in terms of space, defense and non-defense?

Sanjay Kumar Jha: You are asking the current order book?

Viraj Mithani: Current order book breakup and even the revenue breakup, this time?

Sanjay Kumar Jha: Okay, whatever we have achieved now. I will share that information. What we have done, if I see the sales-wise, we have in this period 25% from the space, 30%, almost I would say 50% coming, 50%-55% from the defense. Then energy sector we have around 4%, others 10% and export 4%.

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Viraj Mithani: And sir, order book breakup would be same or different?

Sanjay Kumar Jha: Order book is also in the similar line, I would say. Almost you can take in the similar line, order book also. If we see, what is the order book? So, order book also in the similar level, when we have the space around, in fact it has come down now, it is coming to almost less than 20%, it is coming almost 15%, 15% to 16%. And defense is coming in the big way, almost I would say 70% is coming from that defense side. And balance, exports and railways and all.

Viraj Mithani: And sir, what guidance would you give for this year and the next year? Means what will be the growth and the profit margins?

Sanjay Kumar Jha: Profit margins, I cannot say right now, but I will be growth, as I told already, we are planning to achieve around 25% growth

on year-to-year basis.

Viraj Mithani: Would it be fair to predict that the next half would be better than the, this current half would be much better because of the, the nickel prices going down?

Sanjay Kumar Jha: It is always the case in Midhani that the second half will be better because slightly pulling off the raw material price also. But how much we are going to gain because this, we have problem that in the first half we have, our consumption level has been substantial. We are trying to minimize in the second half, so we will see, it will improve further prices. But how much value around will be, once we see the quarter 3 results, we will be having more confidence.

Viraj Mithani: Okay, that's it from my side. Thank you, sir and all the best.

Moderator: Thank you. The next question is in the line of Romil Jain from Electrum PMS. Please go ahead.

Romil Jain: Yes, sir. Thanks for the follow-up. Sir, one question is on the orders that we have received in this quarter. If you can just, if possible, which are the key orders that we have received in this quarter?

Sanjay Kumar Jha: We have got from almost a space around 20% almost from the space. And we have got majority of coming from the defense, 70% I will say coming from defense. Naval is around INR289 crores. Aero INR80 crores. Then we have got from the missile around INR54 crores. So that way, it is coming to that level of 70% and then 30%, it's coming from the exports and others.

Romil Jain: And let's say based on the pipeline that we have, I mean, how is the pipeline looking? Has it increased in the last one year or so? And where can we end the year in terms of order book?

Sanjay Kumar Jha: Last year, total order book was INR920 crores. This year, we have almost crossed INR720 crores right now. And I am expecting another INR700 crores definitely coming from the next half.

Romil Jain: So another INR700 crores orders roughly coming in the second half?

Sanjay Kumar Jha: Yes.

Romil Jain: Okay. Got it. And sir, one question on the pricing environment that you mentioned. So obviously, there is a raw material issue and it is not in our hands also. So when we are bidding for the orders, right? Is it not possible that we increase the prices for this uncertainty? Or we are

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not allowed to increase the prices? How that works, sir? Because everybody knows that there is a problem of titanium or there is a problem of supply chain. Then probably why should be the one who are taking it, right? So can't you increase the prices to that extent?

Sanjay Kumar Jha: First of all, you have to be -- see, the orders which we are getting now, many orders we have to

go on the competitive bidding. So if we add up so much price for the raw material itself, probably we will not get the order itself. That is the first thing. Now next that we are -- whatever the margin you have to keep, you have to keep from that particular time. You cannot go for predicting that raw material price will be 30% higher, 40% higher.

Nobody can be doing otherwise, it is difficult to be in the market. So normally, we see the current price we quoted. Then if the price is going up, then only we have to see that our margin is coming down to the extent.

Romil Jain: Okay. And sir, in case of competitive bidding, so almost all the projects or orders that we are getting are competitive bidding, right? So how many players are there in this bidding and how many Indian players are there? How many non-Indian players are there? If you can give some idea about that.

Sanjay Kumar Jha: It depends on the order to order. Many places we have only two players. Some places we have four players to five players. Some places we are finding even the 10 players, 11 players also.

And many cases we see today that people even we have to beat against the international competition also. So these are the challenges that are there.

And today for the projects which people are getting, they like to get platform also, their pricing also are very, very competitive when they book their platform. So they will also try to negotiate very hard even though if it is on single tender basis because they go for all your costing data and all, then only you can give. So you know that many orders which they are getting on the Ministry of Defense is giving now. They do a lot of analysis and only they fix the price.

And they will be compared with the international bidding and all. So it is built in the platform itself for which we are bidding. So these are the challenges which everybody has to face, not only Midhani, any company in this field they have to face. Even as far as quarter of stake is concerned also. Right now you see we are supplying to all the private people like. We are supplying to a consortium made by L&T, HAL. So there also we have to be highly competitive. So we have to compete. We have won this order against the competitive bidding. So they are trying to see that how they can minimize the cost of the input material.

Romil Jain: Okay. And sir lastly, how much is the capex we are expecting this year and maybe next year, FY '25? And out of that working, the total borrowings that we have roughly I think INR400 crores, how much would be the working capital borrowings?

Sanjay Kumar Jha: Our borrowings is only, we have INR100 crores, we have the capex. INR100 crores capex this year. INR100 crores working capital only. This year means it is already drawn and we have already made the projects. That values we have already completed. The balance already which we are trying to do this year is around INR80 crores is our capex.

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Romil Jain: Okay. Okay. And on the working capital loan, sir, how much would that be?

Sanjay Kumar Jha: Capex, we have not planned additional borrowings.

Gowri Sankara Rao: It is INR350 crores.

Sanjay Kumar Jha: INR350 crores.

Romil Jain: INR350 crores is the working capital loan?

Sanjay Kumar Jha: Yes, yes.

Moderator: Thank you. The next question is from the line of Amit Dixit from ICICI Securities. Please go ahead.

Amit Dixit: I have a few questions. The first one is potentially on the revenue breakup, if you can give between superalloys, titanium-based alloys, and specialty steel for this quarter?

Sanjay Kumar Jha: Okay. That we will provide you. We are not having the readymade data available coming from the superalloys and all, but I will provide you that information.

Amit Dixit: And gold head, sir, as we see that order inflow that we are expecting of?

Sanjay Kumar Jha: We will give you the right figure. I'm not -- I'm having the approximate, I don't want to give you that figure. But definitely, I'll leave you -- share that information.

Amit Dixit: No problem. I will ask company secretary for it. The second one is on essentially that going ahead, do you expect this INR700 crores incremental that we are expecting in H2, will be component of -- do we see the higher component of specialty steel and superalloys in that compared to titanium? Or how is that going to be, very similar to what we have seen until now?

Sanjay Kumar Jha: What we have booked? Book order, we have, expected or booked?

Amit Dixit: Expected. Expected as well as booked if you can see?

Sanjay Kumar Jha: What was your question, can you repeat?

Amit Dixit: So the question is that we are expecting INR700 crores?

Sanjay Kumar Jha: Booked, already, we have made the -- yes, just you listen, special steel INR252 crores.

Superalloy is INR171 crores, maraging steel INR151 crores, titanium alloy is INR128 crores and others coming to almost INR13 crores. And if you see the expected one and all, also for --

so expected also, we are having almost in the similar mix, it will be there. We

I'll inform you that

what -- it is going in the sequence wise. So very difficult to talk about that which order we are going to get first and all. But we are...

Moderator: Mr. Dixit, are you done with your questions?

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Amit Dixit: No, no, I have a couple of more, I have actually, the management were discussing their business, I was waiting them for them to complete. Yes, so the second question I have is on -- sir, since we are increasing our titanium capacity quite substantially. And as I understand that we have got capability to participate in the aerospace program for the future, along with HAL maybe.

So I just wanted to understand, I don't want a one year, two year perspective, but from a five year view, whenever titanium capacity would be up and running, what kind of revenue growth or profit growth do we expect? What all platforms do we expect to participate? And if you can highlight some of the major upcoming platforms such as the Tejas Mark 2 engine, or Mark 1A engine as well or whether we are going to participate in certain of the missile programs. So certain platforms the big ticket items would certainly help at this stage from a long-term perspective, sir?

Sanjay Kumar Jha: If you ask me on the platform, wise consumption, is it not. So for Tejas. Tejas, one thing is there. Tejas, the engine is coming from GE. So whatever we are supplying the materials are very basic in nature, that there we have mainly titanium alloys and some of the steel -- special steels and a little bit of superalloys, very less.

But what we see in the major convention, the superalloys for the Indian program is coming from development of Kaveri engine, Kaveri dry engine, which you might have seen now for the unmanned vehicle, which India is developing so for that purpose. So also, we have -- there are some programs for making the ATG and also development of the alloys for AMCA, that is for advanced multi-combat air vehicle.

So for these areas, is only the special alloys are required, and may more focus way now the things are coming for indigenization of the some of the alloys for our foreign platforms. So those things are expected to now originate, but that once it gets crystallized then I'll inform you.

But there also, there is a lot of combination of, again, steel, superalloys and titanium alloys. So basically, in the aero engine only, if you are entering then, we have the major consumption of titanium nickel alloys. So we are expecting in those areas and some of the areas where we are exporting also.

Amit Dixit: Okay. Sir, I have other questions, I'll come back in the queue. Thank you.

Moderator: Thank you. The next question is from the line of Khush Nahar from Electrum Portfolio Managers. Please go ahead.

Khush Nahar: So first question was, sir, broadly, can you mention the percentage of our revenue, which is a titanium-based and nickel-based?

Sanjay Kumar Jha: As I told to the previous question itself, that this communication I'll send you in our format, that's what we have achieved in the H1 of FY'24 we'll send you that information odd classification that how much percentage we have done this. Right now, it is not there as a complete information. I want to give you the right figure. I'll tell you. Okay?

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Khush Nahar: Okay, sir. Yes. And sir, my second question was, what kind of shift are we seeing? So for example, our order book in the previous years was around in the range of INR800 crores, INR900 crores and today, we are expecting around INR1,600 crores in this year. So what kind of macro changes are you seeing in the industry?

Sanjay Kumar Jha: I have told that this year, we are expecting order book of the buildup of around INR1,500 crores. That's what I have told. I have not told about the INR1,600, of course, around

INR1,400 crores

to INR1,500 crores. This is one question. Second that you are asking that classification, which sectors? Which already have told that defense will be the major one, almost will be -- you'll find that 80% will be on the defense side only this year, and which we'll be maintaining that, majority will come from the defense volume.

And balance coming from that export and space. But definitely, space is dipping down at least

very less, certainly very less in the space. Because already we have made all supplies to the space almost we have completed. Now very less requirements are left now. So they have a good level of inventory now with them. So they are -- unless they consume that then only will go for the next requirements.

Moderator: Thank you. The next question is from the line of from Amit Dixit from ICICI Securities.

Amit Dixit: I have three questions, and these are more of a bookkeeping question. The first one is, if you can just let us know the revenue -- incremental revenue that was booked from Rohtak armour factory and Wide Plate Mill in this quarter?

Sanjay Kumar Jha: Order book for the Wide Plate Mill?

Amit Dixit: No, no. The revenue that was booked in this quarter?

Sanjay Kumar Jha: Sales we have made from this quarter from Wide Plate Mill. Wide Plate Mill sales we have a direct sales coming from Wide Plate Mill, how much? Around INR100 crores, INR120 crores.

We're going to say around INR100 crores plus for H1.

Amit Dixit: And for Rohtak armour factory sir?

Sanjay Kumar Jha: From Rohtak, it was around INR60 crores.

Amit Dixit: INR60 crores? Okay. The Second question is, sir, what would be the level of contract assets and customer advances on the books?

Sanjay Kumar Jha: Which one?

Amit Dixit: Contract assets and customer advances?

Sanjay Kumar Jha: Contract asset, we are not having that.

Gowri Sankara Rao: The customer advances will be there.

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Sanjay Kumar Jha: Customer advances will be there. You're asking about the advances in the terms of money?

Amit Dixit: Yes, money.

Gowri Sankara Rao: See, we get advance of 32% -- 30% normally, customer advances, 30% of the order value they give. Presently, in fact, earlier we got from the ISRO, now we are completing that supply, that advance has come, but still we are getting some advances, only in the first half, we got INR200 crores advance.

Amit Dixit: So currently sir, how much is there in the books actually, in your balance sheet, customer advances, is it INR300 crores?

Sanjay Kumar Jha: Balance, we will tell you that figure.

Amit Dixit: Okay. The next question is...

Sanjay Kumar Jha: Tell me, yes.

Amit Dixit: A substantial increase in payables in this half year . So can you let us know what was it, I mean, on the account of around INR153 crores...

Sanjay Kumar Jha: Which one?

Amit Dixit: Increase in payables.

Gowri Sankara Rao: Yes. Payables. You must have seen as we have explained our pressure on the inventory, our inventory has built up, it has increased by INR248 crores compared to last year. So as we explained the raw material consumption, most of the payables are raw material only, nearly INR150 crores, because of -- and pricing. We have to delay some payments, because we are not going for any further working capital because already MIDHANI has tied up for INR350 crores and INR330 crores.

Sanjay Kumar Jha: But we also have the receivable now, receivable are taking a lot of time because of that payment has to come from the government. So it takes time in processing and then the submission. So that's why considering that, we are not taking any working capital loan. So this is -- basically, the balance is coming, but then both sides, payable is also getting delayed, receivable also we are getting delayed.

Amit Dixit: Okay. Okay.

Gowri Sankara Rao: Clearly INR360 crores a

dvances.

Amit Dixit: INR360 crores. Okay.

Gowri Sankara Rao: In that INR200 crores will be in the first half only.

Amit Dixit: Yes. INR200 crores in the first half. Okay, sir. Great.

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Moderator: The next question is from the line of Rohit Ohri from Progressive Shares.

Rohit Ohri: Two questions. First one is related to ISRO. After the success of Chandrayaan, they are looking at Gaganyaan and we have already worked for them. So would you like to take us through what sort of work can MIDHANI do currently with Gaganyaan and the projects associated?

Sanjay Kumar Jha: For Gaganyaan, majority of supplies already we have completed. And now the limited requirements are still there. So there, we have some special materials like titanium plates and some of the like grid fin, some -- still some requirements are there, which we are executing. So I say 90% already we have completion is over for the Gaganyaan requirements.

Rohit Ohri: And there's no other players or the players of the same project that ISRO is looking at?

Sanjay Kumar Jha: ISRO, right now, they have the -- more they are going for a public private partnership model.

So the many things are now getting in the offering now. It will be coming in the future. It will take some time. But they have one thing has come out now that 5 PSLV, they have given to L&T and HAL Consortium. So that 5 PSLV orders we have received and which we are already executing now. So this year, this current financial year for the 5 PSLV requirements, we'll be giving from already supply has started, we'll be finishing in this financial year for the entire supply for the 5 PSLV also.

Rohit Ohri: Okay. Sir, knowing that these material will be of very high quality and high purity requirement, do you think you will be able to kind of liquidate the strategic material that we are already carrying since last 2, 3, 4, 5 years?

Sanjay Kumar Jha: That's a big challenge because these are the strategic value, I rightly word put the strategy. And today, the world is very in a difficult critical situation. So these are strategic materials. First of all, you have to find out the buyer. And the buyers will be having no bad intention, which would be used for a constructive purpose. And also it is better if it's within the country. So there are many challenges. We are trying to see that how best we can utilize. We are -- we have got some success also in that area.

Our focus is that in today, but recently, also, we have done a very unique development and technology earlier used to use for space requirements with fewer materials. So now we have gone to 50% scrap. Now we are looking for even higher content of scrap also. So these things are not done immediately because many testing qualifications are required, and customer has to agree for that.

So some work is moving in that, but that is very less because whatever we have piled up is not 5 years, it is right from the inception. Many things are right from the inception only it has been piled up. So we have to see that how best we can utilize because these are all valuable materials, having a lot of good -- you have the nickel, you have the cobalt, all relevant materials are there. We are trying to test out it like that. One way is just to find out and sell it in the market, but that sort of possibility is not there, if we get some good customer.

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Rohit Ohri: Okay. Sir, my second question is, looking at the margin erosion that we have seen and aware that in the second half we generally use quite a lot of scrap material, but if you look at the bottom line, do you think you will be able to close the year with the PAT levels of pandemic or pre - pandemic levels of INR130 -odd crores or something like that?

Sanjay Kumar Jha: We are hopeful. Let's see. We are hop

eful, and we are trying for that. And we definitely trying to see that how best we can optimize that.

Rohit Ohri: Okay. So that's all from my side.

Moderator: Ladies and gentlemen, that was the last question. I now hand the conference over to Mr. Amit Dixit for his closing comments.

Amit Dixit: Yes. Thanks, everyone, for attending the call this morning. I would also like to thank the management for sparing their valuable time for interacting with us. I will now invite Dr. Jha for any closing remarks.

Sanjay Kumar Jha: Yes. First of all, I am extremely thankful to all the investors, stakeholder for showing your interest and giving a lot of very valued -- your questions and queries. And we have tried to answer to the best of our abilities. Certain things which you have asked early, we have not answered to the level of satisfaction. But many things we have to see that how we can take care of the interest of the company also, because many informations are very crucial in nature for the strategic program of our country also.

So we have done to that extent. And whatever you have seen in the results, which has come, we are also trying to see how we can improve it further in the coming quarters. And I see that

MIDHANI will be in the right place. But one thing is there that this industry is now and in very, I say, transformative state because of the change in the requirement of the materials in the different types. So we have to see that, and this is a time where investor has to put the confidence on us.

And I am sure that we will not make you -- will make you happy at the end of the day, and entire company management is working hard. We have a very good team of engineers, committed

people. They are working very hard to minimize and many new products we have developed, which if you can say that recently also, we have got the product development for C -276 Hastelloy for BHEL executed successfully. And also, we are trying to make many alloys for our aero engine program. Many foreign supplies we have made for aerospace industry right now. So we are trying to see that how MIDHANI can be a leading material supplier for the aero engines or aerospace in the future, not only in the domestic, in the international front also. So this is a challenge. So I'll say this is the stage where we are -- the company is in the complete transformation, and we need the blessing and support of all the stakeholders. Thank you very much.

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Moderator: Thank you, members of the management team. Ladies and gentlemen, on behalf of ICICI Securities, that concludes this conference call. We thank you for joining us, and you may now disconnect your lines. Thank you.

Call: Mar 2024

MDN/CS/COMPLIANCE/2023-24 March 01, 2024

To,

BSE Limited,

P.J. Towers, pt Floor,

Dalal Street,

Mumbai- 400001

Scrip Code: 541195 National Stock Exchange of India Limited,

Exchange Plaza, SthFloor; Plot No. CII, G Block,

Sandra Kurla Complex, Bandra (East),

Mumbai -400051

Trading Symbol: MIDHANI

Sub: Transcript of the Analysts and Investors Meet/Conference Call held on February 27, 2024

Dear Sir/Madam,

1. Further to our letter dated February 27, 2024 intimating you about the audio recording of Analysts and Investors Meet/ Conference Call on Q3 - FY24 Results, held on February 27, 2024, please find below the transcript of the aforesaid Conference Call.

2. The transcript of the call is also made available on the Company's website.

This is for your information and record.

Thanking you,

Encl: As above Yours faithfully,

For Mishra Dhatu Nigam Limited

Paul Antony

Company Secretary & Compliance officer

company.secretary@midhani-india.in

for MISHRA DHATU NIGAM LIMITED

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"Mishra Dhatu Nigam Limited Q 3 FY24 Earnings
Conference Call"

February 27, 2024

MANAGEMENT : DR. SANJAY K. JHA – CHAIRMAN & MANAGING
DIRECTOR ,

MR. T. MUTHUKUMAR – DIRECTOR , (PRODUCTION &
MARKETING) & PAUL ANTONY - COMPANY
SECRETARY

MODERATOR : MR. AMIT DIXIT – ICICI SECURITIES LIMITED

Mishra Dhatu Nigam Limited

February 27, 2024

Moderator: Ladies and gentlemen, good day and welcome to MIDHANI Limited Q3 FY'24 Earnings

Conference Call hosted by ICICI Securities.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' and then "0" on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Amit Dixit from ICICI Securities. Thank you and over to you, Mr. Dixit.

Amit Dixit: Thanks, Michelle. Good morning, everyone, and thanks for joining the call today. At the outset, I would like to thank the management for giving us an opportunity to host the call.

From the management today, we have Dr. Sanjay Kumar Jha – CMD and Mr. T. Muthukumar – Director, Production & Marketing and Mr. Paul Antony, Company Secretary.

Without much ado, I would invite "Dr. Jha for Opening Remarks," post which we will open the floor for an "Interactive Q&A Session." over to you, sir.

Dr. Sanjay Kumar Jha: Good morning to all the investors who have joined this conference call.

The Q3 Results of MIDHANI is I would say a mixed type of performance.

The first one, I would like to mention about the positive aspect that Value of Production (VOP) and the sales, there is a substantial growth in that side, but at the same time we have had some pressure on PBT and PAT. There are various reasons for that, that we will be talking as we progress in this call.

But the one good thing is that we have many new achievements which Company has achieved during this period, which includes, on the front of, I would say, the product development and export. So many new products we have developed and also we have done the export and, in this point, also I would like to mention here that in aerospace sector, the order book also has improved substantially. And when I talk about the aerospace, it is mainly for the high-end applications which includes the Superalloys, Titanium alloys and some of the very unique special grade steels also and those things have a long-term potential in the business of the Company and not only cater to the requirement of our national fleet of aircraft, but also we will be having a very good potential to enter in the supply chain of leading aerospace companies of the world. So, that is the one part.

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And the second part is to meet these challenges which Company is facing for exports, like having the certification for NABCB and many other parts that some like S400 type of certification, so we are working towards that and also there is a good progress.

Recently, we have commissioned the two unique facilities in our Hyderabad premises which include fluorescent magnetic particle testing. This is all required for testing of finished components. So, this is required mainly for the aerospace components. And earlier also as I mentioned about isothermal facility. So, we have achieved a very good progress in our endeavor to see that how we can improve some of the areas for making the aerospace materials.

And also another very important part is in our development of infrastructure or the equipment side is modernization of our downstream facility where we have done a lot of progress in the bar and wire facility, where the wire drawing, then finishing operations, then heat treatment, that facility also has taken a very good change and a very good growth is there. From that segment, we are now getting very good business; there is substantial increase in our turnover from that facility, and I am seeing that the potential will be almost if we compare it to the last financial year 22-23 and this financial year, I will say it will be multiple times

and it may touch even 10

times also when compared with last year. So, these are the changes which we are very hopeful that things will be going in a fast-track mode.

And also, we have in this quarter I think a good amount of supply, the first time we have done for a consortium for making the launch vehicle, the PSLV outside the domain of ISRO. So, that from that consortium we recently got the order and that we are supplying in a very short time, in fact, earlier supply period used to be over a span of maybe one year, one and a half year or two years, but this we are completing in three to four months. So, that shows our capability in the area of our production because of the addition of certain facilities. These things are giving a lot of momentum in our servicing these type of requirements in an effective way.

I think this much only I can tell you and many others as we progress, we can reply, and I will ask people also to participate in that.

Moderator: We will now begin the question-and-answer session. The first question is from the line of Khush Nahar from Electrum portfolio Managers. Please go ahead.

Khush Nahar: So, my first question was on the raw material pricing. So, we have seen Nickel prices coming up and down. So, since our order book execution is around two years, so what is the lag time that we keep, so like when can we see the benefit of the following RM in our numbers in terms of EBITDA margins?

Dr. Sanjay Kumar Jha: This is a very valid point. First of all, all orders are not very long-term for MIDHANI. Many

orders we have to service within three to four months only, so either in a single quarter only or in up coming quarter we will be supplying the material . So, that impact definitely we are going

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to get the benefit in Q4, but it will not affect all the supplies because many things already we have committed and whatever we have got probably it can make up, I will say that whatever we have lost because of one I have taken the other Nickel alloys or something, in between it has increased. So, we cannot say that we will not supply that means required quantity, required order say that I cannot service the order. There will be a mixed benefit because of this, but definitely it is going to have the impact and may something in the fourth quarter, but the effective way it will start coming from the Q1 of next financial year, because this financial year many melting, and all we have already completed, so impact will be mainly felt in the first quarter of next financial year due to lower prices of the Nickel .

Khush Nahar: So, from Q1 of FY'25, we can see our EBITDA margins going back to the normal rate?

Dr. Sanjay Kumar Jha: Yes, yes, definitely it will have.

Khush Nahar: So, one of our competitors , so they haven't seen such a big impact on their EBITDA margins in the last three quarters like we have seen. So, is there any particular reason or how is it?

Dr. Sanjay Kumar Jha : First of all, you have to see what is the product profile because just like that competitor we cannot say, but what is the product profile. I am talking about is my case. If you see that my total volume of production the super alloy production has gone up substantially . Earlier, if you see it was 8% of our total volume, this time it is 20%. So, this is almost two to three times jump is there in the super alloy production. Probably my competitor may not be having so much volume of super alloy. So, that can be the reason for that.

Khush Nahar: In the order book, what will be the split between fixed contract price and the variable? So, we have majorly fixed prices only whenever we are booking -

Dr. Sanjay Kumar Jha: No, we are having the fixed price only. Variable price , I think nobody is giving as of now. Except earlier we had some orders from the space, but that space order already exhausted as we have almost

completed it .

Moderator: The next question is from the line of Amit Dixit from ICICI Securities. Please go ahead.

Amit Dixit: A few questions from my side. The first one is, if you can break the revenue that we achieved this quarter between super alloy, Titanium , and specialty steel?

Dr. Sanjay Kumar Jha : We had almost if you see 20% from Superalloys , 9% from Titanium alloys and 34% from maraging steel , 27% from special steel and 10% from others. In this case I am talking about the total period ended up to December 2023. And coming to that, if you see compared to same period last financial year for December 2022, Superalloys was 8%, Titanium alloys was 13%, then we had hardened steel 55%, special steel 18% and 6% others.

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Amit Dixit: A more strategic level question. So, recently the government has come up with the increased FDI in the space sector. Just wanted to understand the implications for us whether there will be increased competition in the space that might impact us or this also means that the endeavor of the government is to increase the ventures in space and therefore the market potential for us would also get significantly increased, how do you see it, just wanted to get your thoughts on this?

Dr. Sanjay Kumar Jha: FDI in space is definitely going to give lot of advantages for the space industry per se. And in space , MIDHANI is I think one of the major suppliers of raw materials. Because the raw materials supply for space goes from MIDHANI, which is already established. But then in fact, many other players are also developing the materials, they are also seeing the potential. So, it will not only because of FDI, even due to other investment in the space sector , there is going to be a good market, but also at the same time we will have the challenge also so that there will be competition in the market. So, we also have to take part in that competition and be prepared to take the challenge and get the orders. But definitely it is going to benefit the industry. But the margin which we expect from the space sector, pressure on the margin will be there because the moment you are going for the competitive bidding and all, whatever margin we operate today probably that margin we have to cut down and see that we can grab the order.

Amit Dixit: Tagging along with the earlier participant's question, if we look at our EBITDA margin, it has gone down quarter -by-quarter, I mean in Q4, we had this margin of 29% and now it is down to 14.2%. While some of it might be attributable to your higher proportion of Superalloys and lower proportion of Titanium , just wanted to understand that for going ahead FY'25 let us say when things would be a little bit normalized, what kind of margin and what kind of revenue growth can we build in?

Dr. Sanjay Kumar Jha: You have rightly pointed out we have seen in Q2 also, in Q3 also, there is a pressure because of the raw material price. Sometimes the price of Nickel will affect , sometime's prices of moly will

be affecting, sometimes cobalt. So, these things are going to be there in the market as we progress. Today, if the Nickel is down, it may go up again because do not know what is the geopolitical situation it is governed by that only. There is a chance that again there may be some spike, some further downward trend I am not expecting for the raw material, there will be increase in volume as we progress. This is one aspect. Second part for the MIDHANI because this year we have totally transformed our product profile and this transformation is the transition year for MIDHANI. And next year, when we are entering in that, further, our proportion of Superalloys is going to increase in our supply chain. There is no doubt. But we are going to stabilize it now. I think this year is some sort of a transition. Next year we definitely will come back to our original one, but original one, whatever we had earlier margin of more than 25% that sort I am not expecting. I will be saying that if we are able to reach 20, 20+, within 20 it will be very good for the Company. And I also think that we should also operate on that level because if you are aiming for 25, 30, then you will be losing lot of orders coming from the international

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market or domestic market. That is not good for the Company having installed so much capacity, so much production, volume, and all. We should try to increase our volume and that way in absolute terms, your profit will increase, but the percentage terms it may remain on the lower side. So, that part we have to balance and I am seeing that possibility is there in the next year, because many things are lined up where I see these things will be coming in that way. Even for the domestic requirement also to day, everybody is aware what is the international price. So, while we go for the domestic negotiation and price also, they will compare and then based on that only they will give you the orders. So, it is that type of situation, unlike earlier which was something not known, and now because of a lot of private companies also are coming, and as somebody was saying that FDI, so the investment is coming in a big way because people see the Defence industry and space sector is going to pick up two times, three times in the next five years. So, definitely people are going for increasing their capacity, they are going to acquire the technology, they are going to get the investment. Now, in the next four, five years I think a lot of capacity addition will come in India. So, that is for the Indian market and for international market also, the sector where we are operating, that's my perception.

Amit Dixit: And what kind of revenue growth can we pencil in, sir?

Dr. Sanjay Kumar Jha: We are targeting (+20).

Moderator: We will take the next question from the line of Prabir from Ratnabali. Please go ahead.

Prabir: Sir my question is regarding CAPEX and the customer advances. Like in the last five years, the accumulated CAPEX was roughly around say 800 crores. So, is there any link that you use your customer advances for the CAPEX?

Dr. Sanjay Kumar Jha: Advances from customer is not coming now. It comes in a few cases and it will be based on the project only, a very miniscule number. It is not like earlier times where we used to get.

Prabir: My question is, have you used your customer advances to build CAPEX?

Dr. Sanjay Kumar Jha: Not now. Earlier, we have done this. I think you wanted to know that in 800 crores of commissioning how much customer has given the money?

Prabir: Yes.

Dr. Sanjay Kumar Jha: Only one I will mention here, we have got around 400 plus crores from the customer. That is only for the Wide Plate Mill which already we have commissioned. But for all other CAPEX, it is from our own resources only. Again, the CAPEX loan, we have also done from our internal source of fund generation from there only.

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Prabir: Sir, my next question is related to the competitive landscape. In terms of capability, how do you see you are there right now in India compared to others, as FDI is also coming so this competition is expected to grow rapidly. So, I just want to understand the capability of the companies that are there which is in the same domain that you are now?

Dr. Sanjay Kumar Jha: Yes, this is a very good question. I will try to make it very brief. See, first of all, you have told about the other players in this area where MIDHANI is working. It's true that we are getting competition within the country and not only within country, earlier also we used to get from the outside also. Today, I will say many places, not only India, but we are also getting competition from the outside.

In fact, if you see many supplies are coming from abroad today also where we are operating. So, it is not only the India and from abroad also it is there. So, competition will not come today only I will say, it is coming from the beginning. Now the only thing is that you are getting some other players so that quantity and volume level for us will be distributed. That problem is coming now. Otherwise, the competition was earlier also. Now, because of this type

of competition, naturally you cannot get the orders with a bigger margin. It has to be on some optimum level. So, based on that only we are getting. But capability wise, MIDHANI is having excellent capability. Our technology, our domain of working, so much diversity, so much product profile, no other Company is having, probably you can compare in the world also if you see the type of product profile we are having by a single Company, you will not find maybe one and two companies will be there across the world. So, that way we are very much equipped and if something is down, something will be up, if nothing is down, so we have many things where we can take our Company growth based on the market potential. So, we are not having any dearth of that type of capability wise. But yes, in industry where we are operating and any industry per se, R&D, innovation and then developing the new product is the order of the day. So, that part also we are very much in line with a lot of product development. If you see this year itself, I was just saying that four, five alloys we have developed, we have exported and I am expecting that there will be a regular supply for that, and similarly for indigenization also. Two grades I have developed for our nuclear program, which already we have given to the BARC for evaluation. These things are very good potential for the Company for the future. MIDHANI is not working from today. If you see my development I will make the development for three years, four years after. So, probably whatever today I am developing I will get the advantage of four, five years. This is the culture, the way the Company has functioned. We never shy away that okay, today only if I am investing, next month only I should get the results. Many cases we are getting also. But my development is not focused only on the immediate revenue. This type of work Company is putting in good prospects. So, you'll find that will be going on same practice.

Prabir: So, my next question is related to Nickel and Titanium. As most of these are imported materials, it's very volatile in nature. So, is there anything that is going on to supply these materials from domestic sources? I am asking this because India has a good reserve in Titanium. So, is there anything that is going on?

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Dr. Sanjay Kumar Jha: In Titanium, India is having the good results, but we are not able to make the response because of the lack of investment or technology and the economy of scale, there are number of factors. But now considering the global scenario, it has been decided that we should enhance our Titanium production capability. So, there is some work going on, MIDHANI also is part of that team. And recently you also might have seen that in March they announced that they are going to invest some 26,000 crores in Titanium and all. I am not getting those things. They will be doing some activity there. But whatever facility today we are already making the sponge in country, we are going to enhance it. Right now, the capacity is very less. Hardly, we are meeting almost 10% to 15% of our requirement. So, if we can increase the capacity by four to five times, we can get the entire from there only. And regarding Nickel, Nickel resource is there in the country. But someone has to acquire some mines, some facility elsewhere. This work is not in our domain because this is being done by, I think,

the Ministry of Mines. They are trying to do something on the Nickel mining and Nickel production. So, that will come maybe afterwards. But Titanium, we are trying to take some action on that, so is the case for other raw materials also for a strategic in nature, for the Defence requirement, there also some activity has started, and at the appropriate time, we will inform you that what is the outcome of that type of activity.

Prabir: Can you please help us by saying your three to five years potential order pipeline?

Dr. Sanjay Kumar Jha: I can talk about today's condition, and I am not forecasting for the next three years, five years. But just to give you the overall, the way the Defence is operating or space, Defence, we have one thing that for LCA has picked up, LCA is going to be the good numbers, missile requirements has gone up, missile export is just ticking up, we have the LCA also. So, we will have that type of potential in the future. But currently we are operating with around Rs. 1,750 Cr. order book and so, but many orders are there in the pipeline. So, once it gets materialized, we will inform you. Indigenization is the major thrust now by the ministry also. So, a lot of things are planned accordingly.

Moderator: We will take the next question from the line of Dipen Vakil from In Cred Equities. Please go ahead.

Dipen Vakil: Earlier, you mentioned that you are currently in the transformation of the product profile for your Company. So, can you talk us a little bit more about your upcoming products and their use case as to where you are targeting the use case to come from?

Dr. Sanjay Kumar Jha: Some background noise is there. I will request you to repeat your question.

Dipen Vakil: So, basically what I was asking is that you mentioned that currently your product profile is in a transformational stage. So, can you tell us about your new upcoming products in the near future like say next one year or so? And your targeted use case as to where do you see this product being utilized, whether in the space division, aircraft division, engine manufacturing division, where do you see the thrust coming from?

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Dr. Sanjay Kumar Jha: This is also a very important one. What I am saying is that today, MIDHANI's potential and where there is a scarcity of raw material is in the aerospace. And when I say in the aerospace, I say mainly about the aero engines. And aero engines not only for our aerospace requirement, even for the energy sector also for making some turbines, for energy power sector, and also in the high-end of the oil and gas. So, these two areas, the requirement of Superalloys that is for Nickel-based alloys, extensive requirement is there. And there only I see the potential where the Nickel-based alloys, Titanium alloys and also the cobalt-based Superalloys, then some of the special steels also like maraging steels and we have some precipitation hardened steel because steel is a very wide range. But when I am talking about steel, we are all talking about the high-end steel only. And some of those Superalloys we have, iron is prominent. So, in that area I see there's a lot of potential. Many discussions and all we have done, and we are also trying to see that how we can enter in the domestic aerospace because if you see today many aerospace manufacturing companies like Tata Advanced Systems and other companies, Safran and also the Pratt & Whitney, the raw material is coming from the outside, then they process here and then they will export it or use in our domestic requirement. So, I think that area is a very potential one. They are also interested but now they are getting difficulty in getting the raw material from the outside. So, we are trying to fill that gap and to the best of our ability that quantity wise. So, that area we are working extensively. I think this will

be the future for MIDHANI and you will

see in our next financial year also that type of supplies will be more and more.

Dipen Vakil: Any CAPEX plans or like where are we in the CAPEX plans with Defence corridors, are we setting up new facilities and how do you see it going ahead?

Dr. Sanjay Kumar Jha: Defence corridor, people are there, but my vision for my Company is to serve the material requirement in Defence corridor. See, normally, MIDHANI type of Company to multiply it in the Defence corridor. Gestation time is very high, like a lot of money you have to invest and then you require for the next four, five years. So, that much CAPEX getting blocked for so much years may not be an advantage for the Company. But other than that, in this complex itself we can enhance our capacity in a very short time. So, we are doing regularly here. This year also we are investing around 80 crores in the CAPEX and similar things planned for the next year also, and maybe it can get increased also depending for some of the equipment's which we are planning to buy. So, that is one area which we have many things like earlier also have told we have the plan for additive manufacturing for metal powder, it's a very unique business but that equipment we are now allowed to get because of certain restrictions coming from the European countries. And another part is that we are also trying to have 8,000-ton compacting press. There also again it has to come from the European countries only. So, these are the challenges we are facing now. So, the CAPEX is in that level. But in small CAPEX also, we have many things like our bar and wire drawing facility we have modernized fully and still a lot of equipment's are yet to come. So, that will be one area where our business is going to increase drastically. We have a lot of requirement. We also have one bar and rod, a very old plant, so that we are trying to see that we can set up a new one for that. In fact our cold rolling facility also is very old. So, many

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things are there for the modernization, then some of the revamping for the additional facility.

So, these things are in the form of CAPEX. How much we can take it, how much we can invest, that depends on our resource generations and all. But it is a regular affair, we have to use CAPEX to enhance our productivity.

Moderator: The next question is from the line of Parimal Mithani from Credential Investments. Please go ahead.

Parimal Mithani: I wanted to clarify your clarification that you guided for 20% growth going forward with improved margins. What makes you so confident about it, sir, if you can let us know?

Dr. Sanjay Kumar Jha: Good morning. You are telling me about the confidence level?

Parimal Mithani: That is for 20% growth going forward, what gives you that optimism so like going ahead?

Dr. Sanjay Kumar Jha: If you are following MIDHANI, then you might have seen a lot of additional new facilities have come. So, definitely we are going to get the output coming from that. We are focused on more Titanium, Superalloys on that side. That that will come from there. Our melting and downstream facilities, lot of things are there.

Moderator: The next question is from the line of Malay Sameer from Breakthroughs in Stock Markets. Please go ahead.

Malay Sameer: I just heard you say that MIDHANI is a unique Company with a large size and amongst the best in the world. Can you quantify two areas where you feel that your competitive advantage is way, way ahead of the competition including the world competition?

Dr. Sanjay Kumar Jha: You want only the two areas, so, we have a very strong R&D and technological base. This is the one part we are having. And the second part is that we have a very committed workforce. So, I

think these two factors only are responsible for this.

Malay Sameer: Sir, this R&D is I

indigenous, or have you sourced it from somewhere or is it an area which does not allow others to progress quickly?

Dr. Sanjay Kumar Jha: I cannot tell you about other sources, but I will say about whatever in house R&D capabilities we are having that I can tell you. Our R&D is based on the very longstanding. We have not started today. The foundation of MIDHANI only if you see in 1973 when the Company was established, it came out from the DMRL i.e., Defence Metallurgical Research Laboratory, located next to MIDHANI. Our boundary wall itself is what we are sharing with the DMRL is DRDO lab. In addition to that, MIDHANI also is having very good support from ISRO because ISRO, when they started developing the materials in their initial phase, their entire R&D team has worked here and based on that so many developments took place. In addition to that, nuclear Mishra Dhatu Nigam Limited
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side I would say. Nuclear side also, if you see today PFBR, i.e., Prototype Fast Breeder Reactor in Kalpakkam, the entire material development program was carried out in MIDHANI, and it was supplied to them. So, like that, we have history. Like the missile DRDO cluster, we are in the missile cluster. Missile cluster if you see Agni, Prithvi then Astra, then Nag, Helina, RUDRAM, all missiles development started with the MIDHANI material only. So, when the volume is increasing for those types of requirements, definitely, we have our share, and our business potential is also increasing. So, it is not based on only one day. It is almost over a period of time. So, I will say one of our biggest strengths. So, while working we are also getting the support from these labs which I have mentioned, but the core team is MIDHANI, equipment from MIDHANI, our team is innovative, we have the equipment development facility, we can make the equipment as per the customer requirement. So, there are many things which the Company is inherent in other things, which probably are different from the other competitors which they have started now only. Probably they will also build up.

Management: MIDHANI has developed over the period more than a thousand types of alloys for various applications. So, that is the base. Now whatever the new alloys which is required from that base people are so confident and knowledgeable and they can develop any alloy for any application. So, that is the biggest strength of MIDHANI which no other will have. They will have only over the period, but this is the base which we have started as the R&D institution and that is the major strength of MIDHANI.

Dr. Sanjay Kumar Jha: That's what I told in one of my presentations at the laboratory that our turnaround time means getting success rate of MIDHANI alloy development is almost 100%. Give us any composition, any alloys, MIDHANI can manufacture in one go only. This is the strength which MIDHANI is having.

Malay Sameer: My last question is that for further technological development, are you getting continued support for any new inventions in R&D that they may have which will speed up the process of your developments. Two, are you just self-dependent in progress in technology from here on.

Dr. Sanjay Kumar Jha: Today, we are developing material for AMCA. AMCA is a new program in Defence it has come. So, AMCA is planned out by DRDO. We are with the DRDO, GTRE, DRML. We are working with the requirements for Adour in this canal and some of the strategic programs for Indian Navy, all the things are going on. Now also, I am trying to see some of the technological developments. We are getting some T o T also is coming. So, we have a very wide, wide range and many things are almost like a strategic in nature. Strategic one, we are having that part is totally different.

Moderator: We will take the next question from the line of Amit Dixit from ICICI Securities. Please go ahead.

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Amit Dixit: The first one is that there was a very impressive order inflow in this quarter of Rs.513 crores. Is it possible to break it up into different sub-segments like firms, etc.?

Dr. Sanjay Kumar Jha: Last quarter, I think the main one was aerospace, that is from HAL, we have got around 370 crores of order. And other one is we have also got from the DRDO, that is from the GTRE. Then also we have received from the DAE. So, some of this mixed order is the rest, but they are all very unique ones, highly a special one I will say. Many orders are the first of its kind. And if we are able to deliver it on time, we will have a recurring requirement not only for MIDHANI, it is flight for the nation because aerospace order, which we received from HAL is very much required for our indigenization of some of the fleets of air force.

Amit Dixit: Sir, what is this order regarding, I mean, if you can explain a bit about it?

Dr. Sanjay Kumar Jha: This is for the aerospace requirement.

Amit Dixit: I know there is just one month left, but how much order we have booked so far in Q4 and what do we expect until March?

Dr. Sanjay Kumar Jha: In Q4 Rs.250 crores so far. But there is a potential that we will get maybe coming from the spill over for the next year.

Amit Dixit: Coming to the Rohtak armor factory and wide plate mill, so how much revenue we have booked from these two facilities in the last quarter or even if you mention the nine months, I mean, that would be fine?

Dr. Sanjay Kumar Jha: In case of wide plate mill, order booking for the plates which we have in fact backlog was there for ISRO so that we have completed extensively for this year from our plate mill, plates we have supplied Rs. 200 - 250 crores.

Amit Dixit: And Armour factory, sir?

Dr. Sanjay Kumar Jha: Armour, we have the backlog of orders that only we are executing. Fresh orders in this financial year so far, we have got very few, maybe around 10 crores. But we have the backlog of the orders that is now, and one order is there which is already for negotiation it is there, so that has not come so far, it will come maybe in a couple of months.

Amit Dixit: At one point in time, sir, you mentioned that the revenue booking can be almost 500 crores annually from both of these facilities individually. So, where we are, I mean, in terms of run rate and do you expect it -?

Dr. Sanjay Kumar Jha: Which I already have told that that this part almost we have done around Rs.200 on wide plate mill. And for Armour order booking, we have not taken any orders in fact, there are some orders

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were pending, but since we are not having that capability to execute those things, we have not taken, but this current financial year we will be almost coming with that domain only.

Amit Dixit: Sir, you hinted at it in the last answer, but just would like to extend it a bit more. In naval platforms in particular, we are seeing a lot of frigates, I mean, being built in submarines. So, naval platform at least the execution part is going on significantly well and there are few other orders on anvil. So, what kind of share we see from naval platforms and how is it going to increase in future?

Dr. Sanjay Kumar Jha: Submarine order quantity and all, we are not supposed to put in the public domain. I will say a good potential is there and they are also cyclic in nature. Once this one fleet is over, maybe go for the second one. But that program also has picked up. And that is the reason why in our revenue, once we are talking about the Defence, covering a very good percentage coming from the strategic platform.

Amit Dixit: Sir, the next question is, there was a thought about and when we visited the factory, we saw that you had good plans to increase Titanium capacity. Just wanted to understand where we are there

and what kind of capacity increment, we can expect over the next two years?

Dr. Sanjay Kumar Jha: In Titanium, our order book has gone up substantially. The only thing is that there is a problem in the sponge supply. And that plant which you have seen that also initial trial already we have conducted with the steel. And now with the Titanium also, we have taken a few melts. We are waiting for the sponge supply which we have to import from Kyrgyzstan. So, once the sponge comes, we will start the melting also from that furnace. But furnace is almost ready for taking the melting. And once the furnace starts, it will have the advantage of processing the Titanium and we can process up to 1,000 tons, MIDHANI can go to that level.

Amit Dixit: This is contingent on of course on the orders and everything else?

Dr. Sanjay Kumar Jha: Today, orders in Titanium is not the issue. We are not able to execute the order because of the constraint in the supply of the sponge. So, I see that at the market will have a good potential in the future. Next year, we will get the good advantage of this.

Amit Dixit: I have the data keeping question mainly. If you could just let us know the contract assets and customer advances as on December -end?

Dr. Sanjay Kumar Jha: Our orders are not like a contract. We are getting the purchase order and that order we are getting regularly, many numbers will be there will be in our book, some order maybe 5 crore, some order maybe for 1 crore, some order maybe from 20 crores. So, only the bulk one I am informing as per the SEBI guidelines which is for HAL order, we have already communicated to you. And earlier to that we got from L&T, that also we have communicated for ISRO requirement. But the

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other things are coming and also some of the Defence order like more than 100 crores that we are communicating but we get the many split orders.

Amit Dixit: When we visited your factory, there was a thing that there are lot of components within the engine that we can indigenize and looking at the order and potential inflow for HAL particularly for LCA Mark 1A, let us say the engine cost is X, so how much is our share in that at this point in time and how much we are targeting let us say in the next four to five years?

Dr. Sanjay Kumar Jha: And that's why I told in the opening remark also, transformation of MIDHANI is there this year.

Why I have told because many alloys which we are developing are for targeting the aero engine only. And in the case of aero engines, there will be extensive certification, extensive testing, extensive evaluation. So, we are passing through that phase. In that process, many of the art equipment's already we have commissioned and doing a lot of testing and all. In addition to that for aerospace requirements, as you talked about the HAL, HAL is not making the aero engine today, only they are doing the overhauling. In overhauling of the aero engine already they are doing overhauling only for the Adour that is for the Jaguar aircraft. So, for that, we have a regular supply now. For all Adour engine requirements, MIDHANI is supplying critical components going to Adour engines which we are giving. And also, for LCA now it is coming from GE. GE engine once after this MoU, if the GE starts setting up the manufacturing in India, we are trying to see that how maximum alloys we can make within the country only. So, far, the commitment has not come from them that they are going to take the alloys from India depending on the indigenization content. But there is a move from our side that before they come here, whatever alloys they are using, we are supplying to their own like GE US we are giving some alloys now. And they are also trying to getting certification by certain S400 laboratories and all. So, we are in this process. So, that when they come to India, they should

not say that, okay Indian alloys or

Indian industry is not available. On that side, we are working extensively. It will be useful in the future. But on the Indian side for LCA India, still we have to wait for some time till the GE starts working. But for our own indigenization program of dry engine, already we have supplied a lot of materials, MIDHANI material has been used. Now those engines have been tested, they are working well. So, that side is moving well, no problem.

Moderator: I would now like to hand the conference over to Mr. Amit Dixit for his closing comments. Over to you, sir.

Amit Dixit: Yes. Thanks everyone for attending the call this morning. And I would also like to thank the management for very patiently explaining to us the outlook and the prospects. I would like to invite Dr. Jha for closing remarks. Over to you, sir.

Dr. Sanjay Kumar Jha : First of all, thank you all for giving support to MIDHANI. You know that we are a very multi-product type of a Company. So, many ups and downs will come in between when we start taking the new step forward. But you might have seen that our turnaround time also is very less, because of that potential only we are able to survive. So, many alloys which we have developed and
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exported to the different companies this year, and also our indigenization of our Indian requirement has come in a very short time. So, I really compliment my entire MIDHANI team, my Director Production & Marketing also is sitting in front of me, all my marketing persons, finance persons and Company Secretary and the entire MIDHANI team. A wonderful job people are doing here. The only thing is that there is a fear always in the mind of the people that how we will be able to survive in the future, what will the fate of the Company, somewhat it is required also. Without pressure, if you become complacent, then you cannot perform. So, I see in the positive aspects that whatever we have the competition and once people like you give the input and you ask the challenging questions and then once we try to answer, we will see that from which place we are having the weakness, and we will try to see that how we can solve those types of things. But overall, we are moving towards a better future not only for the Company, and the country as a whole, and we should feel proud. In fact, this is the one area which MIDHANI is there for materials. If India takes the lead in that material side, then only we can say that if ISRO's growth is growth for developed country. So, material is the core I will say. And we are addressing the core issue for the country. So, that type of feeling we are having once we are working today. Thank you.

Moderator: Thank you, members of the management. Ladies and gentlemen, on behalf of ICICI Securities, that concludes this conference. We thank you for joining us and you may now disconnect your lines.

Note: Rephrasing is done in order to bring clarity wherever required.

Call: Jun 2024

MDN/CS/COMPLIA NCE/2024-25 June 4, 2024

To,
BSE Limited,
P.J. Towers, 1st Floor,
Dalal Street,
Mumbai- 400001
Scrip Code: 541195 National Stock Exchange of India Limited,
Exchange Plaza, 5th Floor; Plot No. CII, G Block,
Bandra Kurla Complex, Bandra (East),
Mumbai -400051

Trading Symbol: MIDHANI

Sub: Transcript of the Analysts and Investors Meet/Conference Call held on May 30, 2024

Dear Sir/Madam,

1. Further to our letter dated May 30, 2024 intimating you about the audio recording of Analysts and Investors Meet/ Conference Call on Q4 - FY24 Results, held on May 30, 2024, please find below the transcript of the aforesaid Conference Call.

2. The transcript of the call is also made available on the Company's website.

This is for your information and record.

Thanking you,

Encl: As above Yours faithfully,

For Mishra Dhatu Nigam Limited

Paul Antony

Company Secretary & Compliance officer

company.secretary@midhani-india.in

iq■ e11g ■ f#l'leg MISHRA DHATU NIGAM LIMITED

('m'R fflcllR q;r ■) (A Govt. of India Enterprise)

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■ ■ ■- CIN: L 14292TG1973GOI001660

■ Website: www.midhani-india.in

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"Mishra Dhatu Nigam Limited

Q4 FY24 Earnings Conference Call "

May 30, 2024

MANAGEMENT : DR. SANJAY KUMAR JHA – CHAIRMAN & MANAGING

DIRECTOR – MISHRA DHATU NIGAM LIMITED

MR. N. GOWRI SANKARA RAO – DIRECTOR (FINANCE)

– MISHRA DHATU NIGAM LIMITED

MR. T. MUTHUKUMAR – DIRECTOR P&M – MISHRA

DHATU NIGAM LIMITED

MODERATOR : MR. AMIT DIXIT – ICICI SECURITIES

Mishra Dhatu Nigam Limited

May 30, 2024

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Moderator: Ladies and gentlemen, good day, and welcome to MIDHANI's Q4 FY '24 Earnings Conference Call hosted by ICICI Securities.

As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded .

I now hand the conference over to Mr. Amit Dixit from ICICI Securities. Thank you, and over to you, sir.

Amit Dixit : Good afternoon, everyone. At the outset, I would like to thank the management for giving us an opportunity to host the call. From the management today, we have; Dr. Sanjay Kumar Jha, Chairman and Managing Director; Mr. N. Gowri Sankara Rao, Director Finance; and Mr. T. Muthukumar, Director P&M . Without much ado, I would invite Dr. Jha for opening remarks post which we will open the floor for an interactive Q&A. Over to you, sir.

Sanjay Kumar Jha: Good afternoon, all the investors, my colleagues sitting here, Director Finance, Director Production and Marketing, AGM marketing and Company Secretary , Mr. Paul. We are very happy to join for this conference call. And I would like to put out some of the highlights .

Financial Results have already been disclosed and available with you, so I'll not dwell into that, but I'll try bring out some of the highlights that have been very crucial for this company for FY 23-24.

First of all, you might have seen that our sales turnover has almost 23% increase year on year.

I think this increase in a year-on-year basis is the highest for the MIDHANI. Earlier this type of increase we have not seen and that also in the year when we had a lot of turmoil in the global supply chain, which has really affected our supply of raw material.

As far as the price is concerned, at the same time, your company also has seen a lot of change in the product portfolio, which is basically mainly the super alloys and there, we had almost a 2.5 x growth and there is volume wise production. The requirement of this costly raw material is there which is totally dependent on the international supply chain.

In addition to that, for this year, also, we have seen that our task was to how to reduce our inventory that is work in progress. So that is a drastic cut from the last year to this year. If you see the last year, it was almost around INR 759 crores. And this year, we have brought it down to INR 669 crores.

That segment also, we had a lot of work, and it is also effected/impacted our P&L results and also that was reflected in the terms of PAT and EBITDA. And in addition to that, this year -- but there are a lot of new things we have done. In fact, this year, our export has gone from almost 3x from the previous year to this year in terms of the export, not taking into account the deemed export.

Mishra Dhatu Nigam Limited

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Earlier, the company has also sold a deemed export component. So we have not taken the deemed export and total export from the overseas. It has increased from year-on-year basis to almost 3x. This is I want to highlight. And also, we have made a lot of in-roads in the supply chain of international aerospace companies.

So this is the one good sign not only our space. In fact, many of our materials are now has a place in the European market. Also, some of the things have gone to the Middle East also. And in the U.S. also, we have seen some potential. So that has given MIDHANI a lot of space for its future growth and future business as far as aerospace and defence material is consigned from the overseas market.

And also some of the alloys we have made for the healthcare industry also. And another one is for oil and gas . So

your company has made in-roads in these sectors, and I'm seeing the impact will be in the future once we'll be increasing our volume coming from this area. And this year also, we have seen that almost INR78 crores worth of capex also we have spent. And many new facilities have been commissioned and something already going to be completed in the coming days. So with this type of our performance and all, I would like to thank all the investor and shareholders keeping faith on us.

But I'm trying to tell you that probably your EBITDA and all will not be so attractive, but I think because of turning point for your company since company has changed its position itself from a very protected market to the open market and that is a good sign for that and protected market .

When I say , if you see the space order book today it's appearing hardly around 12% and its impact on FY 23-24 net sales contribution hardly in the tune of 15% or 20%. So with this type of environment we are trying to find out the new areas where we can have our business in the future. So with this small introduction it will be better to get the questions coming from the investor.

Moderator: Thank you very much. We will now begin the question and answer session. We will go for the first question from the line of Mr. Amit Dixit from the ICICI Securities. Please go ahead.

Amit Dixit: So the first question is on Value of Production if I look at the value of production during fourth quarter FY 24 then it has gone down compared to Q4 of FY 23 if I compare Y-o-Y. Now this is something unusual in case of MIDHANI. So could you explain what led to this decline?

Sanjay Kumar Jha: Yes it's not the decline, in fact, there is a correction. As I've mentioned that our -- earlier in the

fourth quarter we used to accumulate a lot of work in progress and that used to be built up in our inventory and that, in fact, you see that's why I've told that if you see the last year -- last year, our inventory as seen in our balance sheet is almost in the tune of around INR 1224 crores - and this year it increased only around INR 75 crores.

So this is the type we wanted and it was a lot of queries was from the investor also that why your inventories are going up. So if you see that we are tried to see that our inventory should come down. And this is a correct and that is what I said this year is almost a correction which we have

Mishra Dhatu Nigam Limited

May 30, 2024

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done. And impact has not been seen very high because we have done 23% growth in our turnover.

And also we have also reduced some of our like cost of the fuel has been reduced.

Even though raw material costs has been very high, there is a surge in certain critical raw material. In spite of that we have tried to make balance. So I will say that all the corrections were started this year and that's why the result is like this, but we are sure that this action which we have taken this year is going to be given a good results in the coming years. So probably this year we have to take that type of, but it is healthy for the company because our money is not locked so much and so that we are able to have a better cash flow.

Amit Dixit : The next question is on order book. So if you look at the order book also and if I compare it from Q4 onwards Q4 FY '23 onwards then for the first time actually it has gone down compared to last quarter. Last quarter it was INR 1,762 crores, this year it was INR 1,579 crores. So is it due to the pre-election run that we didn't get orders or what is the outlook on orders inflow for FY '25?

Sanjay Kumar Jha: Order inflow indications are very good. In fact, today as on today when we are talking to you we have INR 1,767 crores is our order book position. And also we have the expected order book is almost in the tune of INR 1,150 crores. So order book is not the issue today. We have in that is lined

up properly. So we'll be communicating to you as and when we are receiving orders, but it is in that way in healthy condition.

Amit Dixit : So if I get it correctly the order book position is INR 1,767 crores at the moment and apart from that the expected order inflow is INR 1150?

Sanjay Kumar Jha: True.

Amit Dixit: So what would be guidance for revenue for this year FY '23 revenue growth I mean if you can give a...

Sanjay Kumar Jha: Our target which we have set for this year is, of course, very high, but I will not commit as on today, but we are expecting definitely the growth will be 20%, 25% revenue this year.

Amit Dixit : One thing that we have seen over the years that -- not over the year in this quarter or in this year or last few quarters is the margins were declining progressively, but now we have seen a good increase in margin Q-o-Q it is around 560 bps. So what has led to this increase. Is it the change in product mix or something else?

Sanjay Kumar Jha: The margin is mainly -- as I have told you that we have -- in last quarter we have seen that our VoP should not be very high. We have tried to convert all our inventory especially work in progress inventory into the sales. That was our first step so that the raw material consumption has come down. And also the price also has cooled down in the quarter 4. Raw material prices have now reduced drastically.

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May 30, 2024

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So that impact will be seen in this year because that benefit will get in this year. For the last year there was so erratic up to Q1, Q2, Q3, but it has really affected a lot in our performance as far as this profitability is concerned.

Amit Dixit : Sir, if you can provide a breakup between super alloys, titanium and specialty steel for revenue and order book that would be great?

Sanjay Kumar Jha: First of all, I would like to mention about the sales. Sales we have done this year super alloys 20%. It is coming to around INR 217 crores -- INR 218 crores. And titanium alloys we have done 14% which is coming to around INR 149 crores. We have also done the Maraging steel which is our prime product has been 34%. So there is reduction. It was -- previously it was 47% and that used to be very high in our entire performance.

Super alloys was only 10% previous year. So this year it has gone to 20% even though our growth has been 23%. So you can make it -- make out that is almost -- it has crossed more than

120% and 130%. And also, we have the specialist special steel that is coming to 24%. And others is around 8%. So this is the distribution of the sales in FY '23/'24. And you also asked about the order book?

Amit Dixit: Yes sir.

Sanjay Kumar Jha: The order book if you see today, we have defence almost 78%. And space is only 12% and exports around 5% and balance orders coming to the 5%. This is order book, which I have told INR1,767 crores. Am I clear?

Amit Dixit: Yes, -- so what I see is that essentially the decreased share of titanium maybe because space component is low. So margins you expect to be in this bracket only, 20 to -- I mean say it has improved to 19.8%. But going ahead, will it be like at this level only? Or we will see margins going back to the levels that we have seen earlier, about 25%?

Sanjay Kumar Jha: I see it will not be -- see, if you see EBITDA to sales ratio, it may not be exceeding. This year, we have got around 21%. So it is 21 %, right? So it will be maybe crossing coming to touching the 25 % max. I don't see it will go to 30 %, 35%, in that range, which we have seen earlier. So it is going to that, but it definitely -- there will be a plus side because if you see the fourth quarter, fourth quarter has given indications already.

So we will try to maintain that level as far as the profitability is concerned. And in addition to that, PBT and PAT because of our if you see earlier

our finance cost and all is very high last

year. So even as compared to FY '22/'23, almost INR8 crores is extra amount we have paid only for the finance cost. Those things I have seen that we have really controlled that side. Reduction will be there. So overall, the performance will be better once we are going for this year, '24/'25.

Amit Dixit: And sir, we also know that we are increasing our capacity for titanium -based alloys, but the order book doesn't suggest that we would be -- we are getting a great deal of orders for titanium alloys. So how does it match? Are you targeting good for exports? Or are you targeting this for maybe the development that would come particularly in case of aerospace?

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Sanjay Kumar Jha: You have rightly pointed out, in fact, many titanium orders coming from the export source, we are not taking because of our constant capacity and not only capacity, raw material also is one factor. So we are trying to see that how this gap can be filled up. But today in our order book, we have almost INR 350 crores of orders from titanium alloy only. But that is a very high volume. In fact, INR 350 crores if we are able to complete this much order, that itself will be a big achievement for the company.

That INR350 crores is enough to load our entire facility for titanium. So order book position for titanium is very, very good I will say. I think this is our highest figure we have got for titanium order book and expectations are good from the international market. And some of the orders already lined up, which I have shown that INR1,150 crores are going to get the order. There also will have some percentage of titanium coming again, adding to our requirements. So titanium has a very good potential this year.

Amit Dixit: Sir, you highlighted in the initial remarks that we have made in road in the supply chain of international aerospace companies. So is it possible to further explain this particularly where we have made growth and what kind of stage we are and when can we start supplying the other material?

Sanjay Kumar Jha: What I'll tell you, in our -- this customer, normally, we are not getting -- giving the details about where we are here today. But just to give you some idea that where we have started working -- some example I'll give you. Probably higher to sale. Like you see the aerospace coming like Aero Engine manufacturers in India. Like in abroad, like India, we are -- also we are started. So like one example, the Kaveri Dry Engine. So Kaveri Dry Engine is the one area where MIDHANI material has been used for all the components.

And now this engine has to be applied for making a certain number of strategic equipment. So we are hopeful that, that will get materialized and we'll get a good amount of orders may be from that. Again, part of the Kaveri Engine itself. Now Kaveri Engine also programmed, has taken further step. So from there also, the already 5 Indian equivalent material we have supplied. So we are expecting that if those things are getting qualified, there also I'm going to get the material. Our AMCA program, which is running in the country for there also, we are going to develop the material for 110 -kilonewton engine. It is for our domestic program. In addition to that Shakti engine, which is coming for that requirement coming from the HAL, there also we are supplying sub material.

There are various programs where already we are giving the materials for our domestic program.

So considering that our expertise now also we have done a lot of work we are doing for the Indians that coming from the outside, like our aircraft, which is a Russian origin aircraft. Now

they are also -- we are trying to see how we can Indianize certain materials for that segment also. So we are working for that also that how we can give the aeroengine materials for our domestic, but

aircraft has been supplied from the Russian origin. And for overseas market, if you take about this, like GE Healthcare already we have supplied.

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May 30, 2024

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Now we are qualify or material for their product also. Pratt & Whitney also we are discussing. So there are many avenues. I can -- all details we cannot give you at this answer, but it is a regular way. And I will give you the break up where we have supplied, but that information is not in the business interest of the company. Because when we work with them, we have some sort of a non-disclosure act in it. And that way, international company they operate. So this was only I can share with you. But I will say we are moving in the right direction. And many things first, we have done so far, either the certification, then the grades which are very difficult to make those things already, we have made qualify, they have tested, they are using now and we'll be getting good inflows there. Only thing is that how much we can adjust with our capacity. Capacity concerns are there in certain areas. With that buildup we are doing now, regularly.

Amit Dixit: No, I appreciate that. Just a point here, now GE 414 in all probability, HAL and the GE will together manufacture it in India. So do we also have some kind of supply chain for that particular engine or we are thinking of developing some parts for that?

Sanjay Kumar Jha: Our effort is in this direction only. So without adding or without waiting for that facility to come here, we have started working with in advance that our things -- material things can get qualified in their system. So as you have rightly told when it is coming to India, start manufacturing. MIDHANI has opportunity to get aligned with them. So I see it's a good possibility that MIDHANI will be one of the suppliers for the materials for that program.

Amit Dixit: Sir, what would be the revenue that we booked in this year from Rohtak armoury factory and Wide plate mill and how much do you expect it to be in this year, FY '25?

Sanjay Kumar Jha: Rohtak we have armoury today, order book is almost INR 140 crores of order book. And recently an order has come from armoury. And we are seeing that those things can be increased further. But for Wide plate mill total order book position. So, around 250 crores we have on Wide plate mill.

Amit Dixit: And this is to be executed over how many years, this Rohtak armoury factory?

Sanjay Kumar Jha: That update is very quickly in 6 months. Trying to see. But in fact, that is not sufficient, in fact, we have to load more and more. We are looking for the opportunity orders. This is limited to very -- that quantity is very less for as far as the capacity is concerned. We have seen that how we can load it further from the other sectors. Whatever I have mentioned they are all high-value materials. So that's why you find that even if our utilization is very less for the Wide plate mill segment. It will contribute so much revenue for the company.

Amit Dixit: Okay. And what was the revenue we booked from both these facilities in FY '24?

Sanjay Kumar Jha: FY '24, what we booked earlier?

Amit Dixit: What we booked from the revenue contribution from both these facilities?

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May 30, 2024

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Sanjay Kumar Jha: Revenue whatever we got. Wide plate mill is around INR 235 crores from Wide Plate Mill and INR 21 crores from the Rohtak.

Amit Dixit: So from INR 21 crores, we expect to go to INR 140 crores around. That is the sizable jump?

Sanjay Kumar Jha: 140, whatever is the order book, this will be executed in almost 2 years, 25 months. Rohtak will be around 100 crores.

Amit Dixit: Okay, wonderful. And I just wanted to understand because in inventory, I thought that we had some constraints in recycling this inventory but we have managed to bring it signif

icantly down.

So, what has changed and what would be the outlook going ahead as far as inventory is concerned? How many days inventory would like to keep or we have increased the recycling content? What are the measures that we have taken over here?

Sanjay Kumar Jha: First of all, what we are trying to see that our V oP and our sales also to match. We should not try to build up the inventory year-on-year basis. That is our first target as far as inventory is concerned and already inventory we are carrying -- so our idea is that how we can utilize it like

suppose we have the scrap -- quantities in contributing in a big way. So we are seeing that how we can utilize our scrap for our internal processing.

And at the same time, whatever scrap we can not use will be trying to dispose it off. So already, we have made a scrap disposal policy. And on that, we are working. Last year, we had a fairly good amount of success but we are trying to build up this year that how we can reduce it further.

Amit Dixit : So what would be the quantum of customer advances in the book?

Sanjay Kumar Jha: We may be having around INR350 crores to INR 400 crores. We will give you that exact figure later.

Amit Dixit : Earlier, there's also media article suggesting that we are also involved by one of the ordinance factories for supplying material for this Arjun MBT . So, any substance in it or it's just some media article floating around?

Sanjay Kumar Jha: Yes, we have communicated to investors that we have received the order of around INR 130 crores, which has been already given the communication also. And that order already it has come, now we are trying to execute that order, which I have told is mainly for the Armor , only.

Amit Dixit : And similarly, HAL, there has been 156 numbers and LCA . So, will we be involved there as well for Armouring that?

Sanjay Kumar Jha: Yes, already it's a continuous effort. LCA, we are supplying that whatever the requirement is there for the materials. But there LCA engine is from outside only, major requirement of super alloy and titanium is used for the aero engine. So that is still they are depending on the engine from the GE. But whatever is coming to the non -engine side, MIDHANI is supplying regularly those grades. And as I have told they have a Russian aircraft. So, there for that engine, we are giving a lot of developments as of now .

Mishra Dhatu Nigam Limited
May 30, 2024

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Amit Dixit : That is from my side. You may now pass it on to the management for any closing remarks.

Moderator: Thank you. Ladies and gentlemen, as there are no further questions. I would now like to hand the conference over to the management for the closing comments.

Sanjay Kumar Jha: So it is a very good conversation and already you have covered all the aspects which we required from the company point of view. And I really look forward for your valuable inputs, corrections and suggestions. We are trying to do some of the corrections which have been already discussed a number of times but there are a lot of challenges also.

And if challenge, the opportunity also is there. So your company is working towards that. And I am sure that type of the facility and the team we are having, it's really possible to achieve goal we have set. And this year is very remarkable for the company because we have crossed the psychological barrier of 4 figures.

We have crossed the INR 1,000 crores turnover mark in this year. So this year has been very significant. Nevertheless, it is not reflected in the terms of the profit but I am sure that as we start progressing, that area also we will address. And we will have a very good performance and opportunity to invest and work on with this company.

But I select this area is very challenging. We are getting a lot of requests on the different companies for supplying the materials, but the only challenge is t

hat, the conversion time is very

less. So we've to see that how we can accommodate all these requirements in such a short time. Thank you.

Moderator: Thank you. On behalf of ICICI Securities, that concludes this conference. Thank you all for joining us, and you may now disconnect your lines.

Call: Aug 2024

MDN/CS/COMPLIANCE/2024-25 August 21, 2024

To,

BSE Limited,

P.J. Towers, pt Floor,

Dalal Street,

Mumbai-400001

Scrip Code: 541195 National Stock Exchange of India Limited,

Exchange Plaza, SthFloor; Plot No. CII, G Block,

Bandra Kurla Complex, Bandra (East),

Mumbai -400051

Trading Symbol: MIDHANI

Sub: Transcript of the Analysts and Investors Meet/Conference Call held on August 16, 2024

Dear Sir/Madam,

1. Further to our letter dated August 16, 2024 intimating you about the audio recording of Analysts and Investors Meet/ Conference Call on Q1 -FY25 Results, held on August 16, 2024, please find below the transcript of the aforesaid Conference Call.

2. The audio recording and transcript will not be available on the website of Company for time being as MIDHANI's website has been taken down for audit by CERT-In empanelled Auditor.

3. Once website of Company becomes functional/ up, the audio recording and transcript will be uploaded on website at following path: Investors → Investor Meet → 2024-25 → Quarter 1

This is for your information and record.

Thanking you,

Encl: As above Yours faithfully,

For Mishra Dhatu Nigam Limited

Paul Antony

Company Secretary & Compliance officer

company.secretary@midhani -india.in

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ffi Telephone: 040-24184000, \$RT Fax: 040-24340039

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■ Website: www.midhani-india.in

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"Mishra Dhatu Nigam Limited

Q1 FY25 Earnings Conference Call "

August 16, 2024

MANAGEMENT : DR. SANJAY KUMAR JHA – CHAIRMAN & MANAGING

DIRECTOR – MISHRA DHATU NIGAM LIMITED

MR. N. GOWRI SANKARA RAO – DIRECTOR (FINANCE)

– MISHRA DHATU NIGAM LIMITED

MR. T. MUTHUKUMAR – DIRECTOR P&M – MISHRA

DHATU NIGAM LIMITED

MODERATOR : MR. AMIT DIXIT – ICICI SECURITIES

Mishra Dhatu Nigam Limited

August 16, 202 4

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Moderator: Ladies and gentlemen, good day, and welcome to MIDHANI Limited Q1 FY '25 Earnings

Conference Call hosted by ICICI Securities Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch-tone phone. Please note that this conference is being recorded.

And I hand the conference over to Mr. Amit Dixit from ICICI Securities Limited. Thank you, and over to you, sir.

Amit Dixit : Thanks, Neha. Good afternoon, everyone. At the outset, I would like to thank the management for giving us an opportunity to host this call. From the management today, we have Dr. Sanjay Kumar Jha, CMD; Mr. N. Gowri Sankara Rao, Director, Finance; and Mr. T. Muthukumar, Director, P&M. Without much ado, I would invite Dr. Jha for opening remarks, post which we will open the floor for an interactive Q&A. Over to you, sir.

Sanjay Kumar Jha Good afternoon, all the participants, investors, stake holders and my dear colleagues who are joining today for this conference call. We are here to discuss about the quarter one results of Mishra Dhatu Nigam Limited. And already, I think financial data is available with you, so I will not repeat this.

But just to give the highlights or the reason for certain changes in the figures compared to the first quarter of the previous year. We had some issues with our system, earlier their inventory used to be in the large quantity than work in progress. So that was less in this year from the starting. So that is where we have seen some impact on our revenue earnings for this quarter. And also, we had some issue regarding some of the equipment we have taken for the annual shutdown in the initial period because once you start the year, that has to go for some of the old equipment revamping and modernization. So those things have affected our Value of Production (VoP) also.

So in that still, I'd say that this quarter is basically building the base. But definitely, based on this base, we are going to have the good growth coming in the second quarter. So this is what we have at this junction. And in addition to that, export in this quarter has been, I think, the highest compared to the earlier quarter. It's coming around Rs. 17 - 20 crores around, we have got the export. So export is started almost 10% of our revenue earnings for this quarter. And it is a good sign, and now we are expecting that with the same trend we wanted to continue for this year.

So this much only I can add here, I would rather be more interested to take the questions coming from the investors and the stakeholders on our performance. Over to you.

Mod erator: Thank you so much. The first question is from the line of Garvit Goyal from Nvest Analytics Advisory LLP. Please go ahead.

Garvit Goyal: Congrats for those set of number. My question is on demand side. What is the current and projected demand outlook for the industry and what surplus are contributing to the demand?

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August 16, 2024

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Sanjay Kumar Jha Demand -wise, I see it is a very good opportunities because as you know, the Defence sector is picking up. And last year also, Defence Production crossed more than INR1,25,000 crores, and also, we had the highest level of export in the Defence of INR 21,000 crores. So I am expecting that similar growth is expected in this year also. So parallelly, that will reflect on the demand from the industry like MIDHANI also as far the raw material is concerned. So this is one side of the Defence.

Other side, there are many programs are coming where we have done earlier our work, like, Advanced Ultra -Supercritical Thermal Power Plant

. So last time, you might have seen in the budget that government has given a go ahead for Advanced Ultra -Supercritical Thermal Power Plant, AUSC, acronym, A -U-S-C. So that also is going to come in the country. And in addition to that, there are plans to go for a small size of modular reactor, SMR in the nuclear power plant. And Defence space also, I think today, only that SSLV has launched its third launch quite successful. This will also pave the way for more and more launches in the country for the commercial satellites. So this is the outlook coming from the different industries where MIDHANI is involved.

In addition to that, export market also there is a possibility because many supply chain coming from European side and all is getting affected. So I see overall our order book is almost INR 1,700 crores to INR1,740 crores. And we are expecting orders this year also, we are going to book a similar way, almost INR 1,100 crores, orders are in the pipeline. So order -wise /inflow -wise its not bad, its good.

Mod erator: The next question is from the line of Amit Dixit from ICICI Securities Limited.

Amit Dixit: Yes, sir, I'm interested in that small reactor that you mentioned, with respect to your reply to the

previous question. So I just wanted to understand what kind of participation we will have in this particular project? And when do you think that this will start actually?

Sanjay Kumar Jha: One area that in this program of SMR, parallel to this type of program, which is going for the commercial operation. In the other areas also, we have worked in developing some of the materials. Because what happens, the material what we will develop for the previous programs, similar to that, that will be utilized for this type of reactors. So what I'm trying to emphasize here, that already technology materials are well established as far as MIDHANI is concerned. So as and when we go to start picking up, we'll get this requirement coming in the future. But time when they're going to launch and all, I think a lot of developmental work is going on right now. And some of the materials, already we are supplying in that program. Not precisely for the commercial reactors, for developmental one. So this is an ongoing process. And the volume of the work which is coming from or the orders coming will be decided based on the future projections coming from the Department of Atomic Energy, what they are going to announce, I think it is yet to come, that how many players are going to participate in that and what will be the mode of financing for that type of reactors.

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Amit Dixit: Okay. The second question is essentially if I look at the value of production, last quarter also, you indicated that you will be now rationalizing the inventory, you don't want to inventory to pile up. This quarter also, we saw value of production going down. Now while you mentioned in the prepared remarks that it was also because of the planned main equipment maintenance. But are we still looking at rationalizing the inventory or we are done with that?

Sanjay Kumar Jha: It is basically, we see that inventory has to be controlled –and normally we count in the end of the financial year. But now quarterly basis also, we are monitoring. And that is why, you can see that last year to this year, almost we have the drop of our inventory buildup is only INR 47 crores in this quarter. Compared to the last year, it was almost INR 107 crores was there. So this we have tried to reduce our effort is at reducing it, and it will continue. It should be a regular effort. It can't be done only for a specific quarter, it should be on regular basis and yearly we'll be going to make it on the lower side only.

Amit Dixit: Okay. Sir, two quick questions on the capacity part. So where are we with respect to the development of bulletproof jacket Garu

da? And what is the status of our expansion project in Titanium?

Sanjay Kumar Jha: Garuda, first I will talk about Garuda. Garuda only we did last year, we made first quarter QC the last financial year. Garuda was occupying a good space almost we have the INR 30-plus crores from Garuda only.

But then we have to do certain modification in the supply, which we have started doing now. So this year, we will be more depended from the Garuda to complete things will be processed and completed in this year only. So in that 100 we have already supplied with the modification. And rest of the numbers are in the pipeline. So Garuda might have already gone into the application now use.

But once we complete the entire supply, then only we'll be able to do it, but based on that experience, now MIDHANI has also been able to participate in other requirement, which are the lower worth than the what was the requirement specification or other things like normal requirement for the armed forces. So we are participating in that now.

Amit Dixit: And Titanium?

Sanjay Kumar Jha: Titanium plant also, we had one new furnace, I think you are talking about the new VAR, which is already under commissioning. It was only problem with that initial stage that the Titanium melting was not getting sterilized. So now the work is going on. So almost we have come to the stage of completion now.

Amit Dixit: But our ultimate aim and I think the place is enough to support some 5,000 tons of capacity, if I'm not mistaken?

Sanjay Kumar Jha: 5,000 capacity of?

Amit Dixit: Titanium.

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Sanjay Kumar Jha: No, no. Not 5,000. I think it was earlier 500. Right now it is 500. But this will increase to almost two times. Once we are adding this facility.

Amit Dixit: Okay. And after this, so it will be like this after adding the facility, titanium will be 1,000 tons?

Sanjay Kumar Jha: Correct.

Amit Dixit: And there is a space to add another 500?

Sanjay Kumar Jha: Exactly. True.

Amit Dixit: Okay. So in all, it will be 1,500? Okay. Got it. Two questions pertaining to the results. So what would be the revenue breakup between Superalloy, Titanium and specialty steel? I am asking this question because after an increase in EBITDA margin in last quarter, we again saw EBITDA margin coming down in this quarter. So just wanted to understand the product mix part of it.

Sanjay Kumar Jha: In past, you see that Titanium is around 8% in the quarter. And Superalloy, 19%, it was 14% in the previous quarter of FY '23. Now this year 24-25, now it is 19%. So Superalloys are increased, there is a further increase in Superalloys. Titanium also has increased from 5% to 8%. Maraging steel marginally almost in the same 25% earlier 26%. Specialty steel has gone up from 29% to 39%.

Amit Dixit: Okay. And that's the reason for our margins essentially going down?

Sanjay Kumar Jha: Not margin, not essentially because this margins, there are 2 components. One is that our sales could have been on the higher side than it is okay. Because already, fixed cost is there. So the fixed cost is already there. If you increase your -- more revenue or turnover, your profitably margin will be more.

Amit Dixit: Okay. Got it. Got it, sir. Another question is on essentially the order book composition. So if you could break this order book into application, that is how much we have from Space, how much we have from Defence and the other part railways and all that would be helpful.

Sanjay Kumar Jha: I'll give you the percentage, right? But basically, what we are almost 80%, as I said. 80% is coming from the Defence only. 75% to 80% Defence. The Space is very less, Space is hardly 6%, 7% to 10% only. 10% is coming from there.

Amit Dixit: Okay.

Sanjay Kumar Jha: And export is coming to around another 5% is there in the order book. Armour is almost 10%.

Now, of course, armour is in the Defence only. But grade wise, also, we have specialty steel around more than INR 700 crores out of INR 1,740 crores. Titanium, almost INR 345 crores orders there. Superalloy, we have INR 314 crores. Maraging is INR 150 crores. So like that total distribution is there. Specialty steel is still the highest.

Amit Dixit: Okay. Okay.

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Sanjay Kumar Jha: Specialty steel, there is a variety of grades, which we apply for the different programs.

Moderator: The next question is from the line of Abhishek Poddar from HDFC Mutual Fund.

Abhishek Poddar: Sir, if we look at the margins, which used to be 30% in 22-23, it had come down to 18% in FY 24. And more like 14% in FY 25. So what kind of a sustainable number should we assume, which you can achieve?

Sanjay Kumar Jha: For the 24-25?

Abhishek Poddar: Yes, 24-25. And what can sustain your business going forward in 25-26 and 26-27 also, sir? Any range, if you can give us based upon the order book?

Sanjay Kumar Jha: See, mainly what has happened last year also, we have seen that it was basically controlled by the raw material. So in the current scenario, basically raw material plays a very vital role. And we are finding that part is getting a lot of disturbance so far up to this quarter, it is consistent, but we don't know what will be in the future. So we have to wait, and then we'll try to maximize our profitability.

But raw material is one thing I cannot store everything and keep and then we can decide.

Normally, if you buy the raw material, you know the cost. Based on that, you decide that what will be your profit margin, order book is there. So that is the one thing, keeping those is variable as in the future. Other things will be in the similar way whatever we have done the last year.

Probably, we're trying to improve it this year. And last year, we have done a lot of work in controlling our work in progress or inventory. So that thing, I think this year, that impact will not be there.

Abhishek Poddar: Understood. Sir, last year, like it was 18% for the full year. That becomes a base, and you try to improve on that number?

Sanjay Kumar Jha: Correct.

Abhishek Poddar: Right. But obviously, the '23 numbers and '22 numbers that you achieved of 29%, 30%, that is something difficult to achieve again?

Sanjay Kumar Jha: That figure was basically that you have piled up lot of inventory. So definitely, our production is higher and that is getting reflected in the balance sheet. These things, we are not going to do now. So those things if you are keeping it necessarily it will reflect that your earnings side. But basically, this has to be controlled.

Abhishek Poddar: Understood. And sir, this order book we have of INR 1,760 crores at the end of June, what is the execution period for this?

Sanjay Kumar Jha: Some of the orders are going to complete in 3 months also , 4 months also . And some cases for the next 2 years also . But the majority of things we are going to finish in 1.5 years. So it's the maximum time, 1.5 year.

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Abhishek Poddar : And sir, this Titanium, you mentioned that in the order book, it is INR 345 crores. When the current expansion that we are having from 500 tons to about 1,000 tons, what kind of revenue can we do once the entire mill is operational? And what is your sense whether you could do the entire 1,000 tons or it will be at a lower utilization levels?

Sanjay Kumar Jha: In fact, Titanium, whatever I have shown you is only that indicated. Many expected orders are there in Titanium. So right now, we are not booking also certain orders because of the lack of our capacity and input material. So the order is not the limitation, it is only that how much we are able to execute. And this 345 ton is the finished product

I'm giving. There are various conditions that some of the products, it will be recovery, it will be 30%. Some place, it will be 50%. So we have decided that input will depend on that what type of order we are having. So these figures are basically indicative, not the final one. So our processing of the sponge or the ingot will depend that what type of product we are going to sell.

Abhishek Poddar : Okay. Sir, just to clarify this a little bit, this INR 345 crores, this is how many tons underlying the titanium? And also...

Sanjay Kumar Jha: I told 345 tons only.

Abhishek Poddar : Okay. Sir, 345 tons will be quantity. Okay. And sir, theoretically, out of 1,000 tons, how much maximum can you do? Can you do the entire 1,000 tons, or it will be a lower number?

Sanjay Kumar Jha: Around it will be -- it can take around -- So the 345 will convert to almost around INR 700 crores -- 700 tons, sorry. And for 700 tons order, like we have capacity of only 500. So additional capacity is being added. And also we are expecting a similar amount of orders in respective, in Titanium again.

Abhishek Poddar : Okay. So this is for the domestic customer. And also, if you can give an understanding on the margins, will titanium have a better margin than the other products?

Sanjay Kumar Jha: Yes, yes. A little bit margin. Titanium margin is going to have the better margin here.

Abhishek Poddar : Understood. And sir, this order is from aerospace customers?

Sanjay Kumar Jha: Multiple is Defence and Aerospace put together. And some amount of the space also. But majority of things are depends on Aerospace.

Moderator: The next follow-up question is from the line of Amit Dixit from ICICI Securities Limited.

Amit Dixit : Sir, just wanted to understand that how much revenue this quarter was booked from Rohtak armour factory and Wide plate mill? And what is our expectation for the year ?

Sanjay Kumar Jha: Rohtak, we have booked, INR 158 crores. Generation of Revenue is very less here. It was only whatever the compared to the last year and this year, as I told you initially only, Hyderabad, the performance was the same whatever we have with the last quarter also, last financial year, in fact, slightly better only. So the revenue, which has come from the Rohtak is less as compared to the previous year because of that order was not received excluding one order for which we

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did some again, I said some modification in that. So that we have done. But this year, this quarter was very less. But now we are planning for this complete year will be around INR 100 crores.

Amit Dixit : And Wide plate mill?

Sanjay Kumar Jha: Wide plate mill order booking. Will be revenues will be the INR 200 crores. But the order booking in this quarter is not there much. There will be some titanium number, around INR 80 crores will be there.

Amit Dixit : Okay. So that means around INR 300 crores revenue we are expecting from Rohtak and Wide plate mill?

Sanjay Kumar Jha: Yes. Yes.

Amit Dixit : Okay. Sir, another question is essentially on what are the major platform that we are expecting to participate in the future? You mentioned that Titanium in response to a previous question that there is , I mean great demand. So just wanted to understand where are we participating in this?

And also if you could just highlight in the aerospace also to -- in media reports that the GE 414 engine, the factory is getting expedited. So what kind of participation can we look from there?

Sanjay Kumar Jha: First of all, Titanium, we are also going to provide, in fact , in the LCA for Tejas. For Tejas, there

are many requirements coming normally for the 97 aircraft and all they are going to get the material from us. In addition to that, we also have a requirement from the HAL again, for their some of their strategic programs. So that also already

order we have received. That is going to continue in the future.

In addition to that, there are some other static programs, which is for Indian Navy. So for that also, we are expecting some out of some Titanium. So Titanium distribution is going from the aero, sea and many of it is coming from the missile sector also because recently, from BrahMos also, we have got one order of around INR 38 crores, order we have received.

So like that, these things are slowing down. But your question regarding this GE Aerospace. GE Aerospace, we are now trying to get qualified first, our raw materials. For which 2, 3 grades already we have supplied and they have used and given that certification also, not a certification, they have cleared our material. So now we are trying to get certified as an organization for that GE Aerospace. So both GE Aerospace and Pratt & Whitney work is going on. But that is only for the stage of certification by your organization. But the orders will flow or once your material gets qualified and you are in that range.

For that Nadcap certification is very important. So Nadcap certification, we are on the verge of getting completed. Some of the equipments we are expecting for that, so already that equipments have been commissioned. Our people have been trained for Nadcap. Now we are expecting a final audit and pre-audit work is expected soon, then we'll have the final audit by the approving agencies, which is the U.K. -based agency is there, so that we were going to.

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Amit Dixit : Turning to exports, which seems to have build up significantly due to our efforts over a period of time. So out of the total revenue that we might get this year, how much is it expected to be from exports? That is first question. And when the exports that we did in this quarter, can you give a basic idea which all platforms they were for or which all countries we supply to? Any more color that you can give on that?

Sanjay Kumar Jha: We are talking about the full year, whatever we have done, not only for this quarter.

Amit Dixit : Sir, what is the target for full year for the quarter? And you mentioned that export...

Sanjay Kumar Jha: So we are targeting INR 150 crores. That is 10% of our turnover we are targeting. And coming to that places where we are firm, we have supplied to GE aerospace one grade, then Israel also we have supplied for the scope models, Israel we given. Then also we have given to Turkey .

Amit Dixit : Okay. There was a discussion around having a Fastener plant. So is that plant -- I mean, what is the progress regarding that and when we would be able to set it up?

Sanjay Kumar Jha: Fastener plant, majority of the expense, already it has come and it has been tested . And we have already expected some 2, 3 equipments from the Indian source. But meanwhile, without those equipments also, we have taken some trial for work and we are trying to see that how we can meet the requirement of imported fasteners coming for HAL. So that, we have got some -- trial is going on. So we'll apprise you, whenever we get some major win. But our target is to do for that platform and as well as for the LCA and for AMCA. So all these things are in planned only, but full phase plan will be coming from the October, November, when they start.

Amit Dixit : Okay. Okay. Sir, regarding armour plate, now we have several naval platforms that are coming up Mazagon is delivering the -- even the next -generation corvettes program is expected to come up, P75, P25, RFO. Are we also developing some armour plate for these vessels? And also for LCH, I mean, as I hear, it has already been issued, so will we be involved in the development of that? If so, what would be the approximate market size or market potential for this?

Sanjay Kumar Jha: Armour plate is used for the naval application, you are telling?

Amit Dixit :

Yes.

Sanjay Kumar Jha: Naval applications, they are not using the armour steel. They will be using the steel for -- naval steels are totally different. And in case of all ships coming for Mazagon Dock, the steel is coming excessively from the OEMs. They are only supplying the steel. And they have not given the permission, as per my understanding is there, to develop within the country. Only if they are going for the new deal, which is going to be announced or they are opening talk, in that only it may come that some of the indigenization , they can give it to the Indian companies. So we have yet to see that requirement.

Armour steel basically being used for over your armed vehicles, then mortha, tanks. But those things, already our steel are being used, and one by one, we are -- certain grades we are developing and under certification also because you need certification for any new facility. So

those things are in the process. But as far as armour steel is concerned for our own requirement, for MIDHANI's own requirement, we are producing in Hyderabad and then giving to Rohtak. And recently, we have also got some orders from domestic companies for the supplying armour steel. This also we are executing trials now.

There are many developments which we have taken recently also, we have developed the armour steel of very low thickness that is 4.5 mm. Normally, in the market, 6 mm thickness plate are being used. So this 4.5 is meeting the -- all the requirements in resistance against the bullets as it has been for the 6 mm. So we are hopeful that will be another unique product from MIDHANI. So we are expecting some initial orders also. Some of the domestic requirements. This is how we are approaching towards armour. There are many other developments which is going on. So we'll be giving you that our entire information as and when...

Amit Dixit : Are we also involved in Zorawar development and FICV that will come up in the future?

Sanjay Kumar Jha: FICV is basically that there, the entire armouring itself is totally different, not coming from the conventional armour. But we are trying to have a tie-up with BEML also is a part of that. So we had one round of discussion in that. So if the requirement of steel are there from that project, we will be developing our...

Amit Dixit : Okay. Sir, the last one from my side, what kind of revenue growth we can expect in this year?

Given that there are so many developments that are happening, they will take time, of course.

But for this year, what kind of revenue growth should we pencil in ?

Sanjay Kumar Jha: Last year, we have seen around 23%. So we'll be in a similar range this year also.

Moderator: As there are no further questions from the participants, I would now like to hand the conference over to Mr. Amit Dixit for closing comments.

Amit Dixit : Yes. Thanks, everyone, for attending the call this afternoon. I would also like to thank the management for sparing their time, for interacting with us.

I will now invite Dr. Jha for his closing remarks, if any. Over to you, sir.

Sanjay Kumar Jha: I will ask Director Finance to give a closing remarks.

N. Gowri Sankara Rao : Thank you all for attending the investors meet. As you have seen, MIDHANI in the first quarter, maybe the performance is a little bit compared to the previous year first quarter. It will fall in because of the various revampings we are doing. We expect from the second quarter onwards, it will be improved further. And also, we are bringing this titanium also. This new facility is coming up.

And the fasteners also, we will be implementing in the September -October. With that, the business will go up. The only thing is to reduce the inventory, we are not producing fully. Since we are already controlling, we will see and do some activity by increasing the revenue. And we are also getting the

order. We hope there will be a good growth, good prosperity will be the result for MIDHANI.

This is all from the management side. I thank each and every one who has attended this conference call, investor call. Thank you very much.

Moderator: Thank you. On behalf of ICICI Securities Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines. Thank you.

Call: Nov 2024

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MDN/CS/COMPLIANCE/2024-25 November 20,2024

To,

BSE Limited, National Stock Exchange of India Limited,
P.J.Towers Dalal Street, Exchange Plaza, Bandra Kurla Complex,
Mumbai- 400001 Bandra (East),

Scrip Code: 541195 Mumbai —400051

Trading Symbol: MIDHANI

Sub: Transcript of the Analysts and Investors Meet/Conference Call held on November 15, 2024

Dear Sir/Madam,

1. Further to our letter dated November 15, 2024 intimating you about the audio recording of Analysts and Investors Meet/ Conference Call on Q2 —FY25 Results, held on November 15, 2024, please find below the transcript of the aforesaid Conference Call.

2. The transcript of the call is also made available on the Company's website.

This is for your information and record.

Thanking you,

Yours faithfully,

For Mishra Dhatu Nigam Limited

Paul Antony

Company Secretary & Compliance officer

company.secretary@midhani-india.in

End: As above

For: PMRI & MISHRA DHATU NIGAM LIMITED

(a public company) (a Govt. of India Enterprise)

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~tii~e Website: www.midhani-india.in

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"Mishra Dhatu Nigam Limited Q2 FY25 Earnings
Conference Call"

November 15, 2024

M

MANAGEMENT : DR. SANJAY KUMAR JHA – CHAIRMAN & MANAGING
DIRECTOR , MISHRA DHATU NIGAM LIMITED

MR. N. GOWRI SANKARA RAO – DIRECTOR (FINANCE),
MISHRA DHATU NIGAM LIMITED

MR. T. MUTHUKUMAR – DIRECTOR P&M , MISHRA
DHATU NIGAM LIMITED

MR. PAUL ANTONY – COMPANY SECRETARY , MISHRA
DHATU NIGAM LIMITED

MODERATOR : MR. AMIT DIXIT – ICICI SECURITIES

Mishra Dhatu Nigam Limited

November 15, 2024

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Moderator : Ladies and gentlemen , good day, and welcome to MIDHANI Limited Q 2 FY '25 Earnings
Conference Call hosted by ICICI Securities Limited.

As a reminder, all participant lines will be in the listen -only mode and there will be an
opportunity for you to ask questions after the presentation conclude. Should you need assistance

during the conference call, please signal an operator by pressing star then zero on your touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Amit Dixit from ICICI Securities. Thank you, and over to you, sir.

Amit Dixit: Yeah, thanks, Manav. Good afternoon, everyone. On behalf of ICICI Securities, I welcome all the participants for MIDHANI Q2 FY '25 Conference Call.

At the outset, I would like to thank the Management for giving us an opportunity to host this call.

From the Management, we have with us today, Dr. Sanjay Kumar Jha – Chairman and Managing Director; Shri N. Gowri Sankara Rao – Director (Finance); and Shri T. Muthukumar – Director (P&M) and Mr. Paul Antony – Company Secretary.

Without much ado, I would hand over the call to Dr. Jha to take this forward. Thanks, and over to you, sir.

Sanjay Kumar Jha: First of all, I am extremely thankful for the investor for having so much confidence in MIDHANI. I am very pleased to be part of this conference call today when we are discussing about the second quarter of FY '25. And this quarter, we have achieved a turnover of 262 crores. And that was, in fact, almost more than 60% growth from Quarter 1, but also around 15% higher than the second quarter of FY '24.

Subsequently, the other parameters also have gone up, like the value of production also is on the higher side. We also have a good impact on this development on the PBT, PAT, and everything else on the higher side, which already we have mentioned. Results have been already published and I think you must be aware of this.

What I would like to mention some of the highlights in this quarter is we have made very significant contribution, some of our national level programs which includes supplying the materials for light combat aircraft Mark -2. The Mark -2 is under development, and it is going in the very because of MIDHANI's timely supply or say before time supply, this program, project is moving very fast.

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Also we have started supplying the materials for the Sukhoi aero engine materials, which is required for India's ambitious program to manufacture the entire engine including the materials also in the country. So, there also we have made a very significant contribution by supplying the many of the materials as we have received the orders in the interval of six or seven months. In product development, I would like to mention here to the investor that your company has made a very important product which is a high-end superalloys Inconel 718. This is one of the most difficult alloys used in aero engine.

And in this alloy the major challenge is that to make the higher, bigger diameter with the very less amount of defect tolerance. So, we have developed 325 mm diameter, almost more than 12 inch, and this has given a very good quality. We have achieved defect level of very high standard that is around 1.2 mm.

So, like that any other national program also which includes the various aero engine materials used for DRDO program which includes ATDG Kaveri dry engine and STF, small turbo fan STFE. So, like that, there are many other developments, and also some of the strategic program which India is in contribution. The strategic program has gone up and that also in the large quantity.

So, not only the technology, in fact, now the Volume of Production has also gone up, and it has been r

eflected in our performance coming in the second quarter. And we are hoping that similar type of development and growth we will find in the third and fourth quarter also.

So, this is the total development. On the equipment side, we have commissioned a very high-capacity secondary melting furnace, which is called Vacuum Arc Remelting (VAR) of very high capacity. And that equipment also we have commissioned fully in this quarter. It has given a very successful result, and I think in the future it will be a very big contributor in our endeavor for indigenization and making this MIDHANI on the higher growth path.

Also, I would like to mention here that in this quarter, export has gone up, and we have achieved almost, if you see in our sales turnover, more than 12% we have achieved from the export. So, this is also one of the significant development. We have also good order book from the export, and it is expected to increase further in the coming months.

So, with this type of few things, I would like to better I would like to answer the questions and queries from our investors. Thank you.

Moderator: Thank you very much. We will now begin the question and answer session. We have our first question from the line of Amit Dixit from ICICI Securities. Please go ahead.

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Amit Dixit: By the time the question queue assembles, I would take this opportunity to ask few questions of my own. The first one you mentioned that the VAR furnace had been commissioned . Is it that titanium VAR that we are talking about, 500 tons?

Sanjay Kumar Jha: Yeah.

Amit Dixit: So, when it was commissioned , sir? And when we expect it to be ramped to the full capacity?

Sanjay Kumar Jha: Already when I was talking about the commissioning, commissioning means we have to take certain number of trial melts . So, those things we have completed , and now the furnace is in continuous operation, and we have sufficient load now that we are trying to extract from this furnace as much as possible in next, in the coming months.

Amit Dixit: Sir, continuing on the furnace side, some of the peers like PTC Industry, for example, they are also going to commission their own V AR very soon. Kalyani Steel has also planned for commissioning a Titanium VAR furnace again. So , don't you see this competition intensifying in this particular segment?

Sanjay Kumar Jha: Yeah, it's true. In fact, if there is an increase in capacity, demand also is increasing. Because you know, in titanium, as of now, as per my understanding, it will take another three to four years for these people who are already entering in this field to establish. And we have the totally established line , and our order book also for titanium is very good.

So, I am not saying that there will not be a challenge, but we have technology for all the products.

Because if somebody is going in titanium, they have to go for round, they have to go for flat, they have to go for this cast product. And MIDHANI , we have the all varieties of products available with us.

So, we are not , we are sure that we will be able to do a lot of value addition in our belting because belting is the first stage . After that, we have to go for forging. Then we have to go for rolling. We have to go for sometime ring rolling. We have to go for tube making. We have to go for wire making.

So, everything is already we are having in -house. So, we have all the ecosystem . We were able to compete in the market, as far as MIDHANI is concerned. And market it totally not limited today to India . We have many requirements coming from the foreign countries also , foreign OEMs. So , if they are coming up, they will also get the market segment. And companies and already we are in the competition for many other products also. So, that we have to work in the t.

Amit Dixit: Great . Manav, p

lease move on to the next part.

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Moderator: Thank you. The next question is from the line of Amit Kumar, an individual investor. Please go ahead.

Amit Kumar: Sir, I have two questions. First is, would you like to provide some guidance for the H2 and next two financial years, FY '26 and '27? And second is, what is the market size of the products we are making in India and in the world and what is our market share? These are my two questions.

Sanjay Kumar Jha: You were talking about our financial results expected for next two years, if I understand correctly. We are targeting . Our aim is to grow in double digit and that will be almost in the range of 20%. So, that growth we are planning, and it is expected to be in this financial year also and next also. So, that part we have planned.

Coming to the market share, I am not talking about the India, if I am taking the entire world market. In fact, India is doing only serving today, not more than 5% of the international requirements. I am talking only about the aerospace. If you see the aerospace sector itself, India is serving less than 5% , I will say , today.

So, we have the ample opportunity, even if you grow 10 %-15% also, not only MIDHANI , like MIDHANI we need 3 -4 companies in parallel. So , there is no lack of , I would say, the market potential in this sector. I am just talking about the nickel-based alloys, titanium -based alloys. But the one advantage which MIDHANI has got that we have a complete technology and knowhow in under one roof. We are not depending on melting to somebody . We are not melting or depending forging to some other company. We are not depending on the machining . We are not depending on the castings.

So, everything is entire rolling, we have the titanium rolling is the unique , titanium rolling today , very, I think maybe one and two company in the world they are doing. So , recently , we are also trying to see that how we can get the slab from outside and we can roll in MIDHANI, and we can supply them in the form of the plates , and people are approaching to us for that purpose also.

So, what I would like to say that this type of facility which we are having for titanium, if somebody has to develop, like just now we have mentioned about a company or for that matter any other company, it takes time and then also and even they develop also, they also have the market available. We are also having our market availability is there .

So, these things are going to be a very good time, I will say, for the Indian industry. So, India in the industry is going to see a very good time as far as the mixed material is concerned, and today the production is very less. As I said, hardly, I will say less than 2% of the requirement of the world we are producing. So, we have the good opportunity.

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Amit Kumar: And sir, what is the market value in terms of value in INR or dollar terms, if you could provide in India and global?

Sanjay Kumar Jha: Very difficult to tell the right figure, but I will sometime I will share with you, and also we may have to update the data also, because this data what I am talking about the percentage terms maybe three, four years back when we have studied. So, we will give that input to you.

Amit Kumar: Does China have bigger market size than India? If yes, then how many times does it have?

Sanjay Kumar Jha: China, yes, definitely. China has grown in this segment in the big way. But one advantage which we are having in our country that we have, our systems are having highly flexible. We can make the standard European standard, we can make the Russian standard, we can follow the American standard. So, that type of our systems are laid here. But how much they are serving today, they are serving

today to many big companies. But they are all looking towards China Plus One.

Since the China Plus One policy, India has got a very good opportunity. That's what I can tell you at this juncture.

Amit Kumar: Who are our major competitors in India?

Sanjay Kumar Jha: In India, as we have mentioned already, some have already started that some company, they are already coming forward this area. But practically how much they have gone to aerospace, I think aerospace contribution is negligible from them so far as of today.

Moderator: Thank you. We have our next question from the line of Amit Dixit from ICICI securities. Please go ahead.

Amit Dixit: Yes, sir, we will wait for question queue to assemble. Meanwhile, just a few questions. So, you mentioned about titanium that we have integrated the capacity under one roof. Just wanted to understand what is our casting and casting capacity in titanium and superalloy?

Sanjay Kumar Jha: So, titanium we have investment casting, the furnace capacity is 300 Kg. And we can make the size of around 1 meter diameter. 1 to 1.2 meter diameter casting we can make. And that defines basically the casting capacity. And that's why if you see it, it will be mostly casting is sold as per the complications of the casting design.

So, if the furnace can be utilized every day, we can make 300 Kg, but all the casting should not be of the same size. Same tonnage means weight. The weight is not the constant. It depends on the size and the thickness of the casting. So, it's like right now we are trying to develop a casting of 6 mm thickness, 7 mm thickness. So, that type of technical challenge we are doing.

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But our idea is to make the castings for naval requirement now. Naval and then also for certain requirements also have come for nuclear power plants. Because seashore nuclear power plants requires titanium castings for putting in their valves. So, that type of requirements are there.

But our capacity to date is sufficient to make the requirement from our domestic industry, and we are trying to see that how we can integrate with the international in that export market also by aligning with the major aerospace companies. So, there we need certain upgradation in our facilities or some sort of a system development. So, in that area, the various level of auditing and its improvements are going on.

Amit Dixit: So, if I heard you saying correct it is 3 tons per annum.

Sanjay Kumar Jha: 300 Kg is a single size, single melt, and that can convert, you can convert that every day if you take around, even take the one casting also, it will be in tonnage wise may not be very high, but it will be around 4 to 5 tons in a month.

Amit Dixit: And how about superalloy, sir?

Sanjay Kumar Jha: Superalloy investment casting a very small size furnace at present and that we are doing exclusive for ISRO requirement, ISRO's and which is used for their cryo and semi-cryo engine. So, that requirement we are meeting now with our superalloy's casting. But there is a plan to enhance it to the higher capacity. But right now it is very niche and highly specific to a program of ISRO.

Moderator: Thank you. We have our next question from the line of Vikas Gupta from Wealth Guardian Services. Please go ahead.

Vikas Gupta: Sir, my first question is about the margins. So, margins have recovered during the quarter. Can you please give us the guidance for H2 and the next year?

Sanjay Kumar Jha: Yeah, H2 margin also we expect in the similar lines. Maybe it can improve also, but it will be in

the similar line , because why it may be slightly on the improved side because this has seen the impact of Q1 also. Q1 also was very low. So, we are hopeful that this will continue , and as your sales turnover increases , it will have the positive impact on various parameters , which includes

even this margin on the profit also. So, we will be seeing that improvement only.

Vikas Gupta: So, for next year FY '26, is it the same, margin side?

Sanjay Kumar Jha: FY '26, a gain, the product mix is very important. Many orders , which we are expected now , is coming from, we have the mixed bag of orders which include coming from either high margin and low margin. So, we are trying to see that we should try to, since our volumes are increasing, I think percentage will remain in the similar terms as far as the percentage is concerned .

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Vikas Gupta: And sir, I just wanted to understand about the revenue guidance that you gave . What is the figure for H2 ?

Sanjay Kumar Jha: H2, you are telling the figures ?

Vikas Gupta: Yeah , I mean , figure or percentage. What's your guidance on that ?

Sanjay Kumar Jha: It is similar whatever we achieve in the Q2 will remain. It will remain .

Vikas Gupta: And sir, any CapEx plan for next year or next two years?

Sanjay Kumar Jha: Yeah, CapEx plan already this year we have for Rs. 60 crores and next year and next to next also, we are having a plan , but depends on the ability of the fund and all we will decide. But possibility is there to add it further , but our idea is just to see that how effectively we can utilize that whatever CapEx we have now put in our operation.

And mainly, main focus today is basically the modernization of our old facility, which has been installed and commissioned in the 80s. So, those things we are trying to modernize now with various options available , like either going for the new equipment or even revamping the old facility and then going , it's modernizing . So, this type of program , but it will be , CapEx will be almost in the similar and may be around 100 crores will be there.

Vikas Gupta: And sir, my last question is about the export numbers . So, how much was the export revenue for this quarter and for H1?

Sanjay Kumar Jha: H1 we have achieved almost our export was around 49 crores , and we are planning to achieve in the similar range, may be that is not slightly on the higher side because we have around 60 crores order is available. So, that we have to execute in this financial year . So, we will be touching around 100 plus . It will be going to around 100 -110 crores.

Moderator: Thank you. The next question is from the line of Neha Joshi , an individual investor. Please go ahead.

Neha Joshi: May I know about any progress on Rolls Royce or GE or Pratt & Whitney orders?

Sanjay Kumar Jha: Yeah , whatever export you have seen the figure of around 50 crores , 49 crores precisely. On this supplies mainly have gone to GE and also Pratt & Whitney. Some supply has gone to Rolls Royce also . So, it is a mixed type total means like supply has gone to these type of companies only, and we are also now working out to have a long-term contract with Pratt & Whitney and also for many other similar type of aero engine manufacturing company.

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Moderator: Thank you. The next question is from the line of Amit Dixit from ICICI Securities . Please go ahead .

Amit Dixit: Sir, one of the things that we saw in this quarter, or in this half year, I should say, that the inventory increase has been much lower compared to H1 FY '24. In the last call , you highlighted that the objective is to control the VOP and to sell whatever we can produce. So, just wanted to understand that VOP is also down we are seeing. So, what specific steps we have taken in that direction because this is a very positive thing , I mean , coming in MIDHANI now?

Sanjay Kumar Jha: Yeah, as I told you from the last , I think, few quarters, that our main focus is to cut down the inventory. In this endeavor, we have taken a number of steps,

like first one is how to reduce our

generation of our scrap or rather I can improve the yield , and second point is that whatever we generate the scrap, how we can best recycle. So, we can see our recycling percentage of the scrap also has gone up.

At the same time, we also work in such a way that we should try to supply the products in a very short cycle time . So, cycle time reduction also is the one area which we have tried to do , and we have put lot of effort in this direction. And raw material also , inventory has come down because, first of all , the prices of the raw material has been on the lower side in this quarter also. And at the same time we have made our procurement in such a way that we should not build up large

amount of raw material inventory .

So, these are the various measures which we have taken up , and it is giving a good result. And I am sure in this year itself , we have the target that our VOP and sales should have almost match . That type of steps we have taken. And as I told, there was some impact in the first quarter because of that one , because we wanted to control the inventory WIT right from the last quarter of the last financial year only . But now things are we are streamlining . So, you will see the better impact , a better result now in coming days.

Amit Dixit: One of the basic data based question, that what is the kind of order inflow do we expect in FY '25? And what is the end year order book that you are expecting?

Sanjay Kumar Jha: I think so far we have booked up to more than 1,000 crores . 1,000 crores plus we have already booked order , and we are expected to book around not less than 600 crores in the months to come for this financial year FY '25. So, that will build up our and if you are doing our sales turnover also around 1,300 crores, 1,300-1,400 crores this year , definitely we will have more than 2,000 crores our order book at the end of this financial year.

And as I told actually , that today the market is good provided you can produce the material and supply in short time. Short delivery is the requirement of the , need of this hour, and probably it is suiting to the industry also , and it is good for our inventory position also.

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So, we are trying to take the orders from short delivery period , and many orders we are not trying to now take because or people are not giving because moment you see that your lead time is more, so that orders are not coming. But I am sure that as we are improving our capacity efficiency , order book will not be the issue.

Amit Dixit: Sir, in terms of current order book, is it possible to provide the split in terms of sector and in terms of product?

Sanjay Kumar Jha: So, you want a breakup.

Amit Dixit: Yes, sir, breakup.

Sanjay Kumar Jha: Breakup figure I will ask my Marketing Director T M is sitting there to give the order breakup as far as the sector -wise is concerned. So, he will give the breakup , but maximum order today we are running from the defense, and when I say defense, defense, we have the two types Arrow and the Naval put together is almost, I will say , 70% to 80 % we have the order book from these two segments only and rest others , space is very less today . I think hardly we have 10 % to 15% in the space. Yes. But expected indications are there that things are going to come but not now.

Amit Dixit: And sir, in terms of material spread between titanium superalloys and special SKU?

Sanjay Kumar Jha: That break -up I am not having here right now. But it is lovely. We have both the things are very good. Titanium order book , it is really very good now , and we have to execute. A lot of things are under process. Some effect has come because of problem in the supply chain of some of the master alloys which we are trying to resolve. But order bo

ok for titanium must be around 600 to 700 crores. 600 crores at least.

Amit Dixit: And sir, is it possible to provide the contribution from white plate mill and armor factory? Revenue contribution?

Sanjay Kumar Jha: Yes, armor , white plate mill contribution is less in this quarter or say , the first quarter also, Q1 and Q2, mainly because the plate required for ISRO, almost we have order we have completed . So, that was coming in the big way in the last earlier FY '23 and '24. But we are trying to now develop some of the products which are essentially we have made one product for BH EL turbine blades . So, those things are expected , but they are all coming not in the very high volume. Technologically they are very challenging, but not the high volume . So, it is going to increase further.

Then also we have some product we have made for titanium plates for ISRO . So, those things are already going on. So, we are hopeful to get some more orders and in this process we have made good progress in getting some tie -up with AVISMA-VSMPO for rolling of titanium slabs using our plate mills . So, that type of work is going on. I think we will be having this year around

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150 crores with a white plate mill. 150 , I will say , very conservative one. It may increase more also. Let us see.

Amit Dixit: And armor factory?

Sanjay Kumar Jha: Armor this year is going , but we had some backlog things which we wanted to do some value addition because of some technological challenges we have faced in the jackets . So, that supply is going on , but since it is the first time , so lot of testing, trials is going on that product . So, far we have supplied around maybe 6-7 crores worth and some orders are from J&K Police for

vehicles .

So, vehicle development also , there are number of developments they have told to do for the first time . So, I am expecting that also . So, this quarter , quarter 3 and quarter 4 will get the same figure, but our idea is to cross 100, but it will be in the lower side because of that type of development. But we have participating in the very big , big tenders . Let us see how we can solve this.

Amit Dixit: Sir, are we also going to participate in this FICV development for this, you know, the A oN has been issued. So, do we also have some s take there?

Sanjay Kumar Jha: Yeah, FICV , the armor side, we have people have approached to us. So, since we are doing the armoring for the tanks now, that is for MBT Arjun, s o for this vehicle also the armor requirements, they will be coming to us , and we will be participating in that because we have the technology for armoring for the tanks. And similar thing with some modification will be utilized for FICV also.

Amit Dixit: Is it possible to quantify the opportunity for this broadly?

Sanjay Kumar Jha: Not, very difficult to say at this juncture , because it is in the discussion stage. So, right now how they are going to deal with that and some place, probably the technology part also, they are sure for using the same technology or not, I am not sure. But initial indications are that similar type of armor they are going to utilize in the FICV also. So, let us see how it is going to be done in the future. Very difficult to pinpoint at this stage.

Amit Dixit: Sir, the last one from my side. What will be the scrap recycling percentage in H1 and how has it changed from FY '24?

Sanjay Kumar Jha: Scrap recycling, I think our DPM will put something.

T. Muthukumar: Sir, this scrap recycling , we have gone in a long way. That is the reason why you could able to see in the last fourth quarter, our virgin consumption has come down compared to previous quarter. It was about 60% and the scrap consumption has gone to about 40%.

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Now, we are ident

ifying every grid whenever we process , what is the possibility of using the scrap. And since our super alloy consumption is more and that too mostly we need to use it for aero where there is a restriction that we cannot use any scrap. So, we have to use only 100% virgin mate rial.

However, non-aero grids, we are trying to use more and more scrap recycling. And we are planning that in the coming quarters also, our scrap consumption, that is reuse of internal scrap, it will be about 40%. And the virgin material will be 60% compared to what it was earlier about 70% was virgin material and 30%, 20% to 30% was the scrap. So, we will continue to do that. We are putting lot of effort.

In addition to this, we are also identifying lot of scrap material which cannot be reused at MIDHANI . That we are putting it for a uction. We are putting it for auction . That is also compared to earlier years, our sales through action in stores has gone up. So, all efforts are there to liquidate the scrap and re -usage of the scrap.

Amit Dixit: Sir, is this scrap consumption also there in titanium or is it only for super alloys ?

T. Muthukumar: No, no, titanium we cannot be able to use scrap. This can be used only in the steel as a super alloy .

Moderator: Thank you. As there are no further questions from the participants, I now hand the conference over to the management for closing comments. Over to you , sir.

Sanjay Kumar Jha: I will now ask the Director of Finance to give their closing remarks.

N. Gowri Sankara Rao: Thank you , sir. In the closing remarks, I would like to mention that year compared to year '23-'24, '24-'25 is an opportunity year where our exports have gone up and also what I see, so there is a reduction in the turnover and the margins in the first quarter. Second quarter of FY '25 has shown a good improvement , and we achieved 262 crores turnover , which is our best and also as our CMD , DPM explained regarding the control to control the inventory, we have not gone for a higher production. Both we are matching , and our VOB is 268 crores and our sales is 262 crores , and by using the more planned rewards, even our profitability has gone up, and we are at 22% EBITDA now for the second quarter because of the first quarter it is reduced.

However, we are expecting t hird and fourth quarter it will further improve . And as it is rightly told because of the new work introduction, the commissioning, the titanium production will go up compared to the last year only we did in the first half 7% , now it has gone to 10% . Whenever the company goes more titanium , the margins also good and we can achieve. And as far as the exports are concerned , we have orders we will execute with the new companies . That is our side and hope that quarter 3 and quarter 4 will give a bright res ults.

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And on this , I extend, on behalf of MIDHANI, my thanks to all the esteemed investors for their confidence on MIDHANI. And MIDHANI will have a bright future . I also thank ICICI for arranging this conference call . Thank you .

Moderator: Thank you. On behalf of ICICI Securities , that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Feb 2025

MIDHANI

MDN/CS/COM PLIANCE/2024-25 February 11,2025

To,

BSE Limited, National Stock Exchange of India Limited,
P.J.Towers Dalal Street, Exchange Plaza, Bandra Kurla Complex,
Mumbai- 400001 Bandra (East),

Scrip Code: 541195 Mumbai —400051

Trading Symbol: MIDHANI

Sub: Transcript of the Analysts and Investors Meet/Conference Call held on February 6, 2025

Dear Sir/Madam,

1. Further to our letter dated February 6, 2025 intimating you about the audio recording of Analysts and Investors Meet/ Conference Call on Q3 —FY25 Results, held on February 6, 2025, please find below the transcript of the aforesaid Conference Call.

2. The transcript of the call is also made available on the Company's website.

This is for your information and record.

Thanking you,

Yours faithfully,

For Mishra Dhatu Nigam Limited

Paul Antony

Company Secretary & Compliance officer

company.secretary@midhani-india.in

End: As above

qj~ f~JTpf~ MISHRA DHATU NIGAM LIMITED

(~w~~ ~i~r~m) (A Govt. of India Enterprise) ~~~~~ ~l~iimri -500058 Registered Office: RO.Kanchanbagh, Hyderabad, Telangana-500058

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~T~9R ~t.CIN: L14292TG1973G01001660

~ Website: www.midhani-india.in

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"Mishra Dhatu Nigam Limited

Q3 FY25 Earnings Conference Call "

February 06, 2025

MANAGEMENT : MR. N. GOWRI SANKARA RAO – DIRECTOR (FINANCE)

AND ADDITIONAL CHARGE OF CHAIRMAN AND

MANAGING DIRECTOR – MISHRA DHATU NIGAM

LIMITED

MR. T. MUTHUKUMAR – DIRECTOR P&M – MISHRA

DHATU NIGAM LIMITED

M

MODERATOR : MR. AMIT DIXIT – ICICI SECURITIES

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Moderator: Ladies and gentlemen, good day and welcome to Midhani's Q3 FY25 Earnings Conference Call

hosted by ICICI Securities Limited. As a reminder, all participant lines will be in the listen -only

mode and there will be an opportunity for you to ask questions after the presentation concludes.

Should you need assistance during the call, please signal an operator by pressing star then zero on your touchtone phone.

Please note that this conference is being recorded.

I now hand the conference over to Mr. Amit Dixit from ICICI Securities. Thank you and over

to you, sir.

Amit Dixit: Yes, hi. Good afternoon, everyone. On behalf of ICICI Securities, I welcome all the participants for Midhani's Q3 FY25 Conference Call. At the outset, I would like to thank the management for giving us an opportunity to host this call. From the management, we have with us today Mr. N. Gowri Sankara Rao, Director Finance and Additional Charge of Chairman and Managing Director, and Mr. T. Muthukumar, Director P&M. Without much ado, I would hand over the call to Mr. Sankara Rao to take this forward. Over to you, sir.

N. Gowri Sankara Rao : Yes, thank you, Mr. Amit. My dear esteemed investors and representatives of financial institutions, most welcome to today's, our financial highlights presentation. Midhani, you are aware, it is a very huge company, and for the Q3, our results, I would like to mention that as far as the revenue and VOP is concerned, compared to the last year's sales record FY24 and FY25, a little dip is there. However, in the form of EBITDA, PBT, and PAT, there is an improvement. Last year, we did, for the same quarter, INR 251.98 crores revenue. This year, it is 237.97, a dip of 5.56%. Last year, we have done VOP of INR 279.28 crores. This year, it is 257.45, a dip of 7.82%. Whereas, when it is coming to EBITDA, last year, for the quarter, Q3, it is 17%, INR 42.11 crores. This year, it is INR 59.44 crores. It is 25%. That is an increase of 41.15%. I will explain in detail the reasons for the same. Same way, PBT also, there is a growth from INR 18.92 crores of last quarter, Q3 of FY24, to Q3 of FY25 is INR 36 crores, an increase of 90.27%. Same way, PAT also, last year, it is 5%, INR 12.49 crores. This year, it is 11%, INR 25.27 crores, an increase of 102.32%. For nine months, if you see, there is, last year, FY24, we did INR 667.18 crores. Whereas, this year, cumulatively, we did INR 663.54 crores. More or less, at the same level, only 0.55% is the dip. Coming to VOP, it is INR 865.77 crores last year. This year, it is INR 736.46 crores. Our intention is to reduce the higher inventory, as we have discussed in earlier several meetings. We have concentrated more on revenue than VOP. Coming to EBITDA, last year, it is 20% for nine months. This year, it is 22%, from INR 135.55 crores to INR 148.02 crores. The same PBT also has gone from INR 66.29 crores to INR 78.88 crores. PAT is INR 44.88 crores to INR 63.92 crores. That means, nearly, we have seen some 2% growth in EBITDA, and 2% growth in PBT also, and 1% in PAT. Mainly, this is because, this year, we have an advantage of price reduction in raw materials, on account of nickel. Where, compared to last year, this year, prices have come down.

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In some cases, prices have increased, nickel being used maximum in Midhani. Because, all the raw materials we import from foreign countries, it is usually not available. So, there is a reduction on account of nickel.

Some prices, like titanium, sponge, moly, it has gone up. We could manage, we could save nearly INR 29 crores on account of raw material price reduction, and INR 19 crores on account of conjunction. Another thing I want to tell, in addition to raw materials, we also consume plant

revert 05:07 .

We say scrap, but it is a

plant revert, client returns. This can also be used there. All these precious raw materials will be there in the composition base, which normally we value at a recoverable basis.

When that conjunction is there also, it will impact on our profitability. Compared to last year, there is an improvement on this also. Last year, our conjunction of materials to scrap is around 66% virgin and 34% plant revert.

Whereas, this time, it has come down to around 55% virgin and 45% is the scrap. Due to which, we could gain in the conjunction also, and also, as I told, raw material prices. As far as the order booking is concerned, 2024-25 is an excellent year for Midhani.

We have already booked nearly INR 1,115 crores worth of orders. We are expecting in these two to three months, we will get another INR 550 crores. So, we will reach INR 1,700 crores worth of orders in this year.

As of today, we have nearly INR 1,906 crores executable orders are there. So, we hope quarter 4 of FY25 and all the quarters of FY26, a good picture can be seen in Midhani. Even coming to the capex side also, we have made a major investment in order. Still, we planned around INR 60 crores to be invested in this year on capex. Already, INR 40 crores we completed. Balanced INR 20 crores also we are going to invest now.

Major plans, bigger plans also is there in the company. And Midhani also is developing various new alloys, a requirement for the aerospace, and some requirement of energy side and also some naval side also we are developing. Even whatever earlier Midhani has done, certain products on army side, tank side, certain we are expecting certain barrel, gun barrel also we are expecting to re-enter the market.

And other alloys also, as last time also we discussed like ultra, advanced ultra -supercritical alloys

also we want to develop, which will be used by BHEL for electricity generation. Electricity generation, that is also we are expecting. We have already discussed with IGCAR, who is developing that alloy with them.

They have also placed a developmental order. And we have also involved in this further development, which is already established. Once orders come from BHEL, we will be able to execute very sizable figure of this alloy.

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In addition to that, so many other materials also we are doing. And we are expecting -- you know earlier, MIDHANI got the order of nearly some INR 2,000 crores from ISRO. Now again, though the order is mostly completed, very nominal quantities are pending.

This year -- at the end of the year, we are expecting to get another INR 200 crores order we will get. With that also, MIDHANI, because it is already in established for managing state, so we will be capable of supplying the same material within a year, as we have a facility available now, Wide Plate Mill, which can be used and supply the items.

Other one is rings are there. BSS' own facility is there and funded facility. And we also have a facility we are taking up. If that is successful, entire INR 200 crores can be executed in one year. This is from my side.

With me, my Director, Production and Marketing, Mr. Muthukumar is there. Also, GM, Marketing, Mr. A. K. Sharma. AGM Finance, Mr. A. P. Rao, also is available here. Now I will request the investors to raise your queries, if any, on MIDHANI. We will try to explain you. Thank you.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from Anil Bagaria from Equicorp.

Anil Bagaria: Congratulations on a good set of numbers. Just a few quick questions. Sir, as you mentioned that you are developing supercritical alloys. Does it refer to the ultra-high megawatt thermal power plant that the government had? And these alloys are regarding to that project?

Management: Yes, yes. You are right.

Anil Bagaria: So, what

it would be the tentative size of the entire industry as such for this supercritical alloys?

And what is the government ambition on all the ultra-high megawatt power plant in terms of megawatts?

N. Gowri Sankara Rao: Megawatts, our DPM will talk about that.

T. Muthukumar: The government is now at the development stage only. That is in the development stage and they have been establishing that. And since it is in the establishment, now there is going to be -- they are thinking about a 5 mega projection. But full detail, it is not known to us.

N. Gowri Sankara Rao: But we have submitted our budget report to BHEL. It will be a big figure. Based on whatever successfulness we got, we have submitted a very big figure. Once that is finalized, we will let you know. But it is a very good turnaround to MIDHANI.

Anil Bagaria: I believe in this industry, we are the only one, Indian players, we have placed bid for this order. I guess the other bidders would be foreign, right? So, we are looking at some kind of import substitutes in these kind of alloys?

N. Gowri Sankara Rao: Yes.

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Anil Bagaria: And what will be the duration if the order materializes for us, I mean 2 years, 3 years, 5 years?

N. Gowri Sankara Rao: The alloy has been already developed. Okay. So, we have placed a formal order. Actually, whatever budget report we have given, we are comparing with the import. So the formal approval has to come from the government. So once it is done, there will be a centering process. After centering, MIDHANI will get the order. So, when MIDHANI gets the order, like any other alloy which we do, it depends upon the product size. We will be able to start delivering it within 6 months of time from the date of order. Because the product has already been established and we have the budget report.

Anil Bagaria: Okay. Sir, coming down to the SMRs and using our titanium chemistry, titanium alloy chemistry. Sir, what is your thought process given the Finance Minister also emphasized on, I mean, amending the entire act, allowing private participation and a lot of companies have started hunting for technology partners in reactors.

So what would be your thought process on this entire industry that's panning out because they

have given a target of about 100 gigawatts of nuclear by 2047, so your understanding on this particular industry? And I guess we are the only ones in the titanium alloy chemistry would be using -- would be making alloys for a number of components. We've also done some projects in past with respect to the coastal side nuclear plants, if I'm not mistaken.

N. Gowri Sankara Rao: Titanium we have not developed. That is super alloys. It is not titanium. So far that we are supplying some alloys for that, not specifically for titanium. But anyway, that requirement comes, we are leaders with respect to titanium production because recently we had

committed our new titanium plant. So now we are -- there is a tender earlier and we are geared up for whatever the future requirement of the titanium, which will cater not only nuclear, for any other applications.

So that already we have made and we are also provisioned. Suppose if there is going to be a huge requirement of titanium, then we are also provisioned that we can install further two more walls in the same space, already we are having space. And what are supporting facilities for accommodating, for that we also already installed. So we will be geared up to take up any other challenges with respect to titanium.

Anil Bagaria: And is the titanium -- the new titanium furnace operational? I mean, earlier we were doing test runs for orders to find the consistency in quality. So is it commercialized for commercial batches right now?

N. Gowri Sankara Rao: Yes. Already. It has become fully operational and we started delivering product from the nuclear

finish. All our trial runs are over. Now we started producing from.

Management: No, titanium we were already supplying for the strategic projects. For commercial purposes, no issue at all. More stringent specifications we are meeting. So it is not difficult for MIDHANI to produce titanium further. Only thing we have to concentrate more on getting the sponge and master alloys. That also now we are getting -- we are sourcing the more suppliers and indigenization also we are doing.

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Anil Bagaria: Okay. Sir, if you could also share some more details on the ISRO order that you just mentioned that we had got earlier orders and right now we are expecting to get about INR 200 crores order from ISRO.

N. Gowri Sankara Rao: No. ISRO already whatever orders they have placed for the future launches also, they have taken material. Now they have some shortfalls which they are taking up. We are expecting that order by this year end. That means FY '25 year end, the month of March something, we have submitted a budget report. We need to finalize. They need to finalize and we will get some orders. That only I told total INR 500 crores order we are going to get. Total this year INR 1,700 crores order we are getting.

Anil Bagaria: So, out of the INR 500 crores marginal orders that we are expecting in Q4, the INR 200 crores order is from ISRO. The other INR 300 crores order we are expecting from which industries?

N. Gowri Sankara Rao: Other miscellaneous, maybe defence, defence side, aerospace side. Some it is a miscellaneous, other regular customers. Actually, every year we get a Q4 that you know we are a strategic producer for giving material to defence, aero and energy sector. So, now for the next year requirement normally we get orders in the last quarter of every year.

So, this year also we are expecting order worth of about INR 500 crores in this last quarter. So, that happens from all the sectors including defence, naval, everything. So, that will be delivered in the next year. So, that happens normally.

Moderator: Thank you. Mr. Bagaria, we request you to re-join the queue for follow-up questions. We move to the next question. The next question is from Rakesh Roy from Boring Asset Management.

Rakesh Roy: Hi, sir. My first question is regarding your alloys, super alloys which you are making for BHEL. Can you highlight the overall market size for this alloy for Mishra Dhatu Nigam?

N. Gowri Sankara Rao: This is first time developed in India with Midhani. So, this market, even this technology also I think new. We have not yet cleared. Government of India has to clear. Once it is cleared, the thermal power plant with AESC material, they will plan. Once that is planned, they wanted to know whether alloy can be developed in India. Maybe it can be imported also. They will see. But they asked us to develop.

We developed. Now we are waiting for the final clearance from the government and inquiry from the BHEL.

Rakesh Roy: Right, sir. Thanks, sir. My next question, sir, can you highlight on what is the progress of our JV with NALCO for aluminium plant where we are currently?

N. Gowri Sankara Rao: Yes, aluminium plant, it is again, we have made it, that Utkarsha you are talking now, that we are discussing. Whatever data we obtained, it is not so much encouraging. Encouraging or giving that much of investment, NALCO and Midhani does. The benefits, again, the consultant has to firmly give recommendation. It is not some positive recommendation. Still we are studying.

Even ministry level also they are studying the project. We will let you know once the final outcome comes on this. We will inform definitely our investors.

Rakesh Roy: Till date, how much we invested in this JV?

N. Gowri Sankara Rao: Pardon?

Rakesh Roy: Till date, how much we invested in this JV with NALCO?

N. Gowri Sankara Rao: It will be around INR 4500 crores. Till date, we have not -- it is only land was procured. Actually, we invested INR 20-INR 20 crores. Mi dhani invested INR 20 crores in the form of capital and NALCO also invested INR 20 crores, INR 40 crores. In that, INR10 crores, we spent on land and compound wall. No more, only the -- now whatever we appointed the consultants and environmental clearance, these things we have done, that is in INR1 crores or INR2 crores. But ultimately, major investment was not there.

Major investment will be decided based on the outcome and decision of the government on this. As this project appears not that much of encouraging, profitable or viable. So, still discussions are going on because the requirement of defence also very small in this. And other areas like transportation, like railways and logistics, car manufacturers, using the aluminium alloys is not started at fully. So, presently, even other suppliers, competitors also coming into the market. And imported foreign by supplies are cheaper than making in India.

All these aspects, they are studying. We have appointed one consultant. Their recommendation is given. We asked them to further study. Once the further report comes, then it will be discussed at ministry level. Then a decision will be taken on this. Till such time, whatever we invested, it will be in the form of FDRs only there.

Moderator: Thank you. Mr. Roy, we request you to re-join the queue for follow-up questions. We take the next question from Pranav Bastawala, who is an Individual Investor.

Pranav Bastawala: I have one question. Basically, we have titanium dioxide is a raw material for us. And but when we are looking at it since last so many years, Midhani has not tried to buy any ore, mine ore for any captive consumption. Is there a plan for buying any kind of this kind of mines in the future for this kind of titanium dioxide or for anything else?

Because there is a company called PTC, which has already commissioned a war furnace for the production of the aerospace grade titanium in India in the country. First private sector company. Are we planning something of similar sort?

N. Gowri Sankara Rao: Coming to this titanium, from the ore, we have to produce sponge. Sponge will be used in the lab. From ore to sponge, there is a lot of processes there. It is a huge investment. Midhani's present requirement is around 1,000 to 1,500, which will go to 3,000. If this type of project is to be kept, nearly the capacity should be 20,000 tons like that. Even PTC also, they have to put that facility.

Now, already in Kerala, KMML is there. Their capacity is only 500 tons. That also, they are not able to produce. Normally, in this, they concentrate more on titanium oxide side. So, whatever sponge is required presently, everyone is dependent on the foreign source only, which is competitive and better product you will get.

Presently, we are getting from other. Even PTC also, they are trying from the foreign only. In fact, they also planned. But it is a huge investment side. Huge investment side. So, that investment has to be seen. There are talks that eastern side will be planned like this. It has to materialize. Otherwise, till such time, we have to depend on KMML and also foreign sources only.

Even KMML also, they are planning. It is a state government organization. They are also planning to enhance their capacity. If they enhance also, that can be used. But size-wise, in India, presently only Mi dhani is producing. Maybe PTC might be added. And if the PTC added also, how much is the input required depends on that. Based on the size, in future, they may decide. And Mi dhani also, but as far as the requirement, I told you, it is 20,000 tons like that.

That much of requirement Mi dhani is not having. Even down the line, 4-5 years if you take also. So, investment in making the titanium sponge or buying the titanium ore may not be present

condition of MIDHANI, may not be suitable. So, sponge only we will source from outside India by way of import. And also from KMMML, which is a government organization.

Pranav Vastavala: Okay. Sir, only the last question. We have this JV with Nalco since several years. But it has not fructified. And in one of the conference calls 2 years back, it was said that the actual, whatever was envisaged and the requirement, what is required, anticipated is absolutely low, the demand. So, what you would like to say today for this JV will go ahead or it will remain as it is on paper?

N. Gowri Sankara Rao: You must have heard from the previous questioner also he asked the same question. I have replied in detail. We have appointed a consultant to study the market, to see the prices of the import prices. What is our prices? Who are all other people are there? So, still it is, as far as I told, it is not an encouraging situation.

That is why we are rethinking and it is discussed in the joint venture board meeting also. But still it is not finalized. We have to take up with the ministry to be done. And the strategic requirement is also very less. Definitely, something will come. Next, by next, another one quarter, something may come. It is in the last stage only. But it is not encouraging. I told now.

Rakesh Roy: Thank you very much. That's it from my side.

Moderator: Thank you. Next question is from Parimal Mithani from Credential Investments. Please go ahead.

Parimal Mithani: Thanks for the opportunity. I just wanted to know the decrease in raw material price, is because of what reasons. If you can highlight and what is the inventory level currently?

N. Gowri Sankara Rao: I didn't catch that. Can you please repeat? Hello.

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Parimal Mithani: So, I just wanted to know the raw material price have decreased. What is the reason for that? And if you can tell the inventory which we are carrying since long time. What is the status on that, sir?

N. Gowri Sankara Rao: The first question, raw material prices, it is volatile. As I told you earlier, before this global situation, Russia-Ukraine war, geopolitical situation, certain prices have gone up, certain prices have normalized. So in that way, whatever prices earlier in the standard form, certain prices have increased and subsequently reduced, some prices are going up and down.

In that way, whatever raw materials purchased by Nidhani is not available in India. Number of source also less. Because of the situation, sometimes we may not get the material from the required country. And further, buying from China also, certain restrictions are there. Even Australia is also interested, but they are not coming forward. So that is the reason, some prices are going up. It is the market condition. And you see, it impacts even the dollar price also. When dollar goes up also, prices go up. This year, what we have seen, nickel has come down, moly, chromium, little bit increased. Titanium sponge also, because of the restrictions, titanium sponge also increased. So other prices is normal only.

But majority, because MIDHANI is consuming more nickel, the other items are there. This year we have an advantage. Last year we had a disadvantage. We have to see in the future also. But indigenously developing these materials are difficult. Except this titanium sponge, some cobalt recovery also we planned. But otherwise, mostly we have to depend on the foreign sources only.

Parimal Mithani: And sir, in terms of the order book, is it safe to say that we will be having a healthy order book going forward from now because you are close to INR2000 crores? Do we expect a jump in order book from

now going forward?

N. Gowri Sankara Rao: Already we have earlier years, it is only INR1000 crores like that order book. Now we have INR2000 crores. We have a very good order book. Going forward, same will be maintained. In MIDHANI also, we will try to achieve that order book, whatever is there, to execute. Once I execute, I will get further orders also.

And another important thing, because of the present situation, even foreign customers are also approaching MIDHANI. Since foreign customers are approaching MIDHANI, foreign customers do not place the entire requirements at one go. They place in small parcels.

Suppose once I execute those parcels at their satisfaction, they will continue to give some more orders. Like that also, if you see this year, we have already touched INR60 crores exports. Ever in the history of MIDHANI, this much of export we have not done.

And going forward, exports also will go up because we have already started with the high-level customers like Boeing, Pratt & Whitney, Airbus, GE. These customers are also approaching MIDHANI now. So the only thing, they should get confidence on MIDHANI.

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That confidence will come over a period based on my supplies without any delays and quality. Once I do, a good position will be there. Let us see. Now INR2000 crores order book is a healthy book.

Parimal Mithani: Thank you sir, I'll join in the queue.

Moderator: Thank you. Next question is from Anil Bagaria from Equicorp. Please go ahead.

Anil Bagaria: Thank you for the opportunity again, sir. Sir, just to carry on that you are supplying to most of the large aerospace companies and you have also got a lot of contracts from them. Sir, are those supplies related to critical aero engine components or non-critical aero engine components? Sir, if you could elaborate.

And the way MRO is also being developed, the MRO ecosystem is being developed in India. Sir, how do you see that space going forward?

N. Gowri Sankara Rao: Yes, my DPM will explain.

T. Muthukumar: So we are the major suppliers of whatever raw material it is required for the aero components to HAL.

Recently, as has been discussed in the earlier conference also, that one of the major order we assessed for making SUGA engine to HAL.

So that ALA which was being imported, now we are in the way to make components and which will be supplying to HAL. Okay, that is one part. And within the starting, once we are successful in that, that is supposed to be the most critical one.

And we are supposed to get many of special orders. As on today, now our major component, whatever we are supplying, major component is going to aero engine. So some of them are going for the critical applications of the aero, some of them are slightly non-critical.

But however, whatever we make, since it is going for aero, we have to say all are for critical component only. And it is all very stringent quality requirement that we are able to meet it. And this whatever product we are giving it, which we are converting to components, it is being used in various parts of the aircraft. Right from engine up to the shaft, every part it is being used. So this is one. Coming to space, space as you know that we only develop the material for space.

And we continue to support for space.

And that will continue. So as we have been deliberated, we are going to get a major order. With respect to this, in another one month and this we will be continuing because whatever the space, they have a programmer and Nizam will continue to support with respect to that. So there is always the space and aero continuity will be there.

Anil Bagaria: Actually, I meant on the MRO side. How do you see the MRO industry and our supplies for such critical, I mean, both critical and non-critical aerospace engine components to, I mean, Boeing, Pratt & Whitney, Rolls

Royce, Safran, etcetera I actually was, I meant that entire industry as such. How do you see that panning out?

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N. Gowri Sankara Rao: So MRO is a maintenance program. Now, whatever since we have started developing the supply and other things. Now, already we started developing some of the components for HLS. Coming to export. Now, Pratt & Whitney and other company like we already initiated as DFS told. These are all export order. They will not go for the bulk order. Now, GE engines, Pratt & Whitney and all, we started getting orders and we started executing it.

And that's why compared to last year, 23-24, 24-25, our export order has gone up. These are all mostly for the regular equipment as well as for the replacement of the existing. Once it is established, we are very sure some of the party like Pratt & Whitney or GE, Safran, all those things, we will be able to supply in future.

Anil Bagaria: Sir, lastly are we making any material or components or anything got to do with the outer body metal alloys for the upcoming fighter jet programs?

N. Gowri Sankara Rao: Outer body, we don't make.

Anil Bagaria: Okay, we just do the engine part. We don't do the outer body. Thanks a lot.

Moderator: Thank you. Next question is from Rakesh Roy from Boring Asset Management. Please go ahead.

Rakesh Roy: Yes, sir. Sir, can you light on your recent tie-in with Pratt & Whitney to supply components for the engines?

Management: Please repeat.

Rakesh Roy: Hello, sir, can you light on your recent tie-in with Pratt & Whitney engine for component?

N. Gowri Sankara Rao: Pratt & Whitney, as I already told you that we have already taken some order, okay, that we have executed. And we have got the repeat order which we have been executing. And we are having a regular meeting with them. Once we execute the present order which I don't want to reveal what sort of a component, which we executed by the financial year, there is assurance from Pratt & Whitney that we will get double the numbers, what we are executing now.

So, this will continue to be there. So, this is in the form of rod, disc, ring. So, we are getting the same.

Management: These are all raw materials, which will be made component by the sub-suppliers.

N. Gowri Sankara Rao: So, this we are continuing to support and we are very sure that we will be one of the partners for Pratt & Whitney in future because they have done a lot of audit on us and with our quality system, we are very much satisfied. And we are going ahead with the placing of order.

Rakesh Roy: Trying to understand, sir, how much order we are looking every year from this tie up this Pratt & Whitney?

Management : It goes for qualification norm then only...

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N. Gowri Sankara Rao: As I have been telling you what order value with respect to Pratt and Whitney it is going to be very crucial. As I told you this is the first year, I will tell you what are the steps are being taken. First year, they have come, they have audited our plan. And since subsequent audit, they have placed order worth of INR 10 crores. That way, they executed that. Subsequently, they have placed the order. That way, we are executing it.

On executing this, they may give one more trial order than that we have executed. Subsequently, we will bring a partner to that. Order value can go to the tune of maybe INR 250 crores, INR 300 crores. Because Pratt & Whitney is a big company and they want all sort of super alloys, which already we have established and proved to Pratt & Whitney that we are capable of making whatever forms they want.

So, it is a question of winning their confidence over the period, which they are establishing by giving different trials or orders. That is being e

xecuted by me.

Management: As I told earlier, they do not place their entire requirement at one go. They will place in small parcels. Once we establish over a period, then they may go for a rate contract. A lot of conditions will be there. We also have to see whether we can go for rate contract, price volatile and all. All these are there. Maybe some price escalation they give.

Still, we are establishing with them all these foreign suppliers. It is an opportunity that came to Midhani because of the present global situation, which we are able to encash to the extent possible Midhani's capability and we are trying to establish ourselves with foreign buyers. We are doing that. If you want to quantify, we may not be able to quantify that much, but definitely, positive growth will be there.

Rakesh Roy: Thank you, sir.

Moderator: Thank you. The next question is from Amit Dixit from ICICI Securities. Please go ahead.

Amit Dixit: Thanks for the opportunity, sir. I have a few questions. The first one is on the EBITDA margin. It is very encouraging to see that we have returned back to 20 plus. This quarter was 22% EBITDA margin. Now, I just wanted to ask in the light of the orders that we have and the raw material cost, of course, nickel does not seem to go up now. So, is 22% the kind of sustainable margin that we can build in for the next couple of quarters at least?

Parimal Mithani: Yes, we can see. 22% this quarter average we got there. Definitely, we can maintain. It may be a little bit that side or this side. It will happen. It all depends on three factors. One is raw material prices. Another one is my composition of consumption of virgin materials or scrap. If I am able to utilize my plant, I don't say scrap also. It is the plant returns. Scrap means it gives a wrong meaning.

In plant returns, it is having a very high value material. If I am able to use in some of the applications, then I will get the desired yield. Definitely, it is encouraging. You might be seeing earlier that there are days where we got more EBITDA also, 25%, 30% also. So, we wanted to see that also. That is also possible once we improve on yield. Definitely, 22% we can maintain.

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Amit Dixit: [inaudible 39:54]

Management : Your voice is not audible.

Amit Dixit: Am I audible now?

Management : Yes.

Amit Dixit: Yes. I was asking more in the context of the fact that now we are going to get possibly ISRO order again, which generally improves margins we have seen in the past. So, definitely, we can see that margins might go up further from here ?

N. Gowri Sankara Rao : I should not say because of ISRO, I am getting more margins. If my performance improves, definitely, I will get margins. That performance improves because when I am establishing new grades, initially, I may be getting lesser yield. Over a period, once the grade is established, I will get more yield. Definitely, my margins will go up. And it depends on the market condition also. Based on that, improvement will be there. I do not conclude or I do not say that because of ISRO order, I got very good margins.

N. Gowri Sankara Rao: As you have seen, if you compare year -wise with the almost same level of sales, we could be able to make more profit compared to last year. One reason, as it has been stated, is the price of raw material. Another reason is also because of our increased efficiency with respect to usage of more results and also our operational efficiency. That is why we could be able to save some efficiencies.

So, we have established some of the grades. And whatever effort we have made, it will continue. Going to the level of 30%-35%, again, our main motto is, you will see last year, our inventory was to the worth of the same period. It was INR194 crores. Now, it is only INR73 crores. So, our main thing is we do not want to build

any further inventory.

So, by controlling the inventory, at the same time, by operating efficiently, we want to increase the EPICA. So, the EPICA will be definitely at the same level and we will try to improve upon. This again depends upon the product content and our usage of results. So, definitely, there will be improvement in the coming quarters.

Amit Dixit: Got it, sir. The second question is on the titanium wire that we actually commissioned last quarter. Just wanted to understand what is the status of that? Have we taken the first ingot out?

What is the utilization over there? So, if you can comment on that.

N. Gowri Sankara Rao: Yes. Presently, we are utilizing hardware fully as we have titanium sponges available. Earlier utilization, stabilization is there. Now, because of non -availability of master alloys, some production decrease is there last quarter. But now, we have already tied up with master alloys and sponge also. There is no issue of utilization of titanium wire. It will be utilized 100%.

Amit Dixit: No issue. Sir, is it possible to give a break up in your order book, sector -wise break up?

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N. Gowri Sankara Rao: Sector -wise?

Amit Dixit: Yes, INR19 crores, INR16 crores?

N. Gowri Sankara Rao: One second. If you see my order books, aerospace is more. Today, I have INR1907 crores. In that, INR800 crores and odd is aero. Naval is INR500 crores. Army space INR150 crores, INR150 crores like that. Missile also is there. Missile also you can say it is a defense. Exports, we have a pending order of INR50 crores. Energy, another INR30 crores. And others around INR40 crores. Like this, major is now aerospace.

Amit Dixit: Okay. And railways, we have something or no?

N. Gowri Sankara Rao: It is around, I can say it is around 45% aerospace. Naval is next level is around 30%. And army space is only below 10%. As we told, we have already executed ISRO's order. New order comes, again it will build up. Missile and other things are same. Exports also, we already executed INR60 crores. Another INR50 crores order is there. And if this is executed, we are expecting some more orders. Like this, we have, okay. Majority-wise, aero only. Aero and naval. Balance are, it is around 20% -30%.

Amit Dixit: Okay. Got it, sir. I will just get back in the queue. And maybe come up for some follow-up questions.

Moderator: Thank you. Next question is for Viraj Mithani from Jupiter Financial. Please go ahead.

Viraj Mithani: Yes. Good afternoon, sir. And congratulations also. Sir, my question is, what will be your guidance for this year? In terms of top -line growth and the bottom -line? What guidance will you give for this year and next year?

N. Gowri Sankara Rao: Next year? Guidance means we have very good orders. We have to try to execute these orders. One is aerospace. Another one is naval. If these orders are executed, as you know, the government is sanctioning so many LCAs, cages and all. Once that is happening, we are going to get some more orders in aerospace. Either HAL and others side, exports also. Exports, if I complete, I will get some more orders. And another important area is titanium. Titanium being used in aerospace. In naval also, some other area.

Now, since I have established my hardware, I am planning, I will get material availability also increased. I may be able to do more titanium. And other facilities, whatever is there, in Rohtak or WPM also, we are concentrating how to get more business. As some tenders were there of defense, army and aero, if that is successful, we will get load to the Rohtak plant also.

Viraj Mithani: Okay. So it will be 20% growth?

N. Gowri Sankara Rao: Your voice seems something not audible. Can you please...

Moderator: Mr. Mithani, if you are on a hands-free request, request you to use the handset and maybe speak a little further. Your voice is not very clear.

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Viraj Mithani: Is it clear now?

Moderator: Yes.

Viraj Mithani: Yes. So is it fair to assume that the sales will grow by 20% at least?

Management: By 20%, definitely. Because I have an order book of INR 2,000 crores.

Viraj Mithani: Okay.

N. Gowri Sankara Rao: Definitely it will grow. Almost all facilities being established, grades also established. 20% is not a difficult target.

Viraj Mithani: Thank you, sir.

Moderator: Thank you. Next question is from Anil Bagaria. Please go ahead.

Anil Bagaria: Sir, just a clarification. Sir, when you said naval orders of INR500 crores, does it pertain to the armour plate contract that we got from Navy? For naval vessels?

N. Gowri Sankara Rao: No, there is no such --this one is different, a strategic project. Certain things are there. It is a Conventional projects are there. There, the MIDHANI is going on. Okay. We are supplying those things.

Anil Bagaria: Do you see the application of armour plate in a lot of naval vessels?

N. Gowri Sankara Rao: The armour plate will not be used in the naval. Armour plate will be used in the vehicles or aircrafts and all. Certain armour will be done. That is different. Naval application is something else.

Anil Bagaria: Okay. Thanks a lot for the clarification.

Moderator: Thank you. Next question is from Amit Dixit from ICICI Securities. Please go ahead.

Amit Dixit: Yes, sir. Thanks for taking my questions again. Just a couple of more questions. So, the order inflow that we had this quarter, I mean, your order inflow, if I compare it with other defense companies, it has been relatively better. So, just wanted to understand some of the key programs for which the inflow was there and whether this inflow also included something in exports?

N. Gowri Sankara Rao: Exports is very nominal outcome, but the key measure we are expecting from the programs only. And as I explained, VSSC, ISRO order. But exports will be how much?

Management: Very nominal. We are not expecting anything in the fourth quarter.

N. Gowri Sankara Rao: We have to complete this INR 50 crores order.

Management: We have been discussing that export, whatever order we got, we are planning to execute and finish by this quarter. The further order will flow from the next year only. But as far as for

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strategic program, we continue to get the order and we will get in the fourth quarter also. From mostly defense and space, that fourth quarter. And some air also. So, this year we will continue and once we execute, then further more order will come.

Amit Dixit: Sir, another one on utilization of Wide plate mill and Rohtak Plant. What was the revenue contribution from both of these in 9 months of this year's?

Management: Wide plate mill that we have told, that because of Wide plate mill only, we could able to execute orders for this space in the shortest possible time. That is why we could able to execute whatever pending orders were there about two years back. We could able to execute and now we are not having almost any order. But further order for the future program, if anything comes on the plate, that we will be executing in quickest possible time. Coming to Rohtak, Rohtak is a different type of district. There we do both body armour and vehicle armour. Recently we executed one big order for air force. Okay. That is work of about INR42 crore's order. We had executed it.

So, we have got lot of confidence in executing that. So, now we are expecting that such a body armour order will come from other people also. So, we are also discussing with army so that we are going to do some trial jackets and once it is approved, there is going to be a huge number of jackets which is going to come. So, we are working on that. Other sector

which is done in Rohtak is the vehicle armour.

Vehicle armour, initially we had separated about 62 number of vehicles to Jammu and Kashmir Lumpur Police. Then subsequently we got another 20 numbers. In the 20 numbers, we had almost executed 90% of the

order. Remaining executed in this order. And again, we have got some more order from the J&K Police.

See the performance, what we have done at the J&K Police. From other Police also, they started giving order like Bihar Police, Punjab Police, Odisha Police. All of them started giving order.

So, this is, it was in a budding stage. Slowly it is growing. So, once it grows, then definitely after 1 year s or 2 years, then this unit will become fully vibrated. We will be getting more and more order in this sector.

Especially on body armour and vehicle armour . Apart from that , we are also working with air force for armouring their helicopters. That one order that executed and we are expecting a repeat order on that. Indian Army, one tender also. Indian Army, this vehicle. That is CPR. CPR also.

So, that is also, it is in the discussion stage. So, we are discussing. There are some issues in executing that we are discussing on the technical specification. So, all this, after 2 years, I cannot say definitely it will happen next year. Maybe after 1 year, definitely there will be a lot of improvement in the Rohtak Plant .

N. Gowri Sankara Rao: For armour , Rohtak side, huge potential is there. Even a consultant was appointed. We have studied the requirement of the country. Huge requirement is there. Even competitors also is there.

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Only Rohtak has to, by supplying to the state police level, they have to improve. And automatically, once we go on supplying, we will get some more orders.

That we are expecting. WPM also, whatever load, surplus load is there, we are talking to the people. Either buying flaps and rolling it and give it, or on conversion basis, something may materialize either this quarter or next year. Q1 of FY '26. We'll do something.

Otherwise, WPM facility, for our internal supplies o f plates, wherever required for the strategic projects, or for the energy projects, we are using and we are supplying in time. Delay, suppose in the same route, if we apply HRM, CRM, it will be, process will be delayed. In WPM route, it is becoming faster.

Amit Dixit: Okay. Sir, just a follow up on this army jacket. So what is this army jacket's order that we are expecting? Which level it is? What material will be there?

N. Gowri Sankara Rao: Tender is more than a lakh. Remember, 1,35,000 something. They ar e yet to finalize. Whether they give it to 1 party, 2 parties, 3 parties, we have to see. MIDHANI also pursuing that.

Whatever samples they are asking also, we are discussing and giving. Once the tender is finalized, even we get a number of, say 25% or 30% also, it is a huge value.

Amit Dixit: Okay. Got it, sir. Thank you so much.

Moderator: Thank you very much. Due to time constraints, we'll have to take that as the last question. I would now like to hand the conference back to the management team for clos ing comments.

N. Gowri Sankara Rao: Thank you. Now I request my D PM to give the closing remarks.

T. Muthukumar : As we have discussed, now MIDHANI is in the correct quarter . And we are improved compared to whatever we were in the last year with respect to profit, EBITDA, and reduction in the inventory. Our order position is also very good. And coming years also, we are expecting full order because of this government's initiative on implementation.

And there will not be any dea rth of order. And w e have also added new facilities. And we are planning to invest further INR 100 crores in the next year. So these all will help further augmenting the facility, which in turn will cater the requirement of all the strategic progra

ms.

Now if you see our dela yed order, whatever it was, drastically it has come down. It used to be about 2 years back. It used to be about INR 1000 crores. Now it has come less than INR 200 crores. So that shows that we have improved our efficiency in executing the order. So this will further come down. And the next year, if you see, at the end of the next year, there will not be any delayed order.

So this all will create a lot of confidence on our customer. And our sales also, since a lot of this internal also, definitely there will be improvement by 20%. Because we added new equipment, which recently has been commissioned in the third quarter and coming to operation from the

fourth quarter. So this will come hand in hand in the next year. So we'll have a great future in the next year . That's what I wanted to say. Thank you.

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Moderator: Thank you very much. On behalf of ICICI Securities , that concludes the conference. Thank you for joining us, and ladies and gentlemen, you may now disconnect your lines.

Call: Jun 2025

MIDH NI

MDN/CS/COMPLIANCE/2025-26 June 10,2025

To,

BSE Limited, National Stock Exchange of India Limited,
P.J.Towers Dalal Street, Exchange Plaza, Bandra Kurla Complex,
Mumbai- 400001 Bandra (East),

Scrip Code: 541195 Mumbai —400051

Trading Symbol: MIDHANI

Sub: Transcript of the Analysts and Investors Meet/Conference Call held on June 4, 2025

Dear Sir/Madam,

1. Further to our letter dated June 4, 2025 intimating you about the audio recording of Analysts and Investors Meet/ Conference Call on Q4 —FY25 Results, held on June 4, 2025, please find below the transcript of the aforesaid Conference Call.

2. The transcript of the call is also made available on the Company's website.

This is for your information and record.

Thanking you,

Yours faithfully,

For Mishra Dhatu Nigam Limited

Paul Antony

Company Secretary & Compliance officer

company.secretary@midhani-india.in

End: As above

~q9f~m I~II~I?~S MISHRA DHATU NIGAM LIMITED

(~rr~ ~i~r~i) (AGovt. of India Enterprise)

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q~Telephone: 040-24184000, 4~m Fax:040-24340039

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~ii~ Website: www.midhani-india.in

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"Mishra Dhatu Nigam Limited

Q4 FY '25 Earnings Conference Call "

June 04, 2025

MANAGEMENT : DR. S.V.S. NARAYANA MURTY – CHAIRMAN AND

MANAGING DIRECTOR – MISHRA DHATU NIGAM

LIMITED

MR. T. MUTHUKUMAR –DIRECTOR , PRODUCTION AND

MARKETING – MISHRA DHATU NIGAM LIMITED

MR. ARUN KUMAR SHARMA –GENERAL MANAGER

MARKETING – MISHRA DHATU NIGAM LIMITED

MS. MADHUBALA KALLURI – GENERAL MANAGER

FINANCE & ACCOUNTS – MISHRA DHATU NIGAM

LIMITED

MR. V. N. S. V. ANNAPURNESWARA RAO,

ADDITIONAL GENERAL MANAGER , FINANCE &

ACCOUNTS – MISHRA DHATU NIGAM LIMITED

MR. PAUL ANTONY – COMPANY SECRETARY AND

COMPLIANCE OFFICER – MISHRA DHATU NIGAM

LIMITED

MODERATOR : MR. MOHIT LOHIA – ICICI SECURITIES LIMITED

Mishra Dhatu Nigam Limited

June 04, 2025

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Moderator: Ladies and gentlemen, good day, and welcome to the MIDHANI Q4 and FY '25 Earnings Conference Call hosted by ICICI Securities Limited. As a reminder, all participant lines will be

in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Mohit Lohia from ICICI Securities Limited. Thank you, and over to you, sir.

Mohit Lohia: Yes, Shruti, thank you, and good afternoon, everyone. Thank you for joining us today for the concluding call of Mishra Dhatu Nigam Limited for the financial year FY '25. First of all, I would like to thank management for providing us the opportunity to host the call. From the management side, we have Dr. S.V.S. Narayana Murty, Chairman and Managing Director; Mr. T. Muthukumar, Director, Production and Marketing.

So without further delay, I would now hand over the call to Dr. Murty for the opening remarks. Thank you, and over to you, sir.

S.V.S. Narayana Murty: Yes. Good evening. Good evening, all of you, all -- to all our respected investors, colleagues from here with me, I'm joined by our Director, Production and Marketing, our General Manager, Marketing, our GM Finance, our AGM Finance and Company Secretary. So we are pleased to welcome you to this investor conference call. The detailed financial results for FY 2024 -'25 have already been disclosed, and they are all available with you. So I'll not go into that line by line. However, I would like to take a few minutes to highlight some of the key operational and strategic milestones that were achieved during the fiscal year, which we believe mark an important step forward for our company, MIDHANI. To begin with, Q4 of FY '24-'25 has been particularly significant. We have achieved our highest ever quarterly turnover of INR410.56 crores, registering a growth of 1.25% over the same quarter last year.

More importantly, the value of production during the quarter stood at INR329.16 crores, reflecting a growth of 16.78%. We are also encouraged by the profitability numbers for Q4. PBT rose by 13.37% to INR77.16 crores, while PAT increased by 21.04% to INR 56.14 crores over the corresponding quarter of the previous year.

Coming to the full year performance, FY '24 -'25 has seen MIDHANI achieve its highest ever annual turnover of INR1,074.1 crores, registering a growth of 0.13% over FY '23-'24. While the top line growth appears marginal, it must be seen in the context of shifting product mix and an industry landscape where raw material volatility and global supply chain uncertainties have been a constant challenge.

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The EBITDA for the year stood at INR248.97 crores, showing a healthy growth of 11.1% and our PAT for the year rose by 20.61% to INR110.07 crores compared to INR91.26 crores in FY '23-'24. One of the key operational highlights of the year was the improved control over production inventory, which had been on an increasing trend in the previous year as you would have remembered. This year, inventory levels decreased by approximately INR8.5 crores. Please make a note of it, contributing to more efficient working capital management and a reduction in debt. Another notable development has been our export performance. Exports have grown nearly threefold this year compared to FY '23-'24, excluding deemed exports. This is a clear indicator of our growing global presence.

We have also begun diversifying our alloy offerings, including new grades for our health care, oil and gas and energy sectors. The impact of these efforts will be more visible in the coming years as p

roduction scales up and customer relationships mature. On the capital investment side, we have undertaken a capex of INR50 crores this year, which has gone into strengthening manufacturing infrastructure and commissioning new facilities.

Our order book position as on April 1, 2025 stood at INR1,832 crores, providing good visibility for the coming years. So in closing, I want to sincerely thank all our investors and stakeholders and for your continued trust and support.

With these few introductory words, I now open the floor for your questions, and we'll be happy to take all your questions from me and from my colleagues. Thank you.

Moderator: The first question is from the line of Dipen from PhillipCapital.

Dipen: Sir, my first question is to understand a little bit on the business environment that is there. So recently, we have come across some news articles regarding some reduction or other restriction in the supply of some rare earth materials and critical materials from China. So I wanted to understand how -- what are the critical materials that we import from China right now? And how do we plan to manage that considering that especially for the Defence sector, there has been a restriction on the same? That's my first question.

S.V.S. Narayana Murty: Okay. See, many of the raw materials that undergo -- that go into production of these materials landscape of MIDHANI, particularly the Superalloys and Titanium alloys, some of the master

alloys that we use for manufacture, they are imported . But as on today, we are not having any import of any of the raw materials from China. And even if we want to import, there are enough non-Chinese suppliers. So it is not of a concern for us.

Dipen: Got it, sir. That's really encouraging. Sir, second is for going ahead, how do you see the business and the top line panning out? And how do you see the margin expansion? Do you see any margin expansion happening in the following year?

S.V.S. Narayana Murty: Yes. See, basically, it goes like this, the -- if you look at the strategic departments of Aerospace, Defence and atomic energy, more and more programs are coming and more and more orders will be coming in the future. And MIDHANI is the only -- I mean, it is -- with respect to

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Superalloys and Titanium alloys, this is the only plant that has more than 40 years of experience in the material, supply of the superalloys and Titanium alloys and high-strength steels.

And we have a very big opportunity in this space being an old-timer and being the store house of more than 500 alloy grades that has been indigenized by MIDHANI. We are the leaders in this area. And I feel there is a significant opportunity for us with respect to the order book position, with respect to the -- in the new orders, our new projects that Government of India is taking. So we don't expect any issue with respect to the potential new customers. And we are sure that we will be able to make a healthy top line as you are suggesting in the coming years.

Dipen: So any headline growth rate or something that you'd like to represent?

S.V.S. Narayana Murty: Headline growth? Would you like to...

T. Muthukumar: We'll be -- we are planning about a 20% growth every year . So now due to this Atmanirbhar and a lot of initiatives taken by the government in indigenization, we are in effort in developing so many alloys and metals for our strategic sector, as CMD has told us. So we are expecting about 20% growth every year.

Moderator: The next question is from the line of Abhishek Kumar from AlfAccurate.

Abhishek Kumar: Sir, my first question on the RM side. So just wanted to understand that what are the key raw materials which are used within your production? And how is impact on -- because of the fluctuation of the price, how it impacts the margins?

S.V.S. Narayana Murty: Okay. This is a -- okay, raw

materials, we import few elements to manufacture Super alloys or Titanium alloys. We import a number of raw materials, like, for example, Pure Nickel, Pure Cobalt, Moly, Tungsten, Chromium . So there are a number of alloying elements. Similarly, we also import a number of master alloys in the process of alloy manufacture for example, aluminum, vanadium, master alloy, there are different grades, which needs different kinds of raw materials and master alloys.

How the variation in the prices affect us, yes, there has been volatility. As you know, there have been some geopolitical issues. There has been up and downs in the raw material costs. But now I think it is more or less -- it is becoming uniform. There is no big problem. And we don't anticipate much issue with respect to that. Previous years, there was some issue with the increased raw material costs that has affected our balance sheet. But we are feeling that now it is more or less stabilized, and we are confident that the same trend will continue.

T. Muthukumar: In addition to that, about 23 raw material, which we have been importing it, now we have taken a lot of steps in developing some of the master alloys indigenously, which in 3 master alloys we are successful. So in addition to that, we are taking a lot of steps in salvaging our scrap and getting the part of the raw material through that.

So apart from getting imported this raw material, we are also on the way how to salvage our scrap and how to indigenize some of the raw material. So as such, there is no problem in getting the raw material. And the future also since expecting that some problem would come maybe in

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another 5 years, 10 years, a lot of steps being taken in MIDHANI to overcome that. So there should not be any problem in supply of raw material and which will cater the requirement of our production need and increase in the sales.

Abhishek Kumar: So are you exploring any plans for the dedicated scrap processing or recycling plant to improve cost efficiency and the sustainability of the margin?

S.V.S. Narayana Murty: See, there are efforts already in place for the last couple of years. We have been in touch with some government agencies as well as some national labs . We are working closely with some of the CSIR labs on how to extract the precious materials, precious elements from the scrap, high - value scrap that we are having. So already that we have in collaboration with the national labs,

we have worked out, and it is giving very encouraging results.

So we'll be self-sufficient, if not fully, at least we'll not be having the crisis of not having some of the critical alloying elements that are likely to be -- that are presently being imported. So that way we are taking step by step we have started already in a very positive note. And as our Director of Production and Marketing has told, we are -- already we have indigenized one of the master alloy, and we are in the process of indigenizing some of the other master alloys that are required for making advanced Titanium alloys for aerospace grade.

Abhishek Kumar: Okay. So sir, if we see the EBITDA margin numbers before FY '24, that was in the range of 25% to 30%. But in the recent past, it has come down. So can we achieve the old margin of that 25% to 30% kind of the range in the medium term because of that -- because of this operational efficiencies you are taking efforts.

T. Muthukumar: See, this EBITDA margin does not depend -- it also depends upon the products which we make it. Say, whatever earlier which were there, the product range was different where we have been producing mostly for space. Now the environment slightly got changed. Most of the orders, we are taking on a competition rate with the private parties and imported parties.

So now that is why our EBITDA has come down. But we are looking forward in all the

efforts, we are looking all the ways to improve our EBITDA by reducing our raw material costs and other factors. If you see the last year compared to '23-'24, '24-'25, if you see our raw material consumption has come down by INR100 crores.

That is also partly because of the raw material price and partly because of our operational efficiency also. So same effort we'll continue in coming years also. So that EBITDA will grow up. But seeing the business environment where a lot of competition is there so our EBITDA will be ranging around 20% to 25%.

Abhishek Kumar: 20% to 25%.

T. Muthukumar: 20% to 25% we'll be ranging around, depends on the product and depends upon the imported cost at that point of time. So it will be around 20% to 25%.

Abhishek Kumar: Okay, sir. And sir, what is the production capacity of the newly commissioned Titanium plant and which key sectors or clients you are targeting towards?

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T. Muthukumar: See, Titanium plant recently has been commissioned. It has been put into full-fledged operation. The capacity, it will be about 250 to 300 tons per month.

Abhishek Kumar: Okay. And how much revenue potential is that plant, sir?

T. Muthukumar: It has -- Abhi, Titanium has got a huge potential. We are having a lot of orders in both the aero sector and the Defence sector. So there has been a lot of this thing, but there have been some disturbances in the supply of raw material, especially on the master alloy. So last year, we could not be able to make as CMD has told that we could be able to indigenize some of the master alloy. So coming year, there will not be any problem in feeding. So we'll be able to cater all the requirement of Titanium because order is huge and our production also is coming in a full way, and we'll be able to meet the requirement.

Abhishek Kumar: Okay, sir. And my last question on the export side. As you mentioned that this year, the export growth was 3x. So what is -- what's sort of the potential we are looking for the export side in the near to medium term? If you are targeting around 20% plus growth of the next 3, 4 years every year, CAGR growth, how would be the mix in export versus domestic?

T. Muthukumar: See, as CMD has already told in the open market, last year, we had done INR94 crores, which is a threefold improvement over the previous year. Now we are in the process of getting certification by some of the overseas customers. So when a major customer like Safran, GE, there so many fellows, will be coming and they started certifying inspecting our plant. So we also -- because of this geopolitical situation and the overseas also, there is a lot of time taken for supplying the material. Because of that, all these overseas customers, they are looking to MIDHANI for the supply of the material. And we also improved our turnover time drastically. So we also look -- a lot of growth will be there in the export in coming years, sir. So those are right now, the order position is about INR35 crores to INR40 crores. But further growth will be there in this year also, we'll be booking. And there could be a possibility that definitely, we will be crossing about INR100 crores to INR120 crores in the coming years.

Abhishek Kumar: In FY '26?

T. Muthukumar: Yes, yes. '25-'26.

Moderator: The next question is from the line of Rakesh Roy from Boring AMC.

Rakesh Roy: Sir, my first question regarding, sir, your order book is nearby INR1,800 crores. So can you give me the breakup between Defence, space, energy and others?

S.V.S. Narayana Murty: Yes. So this is the breakup of INR1,800 crores. So we have the percentage-wise, Defence is about 84%, Space is about 8%, Energy 2% and rest of the things about 3%. And exports, we have about 2%. That is the breakup of total as on today, but it will go up, yes. So we are expecting

more orders so it may be going up and

we are anticipating good number of orders from Aero ,
Navy , Missile , Space and Power .
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Rakesh Roy: Okay. And sir, my second question is, sir, how much order inflow we get for this FY '25, total order inflow in FY '25 and from where...?

S.V.S. Narayana Murty: Yes, we are expecting -- approximately around INR1,500 crores we are anticipating as on today. So there are orders that are already in pipeline. We are -- there are in different stages of procurement process. Basically, we are expecting big orders in Aero , okay, Aero and Space. So -- and Defence, Navy , we are expecting a big order. So they are all in pipeline about INR1,500 crores, we can -- we are expecting.

Rakesh Roy: Okay. And sir, how much order inflow we get in FY '25? Total order inflow in FY '25?

S.V.S. Narayana Murty: Yes. We have already booked about INR1,400 crores.

Rakesh Roy: INR1,400 crores, sir.

S.V.S. Narayana Murty: Yes.

Rakesh Roy: Right, sir. And sir, last question, sir, regarding your Rohtak plant, how much is the order because last time we -- as you mentioned, we have nearly left the INR100 crores order book in Rohtak plant. How much left as on now for Rohtak?

S.V.S. Narayana Murty: About INR10 crores.

T. Muthukumar: The order booking at Rohtak, it is about INR10 crores only. But there are orders on the way. We have been trying to take some of the ToTs from the reputed institutes. Through that, we are trying to book more orders. We may -- during the course of the year, we may get another INR30 crores, INR40 crore order. We may end up with an INR50 crores order booking in the financial year '25-'26.

Rakesh Roy: So we are looking at nearby INR50 crores for FY '26 from Rohtak plant new order inflow?

T. Muthukumar: We're aiming it. But sales maybe -- we may end up with maybe INR30 crores.

Rakesh Roy: Okay. And sir, Rohtak plant is only for bulletproof this one or we make other things also there?

T. Muthukumar: No. Rohtak plant work is for both body armoring as well as the vehicle armoring.

Rakesh Roy: Okay. Only for body armoring and vehicle armoring, no other things there?

T. Muthukumar: Yes, yes, it is only for that, yes.

Rakesh Roy: Okay. And any other new -- like any plan to add any new product in Rohtak plant because the order book is very less and we have the -- if order not come, then it is agitated results, plant is not running?

T. Muthukumar: No, we are exploring -- this itself there is a scope for improving a lot. We are exploring more orders, and we try to establish better technology so that more orders can be taken under Rohtak.

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Rakesh Roy: Okay. And sir, one thing is, sir, when -- on HAL call, they have mentioned you are working with HAL for some product?

T. Muthukumar: Yes.

Rakesh Roy: HAL. Yes, sir. And how much is the market size you're looking from that product in near future? And how is there?

T. Muthukumar: HAL, they are in the process of indigenization of some engines. We are associated with HAL. Right now, we are having order about INR650 crores. So -- but that order, again, another INR300 crores to INR350 crores is in the process. And year-on-year, on the same product, there is a possibility that we'll get more orders from HAL.

Rakesh Roy: Okay. More order from -- and sir, as you mentioned is your new Titanium plant facing some raw material issue. So major raw material is...

T. Muthukumar: Yes, it was.

Rakesh Roy: Okay, it was. The plant capacity, as you mentioned, it has 250 to 300 tons per month?

T. Muthukumar: Yes, yes.

Rakesh Roy: Okay. They will make only Titanium , sir. So generally, we are importing...

T. Muthukumar: Yes. They'll make only Titanium .

Rakesh Roy: Didn't we taking raw material for import or just from India only?

T. Muthukumar: Sponge, main sponge, it is being imported

that alloy, that is master alloy we -- it is now we are indigenization in the last year that will be taken from India, indigenization.

Rakesh Roy: Okay. Okay. And sir, any chance to -- because the PTC Industries has also started their this one

Titanium thing. So any chance to you take raw material from PTC or any other thing, sir?

T. Muthukumar: No, no, we have established our source of raw material. And we have developed other parties also. So we are self-sustained and we need not depend on PTC.

Moderator: The next question is from the line of Raj Rishi from DCPL.

Raj Rishi: What is -- like supposedly, the Prime Minister also talked about massive growth in Aerospace MRO over the next few years. So how will that impact MIDHANI?

S.V.S. Narayana Murty: See, one of the prime products of MIDHANI is one of the lines is Super alloys. And Super alloys are the essence of any Aero engine. And if more number of MROs or MRO units are established, more business for MIDHANI. So we look at it like that.

Raj Rishi: Okay. Okay. And sir, this -- if U.S. and India go for RDP, reciprocal Defence procurement, what's going to be the impact on MIDHANI? Hello? Hello, can you hear me? Hello?

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T. Muthukumar: Yes, yes, we are able to hear. Just a moment there.

Raj Rishi: Yes.

T. Muthukumar: We are still under discussion that still we are not really assessed what would be the impact on it. So maybe in the course of time, we'll be able to tell you what will be the impact on it.

Raj Rishi: But sir, prima facie, at least my perception is it's going to open up a huge market for MIDHANI.

Am I -- is the perception correct?

T. Muthukumar: Yes, yes, your perception is correct. Again, we have to take it up with the concern, and we have to work out what would be the real impact on us.

Raj Rishi: And sir, this Europe -- rearmament of Europe is going to be like -- it's supposed to be a very big amount over the next few years. So how will MIDHANI be affected? Should it benefit MIDHANI?

S.V.S. Narayana Murty : With respect to export orders?

T. Muthukumar: You're telling with respect to export order?

Raj Rishi: Yes, like...

T. Muthukumar: Yes, yes, that anyway it will -- yes.

S.V.S. Narayana Murty: So probably we look at it like this. See, this year, we have about INR95 crores of exports. And we are getting these orders in open tendering process. So we are already competitive in international market. And elsewhere in Europe, there are difficulties because of the supply chain constraints. So we have a very good opportunity. We have increased almost threefold in the current -- I mean '24-'25, we have got -- we have increased the exports.

So we expect to continue the same trend because we are competitive and people are looking at us as a reliable supply partner. So already we have, I mean, people from international Aerospace makers like General Electric, yes, OEMs have already -- they have come and they are in discussion with us. They are listing our plants, and we are in discussion with them. So we hope that the -- our order book position from exports also will be proportionately higher in this financial year.

Raj Rishi: Something like 3x this year also compared to last year?

S.V.S. Narayana Murty: 3x maybe a little more ambitious, but certainly, it will be a better figure. That is maybe INR120 crores to INR150 crores, we -- that is what is our target.

Raj Rishi: Okay. And sir, MIDHANI is also involved in this Kaveri engine, right, the development?

S.V.S. Narayana Murty: Yes. Yes. Yes.

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Raj Rishi: And what sort of -- can you give a perception as to how it will benefit MIDHANI? The engine, if there is a force to develop the engine as some people are talking about?

T. Muthukumar: See, we are the sole supplier of the metals and alloys for

coverage. Once it comes through, then

what was the requirement of metals and alloys, it will go through MIDHANI only. So MIDHANI will be benefited a lot because we already have developed a type test that -- those metals and alloys for coverage.

S.V.S. Narayana Murty: Probably I can add to whatever Director, Production and Marketing told, there are nearly 100 alloys of Aerospace grades that were type tested. Alloys for Aerospace have to be type tested for repeatability and reproducibility. So MIDHANI over the last maybe two decades has established more than 100 type-tested alloys, which are useful, like, for example, for Kaveri engine program. So the technology is available with us. It is only a matter of time that they have to place order with us.

Raj Rishi: Okay. And sir, how competitive you are compared to your peers in the Western world, like price-wise and otherwise?

S.V.S. Narayana Murty: Yes, we are competitive in Superalloys . Yes, and our -- see, this is a specialized business, okay, both Superalloys and Titanium alloys is a specialized business, which is practiced by a very handful of people around the world. And making the alloys to the requirement of Aerospace grade is an art . So that we have mastered that and we are quite competitive. Otherwise, we would not have got that nearly INR100 crores export orders this year.

Moderator: The next question is from the line of Aman from ProfitGate.

Aman: Sir, I have three questions. Firstly, as you report in your annual report, can you give you a breakup of FY '25 revenue segment -wise? Defen ce, Space, Energy and others? Maybe percentage or absolute number, both works ?

S.V.S. Narayana Murty: Yes. So revenue -wise, we have sector -wise space, we have -- contribution from space is 11%. From Defen ce, it is 37%; PSUs, another 37%. Energy is 1%, exports are 9% and all miscellaneous is about 5%. So the major share is from PSUs.

Aman: Okay. And sir -- right, as you highlighted in the call earlier, EBITDA margins from the Space sector are higher than other segments. So as the revenue from aerospace segment is decreasing and the order book also has lower share of Aerospace, keeping the -- keeping raw material prices as constant, can we improve the margin from here on or the margins would be at FY '25 levels or it will decline?

T. Muthukumar: So as I told that now our EBITDA will be to the range of EBITDA will be to the range of 25%. EBITDA will be to the range of 25%. So since we are going to improve on the sales volume, revenue turnover, then our profit on that percentage will go up. So in that process, the PAT PBT also will go up. But our EBITDA will be to the range of 20%, 25%.

Aman: Okay. Sir, can you highlight the differential gross profit margin in space and other segments that you have? A rough idea.

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T. Muthukumar: Space, we have a -- earlier we had a higher margin. But in the Defen ce, so much of margin is not there is not there because now whatever it is getting earlier imported, they are trying to cut the cost comparing to the imported because they are also indigenized.

And in the cost part of it our Defen ce sector is trying to do, our Aero sector is trying to do that we have to match with the imported cost. In the process, our margin is not so high compared to space. But still, we are trying to optimize our process and reducing the raw material consumption. We are trying to improve upon the margin. That is what we are doing. But as such, order booking margin is not so high as it was there in the space.

Aman: Sir, can you highlight the differential margins between space and other segments, maybe Defen ce? sir, quantify that.

T. Muthukumar: Figures, we have not -- one-to-one, we have not worked out. But as I told y ou that in this Defen ce or Aero , margin is slightly less compared to the Space.

Aman: Okay, sir. Yes. Th

at's all sir.

S.V.S. Narayana Murty: Thank you.

Moderator: The next question is from the line of Abhishek Kumar from AlfAccurate.

Abhishek Kumar: Sir, c an you give more details on the new alloy development, particularly those aligned to the Aerospace application and the ultra - megawatt power plant for the plants like BHEL?

S.V.S. Narayana Murty: Yes. Okay. There are, for example, ultra-high supercritical thermal power plant, we have developed one of the alloys in association with one of the government agencies. So that is -- which is capable of withstanding very high temperatures and pressures in tubular form. So multiple agencies are involved in this part icular developmental project, and we have successfully made in the raw material form that is required and product form that is required, meeting all the requirements, and we have supplied also.

So that is with respect to the ultra -high supercritical boile r. And with respect to Aero , there are multiple grades. Actually, the Aerospace, there are multiple grades of materials that we have indigenized and supplied to -- yes, for the -- yes, so we have supplied to HAL as previous speaker asked, good amount of order is there in that. And we are developing many more alloys, new alloys because our core strength is alloy development. So that is what we are doing.

Abhishek Kumar: Okay. And sir, how much Nickel , Cobalt and Titanium accounts for your RM? How is the sensitivity with the price change of these materials?

T. Muthukumar: See, this is a -- price, there is a sensitivity okay? But about 10% to 15%, there is always change over the price, okay, from the previous purchase and the present purchase.

Abhishek Kumar: Okay. And so just wanted to understand that how is the concentration of the RMs, especially nickel is the major part or the Titanium ?

T. Muthukumar: There are -- both are 2 different.

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S.V.S. Narayana Murty: Yes. Both are two -- I mean, for example, Titanium is used for making the Titanium sponge for the -- used for the manufacture of Titanium alloys. Nickel is used for the manufacture of Super alloys. So both are two different verticals altogether. And of course, both are critical raw materials. And MIDHANI has portfolio of both the products, both nickel -based super alloys as well as Titanium alloys.

Abhishek Kumar: Sir, as you mentioned that you are targeting an EBITDA margin of around 25% in the coming year. So just wanted to understand what would be the key driver for the margin? Is it because of the better uses of your scrap and reduction of the inventory or the better mix -- business mix?

T. Muthukumar: One, as I have been told that business make -- more than the business make that we are also trying to utilize more of scrap. And we are also optimizing our facility and which will have an impact on the yield. We are also looking for some sort of capital investment, which we have a better ability. So in this process, our yield and other parameters also will get improved because of combination of all other factors. One is that product and the other optimization of our process with respect to the new investment, with respect to the usage of scrap, with respect to optimization of parameter, all will lead to achieving the EBITDA of about 25%.

Abhishek Kumar: And how would be the capex in FY '26-'27?

T. Muthukumar: Capex last year, we invested about INR45 crores -- okay, INR50 crores. Now this coming year, this -- we are planning to invest about INR75 crores to INR100 crores every year. That is what internal is planned. But at the same time, we are in discussion with other partners for having a long-term project to have a -- which get invested in the period of 4 to 5 years. So this also it is under discussion. Maybe next quarter, we may have some idea how we'll go about it.

Abhishek Kumar: Okay. And my last question on that outlook. How do you change the outlook of the business

post this -- the recent war, Operation Sindoor. So what kind of the visibility has come and how the order book has opened for your business? How did it change the entire perspective?

S.V.S. Narayana Murty: Okay. See -- yes, we see some materials that were used in the recent operations have been supplied. MIDHANI is part of those materials. And one of the good things that has happened is it has been demonstrated, live tested. So that shows immense confidence to people. And after seeing the performance of our products, we are expecting many more orders from the Defence.

Moderator: The next question is from the line of Rakesh Roy from Boring AMC.

Rakesh Roy: My question regarding, sir, again for order book, sir. As you mentioned, you have total order book of INR1,800 crores and out of nearby 84% is from Defence. In Defence, sir, how much is -- can you give me the breakup between the Air force, Army, Navy, how much is there for Army, Navy and Air force?

S.V.S. Narayana Murty: No, I think we are -- individually, we have -- I can give you -- I mean, put together, but I think individually, I think...

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Rakesh Roy: 50% from Army and 50% from Air force?

S.V.S. Narayana Murty: No, no, no.

T. Muthukumar: No, no, it's not Army is from a Naval sector and Air sector. Air force it can go to HAL and HAL we get the order. And that's what this order is being booked.

Rakesh Roy: Okay. Right. Agree, sir. Sir, regarding, sir, as you mentioned, sir, out of total revenue, 34% is -- nearby 37% for Defence and 37% of PSU. Can you give the basic idea, how much is for Defence only, only for Defence, including PSU?

S.V.S. Narayana Murty: Yes. Some of the PSU units are Defence PSU. Yes, so total -- yes, probably if I look at the data, around 70% to 75% will be Defence.

Rakesh Roy: Sir, as you said if you are taking your last 5 year, 7 year history, whenever Defence revenue is increasing because from FY '19, your Defence revenue is there by 30%, now it is 70%. So margin will come down. If you see your order backlog is nearby 84% again for Defence. So not a bit tough to sustain this margin or to maintain this margin or margins will come down in the future also because?

Management: See, in the 2 years back and all when we are having the Space sector, more sales from the Space sector, then we were having that 35%, what you witnessed is 35%, 40% EBITDA margin, 35% EBITDA margins also.

Rakesh Roy: Agree, sir.

Management: Now, currently the Defence and PSUs are contributing around 70%, 70% more. And the Space is definitely currently compared to the 3 years before figures, then definitely it is less than compared to that. Definitely, the margins, we are having more margins on the space sector compared to Defence sector. So that is why we said that the EBITDA margins, we are expecting around 25%. But when we increase the volumes, it may go up slightly. Marginally, it may go up

also.

Rakesh Roy: Okay. And sir...

Management: EBITDA margin we are expecting, yes.

Rakesh Roy: Sir, any specific reason why our Space revenue is coming down due to any new program or anything else?

T. Muthukumar: Yes, nothing like that. Actually, if you look at the orders are not placed -- I mean they are placed cyclically. Like, for example, typically, the orders are given or the programs are approved for Department of Space once. So they calculated for next 2 years, they may give once order or next so many launch vehicles, they may be giving orders. So it doesn't -- it is not that it is going down. It is cyclical. So probably this year, '24-'25 would have been low. Maybe next year, it may be more again. And we are also

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expecting order from Space. It is in pipeline in the final levels of order negotiations a

re done. So

we are also expecting from them.

Rakesh Roy: Okay. Okay, sir. And sir, are we supplying any material for missile technology also any material for missile like a Pinaka or anything BrahMos type missile?

S.V.S. Narayana Murty: Absolutely, we are supplying. In fact, we are the lead suppliers for them.

Rakesh Roy: Okay. And -- because demand is very high for the export market, especially for BrahMos and Pinaka, so do you see any hype in -- for demand for this one?

S.V.S. Narayana Murty: Yes. The moment they get order, we also get order from them.

Rakesh Roy: Okay. And what about -- how much is sir, nearby for one BrahMos, how much of the value of material we supply, for example?

S.V.S. Narayana Murty: That is difficult to tell you.

T. Muthukumar: Say, they are for the total numbers. We cannot say how much is the value.

Rakesh Roy: Okay. Agree, sir. And sir, last time we have been speaking, as you say you are again starting this one making barrel because earlier you're making for barrel for -- artillery barrel. So are we started or we are looking to start again for barrel making?

T. Muthukumar: We are also in discussion in supply of that gun barrel. So still we are not finalized that order. So shortly, maybe in the next quarter, we'll be able to tell what is the portion of that order.

Rakesh Roy: Right, sir. This is helpful, sir.

S.V.S. Narayana Murty: Thank you.

Moderator: The next question is from the line of Pritesh Chheda from Lucky Investment.

Pritesh Chheda: Sir, I wanted to know about the Capex that we have done in the last 5, 7 years where your gross block has added by about INR700 crores, INR800 crores. So let's say, in the Nickel-based alloys and the Titanium-based alloys, which are your two product line segment, how much capital have gone there?

And if you can tell us the capacity utilizations of both of these areas so that we can understand what kind of revenue potential is yet to be captured because since the last 5, 7 years, we haven't seen any movement in your EBITDA line and hardly any movement in your revenue line.

T. Muthukumar: See, if you see that what our Capex is put there, because of that only, in the year '23-'24, we could be able to have a growth of about 20%. In '24-'25, we were able to sustain the same set of growth. So now we started giving and we started stabilizing those units and we started giving results. And now year-on-year, there is a possibility that there will be a growth of about 20% year-on-year. So now those got whatever investment we have done over the 4, 5 years, now only it has started giving results. So we'll be able to do it.

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Pritesh Chheda: So the last leg, whatever you have spent this INR600 crores, that all has gone in Titanium alloys?

T. Muthukumar: No, no. Actually, out of INR800 crores, whatever we have spent in 5 years, the major Capex we have spent on Wide Plate Mill, which is about INR600 crores. That is WPM, we have put as a strategic facility to meet substitution, import substitution. Because of that only, we could be able to do most of the Titanium plates, which have been otherwise imported, we could be able to do it. So that we cannot expect so much of revenue growth from that WPM unit immediately. Now we started stabilizing that WPM unit to develop most of the imported product. Recently, we rolled Aluminum, which for aero sector, which otherwise it was getting imported. And worldwide also, it is not available with some more products.

S.V.S. Narayana Murty: Yes. So if you look at what our Director, Production and Marketing was telling, all Aluminum alloys -- or hard Aluminum alloys used in Aerospace industry are imported currently. There is no Indian manufacturer who can manufacture 2,000, 6,000 and 7,000 series alloys of width more

than 1 meter.

Now using the WPM, we have initiated some experimental

trials, okay, of one of the aero-grade

alloys, and we could successfully process the plate. So what I'm saying is basically, it -- there is a lot of opportunity in wide plate rolling mill, which has taken about INR400 crores to INR500 crores investment. And we are trying to see how we can -- how best we can use the mill for newer product.

Pritesh Chheda: Okay. So basically, out of INR800 crores, INR600 crores has gone in Wide Plate Mill and INR200 crores has gone in?

T. Muthukumar: Other facilities like melt, more on wire, other downstream facilities.

Pritesh Chheda: Okay. So when you mentioned this 200 to 250 tons per month of Titanium, even that's the wide metal. So do you -- what do you refer to that? Do you refer to base Titanium sponge? Or do you -- what do you refer to when you say this capacity?

T. Muthukumar: No, no, this capacity is basically to produce Titanium alloy of various forms, various grades.

S.V.S. Narayana Murty: Yes, probably one line of -- yes, one line I think probably I would like to add. Titanium sponge is different. That is the raw material that goes into the melting of Titanium alloy. That is indigenously available at a plant in Chavara in Kerala, okay, which manufactures about 500 tons per annum of Titanium sponge. We are importing Titanium sponge. And sponge is not in the product line of MIDHANI. MIDHANI makes Titanium alloys from sponge.

Pritesh Chheda: And from alloy, the plates are made or then alloy sold as alloy?

S.V.S. Narayana Murty: MIDHANI is capable of making both bar and plate product.

Pritesh Chheda: Okay. Okay. So basically, can you tell the capacity utilization there in plate mill and the Titanium alloy? And what's your capacity utilization in nickel in FY '25?

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T. Muthukumar: The plate mill, as I told that the capacity utilization is not full because it has been made for the strategic purpose. Now it is in the process of development, as it has been explained. Maybe coming years, it will come to the full-fledged production, okay, full-fledged production.

With respect to the Titanium shop, as I told, last year, we had some problem in supplying of the master alloy. We took about 6 months in development of the master alloy because of the geopolitical situation. So this year, this financial year '25-'26, we'll be able to use 100% of this capacity.

Pritesh Chheda: Okay. And nickel?

T. Muthukumar: Nickel already we added, now whatever requirement nickel alloy, superalloy, that we are doing 100% whatever order process is there [inaudible 0:47:18].

Pritesh Chheda: So the plate mill and the Titanium alloy is fair to assume that capacity utilization will be extremely low at 15%, 20%?

T. Muthukumar: No. Actually, in the year -- this year, it will become a Titanium shop of '25-'26, it will become 100%. And plate mill take some more time to have achieved 100%.

Pritesh Chheda: No, it was 15%, 20% in FY '24, sir. That what I was referring to?

T. Muthukumar: You are telling '24-'25?

Pritesh Chheda: Reported year in...

S.V.S. Narayana Murty: No, no, one minute. Let us separate the Titanium, Superalloy and Wide Plate Mill. Superalloy currently, we are having full utilization. Titanium alloy full utilization. Only Wide Plate Mill because it is meant for strategic applications of rolling wide plates of margin steel and other critical Aerospace grade materials, the load to that is not to that extent. So -- but that is why we are diversifying our portfolio to make it as usage as possible.

Pritesh Chheda: Okay. Titanium alloy, how much utilization you said? That number was inaudible.

S.V.S. Narayana Murty: Full utilization.

Pritesh Chheda: Full? Okay. Okay. Okay. Understood. And this INR600 crores capex of Wide Plate Mill, what is the asset turn on this? Can be the asset turn?

Management: Sorry?

S.V.S. Narayana Murty: As

set?

Management: Asset? Can you please come back?

Pritesh Chheda: Asset turnover. So INR600 crores investment that you do...

Management: Yes, that's what we are talking about. Currently, the supply occurring from the Wide Plate Mill is less, very less. INR600 crores, the investment, and the returns will take some time. Currently,

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we don't have the returns right from -- as expected. So maybe over a period down the line in 2 years, we can definitely expect some good amount of that. That will also -- on the overall business of the company because we are having more hopes on that. It will take some time but. Pritesh Chheda: Okay. And last question, 25% margin number that you referred to, that you refer to the coming year or that you refer as a number which will come over years as and when the plate mill gets utilized?

Management: No, see, without the plate mill at a higher capacity, we are expecting minimum around 24%, 25% EBITDA margins without the Wide Plate Mill. When the Wide Plate Mill would be to a full swing, then definitely our margins will go up drastically.

Pritesh Chheda: Okay. Okay. So 20% growth and 25% margins. Okay.

Management: Yes, without considering the full plate mill...

Pritesh Chheda: Yes, yes, without, without. Yes.

S.V.S. Narayana Murty: Thank you.

Moderator: The next question is from the line of Mohit Lohia.

Mohit Lohia: Sir, I just want to know one thing. Recently, CCS has approved space-based surveillance satellite, SBS 3 program. How large this opportunity can be for MIDHANI over the years?

T. Muthukumar: Okay. See, with respect to -- okay, you are talking about new satellite. The satellite has been launched by a launch vehicle, and we are the suppliers of the launch vehicle materials. And whatever launch has been announced, certainly, our products will be there in the launch vehicle.

Mohit Lohia: Right. So the overall program cost is about, I guess, if I'm not wrong, it's about USD 3 billion. So roughly it translates about INR24,000 crores, INR25,000 crores. How large this opportunity can be for us?

S.V.S. Narayana Murty: See, with respect to if it is a -- see, order normally is placed by ISRO or MIDHANI. So it depends on not one launch vehicle, it is multiple launch vehicles. With respect to the satellite, you are talking about, we do not know which launch vehicle they are using. So we have to see how much

order they will put on us. And we are the sole supplier of margin steel plates to ISRO. So we expect correspondingly, whatever they have planned, we are expecting the orders from them.

Mohit Lohia: Yes. Sure, sir. That's it from my side.

Moderator: The next question is from the line of Aman from ProfitGate.

Aman: Seeking clarification on the question of previous participant. So you highlighted that the capacity in Titanium alloy and Superalloy is operating at 100% already in FY '25 and the EBITDA margins will improve from current 20% to 25% without any scale up in Wide Plate Mill. So wanted to understand triggers of the EBITDA margin improving despite share of Defence going higher, which is a low-margin product for us?

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Management: Currently, even in FY '24 also, we are at 23%, 23% plus EBITDA margin. So 25% is expected for FY '26, what we talked about if -- because definitely the volumes, operational efficiencies as detail the Director Production has already explained, we are more exploring that using the scrap like recovering the elements, raw materials from the scrap and using it rather than the virgin product, which will definitely have a positive impact on our raw material consumption cost, raw material cost, which is the major contributor in the total cost. So these all will definitely contribute to take that 2% margins, which we are talking about without considering the W

ide Plate Mill and all, which we may take us some time. But once the Wide Plate Mill comes, then definitely the margins will be around 30%, definitely not at 25%, it will definitely be more. But that will take some time. We are not expecting that to happen in FY '26.

Aman: Okay. And just to clarify, Titanium alloy and Superalloy capacities are already working at almost 100% in FY '25, right?

T. Muthukumar: Our booking is there for 100%. So, we'll be able to utilize all our equipment in the financial year '25-'26 to meet the because we are having a high-end order in both the Titanium and Superalloy.

Aman: So for FY '25, how much was the utilization?

Moderator: Sorry to interrupt Mr. Aman. May we request you to join the question queue again?

Aman: Sure.

Moderator: Due to time constraints, that was the last question. I would now like to hand the conference over to Dr. Murty for the closing comments. Thank you, and over to you, sir.

S.V.S. Narayana Murty: Thank you. Thank you once again to all our investors for joining today's conference call and for all your continuous trust and support on MIDHANI. We are proud of what MIDHANI has accomplished in FY '24-'25. As we move into '25-'26 with our strong order book, expanding export footprint and investment in next-generation newer alloys that we are developing as well as for sustained growth. If you have any further questions, you please feel free to contact our Company Secretary. We wish

you from MIDHANI side a pleasant day. Thank you.

Moderator: Thank you. On behalf of ICICI Securities Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Aug 2025

MIDHANI

MDN/CS/COMPLIANCE/2025-26 August 23,2025

To,

BSE Limited, National Stock Exchange of India Limited,
P.J.Towers Dalal Street, Exchange Plaza, Bandra Kurla Complex,
Mumbai- 400001 Bandra (East),
Scrip Code: 541195 Mumbai —400051

Trading Symbol: MIDHANI

Sub: Transcript of the Analysts and Investors Meet/Conference Call held on August 18, 2025

Dear Sir/Madam,

1. Further to our letter dated August 18, 2025 intimating you about the audio recording of Analysts and Investors Meet! Conference Call on Q1 —FY26 Results, held on August 18, 2025, please find below the transcript of the aforesaid Conference Call.

2. The transcript of the call is also made available on the Company's website.

This is for your information and record.

Thanking you,

Yours faithfully,

For Mishra Dhatu Nigam Limited

Paul Antony

Company Secretary & Compliance officer

company.secretary@midhani-india.in

End: As above

~9~pj ~1~>S MISHRA DHATU NIGAM LIMITED

(~i~ w~i~m) (A Govt. of India Enterprise)

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tl~ti Telephone: 040-24184000, ~ Fax: 040-24340039

Pi1i~ii 'T~9PT ~,CIN: L14292TG1973G01001660

i~ii~ Website: www.midhani-india.in

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"Mishra Dhatu Nigam Limited Q1 FY 2026 Earnings
Conference Call"

August 18, 2025

MANAGEMENT : DR. S.V.S. NARAYANA MURTY – CHAIRMAN & MANAGING
DIRECTOR, MISHRA DHATU NIGAM LIMITED

MRS. MADHUBALA KALLURI – DIRECTOR (FINANCE),
MISHRA DHATU NIGAM LIMITED

MR. PADAVITTAN BABU – GENERAL MANAGER
(TECHNICAL SERVICES), MISHRA DHATU NIGAM LIMITED

MR. V. N. S. V. ANNAPURNESWARA RAO, ADDITIONAL
GENERAL MANAGER, FINANCE & ACCOUNTS – MISHRA
DHATU NIGAM LIMITED

MR. PAUL ANTONY – COMPANY SECRETARY, MISHRA
DHATU NIGAM LIMITED

MODERATOR : M R. MOHIT LOHIA – ICICI SECURITIES

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Moderator: Ladies and gentlemen, good day, and welcome to the Q1 FY '26 Earnings Call of MIDHANI,
hosted by ICICI Securities Limited.

As a reminder, all participants' lines will be in the listen-only mode. And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing "*", then "0" on your touch-tone phone. Please note that this conference is being recorded.

I would now like to hand the conference over to Mr. Mohit Lohia from ICICI Securities. Thank you, and over to you, sir.

Mohit Lohia: Hi, all. Thank you, and good afternoon, everyone. Thank you for joining us today for quarter one FY '26 Earnings Call of MIDHANI.

First of all, I would like to thank the Management for providing us with the opportunity to host the call. From the Management side we have Dr. S.V.S. Narayana Murty – Chairman and Managing Director, Mrs. Madhubala Kalluri – Director (Finance).

So without further delay, I would now hand over the call to Dr. Murty for the opening remarks.

Thank you, and over to you, sir.

S.V.S. Narayana Murty: Thank you. Good afternoon to all the participants in the Conference Call. It's my pleasure to welcome all of you to this investor conference call of Mishra Dhatu Nigam Limited.

Present with me today for the Conference Call is Mrs. Madhubala Kalluri – Director of Finance; and Mr. Babu – General Manager of TS; and Mr. Paul Antony, Company Secretary.

The detailed Financial Results for Q1 of FY '25-'26 have already been disclosed, and they are all available with you. However, I would like to take a few minutes to highlight some of the key figures from the results that were achieved during Q1 of FY '25-'26.

To begin with, I am pleased to report that during the quarter ending 30th June 2025, MIDHANI has achieved a turnover of Rs. 170.5 crores marking a growth of 4.31% compared to Rs. 163.45 crores recorded in the corresponding quarter of the previous year. Importantly, the value of production stood at Rs. 241.29 crores, reflecting a healthy growth of 14.47% over Rs. 210.79 crores in Q1 of previous financial year.

In terms of profitability:

The EBITDA for the quarter stood at Rs. 41.28 crores, a growth of 32.86% over the previous year's Rs. 31.07 crores. The profit before tax reached Rs. 19 crores, registering a growth of 112.5% over Rs. 8.96 crores in Q1 of the previous year. Profit after tax was Rs. 12.8 crores, Mishra Dhatu Nigam Limited

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reflecting a growth of 150.49% compared with Rs. 5.11 crores recorded in the same quarter last year. Additionally, our order book position remains robust at Rs. 1,827 crores as on 1st July 2025, and this gives good visibility for FY '25-'26.

To conclude, I reiterate that at MIDHANI, we remain committed to supporting the strategic sectors of the nation while also enhancing shareholder value. I look forward to your questions and hope to addressing them and the queries you may have. So thank you.

With these few opening remarks, I welcome all of you to the further discussions.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question comes from the line of Amit Dixit from Goldman Sachs. Please go ahead.

Amit Dixit: Hi. Good afternoon, everyone. Thanks for the opportunity. A few questions from my side, sir.

The first one is regarding the utilization of your Titanium mill. So, as I understand, we said recently, I think a couple of quarters back, we commissioned 500 tonnes per annum mill. So just wanted to understand the orders that you have currently and the current utilization of this mill?

That is the first question.

S.V.S. Narayana Murty: Okay. So just to answer your question, we have a order book of Rs. 450 crores plus. Currently we are fully utilizing our facilities and we are ready to

execute orders already in hand, and we are also expecting a few more orders from other customers.

Amit Dixit: So this order book is executable over how much period?

S.V.S. Narayana Murty: It is about one and a half years.

Amit Dixit: Got it, sir. The second question is on essentially, I mean, a wider strategic question, if I look at the Government of India and just taking cue from the Prime Minister's speech on Independence Day wherein, he said that the domestic fighter jet should have domestic engines. So, what kind of opportunity we see for MIDHANI in this respect? Given the fact that we have already been developing a few components for Kaveri and indigenizing the other components also for engines. If you can give a wider strategic framework that how we are collaborating for maybe development of engine for Mark 2, and maybe for AMCA if anything has started. So that would be very helpful, sir.

S.V.S. Narayana Murty: Okay. So thank you for this question. Actually, any fighter jet program or any, in fact, any aero-engine program basically it uses three kinds of strategic materials. So, it uses very high strength steels, ultra-high strength steels, in fact. And it uses extensively super alloys, because the temperatures go into during operation will demand the utilization of super alloys, and of course Titanium alloys because of its superior specific strength to density ratio.

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So keeping in view all these three things, these are the three main materials for MIDHANI. We are very strong in all these things. And as you mentioned, in Kaveri engine program also, MIDHANI was closely associated with the GTRE and we have developed a number of grades and successfully qualified time tested, and they have been used.

Now coming to the future on the question regarding AMCA, we are really expecting orders. Already we are having a good number of orders and we expect a significant number of orders for these upcoming projects also.

Amit Dixit: Got it, sir. The third question is, essentially if I look at the margins, they have improved. I mean, at one point in time they went all the way down to 14% odd, but now we are seeing trajectory where margins are between 20% to 22%. The only thing lagging is revenue growth, which remains quite subdued in single digits I would say for this quarter. So just two key points here. One is that, on revenue what kind of growth can we expect this year? And margins, is this 20% to 25% odd range sustainable?

S.V.S. Narayana Murty: Yes. With respect to the margins, we can expect, like in Q1 if you look at it, EBITDA margin is 24.22%. So we are expecting that even for Q2, Q3, the whole year, that the EBITDA margins will be at the same range between 23% to 25%, we can expect. That's what we are looking at it. And with respect to the revenue growth, and as we already mentioned that we are having a good order book. And last year, we have achieved Rs. 1,074 crores turnover, and this year we are planning to achieve around Rs. 1,300 crores in minimum. But however, we have a target of Rs. 1,500 crores, we are aiming for Rs. 1,500 crores but internally, we are confident that we will definitely be crossing Rs. 1,300 crores, and we will be aiming at Rs. 1,500 crores also.

Amit Dixit: That is great, sir. Wonderful. Another question that I had, and this is the last question from my side before I move back in the queue. So, it is on the order book itself. So if you can break this into various segments, how much it is from Defence, how much it is from railways, etc., that would be very helpful. Pace also.

S.V.S. Narayana Murty: Okay. Percentage you are looking for or?

Amit Dixit: Sir, anything will do. I mean, if you go with percentage, I can convert it to a numbers, that's fine.

S.V.S. Narayana Murty: Rs. 1,827 crores is our order book, on that the aero is around Rs. 761 crores, i.e. aero sector. And army is also around

Rs. 156 crores. And the next five years naval also we are having around Rs. 420 crores like that.

V. N. S. V. Annapurneswara Rao: So, presently we are having around 80% from Defence only. That's related to all aero, army,

naval, everything. Remaining 20% only, now presently actually we already finalized the order

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with the space that may come maybe in a month or two, so then the space will go up. Otherwise, presently 80% is Defence-related 20% is space, energy and others, including exports.

Amit Dixit: Wonderful, sir. Thank you for very patiently answering my question. Thank you. I will get back in the queue. All the best.

Moderator: Thank you. The next question comes from Sukrit Patil with Eyesight Fintrade Private Limited. Please go ahead.

Sukrit Patil: Good afternoon to the MIDHANI team. I have two questions. First for Mr. Murty and the second is for Mrs. Madhubala. So, good afternoon to Mr. Murty. So my question to you is, as MIDHANI strengthens its role in strategic sectors like Defence and Aerospace, how are you planning the evolution of your product portfolio, especially in terms of proprietary alloys, additive manufacturing, and export grade certifications? Is there any plan of action to transition from a project-based execution to a platform-led innovation that could position the company as a global supplier of these critical materials? Thank you.

S.V.S. Narayana Murty: Okay. So thank you, Mr. Patil. So first of all, your first question is, see, we are a company with maybe about 52 years of existence and more than 40 years of production. And our core strength is our new alloy development. Basically, we have in our portfolio about 500 types of alloys which have been exclusively designed for strategic sectors like Defence, space and nuclear. Out of which, about 100 grades are exclusively for aeronautical grade that is used in aircraft. And regarding proprietary, yes, MIDHANI developed many grades, and we have a number of proprietary grades, either coming from TOTs are internally developed. So our core strength is alloy development.

With respect to your additive manufacturing question, yes, we have idea of entering it. In fact, we wanted to go for powder manufacturing. So already, we are in the process of establishing

powder manufacturing facility because the AM is coming up in a big way, and we expect some of the powders, many of the powders are imported, strategic alloy powder. Some powders are available, but still country imports larger quantities of powder because AM within the country is also growing up significantly. So visualizing this, about a year or so back we have already put orders for some of the equipments. And soon, we will be establishing facility for manufacture of strategic powders, that is respect to AM. And the export grades, a large number of our products are getting exported to more than 20 countries we export.

And your question on the project-based to platform-based. See, currently, majority of the products our strategic department of a space, Defence and nuclear, and depending on the project approvals, they give us orders. And platform-based, , it depends on their priorities.,. So, we are ready to work on any mode. We are ready to take up any kind of challenging work. So, we are looking forward whether there's a new platform that is going to be introduced or, I mean, any
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new projects that get approval, we are ready to work with the stakeholders and develop new grades. Our existing rates we are ready to supply. So, MIDHANI is fully prepared and our core strength will be utilized in satisfying the needs of all our customers.

Sukrit Patil: Okay. Thank you very much. And my second question is to Mrs. Madhubala. So I just want to understand from a finance point of view, how do you internally prioritize capital between capacity expan

sion, R&D and certification-led market access? Is there any framework that balances the near-term execution with long-term global competitiveness? I just want to understand your point of view on this.

Madhubala Kalluri: Your question is relating to, how to differentiate between CapEx, long term and short term. We have plans. For day-to-day things we are going with our internal resources. In case of long-term related to company goals as well, we have made the projects which we are envisaging with the recent analysis and based on the market potential and demand for the products we are going ahead with cash-to-cash basis after thorough review of projects.

Sukrit Patil: Okay, fine. Thank you for your guidance.

Moderator: Thank you. The next question comes from Dipen Vakil from PhillipCapital. Please go ahead.

Dipen Vakil: Thank you for the opportunity, sir. Sir, on looking at our order book, you are saying that we have a current order book of close to around Rs. 1,800 crores. And this year, we are targeting some Rs. 1,300 crores. So, which implies that majority of our order book would be depleted in this year. So, can you give us some thoughts in terms of what are the new orders expected in this year, specifically from the domestic side? And also, if you can throw some light on the demand scenario on the international front also, since we are exporting to more than 20 countries, so what kind of opportunities are we seeing from the export region as well? That is my first question.

S.V.S. Narayana Murty: Yes. Thank you very much. The expected order, what is the order in hand, Rs. 1,827 crores, we are expecting in Q2 orders worth of Rs. 701 crores already where we are under different stages of negotiations and all. So, we are expecting in Q2 about Rs. 700 crores of orders.

Dipen Vakil: Sir, and can you throw some light on the demand scenario, domestic as well as export, as to what are the opportunities that we are seeing? And because almost every countries are now increasing their defense spending, so what kind of opportunities that MIDHANI also plans to target? And what kind of inquiries that they are also witnessing?

S.V.S. Narayana Murty: Yes, there are significant number of orders in pipeline, particularly aerospace, space, energy, missiles, naval, export. I mean, from every sector we are having good number of orders, particularly from space we are expecting a significant order of high value. Aero and missile sector also we are expecting significant orders in this quarter. So hopefully, they will be coming.

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And the export scenario also is very good because of the geopolitical seasons elsewhere, people are approaching. So hopefully, we will be able to get some good orders for exports also.

Dipen Vakil: So out of the Rs. 1,800 crores, what would be the quantum of export order?

S.V.S. Narayana Murty: Exports are Rs. 35 crores out of Rs. 1,800 crores.

Dipen Vakil: Got it. And what would be the key geography for your export clientele?

S.V.S. Narayana Murty: Okay. There are around 22 countries are there, European origin mostly.

Dipen Vakil: Got it, sir. Thank you so much for answering my questions. All the best.

S.V.S. Narayana Murty: Thank you.

Moderator: Thank you. The next question comes from Henil Bagadia from Equicorp. Please go ahead.

Henil Bagadia: Thank you for the opportunity, sir. I have one question. Sir, I have got a few questions. So the first is related to the wide plate mill. So the wide plate mill, what is the current utilization and

the fixed overheads? And going forward, as you said that as you see the ramp-up in utilization, you will also see better margins. So, I mean, right now we are guiding for 20% to 25% EBITDA margins. And I think after it reaches optimum, it should be between 25% to 30%. So two parts there.

So one, what are the kind of wide plate are we concentrating on? Is it more towards aluminum

or is it more towards titanium and what is the competitive scenario there? Because globally, China is the largest in aluminum and is very price competitive there, but titanium is more strategic than as our current titanium capacity is almost fully utilized. So if you ramp up the wide plate mills you would need more titanium. So I mean, where would you go on the CapEx side for titanium and some more clarity out there?

S.V.S. Narayana Murty: Okay. Thank you, Mr. Bagadia. It's a good question. Actually, our current WPM utilization is about 40%, so there is a good spare capacity. We are in discussion with many of our customers to convert some of the products into plates. Because one unique thing about our wide plate mill is, this is one mill having a width of 15.2 meters. And we can roll very hard steel like margin steel. Not only that, we have recently started using it for rolling of super alloys and Titanium alloys. So, certainly it has got some places where it can take more load.

With respect to Aluminum, it is not in the main portfolio of MIDHANI, but there have been inquiries from many people who are looking for using our wide plate mill, and we are also keen on taking up because of our spare capacity. So if something works out in the near future, we will

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also be reporting some rolling of aluminum. But definitely, we are looking at Titanium and super alloy plates, wherever possible we are interested to take up, and we are taking up also currently.

Henil Bagadia: Sir, so on the Titanium parts, since we are I mean at optimum utilization already, so you would have to do more CapEx on the capacity side. So, any clarity there as to when you plan to allocate funds and when the new titanium blast furnace will be operational?

S.V.S. Narayana Murty: Yes. We have already invested in Titanium. We have established a titanium processing facility on the dedicated Titanium Vacuum Arc Remelting facility has been established with Rs. 50 crores investment. And yes, we are already fully utilizing our titanium side. We have orders in hand as well as we are fully utilizing it.

Henil Bagadia: For future orders and further utilization of capacity will lead more Titanium capacity, so would you import it or would you source it in-house?

S.V.S. Narayana Murty: No, no, we do not import. I mean, you mean raw materials or you mean what?

Henil Bagadia: No, the Titanium ingots.

S.V.S. Narayana Murty: No, no, we do not import it. From raw materials we melt the alloys and we supply to two different customers in different formats, plates, sheets and bar product, as well as even up to wire we can make it of different prices. So we do not import it. We have been making and we make these Titan products in-house within MIDHANI.

Henil Bagadia: Okay. Sir, secondly, on the aero engines and the aerospace side. So we developed a new alloy about two quarters back, the 718-nickel alloy. So sir, right now there has been a lot of traction in the aero engine and the aerospace market, I mean, there have been good order buildup of CFM GE, Pratt & Whitney and Rolls-Royce, the four main companies. And we are empaneled on all four companies as a supply chain partner. So what is our rank on their supply because it's about a two or three or four player market in terms of vendor sourcing, so I mean what rank do we have there?

Sir, and how is the orders shaping up from these companies? Also, a connected question is on the MRO side, sir, Safran's Hyderabad MRO is going to get completed by this year-end, so sir, are you panel also with Safran in terms of supply? Because this happens to be for, I mean, the LEAP engine as well as they might extend it to the Rafael aero engine MRO supplies too.

S.V.S. Narayana Murty: Alloy 718 is one of the most important super alloy in this kind of category for high-temperature applications. It is used extensively where materials are re

quired to be used up to 650 degrees

Celsius, and MIDHANI is a leader in this class of material. So we make the super alloys and we supply to right from ISRO to DRDO, many, many customers we supply this material too. And you mentioned Safran and all, there are many foreign customers who come and ask for audit of

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our plant, and we work with them closely. And we are expecting exports from these very niche customers because they are in touch with us to give orders. And hopefully, in a quarter or two we will be able to close the deal with some of these customers, foreign customers.

Henil Bagadia: So, are we empaneled with all the four engine makers, the top four engine makers?

S.V.S. Narayana Murty: No, we are in discussion with them. And to some of them we are supplying also.

Henil Bagadia: Sir, this is the last question before I get in the queue. Sir, regarding the ultra-high megawatt power plant, so we had some products for supplies. I mean, right now the government has, I think, so they have released funds and they are pretty active in getting the plants. So are we seeing orders there? Because we have got certain super alloys which is being used for advanced supercritical application. So, if you could just allude, I mean, are the orders slowing in? Or do you see more time for the orders to come in?

S.V.S. Narayana Murty: See, with respect to ultra-high UHC, already we have developed only actually named Indian high temperature alloy. We are already developed in collaboration with NFE, IGCAR, Kalpakkam and NTPC. And we already developed some new products for this particular thing, it is called 740H. So technologically we are ready, we are expecting order any time.

Henil Bagadia: Is it similar to the alloy that IIT-Bombay has recently developed and they are claiming 50% efficiency on the boiler side, is IIT having a different product and we have a different product?

S.V.S. Narayana Murty: No, I do not know the alloy you are talking about, but this we are working with our UHC people. And these are the products that are going to be used. There may be many new developments of improved efficiency and all, but this being a very important thing we already have a discussion with Indira Gandhi Center and Nuclear Fuel Complex for extrusion. So, we have already developed these materials for that which has been frozen in the design, and we hope to get the orders soon from them.

Henil Bagadia: Just a clarification with respect to what sir said. So sir, regarding the clarification, is these products just using the advanced super high critical boilers? Or is it also used in the other boilers that goes into it? Because, I mean, the overall boiler as a portfolio is about 30% to 35% of the power project cost. So I was just trying to estimate the kind of bill of material we will supply to the BHEL and other vendors, which internally supply it to the power projects?

S.V.S. Narayana Murty: Yes. These are exclusively for ultra-high temperature, ultra -supercritical projects. And these are very niche, I mean, niche products, okay, demanding very high specifications. And these specifically go into this, whatever I mentioned.

Moderator: Thank you. The next question comes from the line of Abhishek Jain from AlfAccurate. Please go ahead.

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Abhishek Jain: Thanks for the opportunity. Congrats for a strong set of numbers, Sir. So Sir, as you mentioned that you are considering of around Rs. 1,300 crores in this year, and you are targeting of Rs.

1,500 crores kind of the number. That means in the coming quarters, run rate will be Rs. 370 crores to Rs. 380 crores. So just wanted to understand how would be the quarterly progress in the turnover and the order book? Or most of the orders will be executed in the second half only?

S.V.S. Narayana Murty: Yes. So see, already we are having Rs. 1,827 crore

s worth of orders. We are expecting around

Rs. 701 crores of orders in Q2. So, put together, we are having enough orders in hand. So, we are having all the facilities running, we should be able to make it. So, we are confident as on today we have no other issues with respect to meeting the demands of the customers with respect to time schedule.

Abhishek Jain: So, how would be the execution? So most of the execution will be in the second half only? Or it will start to ramp up from the second quarter onwards?

S.V.S. Narayana Murty: No, it will be stagnant. I mean, alloy making is a time-taking thing. Depending on the product, we have to melt and do the downstream operations. So, sometimes it takes longer time, like for example, you have sheet products, tube products, pipe products, it will take longer time compared to bar products. So, it depends on the product shape basically, how long it will take, and it will be staggered up to Q4.

Abhishek Jain: And in this quarter, the gross margin expansion was significant, is it because of the change in the margin of composition or fall in the raw material prices?

V. N. S. V. Annapurneswara Rao: Yes. There are multiple bases. Definitely, there is efficiency in the raw material cost. The

raw material cost has reduced. And also, as we discussed, the production has increased. See, when the production has increased, obviously, the overhead burden per tonne or the burden per unit will come down, right? So that is one factor. And the second is that raw material utilization, even the prices also when compared with last year's Q1, the prices have come down, raw material prices.

So last year, actually it's at very high rate. So that is also second component. And also, on top of it, yes, as we are already mentioning always that we are now using virgin margin and the scrap mix wherever there is a possibility and, of course, with the confirmation from the customer. So that is also giving us some savings with respect to the raw material cost. So, these are the things which are contributing for the good margins when compared to the previous Q1.

Abhishek Jain: Sir, my question was on high scrap inventory. So, I just wanted to understand, are we exploring any plans for dedicated scrap processing or recycling plant to improve cost efficiency?

V. N. S. V. Annapurneswara Rao: No. Presently, the returns generated in-house, those things we have a method of segregating,

means, again, alloy grade wise and be able to make use it. So, there is not any separate scrap

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processing like any maybe separate only people who is dealing scrap they may need such type of take. Here, whenever we are manufacturing batch where we are taking upon alloy, we will be continuing with that. And separately, we are keeping it and tracking. And again, we are using it wherever required cleaning part that we are taking care. There is no separate craft processing unit is required.

Abhishek Jain: Okay. And my last question on your orders with the HAL, can you throw some more light on the size and the duration and the potential for the repeat order?

S.V.S. Narayana Murty: Okay. So we are currently having our orders with HAL for super alloys, basically steel and super alloys and titanium alloys. So we are in the cost of executing. And once the orders are completed, there is a possibility. So depending on the orders they get from their inventors, whenever they are getting for more aircraft or anything, similarly, they will put orders with us because these are all the regular grades of MIDHANI they come back to us. So it depends on how many orders they get basically.

Abhishek Jain: And what is the size of the current orders with the HAL?

S.V.S. Narayana Murty: Total, it will be around Rs. 750 crores.

Abhishek Jain: Okay, sir. Thank you, sir. That's all from my side, sir.

S.V.S. Narayana Murty: Thank you.

Moderator: Thank you. The next

question comes from Venkatesh from LogicTree Consultant. Please go ahead.

Venkatesh Subramanian: Good afternoon, sir. Thank you for the opportunity. I have two questions. Question one is you indicated the present order book and the possible orders you will get in Q2. But mine is a slightly long-term vision. Sir, considering the big opportunity across sectors, both on the domestic and export side, to take a three to five-year view on MIDHANI, what is the kind of internal vision that you have? Sir, what is the broad number that we can look at as a company, if you want to stay invested for three to five years?

S.V.S. Narayana Murty: Thank you for your question. Actually, okay, this internally we usually discuss. So, we are having both short-term targets as well as long-term targets, both with respect to CapEx as well as the production. So, we are expecting in a time period of about five years our targets will be around Rs. 2,000 crores. That is a target we are looking at from the current Rs. 1,100 crores approximately, we want to go to Rs. 2,000 crores in five years.

Venkatesh Subramanian: Rs. 2,000 crores top line five years, is that not considering the kind of opportunity you have? Is that not a very ambitious number, it is a very less low number, isn't it sir?

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S.V.S. Narayana Murty: See, with the existing facilities, see, it's a different kind of market altogether, So exclusively these are strategic materials. And with the available facilities, including some of the new facilities that we are going to augment in three to five years' time, I am giving these figures. I mean, see, in strategic factor what happens is the quantities are small and the numbers are large. See, it is a different thing. It is not that we are producing like a steel plant, a regular steel plant. Here, a number of grades will be like in an aircraft, number of grades will be too many and quantities are small. And the required quality is very, very high. So, these things put us in this bracket. I think Rs. 2,000 crores is what we are looking for. If it is more, I do not know, I mean this is the current achievable target that is what we feel.

Venkatesh Subramanian: Okay, sir. Great. Second question, sir, in your annual report of last year as well as this year, one of the key words that you use is global supply chain linkages, which is both required for bringing in as well as taking it out. Is that your greatest challenge, which is getting the global supply chain linkages? Can you elaborate on that, please?

S.V.S. Narayana Murty: Yes. This is one important challenge because many of the raw materials that we use for making the alloys are imported. And because of the global chain disruption, sometimes it happens that some of these raw materials that go into production of materials, alloys are not available in time. So it will put stress on us sometimes. Suppose say, for example, some materials or some strains are not available or some pure elements which we use in the manufacturing of these nickel-based super alloys, even if one element is not there, like typically a super alloy consists of six to seven elements. Absence of any one of the elements is going to be a critical thing.

And one of our objectives is also to develop some domestic market, but it takes time. It will not happen immediately because these are all long, I mean, very heavy investments are required for making these elements, okay, whatever we import, if you want to make within the country, it takes time. So short term, yes, we want to meet the targets. And long term, we want to have some collaborations and all, how to recover, maybe some of these alloy elements if they are possible to recycle and use, that also we are looking. So supply chain is a very, very important thing in our type of production, where we depend on external countries for resources.

Venkatesh Subramanian: Okay, sir. And t

he current order book of Rs. 1,800 crores plus what you are indicating in terms of orders coming in this and next quarter, what would be the execution timeline for this, if I stay for the Rs. 1,800 crores plus Rs. 600 crores that you are projecting?

S.V.S. Narayana Murty: Yes, something like one and a half years, it will take one and a half years is the execution time.

Venkatesh Subramanian: Sir, which means, I am trying to collaborate my study, which is Rs. 1,800 crores plus Rs. 700 crores if you are able to execute it even in two years, maybe we will reach our ambition faster, isn't it, sir?

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S.V.S. Narayana Murty: Yes, it is possible, but it all depends on, see, one problem is, we should have smooth supply from materials. So, if we are able to get, it should be possible, as you told. Good number of orders in hand, so your statement will be correct, provided there will not be any hindrance. Because sometimes we are finding it difficult to import certain critical raw materials, that's why we have told like that.

Venkatesh Subramanian: Got it, sir. One last question. Sir, the previous MD, Mr. Jha, had pointed out in one of the con calls saying that the potential for MIDHANI's role in our country is so huge across so many programs that India needs five MIDHANI, that's the kind of capacity that was needed. Can you take it forward, sir, do you think that is the kind of potential that we foresee for the next five, 10 years, sir?

S.V.S. Narayana Murty: My predecessor was 100% true, his words are absolute. See, the thing is, even today if you look at the EXIM data, there are steel super alloys and titanium alloys are imported by around Rs. 8,000 crores worth of these steels which are in the portfolio of MIDHANI are being imported every year. So just when he told this, I think probably this is what was in his mind. If you keep it five MIDHANI's means 5 into maybe Rs. 1,100 crores, it is even less than, even we cannot meet. So there are a large number of these grades are getting imported because due to multiple reasons. So, absolutely it's correct. Yes, we need to strengthen. We need to expand. We need to become big. We need to cater. And all the Government of India's idea is to have everything done within the country under Aatmanirbhar.

So, we are sure that we are going to expand in due course of time. And that is why we gave in about five years we are going to do at least Rs. 2,000 crores. We should be able to make it. And the materials, whatever we are supplying, these strategic materials are required more and more in numbers because you know the kind of things, many orders are there from defense. So it is expanding, overall. The kind of products that MIDHANI is making is expanding and country needs more such companies, yes.

Venkatesh Subramanian: Excellent sir. Thank you so much. In fact, me and my friends went through some parliamentary notes also, and your company is being mentioned as the company of strategic national importance. There's a lot of people talking about it. I wish you the best.

S.V.S. Narayana Murty: Thank you so much. Thank you.

Moderator: Thank you. The next question comes from the line of Amit Dixit from Goldman Sachs. Please go ahead.

Amit Dixit: Thank you for the opportunity. Just a quick follow-up from my side. The first one is on the Rohtak armor factory, if you can mention the capacity utilization there and what kind of revenue can we expect from this facility in the next couple of years? Also, a related one on this is that now LCH order has been given to HAL.

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S.V.S. Narayana Murty: Okay. So with respect to the Rohtak, yes, we are having two products from Rohtak, basically vehicle armoring and body armoring. So with respect to vehicle armoring, we are having a good number of orders, okay? We are having bulletproofing of vehicles. We ar

e having good orders

from respective police departments, state police departments as well as central police forces.

And with respect to body armoring, yes, some of the orders we are already, yes, so we are having a TOT, technology transfer from Bhabha Kavach, that is one. And we are also looking at

ABHED, another TOT. So, orders are expected.

Recently we got an order for bulletproof jackets from one of the state police departments. So, we have to expand. Still it is not up to the mark, but still we are looking for some expansion in that and getting orders to execute. And with respect to LCH order to HAL, so we are to get some good orders in this area.

Amit Dixit: If you can let us know your imported content in that value of production, and what kind of steps are we taking to bring it down? So this imported products. I know there are a lot of things not within your control because some of these materials are not produced in India.

S.V.S. Narayana Murty: Yes. It all depends on, I mean, the end user has to give us the opportunity to work on that because many of these products that are imported are all in the portfolio of MIDHANI, whether it is steel, super alloy or titanium alloy. So it depends on their timelines and what are their promises to their customers. So accordingly, we are expecting some orders. We are yet to get any feedback from them.

Amit Dixit: Okay, sir. Thank you so much and all the best.

Moderator: Thank you. The next question comes from the line of Dipen Vakil from PhillipCapital. Please go ahead.

Dipen Vakil: Thank you for the follow-up opportunity. Sir, my question is on the lines of your supply chain. So, what would be the raw materials that you are currently importing? And also, the raw materials which are easily available from the domestic region, so can you throw some light on that?

S.V.S. Narayana Murty: Yes, something like 75% to 80% of the raw materials we import, because these raw materials, India is not having the mineral resources to produce the kind of materials that we are using for making super alloys, like, for example, nickel, cobalt, moly, tungsten, these things we import. So, maybe 75% to 80%. But there are alloys, I mean, there are materials which we use domestically also, but significant part of it is coming from imported pure elements.

Dipen Vakil: Got it, sir. Thank you so much.

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Moderator: Thank you. The next question comes from the line of Gopi Krishnan, an individual investor. Please go ahead.

Gopi Krishnan: Yes. I have only one question. The revenue sales is Rs. 168 crores, so I would like to know what is the production charge against these sales? Value of production charge against the sale of Rs. 168 crores?

S.V.S. Narayana Murty: VOP?

V. N. S. V. Annapurneswara Rao: POP is Rs. 250 crores.

Gopi Krishnan: The value --

S.V.S. Narayana Murty: The value of revenues for -- sorry, please go ahead.

Gopi Krishnan: Actually, I understand what is the total value of production for the quarter, but what is the value of production charged against Rs. 168 crores, just to approximate figure?

V. N. S. V. Annapurneswara Rao: Okay. So that is around Rs. 110 crores.

Gopi Krishnan: So Rs. 110 crores of production has generated for you Rs. 168 crores?

V. N. S. V. Annapurneswara Rao: Rs. 110 crores is raw materials that have been used and this Rs. 110 crores consists of, yes, virgin raw materials which we have used. And also some scrap we use it, right, so this is the working raw materials of Rs. 110 crores.

Gopi Krishnan: No, my question is specific, not regarding material. I am talking about you mentioned that Rs. 241 crores is your value of production. So what is the value of production charge against Rs. 168 crores? When you invoice Rs. 168 crores to the client, how much is the value of production against that?

V. N. S. V. Annapurneswara Rao: Where the 168 crores has come? Are you talking about revenue?

Gopi Krishnan: Revenue, yes.

V. N. S. V. Annapurneswara Rao: Rs. 170 crores, okay.

Gopi Krishnan: Yes, Rs. 170 crores is okay.

V. N. S. V. Annapurneswara Rao: Okay, fine. Around that we contribute around 60%.

Gopi Krishnan: 60% is the value of production?

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V. N. S. V. Annapurneswara Rao: Yes.

Gopi Krishnan: So that means 40% you are making that means --

V. N. S. V. Annapurneswara Rao: Value addition, yes.

S.V.S. Narayana Murty: Other things will be there, other overheads will be there, cost will be there, consumables will be

there.

Gopi Krishnan: So approximately you are telling 60% of Rs. 170 crores is charged against this?

V. N. S. V. Annapurneswara Rao: Yes.

Gopi Krishnan: As value of production?

V. N. S. V. Annapurneswara Rao: Yes. Because on top of our raw materials, that is only the raw material consumption I talked about, right? On top of it, there will be a scrap consumption, there will be the expenditures like employee expenses, other overheads like consumables, power, repairs, so many things will be there. All those things, finance costs will be there, depreciation, so many things.

Gopi Krishnan: Yes. Okay. And also one more question, is there any seasonality in production from MIDHANI?

Always its Q1 is lower and Q4 is higher, is there something like that? I am talking about production.

V. N. S. V. Annapurneswara Rao: Yes, there may be last quarter may be a little more aggressive compared to other three quarters.

Maybe if you look at the previous quarter results also you can find that.

Gopi Krishnan: Yes, always it's like that. But is there anything like that seasonality, for production, not sales, I am talking. No, nothing like that, okay, maybe more running in the last quarter to achieve the targets.

Gopi Krishnan: Okay. That's all from my side. Thank you.

Moderator: Thank you. The next question comes from the line of Henil Bagadia with Equicorp. Please go ahead.

Henil Bagadia: Thank you for the opportunity, again. I just got two quick questions. Sir one is, since the raw material prices have come down compared to last year, so is there any upward revision on the gross margin and EBITDA margin guidance you plan to make?

V. N. S. V. Annapurneswara Rao: That's what is already reflected. If we look at it, last year the EBITDA margins were only 19%,

Q1, if you look at it, because Rs. 31 crores EBITDA and Rs. 163 crores, the EBITDA margin is

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19%. So Rs. 24 crores is Q1 of the current financial year, right? And also, it has the same impact, cash carry impact on the PBT. Last year it was 5.48% and it is 11.14% of the revenue, same is the case of the PAT. So that is what has resulted the savings, yes, it has contributed.

Henil Bagadia: On the RM side are we fairly diversified in terms of procurement? Because I mean on cobalt, I think DRC has still extended their export ban, so are we fairly comfortable in terms of supplies of raw materials?

Madhubala Kalluri: Raw material procurement, we are going as per the orders available. That is a continuous process, we have to keep on procuring raw material as per the requirement and considering the market trends also, procurement in a continuous process, sir.

Henil Bagadia: Okay. And then the last question, sir, if you could also explain, so we have got a product for bullet proof jackets called Kavach. Sir, how different is it from technical textile product which is manufactured by a few textile players, which is also a bullet proof jacket that is used? Because there was a large opportunity in terms of getting orders from state and central police departments, but I think so the ramp-up of the number of orders that you received has not been in line with our expectations.

S.V.S. Narayana Murty: Yes. Probably your statement will be true. See, the normal textile and this thing is different because

se bulletproof jackets have different layers of materials consisting of some polymeric materials and ceramic materials, which will be resistant to firing bullets, so it's a technology.

And you have to get it in the right form, the interfaces has to be good interface between the polymer and the ceramic. So the technology is available, it is called Kavach, what you are referring is called Bhabha Kavach. We have taken a TOT from BARC and we are working on that. We are also in the process of taking TOT from IIT Delhi, it is called ABHED, and we are working with them and we are doing the initial processing of some of the jackets. And these are for higher levels. That is more intense bullets also can be stopped. So, as you told, yes, once these things are established, we will be going, and we should be getting orders in next few quarters once these are established.

Henil Bagadia: Thank you very much. All the best to the team.

S.V.S. Narayana Murty: Thank you so much.

Moderator: Thank you. Ladies and gentlemen, that was the last question for today. I would now like to hand the conference over to the management for the closing remarks.

S.V.S. Narayana Murty: So thank you. It's been a wonderful experience. Thank you once again for all our investors for joining today's conference call and for the all your continuous trust and support on MIDHANI.

We are proud of what MIDHANI has accomplished in Q1 of FY '25-'26. And as we move to the next quarter, I am confident that with our strong order book, particularly the expected Rs. 701

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crores from Q2, I think we can have a sustained growth. If you have any further questions, you can please call our Company Secretary. We wish you from MIDHANI side a pleasant day.

Moderator: Thank you, sir. Ladies and gentlemen, on behalf of ICICI Securities Limited, that concludes this conference. Thank you for joining us. And you may now disconnect your lines.

Call: Nov 2025

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MDN/CS/COMPLIANCE/2025-26

To,

BSE Limited,

P.J.Towers Dalal Street,

Mumbai- 400001

Scrip Code: 541195 November 19, 2025

National Stock Exchange of India Limited,

Exchange Plaza, Bandra Kurla Complex,

Bandra (East),

Mumbai— 400051

Trading Symbol: MIDHANI

End: As above Mishra F

Hyderabad.50008 J

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Company & Compliance officer

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~I~T~9 1~I1~S MISHRA DHATU NIGAM LIMITED

(~i~m) (AGovt. of India Enterprise)

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I1~il~1d ~T~1TI ~i.CIN: L14292TG1973GO1001660

I~ii~c~ Website: www.midhani-india.in Sub: Transcript of the Analysts and Investors Meet/Conference Call held on November 14, 2025.

Dear Sir/Madam,

1. Further to our letter dated November 14, 2025 intimating you about the audio recording of Analysts and Investors Meet! Conference Call on Q2 —FY26 Results, held on November 14, 2025, please find below the transcript of the aforesaid Conference Call.

2. The transcript of the call is also made available on the Company's website.

This is for your information and record.

Thanking you,

Yours faithfully,

Limited

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"Mishra Dhatu Nigam Limited

Q2 FY '26 Earnings Conference Call "

November 14 , 202 5

MANAGEMENT : DR. S.V.S. NARAYANA MURTY – CHAIRMAN AND
MANAGING DIRECTOR – MISHRA DHATU NIGAM
LIMITED

MRS. MADHUBALA KALLURI – DIRECTOR FINANCE –
MISHRA DHATU NIGAM LIMITED

MR. PADAVITTAN BABU – DIRECTOR , PRODUCTION
AND MARKETING – MISHRA DHATU NIGAM LIMITED

MR. A. P. RAO – AGM FINANCE – MISHRA DHATU
NIGAM LIMITED

MR. PAUL ANTONY – COMPANY SECRETARY AND
COMPLIANCE OFFICER – MISHRA DHATU NIGAM
LIMITED

MODERATOR : MR. VIKASH SINGH – ICICI SECURITIES LIMITED

Mishra Dhatu Nigam Limited

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Moderator: Ladies and gentlemen, good day, and welcome to Midhani Q2 FY '26 Earnings Conference Call , hosted by ICICI Securities Limited. As a reminder, all participant lines will be in listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch-tone telephone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Vikash Singh. Thank you, and over to you, sir.

Vikash Singh: Thank you, Shavane. Good morning, everyone. On behalf of ICICI Securities, I welcome you all on Q2 FY '26 Midhani results con-call. I would like to thank the management for giving us the opportunity to host the call. From the management side, we have with us Dr. S.V.S. Narayana Murty, Chairman and Managing Director; Mrs. Madhubala Kalluri, Director Finance; and Mr. Padavittan Babu , Director , Production and Marketing.

Without taking any much time, I'll hand over to Chairman sir for his opening remarks. Over to you, sir.

S.V.S. Narayana Murty: Thank you. Good morning to all of you. Hearty welcome for Midhani Q2 FY 2026 Earnings Conference Call. This is Narayana Murty, CMD of Midhani and with me present today are Smt.

K. Madhubala, Director of Finance; and Shri. P. Babu, Director of Production and Marketing.

I'm also joined by Mr. A. P. Rao , AGM Finance; and our Company Secretary, Mr. Paul.

The detailed financial results for the quarter and half year ended has been disclosed to stock exchanges. However, I'd like to take a few minutes to highlight some of the key figures from the results. Midhani has achieved a turnover of INR209.73 crores during the second quarter of FY

'25-'26, against a turnover of INR262.12 crores recorded in the corresponding period of the previous year.

For the first half of FY '25 -'26, the turnover is INR380.22 crores against turnover of INR425.57 crores in the corresponding period of the previous year. Value of production during the second quarter of FY '25-'26 stood at INR256.38 crores, and VoP for first half of FY '25-'26 was INR497.67 crores, registering a growth of 3.9% against the value of production of INR479.01 crores recorded in the corresponding period of previous year.

In terms of profitability, profit before tax during the second quarter of FY '25-'26 was INR19.13 crores and the profit before tax during the first half of FY '25 -'26 was INR38.12 crores. Profit after tax during second quarter of FY '25-'26 was INR12.77 crores and the profit after tax during the first half of '25 -'26 was INR25.58 crores.

There has been a decrease in the top line performance on the year -on-year basis. However, there is year -on-year increase in the production, and there is no decrease in bottom line performance with respect to EBITDA and PAT margins. The EBITDA and PAT margins for the first half stood at 21.82% and 6.73%, respectively. Additionally, the order book position remains robust at INR1,869 crores as on 1st October 2025. This gives a very good visibility for FY '25 -'26 and beyond.

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One of the important developments that I wish to bring to all of you is that Midhani has entered into Memorandum of Understanding on November 10, 2025 for creating a metal bank at Midhani to ensure uninterrupted production and supplies of projects of national importance. You all know that we import a number of raw materials.

And there have been instances where there were supply chain interruptions due to which we could not book some of the exports, because of the non-availability of some of these raw materials. And this MOU was outcome of Ministry of Defense vision. And considering Midhani's strategic importance across all strategic sectors

, this initiative was taken.

And another important thing is we have signed a MoU for a bulletproof jacket, its name is ABHED. And it is a technology developed by DRDO and Indian Institute of Technology Delhi and this will significantly increase the forthcoming orders for bulletproof jackets.

So with this brief introduction, I now request the stakeholders for their questions. Thank you so much.

Vikash Singh: Operator , please announce our Q&A session .

Moderator: The first question is from the line of Henil from Equicorp.

Henil : Sir, I've got a few questions. So with respect to the decrease in revenue, sir, could you give some further explanation because we've also seen an increase in our inventories ? So is it some orders that have actually slowed or we've actually delayed or deferred the shipment, which is why the inventories have also built up and the revenues have also gone down.

S.V.S. Narayana Murty: Okay. Just to give a small brief, the Midhani has order books predominantly 3 varieties of materials. One is steel , second is super alloys and third is titanium alloys. And the processing time from the starting of the melting to booking sales, it depends on the nature of material and orders we are executing in a particular quarter.

Typically, steel takes about 2 months for processing from melting to the book phase. And super alloys and titanium alloys, particularly super alloys, will take longer time for processing, nearly 4 months, it takes. So sometimes what happens is even if you start producing in 1 quarter, we'll not be able to book sales in that quarter. So it will get booked in the next quarter.

That is the reason why you have the -- even though value of production has gone up, we were not able to liquidate in the previous quarter, which we'll be doing in the current quarter. So that is the basic thing. And there are many super alloy grades which we have melted in the previous quarter, which are under processing, downstream processing, like rolling, forging and other things. So that is the reason why you are finding that decrease in the sales.

Henil : Okay. So sir, also if you could, given the status of the advanced ultra -supercritical thermal power project, so there was -- the budget have actually released some funds, but I think so it's still moving very slowly. So for the demonstration plant at NTPC are going to do it in Bilaspur and then about 50 gigawatts was guided. So how is the progress out there, because I think so even orders for ourselves slowed down?

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S.V.S. Narayana Murty: Yes. See, Midhani is very proud that we are the people who have developed one of the grades of nickel -based super alloy, it is called 740 grade super alloy. And it is a nickel -based super alloy in collaboration with Indira Gandhi Center for Atomic Research and Nuclear Fuel Corporation, Hyderabad. Midhani has successfully melted the material. It has been processed

into the tubes. And in order for these tubes have been already -- it has been tendered by BHEL.

And we are hopeful that we will be a part of the tube manufacture -- I mean the raw material supply to the tube manufacturers. Because one of the conditions that was put is, only tube manufacturers can participate in the tender in the BHEL tender. And whoever is the tube supplier, Midhani will produce this material and supply because this is a special grade that is required for the processing of steel and only Midhani can make this currently in India.

Henil : So sir, if you actually look in the nutshell, so our non -defense order book is actually getting a lot of traction in this space, nuclear energy and the thermal energy side. So how should we look at the ratio? Because it used to be 80 -20, 80% defense and 20% non -defense. So how should we see as these projects start actually picking up and if you could also give the potential of

the -- I

mean, on the thermal energy side, nuclear energy and the space projects for Midhani?

S.V.S. Narayana Murty: Yes. So actually, if you look at our order book, 70% of the orders are from defense and our total order book as on today is INR2,220 crores, out of which about 70% of the orders are from defense, 20% are from space and about 10% that includes energy and other current standing. So we expect the contribution from energy and others also to increase.

Henil : So if you look 2, 3 years under and how would this mix change for us? Would it be more of 60-40 ratio or probably a little more?

S.V.S. Narayana Murty: Yes. We expect at least maybe 10% to 15% maybe exports in the coming 2 to 3 years. That is what we are expecting. And there will be increase both from space as well as other. Energy, we are expecting because once this order fructifies, the ultra -supercritical order, that will have significant increase in the energy side. So we are expecting that defense to little come down and that space being occupied by energy, exports and space.

Henil : Sir, lastly, before I get in the queue, sir, if you could also give some more understanding and clarity on the ABHED part, because you already have a power jacket and it didn't really pick up because I mean of the weight. So ABHED -- in the last call, you said it is for very strategic use also. So what is the kind of potential you are seeing? And is it like a technical textile base, where you'll actually compete with the technical textile players on this particular piece?

S.V.S. Narayana Murty: To be frank with you, ABHED is the real technology, okay? Actually, if you look at, Midhani has entered into the armor business more than 20 years back. Slowly, the nature of armor has come down from using some steel plates to ceramic plates and there are called -- what are called soft armor and hard armor. That combination gives the best protection levels for the bulletproof jackets.

So this particular technology, we -- as we mentioned, we already had Bhabha Kavach technology. But the level of production, the weight of the body armor is significantly lower compared to the other things. This is the lightest bulletproof jacket that currently is in existence.

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So we have taken this -- last Monday, we have taken the ToT from IIT Delhi. And this will be the future technology for all the bulletproof jackets. It is having one of the lightest bulletproof

jackets and with highest protection level, okay?

So we hope that we will be in the thing. And other people who are textile manufacturers and all, I mean, this is a different kind of thing altogether. ABHED is going to be a game changer in the bulletproof jacket business. And hopefully, we are hoping that we'll get a significant number of orders for this particular ABHED jacket.

Moderator: The next question is from the line of Nishita from Sapphire Capital.

Nishita : Can you give a revenue mix between the 3 varieties that you just mentioned, that is steel , superalloys and titanium alloys ? What is the revenue mix between these verticals?

S.V.S. Narayana Murty: Okay. So if you look overall, I can give you the figures. Super alloys, for example, we have -- so we have total percentage of super alloys is 21%, titanium alloys is about 19%, maraging steel is about 15% and specialty steel is about 37%. And all other grades, minus all the above 4, it comes to about 80%. So this is a revenue mix of 8%. So this will be in terms of revenue and our product mix. Yes, alloy -wise revenue.

Nishita : Okay. Okay. Understood. Also, my next question was you earlier guided to reach INR1,300 crores in top line for FY '26 and we've had a deep growth in H1 FY '26. So are you still confident that we'll be able to achieve the INR1,300 crores of top line and EBITDA margin guidance of 23% to 25%?

S.V.S. Narayana Murty: Yes. Our

target is to reach INR1,300 crores and many of the things as I told you, they are under WIP, and we will be processing in Q3 and Q4, we will be working harder to reach the target.

Target has already been fixed at the starting of the year and we are moving towards that . Both for EBITDA as well as the top line will be maintained as per whatever we have told earlier.

Nishita : Understood, sir . What will be the growth drivers for H2 FY '26 , because to reach INR1,300 crores of top line we need to have a minimum of 40% of growth year -on-year in H2? So what are going to be the growth drivers?

S.V.S. Narayana Murty: Yes. The growth drivers will be the super alloy business and titanium alloy business. These are -- proportionately, we have higher revenue from these two things. And instantly, I wish to inform you that we have INR600 crores worth of titanium order book currently. So we'll be executing them and to reach that INR1,300 crores business. And we have about INR450 crores of super alloys orders currently. So that itself is exceeding INR1,000 crores of order book. So by executing these things, we are confident that we can meet the targets.

Nishita Shanklesha : And it takes about 4 months to execute this -- these orders, right?

S.V.S. Narayana Murty: Yes.

Nishita Shanklesha : Okay. Understood. And do we have any order pipeline like are you bidding for any further orders? What is the order pipeline?

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S.V.S. Narayana Murty: Yes. So current order book is about INR 2,200 crores, I told you already. About INR500 crores worth of orders are in pipeline, where we have already participated in tenders. And by March 2026, we'll be able to realize this INR500 crores orders.

Nishita Shanklesha : Okay, sir. Thank you so much.

Moderator: Thank you. The next question is from the line of Abhishek Kumar Jain from Alfa Accurate. Please go ahead.

Abhishek Jain: Thanks for opportunity. Sir, apart from the 21% growth in the top line, you had also guided significant expansion on the margin side also 300 to 400 bps in FY 26. So are you still intact with that guidance?

S.V.S. Narayana Murty: Sorry, we didn't get you like your -- are you asking that our margins on EBITDA and all that at what level. So it will definitely be at the previous year's. Previous year, like it will be, we are expecting around 23% EBITDA margins overall during the year.

Abhishek Jain: So in the first quarter, you had mentioned that you are looking for that 200, 300 bps of the margin expansion in FY26. But if you see the second quarter numbers, there is significant dip on the gross margin and EBITDA margin. So I just wanted to understand, are you still intact with that target?

S.V.S. Narayana Murty: Yes. Actually, as we mentioned the reasons for the decrease in the revenues, even though we have done the production, but certain productions, which are at the final stages, where the revenues can be seen in Q3, number one . So since because the revenues have been decreased though the percentages looks like, but if we look at the EBITDA margins in terms of revenues, the EBITDA, PBT and the PAT levels.

All the three at par with even the previous year. And as we mentioned that the overall expectation of 23%, which we are expecting the EBITDA margin. And since our targets, we are again still targeting for INR 1,300 crores and we are putting efforts to reach that end. Definitely, once INR1,300 crores as come, 23% EBITDA is not an issue and it will definitely come. It will -- we are confident of that.

Abhishek Jain: And how is the current composition of the raw material sourcing virgin matters versus scrap ?

S.V.S. Narayana Murty: With respect to metal bank, yes, we are using something like more than 20 types of raw materials that go into the production of the nickel-based super alloys and other special steels. We import them because such

kind of high purity raw materials are not available in the country. And so we had a discussion, Ministry of Defense has initiated a program by which we should have self-sufficiency in the raw materials.

So we have identified some 6 critical raw materials that are supposed to be stored in large quantities, which are essential. So we are going to create a metal bank with the 6 raw materials, which support already we have signed MOU. So maybe coming 6 months to 8 months, we will be able to have this metal bank in the campus of Midhani at Hyderabad and that will ensure uninterrupted supply.

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Because some of the times, even lack of one element in an alloy is going to create a problem.

We cannot take the melt because -- or we cannot process the material. See even if one element is not there. So with respect to that, this initiative has been taken. And this is a very important initiative to have Atmanirbharta of Government of India. So this is the initiative that we have taken. And last Monday, we had an exchange of MOUs in presence of honorable Raksha Mantri.

Abhishek Jain: And sir if we see the historical trend your inventory increase is higher than the net sales number. So I just wanted to understand that how much you are ready for the recycling and using the alloy scrap and increase the usage of the scraps in your overall production?

S.V.S. Narayana Murty: Yes. So actually, in any processing of material generation of scrap is inevitable because the product has to be made and there will be -- during processing of material, there will be losses and there will be generational scrap. And this scrap goes into -- goes back into production and then inventory -- I mean, when the production is more, more scrap is generated.

Okay. So how much of this scrap can go back and how to reduce that you are thinking, but we are not allowed by certain customers to use more than certain minimum quantity of -- certain minimum quantity of scrap, because the -- there are certain requirements, for example, Gaganyaan applications of ISRO.

We are allowed to use only a certain amount of scrap. And it all depends on product mix. If the customer is saying that I want virgin material, we have to use pure raw materials. So typically, the ratio of the virgin material to scrap will be in the ratio of 60% to 40%. So sometimes when huge orders are there where virgin materials have to be used, scrap generated cannot be put back into production line and there will be accumulation.

But we are continuously thinking and trying to understand how we can put the scrap back into operation. We slowly we'll be reducing. It all depends on the product mix and that we are processing in a particular year or a particular quarter. And you can see the up and down in the scrap utilization or accumulation. So is a brief thing for your question, sir.

Abhishek Jain: And sir, you are also involved in the Kaveri engine manufacturing program, just wanted to understand the outlook of that and how much -- what will be the role of Midhani?

S.V.S. Narayana Murty: Midhani is a 52-year-old client, which is having expertise of more than 40, 45 years in the production of super alloys and titanium alloys. The essential elements that go into the manufacturing of an engine, aero engine are super alloys and titanium alloys, predominantly. Those hard sections will be super alloys and the lower temperature sections will be titanium alloys.

And we have both the thing. Midhani has continuously supported this Kaveri engine program or in the futuristic upcoming programs, whatever programs are there under Government of India.

We are continuously striving to develop new grades. Recently, in fact, some of the grades for one of the aero engines of a public sector undertaking has been -- we have been cleared.

Midhani has been cleared for productionization by the

certifying agency. So there are continuous

efforts to make newer alloys and producing them and getting certified and supplying to the

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customers. So these are continuous efforts because large number of grades are used and these grades can be built only in Midhani because this kind of technology are available -- the kind of facilities are available by Midhani. So we closely work with our customers to develop these grades and get them qualified. And we do internally a lot of research for each of these materials and we are with our aero engine manufacturers yes.

Abhishek Jain: So if I say that the long-term outlook that you are involved in the ultra high temperature super critical power plants, Kaveri engine power programs and so many defense programs. So I just wanted to understand what is your revenue guidance for the medium to long term because that - if I see that revenue growth in the last 5 years, 6 odd years, it is very -- it's not very up to the mark. So I just wanted to understand at the investor point of view that what would be your revenue target by FY30 or FY 28?

S.V.S. Narayana Murty: No, it is like this. We are having certain kind of facilities currently we are operating. And as your point, I appreciate we are having a lot of plans for increasing our revenues and we are having the strong capex plans okay? And we will be targeting every year at least 10% growth, okay?

And we have ambitious capex where we can install some new equipment to improve the productivity basically, okay? So some of the older equipment we are we are replacing it and by

utilizing the capex and installing new equipment, we expect our growth to be 10% year-on-year.

Abhishek Jain: So sir, defense is an emerging sector at this point of time and everybody is expecting very strong growth as the company is growing well, the growth rate is very high. So in that case, as you are involved in many programs, just taking the 10% growth, is it not very much conservative on your side?

S.V.S. Narayana Murty: Yes. So basically, it is like that. By the time -- once we install the new facilities, we expect it to be higher on a very conservative note, I'm revealing this 10% figure. Yes, we want to have better figures. In the coming years, you will see a bigger growth.

Abhishek Jain: So can we expect that a 20% plus CAGR growth in the next 3, 4 years because there are so many programs?

S.V.S. Narayana Murty: Yes. Once our long-term capex plans are in place. Certainly, your figures can be matched.

Abhishek Jain: Okay. And what is your capex plan, sir, for the FY '26, '27?

S.V.S. Narayana Murty: Yes, we are working on that. We are in discussion with our ministry and we should be ready with maybe by end of Q3, we'll be able to make those plans and probably in the next call, we can give you detailed figures. We are in the process of making currently.

Moderator: Thank you. The next question is from the line of Manoj from Equicorp Research. Please go ahead.

Manoj: So, my first question is about the metal bank. If you are going to have this 5, 6 materials, we are going to store for a very long time. Isn't it going to involve substantial capital from our side?

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And will it be subsidized by any of the government departments or it will be calculated in the costs while bidding for the contracts?

S.V.S. Narayana Murty: Yes. The first answer is no. It is not going to be in the books of Midhani. And this is as per MoU, it is a metal bank being established in Midhani's campus owned by customers, okay? Owner is the customer, whoever our MoU partners, they are the customers and the location is Midhani, okay?

Manoj: Okay.

S.V.S. Narayana Murty: And only infrastructure is, Midhani's infrastructure, we are only facilitating the required infrastructure and it is a

customer-owned, Midhani operated metal bank.

Manoj: This is great news for us. I mean it will not block any of our production plans actually ...

S.V.S. Narayana Murty: Absolutely. Absolutely, you're right. And there has been a long thinking in Ministry of Defense and as advised by them, and as per our suggestions, this has been established. And soon within 6 to 8 months' time, we will have the metal bank being installed within the Midhani's campus.

Manoj: Sir, my second question is, what is the current capacity utilization across our facilities and businesses and what is the optimum sale we can generate from the current capacity at the optimum level?

S.V.S. Narayana Murty: Yes. So if you look at -- okay, capacity utilization, if I would give you -- we have multiple stages of operations for processing of any material. We have melting that is we melt the material, then downstream processing. That is we'll do forging of the material, rolling, hot rolling, cold rolling, wire drawing and all these things. Depending on the product form that we are supplying, it will undergo a series of operations.

So melt, we have subsequent capacities, okay? And if you are selling castings, that is directly ingots, process stops there. So we have 100% capacity utilization. If you go to forging, probably we are having two forge presses. There also, we are having, wherever it is required for operating, we also go outside and get some of the things done. We outsource it and of course, we have a white plate mill.

We have other hot rolling mills and cold rolling mills. So, depending on the product mix, whatever product we are processing, some of these equipment are used. So it all depends on the product mix that we are targeting. And accordingly, the capacity utilization will be there.

Manoj: Sir, my next question is, if we have to achieve, if you decide to achieve a turnover of INR5,000 crores, I'm just asking that. Then what is the road block? Is it the demand? Is it the capability? Is it the source of supply -- or where is the bottleneck? Or is it the capex limitation? Where is the limitation, if you have to achieve? And is there a potential to achieve this kind of turnover in the next 3-4 years, 5 years?

S.V.S. Narayana Murty: Yes. So, it all depends on the orders. A, if enough orders are there, next roadblock our bottleneck will be the infrastructure availability. And the third thing is, of course, processing. Midhani is
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capable of making literally any type of alloy, okay? We have 500 grades of materials in our portfolio and about 100 of them are aeronautical grades that are required for aero engines. We supply materials to ISRO for all the solid rocket motor booster. We supply materials for all the missile programs included in Brahmos, Akash, which are used in Operation Sindhoor. So it is not the question of capability. Capability exists. We have a very strong R&D team in Midhani. We have wealth of knowledge. We have profit sheets for so many grades. It is only question of infrastructure. If infrastructure is available, that is the reason previous question, I also emphasized that we need to have some capex for it. We can produce more, okay? So our idea also is towards growth, how to grow at 20%, how to grow at a higher level, how to get? So orders are available. In fact, if you look at the EXIM data, something like INR8,000 crores worth of super alloys and titanium alloys are being imported into the country. So there is enough requirement for the material. So it is only a question of having the right kind of infrastructure so that we can book the orders, even we can export the materials. I mean there are enough people looking for orders in competitive market and Midhani exported last year -- 10% of its revenue has come from exports itself. So, enough opportunity is there. Certainly, it's a -

- bottleneck is the infrastructure. If we upgrade some of the equipment and some of the facilities that we create. These figures are possible. INR5,000 crores, it may take a little time, but it has to be in a progressive manner. So we -- to start with how to achieve maybe we have to go towards INR1,500 crores to INR2,000 crores and slowly in a gradual manner, there is a significant possibility to increase in this area. And this is a very niche area. Again, I want to tell you.

Manoj: So if you -- sir, you have the money, or if somebody is willing to put in money, say government or somebody else, right? Say, you are given INR500 crores or INR1,000 crores, is there a potential to invest in this kind of capex and accelerate the growth in a big way? I mean, what's the medium-term capex plan? Is it like INR200 crores, INR300 crores, INR500 crores, or even more than that?

S.V.S. Narayana Murty: Yes. I agree, actually, okay, we will be, I mean, we are currently working out by end of Q3, we'll be able to give you the correct figures. We are in the process of making plans to what are the right kind of equipment to put and where we are going out for -- I mean, downloading of our facilities. So that capex plan, we'll be sharing probably in the next conference call. Yes, as you told infrastructure is required, and we are in the process of doing that. And our ministry also is encouraging us to go ahead with this kind of thing. So we will do that.

Manoj: Sir, only the last question, comment, whatever you say about the solution. If I understand, I mean, in terms of the business potential, which is huge. You said INR1,000 crores worth of imports are happening. There is a significant export potential, right?

So the only thing is instead of rethinking about 10%, 15% growth or something, we need to fix a vision. Somebody has to fix the vision saying that, okay, we want to achieve INR5,000 crores

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in the next 7 years or 6 years. And then work backwards of what is needed, what capabilities, what money, what facilities, what sustainability.

And that is how that needs to be planned, right? I don't think for the kind of capability and kind of things we have, we need to talk about 10%, 15% growth. I think it looks to happen from a different angle. And if that happens, then there will be a push for doing a lot of things. So, I

genuinely hope that over the next couple of quarters, we should have a lot more clarity and significant push towards the growth for the next 5, 7 years, I sincerely hope so. And hope to meet you sometime soon, sir because we see significant potential in our business, actually

S.V.S. Narayana Murty: Thank you very much, actually. You are most welcome to Midhani. Anytime you can come and

visit our plant. And we are also doing visioning exercise. Already, we are into the exercise of

2030 and 2047. And we are a significant partner in Viksit Bharat, proposed by Honorable Prime Minister.

So how to take the company forward is one of the most important targets currently, we are working. And certainly in the coming quarter or 2, we'll be able to share our futuristic plans as this will do, and we look forward to your visit. Thank you.

Manoj: Thank you, sir. Thank you very much for the opportunity.

Moderator: Thank you. The next follow-up question is from the line of Henil from Equicorp. Please go ahead.

Henil: Sir, some questions related to the space start. So we had done a consortium order some -- few years back on the PSLV side for ISRO. Sir, are we empaneled for PSLV, GSLV, SSLV and LVM3 projects? Or is there something where -- is there some part where we are not actually there?

S.V.S. Narayana Murthy: Your question is absolutely right. And if you remember we are a part of ISRO, okay? We are catering right from the first PSLV onwards. Midhani's material is what you see in the --

when

the launch vehicle lifts, whether it is PSLV, GSLV or LVM3 or any of these SSLVs. You see the Midhani's rocket motor casing that is what gets ignited on the ground. Midhani's has been a partner of ISRO for last more than 40 years.

So we have been supplying. And for all these things, not only for solid rocket booster, we also supply materials for liquid engine that is Vikas engine. We supply materials for cryogenic engine, both for GSLV Mark 2 and Mark 3 and we supply materials for semi-cryogenic engine, and we are looking forward.

ISRO is going with great guns for next-generation launch vehicle. They are having engines. We will be part of that one. And SSLV, whatever order has been given to HAL, we'll be part of that.

Every ISRO launch vehicle and satellite, Midhani's materials will be there.

Henil: Okay. So the Gaganyaan mission and the human assisted mission, will also be a part of that very strategic mission, right?

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S.V.S. Narayana Murthy: Absolutely, in Gaganyaan mission, all solid rocket boosters, I mean that maraging steel, whatever is produced in Midhani is being used. In fact, that is in one of the previous questions I told. The rigorous quality checks that are done by, I mean, by ISRO for Gaganyaan mission that they don't permit it to be used because it has to be human-rated vehicle. Yes.

So that human-rated vehicle, the quality controls are so high, so we cannot have any deviation in the quality and meeting their requirements. We are very proud. Midhani is very proud to meet the human requirements for ISRO's Gaganyaan program. We collaborate closely with them. And in fact, we are the major suppliers of materials for ISRO in Gaganyaan program.

Henil: Okay. So also we were also trying to put a metallic powder plant as an input substitute. So how do you see this particular segment? Is it going to be order specific -- orders for the powder unit?

Or is it going to be on a consumable basis? So, the orders will be continuously recurring from your plant.

S.V.S. Narayana Murthy: Yes. Actually, if I have to elaborate on this, metal powder project is coming from additive manufacturing industry. Midhani has been making the alloys like super alloys or titanium alloys for so many years. Last 40 years, we have been melting. We are masters in making the alloys.

Now one of the branches, this is the one approach that is making a big block and machining to realize the component. Recently, additive manufacturing industry is growing at a very fast pace.

So in order to meet the additive manufacturing industry requirement. Currently, all the powders, particularly titanium and super alloys powders are imported.

India is not having capability to make these powder -- powders as an input material for additive manufacturing, that is 3D printing. Now, since Midhani already has a lot of expertise in making these alloys, it is only a question of converting the alloy liquid metal into powder. So we have already initiated, there is a purchase order. Okay?

So we are pursuing with the company to supply this equipment. With this, the advantage is Midhani is also producing metal powders for additive manufacturing. And there is a huge potential. All powders are getting imported.

So, first of all, we can cater to the all markets within the country. And there is a huge export potential for powders also. So, with this idea only, this initiative was taken. And we hope that we will be able to establish, okay? So, this additive manufacturing powder making facility, maybe in the coming 6 months, we should be able to do. Already PO is placed. So, there are some hiccups. So, we are expecting that the problems will be sorted out and we'll be able to install the facility. Yes.

Henil: So, this

would provide significant skin in the game for us, because a lot of aerospace man

ufacturers are actually looking at 3D printing for very precision part , I mean, construction side. So with this, I think, sir, the aerospace will be a very good vertical and I think aerospace is the most profitable vertical for us among all the wholesale if I am not mistaken.

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So if you could also just some more understanding of the MoU that we signed with AD and the Aero India 2025 Summit the MD and 100 grade, alloy grade. Sir, what is the actual use case and we've also been supplying some aeronautical grade alloys for the Tejas Mk2 program. So since the Mk2 program process also there ?

S.V.S. Narayana Murty: Last sentence, I could not hear. Can you repeat?

Henil : Sir, we were also empanelled to provide some aeronautical grade alloys for Tejas Mk 2 program.

Sir, since the program is little delayed and there's still some time to pick up I mean, what's your understanding over there?

S.V.S. Narayana Murty: Okay. See, luckily, we are the company producing materials for the Tejas Mk2 . Yes, there are number of grades in that and we have already started processing these materials. There are a significant number of steel, super alloys and titanium alloys in this. And they have to be first of all type tested and qualified and we are in the process of doing that. And we are also -- whatever you mentioned under Aero India, those grades we are currently producing gas.

Henil : And lastly, we had also alluded to a INR700-plus crores order in Q2. But if I just do the math, I think, it's about INR250 crores that we've actually got and INR300 crores that we got in October.

Sir, there is actually the disconnect -- are the orders deferred or are we still yet to receive the tenders because the tender this has not been open?

Management: Another INR500 crores that's in advance , we are expecting before March over and above whatever we already booked around INR990 plus, we are expecting another INR500 crores of orders from defense and navy sector before March '26.

Henil : Okay, and for ABHED project.

Moderator: Sorry to interrupt sir. Should you have any follow-up questions, please rejoin the queue.

Henil : Sure.

Moderator: Thank you. The next question is from the line of Rakesh Roy from Boring AMC. Please go ahead.

Rakesh Roy: Yes. Sir, my first question regarding, can you guide us about how much order book we are expecting at the end of March FY '26? Because as you say, you are in second half, you will do nearby INR 900 crore s revenue or full year INR1,300 crore s, so our total order book is here by INR2,000 out of INR2,900 is completed. So how much order book we are expecting at the end of March?

S.V.S. Narayana Murty: Okay. No. Presently, we are adding INR2,220 crore s order and another INR500 crores already finalized there. That makes around INR2,700 crores. Even INR900 crores we will do it is going to be INR1,800 crores. Actually, we are thinking even some more order will come. The first April 2026, we expect at least INR2,000 crores opening balance will be there minimum. So that will be easy to plan even next year also.

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Rakesh Roy: Okay. My next question, sir, as you say bullet proof helmet. So you get the DOT from the IIT Mumbai product will be made in Hyderabad facility or Rohtak facility or can you update on Rohtak facility, any update on any order new order from the urban investor?

S.V.S. Narayana Murty: No, Rohtak facility is presently we are doing vehicle arming and body arming from like a prior order we got. Sir told that IIT Technology ABHED also, we have already made and it is under the testing that is going on. Now already we have done around INR12 crore s in the first half till October and we have another some INR 40 crore s.

So there is a good visibility and we are pursuing some more order.

So maybe by end of the year, the Rohtak will be doing much better than means initially whatever we are doing. And to add to

whatever our Director of Production and Marketing told, this ABHED technology taken DOT from DRDO plus IIT Delhi whatever we have signed and taken the technology transfer.

This is a very, very niche technology. And we have already processed bullet proof jackets using this technology and we have already tested, ballistic testing also has been completed. So we are very much impressed with that. And we hope that we'll get a significant number of orders for

ABHED jacket.

Rakesh Roy: ABHED for bullet proof jacket?

S.V.S. Narayana Murty: Yes. If you recall, we are already into the business of making bullet proof jackets. We have a facility at Rohtak which is making already this. So we have all the facilities that are the facilities required for the SAP and HAP, no, whatever soft armor panel and the hard armor panel and autoclaves, all the facilities are available, how to test them, how to do raw material inspection? All these things are there. It is only the processing of these, the ABHED jacket, there are small differences there.

And we will be processing them as per the thing and whatever capacity required for it is small and that is will be installing those equipment. And I mean, we should be able to get all these things, ABHED jackets within 6 months, everything will be made. So we are ready for getting orders for this particular jacket.

Rakesh Roy: And last question, sir. Sir, any product we are supplying to a shipbuilding, sir, any our product is going to shipbuilding industry?

S.V.S. Narayana Murty: Yes. Yes, absolutely. We are having -- we supply steel for all shipyards, like Hindustan shipyard. Okay, we are working with Mazagon Dock Limited for some of the indigenized steels. There are grades which are currently being imported. So we are discussing with them on indigenization of steel and we'll be soon developing these steel grades. Henceforth, will not be -- we need to supply -- I mean, import these steel. Yes, with shipyards we are doing.

Rakesh Roy: Okay. Why I'm asking the government is just thrusting on the shipbuilding industry in India. So in that case, sir, how are you looking this industry growing in the next 5 years, 6 years and where do we stand sir?

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S.V.S. Narayana Murty: Yes, we expect significant orders. See, Midhani, the advantages whoever gets order we'll be getting the raw material order because these steels are very, very in high-end steel and such.

These are not like the steels that are made in steel plants, conventional steel plants. These are all wide plates that go into wide and thick plates that go into the building of ship.

And these are all very special grades and majority of them are either German or either French origin. So we have the capability to make these materials. And the more they grow, the more we grow. So the more number of orders they get for shipbuilding and we will be getting correspondingly orders for raw materials.

Rakesh Roy: Okay so for shipbuilding especially to steel or super alloy?

S.V.S. Narayana Murty: They don't use -- I mean some of the ships use titanium alloys because it is in water, seawater. But majority of the materials are steels.

Rakesh Roy: Great sir. Thank you.

Moderator: Thank you. The next question is from the line of from Jyoti Singh from LIC. Please go ahead.

Jyoti Singh: So my first question is pertaining to the exports. Since we're exporting to more than 20 countries, so what kind of opportunities are we seeing and how do we plan to increase it going further from the current level?

S.V.S. Narayana Murty: Yes. If you look at our exports last year, we have exported orders worth of INR95 crores, about INR94 crores, okay. So currently, we have already supplied to the tune

of INR 21 crores, okay,

till now, till second half. And order book is around something like around INR25 crores worth of order book is currently we are executing. This year, we were a little -- fell short, because total exports may be around INR50 crores.

One of the reasons why we are falling short is because there were some raw material constraints for processing of some of the titanium alloys. We need to import materials from abroad. So where we are having currently some geopolitical situation is not so good. So we are not getting -- some supply chain disruption was there.

Deliberately we have not booked some of the orders, even though we've been approached here, because the typical time line for processing of -- I mean the import order is about 3 to 4 months.

They want material very quickly. Even the import of the materials may take 3, 4 months. So we didn't want to necessarily enter into that. So deliberately, we have not booked some of the orders, but there is significant potential. If you look at the super alloys and titanium alloys, we are competitive in the open market and we'll get orders by competition.

So we can look once these things are settled, we should be able to make that INR100 crores, INR150 crores exports every year. And not only that there is one more important point that I want to mention that Midhani is going for NADCAP certification, which is essential for export orders.

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So by Q4, we'll be completing this NADCAP certification also, which will enable us to export the materials. So that will have -- I mean all these applications, whatever are required by the export market, okay, our foreign customers, they look for this application, and we'll be completing by Q4.

Jyoti Singh : Okay. The second question is pertaining to your order book. If you can guide on the execution plan or time line for your current order book in hand?

S.V.S. Narayana Murty : The time line for executing the current order book, okay? So currently, we are having about INR2,200 crores, and we expect another -- anyway, we are moving towards something like --

yes, we should be able to complete by 12 to 18 months, whatever orders currently we are having.

And some of the grades are developmental grades so that higher time, longer time is for those developmental grades. Production grades will take not more than 12 months at the most.

Jyoti Singh : Do we see any sort of issue including the raw material for the order book that we have so that this gets executed in time.

Management: Presently, except one or two raw materials, there is no much issues. We are already concurrently planning raw material procurement and we are planning already existing order book action plan is already initiated.

Jyoti Singh : The third question is on -- based on your growth in the factory, if you can guide us on what are the current capacity utilization -- and what sort of revenue to be expected from the facility in the next couple of years ?

S.V.S. Narayana Murty : Okay. As I told previously, the capacity utilization depends on the product that we are supplying.

All the equipment will not be used for all the products, okay? If it is only for -- I mean ingots, only melt furnaces are required. If it is for wire and bar, electrodes or welding wire, it needs significantly almost every equipment.

So depending on the product mix that we are targeting, the capacity utilization will be there. For some of the products you may not touch any of the existing infrastructure. So it depends currently the product mix that we are processing.

Jyoti Singh : That's it from my side. Thank you so much for the detailed answer.

Moderator: The next question is from the line of Rushabh from RBS A Investment Manager LLP.

Rushabh: Thank you for the opportunity. So just harping on to earlier participation question. You mentioned that demand

is not an issue. Capability is not an issue, but just on the infrastructure side, we are falling short. Just want to understand, sir, what steps have you taken in the last two years, including the raw material availability which is imported, that would ensure that going forward, this is not a big issue for us.

How do we plan to manage this? Given maybe this may be a once in a decade opportunity for a company like us, we should be going all in to capitalize?

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S.V.S. Narayana Murty : Yes. So one of the things that we are doing is for raw material security, as I've informed, we are setting up a metal bank, National Strategic Materials Reserve, which will take care of at least major things. Because if any supply chain disruption is there, even for any of the raw materials that go into making up alloys, even when material is not available, that is the problem. So this is the first initiative.

To your question, what initiatives you have taken in the last two years for that. Creation of Metal Bank is one of the initiatives that is taken. And hopefully, within six months, we should be in a position to establish this facility in our campus.

With respect to capex, your another question, what are the things that you are doing? Capex, we have been continuously trying to install. So in last so many years, so many new equipment have been added. But in the core area where we need the forging. So we are in a discussion to have some very important equipment okay, to process the forging line. So there, we are going to install higher capacity, to meet the next maybe 15 years kind of thing.

We are having 15, 20 years, we should be in a position to make -- continuously grow. So that kind of equipment we are planning to put. I'll be -- we'll be in a position to give detailed figures in end of Q3 or Q4. And seriously, we are thinking about how to -- what kind of machines are required, okay? So it is there.

So there is a good plan. We are also doing the plan for 2030 and 2047. So we should be in a position to have, I guess, more orders, execute more orders, increase the top line and grow at a pace maybe 10% to 20%. That is a target that we are currently thinking of, on a very conservative note.

Rushabh: And sir, you earlier mentioned in our earlier calls that we are in the process of empanelment with the global aero engine majors. So how -- what stage are we in empanelment and how long before we see orders from them?

S.V.S. Narayana Murty : Yes. So some of our foreign people, they are auditing our facilities and some of have already

completed the second level of audit. And once they give -- once they are satisfied and give a certification with this NADCAP and all, we should be in a position to get orders from them, okay? Once they start giving orders, we'll get good orders for exports. So once they complete certification of our plant that we will be able to get.

Rushabh: This process may take one year or so or?

S.V.S. Narayana Murty: Some of the people we are towards -- maybe within 6 months, we should be able to complete.

Rushabh: Okay. And sir, we understand that super alloys is a significant portion of our revenue. But can you share the break up, maybe the titanium or the critical component alloys, how much is it as a percentage of revenue? Can we have some break up?

S.V.S. Narayana Murty : Yes. So if I have to break up just a minute, I can share the details. So if you look at our super alloys, revenue will be 21% of the total revenue. Titanium alloy will be 19%, maraging steel

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15%, special steel including the steel for naval and other applications and even that is through obligations, it will be 37%. It is a very big chunk. All other grades will be about 8%.

Rushabh: Okay. And sir, five years down the line, how does this mix change

for us? Given whatever you

are planning. I think we are planning to go into more value added areas have in different industries. So how does this mix change? And how does help the margin profile?

S.V.S. Narayana Murty : Yes, margin profile to share with super alloy margins will be a little higher. Maraging steel, our margins will be higher.

Management: All alloys we will try to maintain same level of...

S.V.S. Narayana Murty : Overall 23% EBITDA can be expected, 23%.

Rushabh: Okay. Okay. Understood. Okay. And sir, there's one more company called PTC Industries. Do we compete with them in any products or capability wise we would be at par with them, right?

Or where do we stand, sir?

S.V.S. Narayana Murty: Yes. I mean, basically, we are having steel, super alloys and titanium alloys. So they are also putting up facilities. There is enough market for everyone to grow, okay? It is not that competition. There is a significant business. I told you previously, there is INR 8,000 crores worth of materials are getting imported. The cake is big, so people can -- people have opportunity to participate and get -- they are also doing -- I mean, coming up with a lot of new facilities.

Moderator: Thank you. Ladies and gentlemen, that was the last question for today. Now we have reached the end of the question-and-answer session. I now hand the conference over to the management for the closing comments.

S.V.S. Narayana Murty : Yes. So thank you. It has been a fabulous meeting. I think we had for nearly one hour, and I think many of the questions, I hope that we have given satisfactory answers. And we hope to grow and whatever little decline was there in the Q2 performance due to non-booking of some of the products in our WIP, I think, we'll be able to liquidate them in the third quarter. And we will be moving forward at the targeted INR 1,300 crore sales, whatever we have told during Q1 time.

So thank you very much. Thank you all for joining today's meeting.

Moderator: Thank you. On behalf of ICICI Securities Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

Call: Feb 2026

IHAI

MDN/CS/COM PLIANCE/2025-26

To,

BSE Limited,

P.J.Towers Dalal Street,

Mumbai- 400001

Scrip Code: 541195 February 21, 2026

National Stock Exchange of India Limited,

Exchange Plaza, Bandra Kurla Complex,

Bandra (East),

Mumbai —400051

Trading Symbol: MIDHANI

Sub: Transcript of the Analysts and Investors Meet/Conference Call held on February 17, 2026.

Dear Sir/Madam,

1. Further to our letter dated February 17, 2026 intimating regarding the audio recording of Analysts and Investors Meet/ Conference Call on Q3 —FY26 Results, held on February 17, 2026, please find enclosed the transcript of the aforesaid Conference Call.

2. The transcript of the call is also made available on the Company's website.

This is for your information and record.

Thanking you,

Yours faithfully,

Mishra Dhatu, ~

IAntony

Company Secretary & Compliance officer

company.secretary@midhani-india.in

End: As above

~49 f~fTITI~ ISHRA DHATU NIGAM LIMITED

(~ir~ ~i~) (AGovt. of India Enterprise)

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tl~PiTelephone: 040-24184000, ~ Fax:040-24340039

~ tl~ni ~4.CIN: L14292TG1973GO1001660

~ Website: www.midhani-india.in

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"Mishra Dhatu Nigam Limited

Q3 FY '26 Earnings Conference Call "

February 17, 2026

MANAGEMENT : DR. S.V.S. NARAYANA MURTY – CHAIRMAN AND

MANAGING DIRECTOR – MISHRA DHATU NIGAM

LIMITED

MRS. MADHUBALA KALLURI – DIRECTOR FINANCE

AND CHIEF FINANCIAL OFFICER – MISHRA DHATU

NIGAM LIMITED

MR. P. BABU – DIRECTOR , PRODUCTION AND

MARKETING – MISHRA DHATU NIGAM LIMITED

MR. PAUL ANTONY – COMPANY SECRETARY AND

COMPLIANCE OFFICER – MISHRA DHATU NIGAM

LIMITED

MODERATOR : MR. VIKAS SINGH – ICICI SECURITIES LIMITED

Mishra Dhatu Nigam Limited

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Moderator: Ladies and gentlemen, good day, and welcome to MIDHANI Q3 FY '26 Earnings Conference

Call hosted by ICICI Securities. As a reminder, all participant line will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Vikas Singh from ICICI Securities. Thank you, and over to you, sir.

Vikas Singh: Thank you, Danesh. Good morning, everyone. Welcome to Mishra Dhatu Nigam Q3 FY '26 Results Conference Call. We would like to thank the management to give us the opportunity to host them. From the management side, we have with us Dr. S.V.S. Narayana Murty, Chairman of Managing Director; Mrs. Madhubala Kalluri, Director Finance; and Mr. P. Babu, Director Production and Marketing.

Without taking any much time, I'll hand over to management for their opening remarks. Over to you, sir.

S.V.S. Narayana Murty: Okay. So good morning, everyone. I, Dr. S.V.S. Narayana Murty, Chairman and Managing Director of Mishra Dhatu Nigam Limited, extend a warm welcome to all of you who are joining online to our earnings conference call for the quarter and 9 months ended 31st December 2025.

We have with us Mrs. K. Madhubala, Director of Finance and CFO; Shri. P. Babu, Director of Production and Marketing; Mr. Paul Antony, Company Secretary and Compliance Officer, with me.

We also have senior officials from marketing and finance functions. Since the quarter and 9 months functional results have already been submitted, I just go through the key aspects of quarter and 9 months ended -- 9 months ended financial results of the company. The salient points are turnover for the third quarter stood at INR 275.66 crores, recording a robust 31.44% growth over second quarter turnover of INR 209.72 crores.

Second point, value of production for the third quarter was INR 304.05 crores compared with INR 256.37 crores during the second quarter of FY '26, registering a growth of 18.6%. Profit before tax for third quarter was INR 39 crores compared with INR 19.11 crores for the second quarter.

Profit after tax for third quarter stood at INR 27.46 crores compared with INR 12.76 crores for the second quarter. For the 9-month period, that is April to December 2025, our turnover was INR 655.88 crores vis-a-vis INR 663.54 crores last year. And value of production grew by 8.86% to INR 801.73 crores.

PBT and PAT remained stable at INR 77.1 crores and INR 53.04 crores, respectively despite the marginal moderation in top line performance. And our order book position as on 1st January 2026 is INR 2,440 crores.

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I want to highlight some very important achievements that MIDHANI has made in the last quarter. One of the significant contributions is the supply of titanium alloy windows for Ram Janmabhoomi at Ayodhya. So we have supplied 31 titanium windows.

Many of you would have seen it. And this is the first time that in India, titanium has been used for architectural purposes, even though MIDHANI has been supplying titanium alloys for the last 40 years to various customers like ISRO, DRDO, HAL, many other customers. India never this material has been used for architectural purpose.

You can see the beautiful windows in Ayodhya Ram Mandir, 31 titanium jalousie have been supplied, this is one important achievement. Another achievement that we can be proud is that we have supplied around 90 tons of material for Presidential Dais for Republic Day. So recent

Republic Day, many of you would have watched it. One of the significant contributions is the material for the Presidential Dais has been made by MIDHANI.

And third point that is of interest to us, technically, MIDHANI has been certified MIDHANI produced alloys, very, very special alloys, particularly super alloys have been certified by CEMILAC, Centre for Military Airworthiness & Certification has been received for 10 cast and rods super alloys.

It only shows the capability of MIDHANI towards supply of super alloys. And also, we have a NADCAP certification. This is an international certification for heat treatment. We are going to receive it because audit is over. So this is -- I wanted to share with all of you these significant achievements technically.

I think with the above, I now request the moderator to invite questions from the analysts or investors, who are there joining the conference call. Thank you so much.

Moderator: Thank you, sir. Ladies and gentlemen, we will now begin the question and answer session. First question comes from the line of Amit Dixit from Goldman Sachs.

Amit Dixit: Congratulations for a good set of numbers, sir. A couple of questions from my side. The first one is that in India, if we look at the recent developments, the aerospace, particularly Indian ecosystem is kind of showing very good potential, whether it is like possible domestic manufacturer of M88 engines or going ahead co-production of that F414 or co-development of

Safran for AMCA.

So just wanted to understand how MIDHANI is geared up for this opportunity because we have this titanium capacity for a very long time. I just wanted to understand the kind of approvals we have in place or we are looking at in the future. Also, if you could highlight utilization of titanium capacity, 1,000 tons as of now? That is the first question?

S.V.S. Narayana Murty: Okay. Thank you, Mr. Amit. It's a very nice question. First of all, I think ever since MIDHANI has started 52 years back, we have been working on these very specialized kind of alloys. As you know, that this whole organization has been put up with the purpose of indigenization of materials in 1973.

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And we have been making these alloys, the so-called alloys that are required for -- very critical alloys, performance critical alloys for fighter aircraft. So we regularly supply the nickel-based alloys, the cobalt-based alloys and even some of the iron-based alloys regularly to our customers, okay. So you told you mentioned MI-18, F14, Safran, and AMCA, all these things, people are looking for these kind of alloys.

What goes into aero engine has to be manufactured to the utmost quality. And MIDHANI has been supplying because one of our major customers is ISRO. If we look at the right from the solid rocket motor booster that gets graded on the ground when you look at PSLV or GSLV launch to the upper stage cryogenic engine, MIDHANI's materials are used everywhere, every stage.

So that is the kind of perfection that we are -- we have been trained to do and supply to our customers. And not to say that our materials are there in the form of Chandrayaan-3, our materials are there on moon. So here, in manufacture of any aero engine, quality is the most important thing.

And MIDHANI is known for quality. So over the last 4 decades, MIDHANI has supplied these materials, not only -- I'm not mentioning our defense-related supplies, since it is civilian I could mention. But we have been supplying. And you asked about titanium. Titanium -- MIDHANI made titanium is used in all gas bottles and all propellant tanks of ISRO's Launch Vehicle.

Every satellite propellant tank or gas bottle, every Launch Vehicle stage, they have several gas bottles. The raw material is supplied from MIDHANI, and it is used for this thing. So MIDHANI is known for a super alloys and titanium alloys, and we are completely geared up for meeting the whatever requirement.

We are closely working with HAL, yes. We are t

here. We are supplying to them, both super

alloys and titanium alloys. So even in the future AMCA, aero engine, whatever, whoever is the customer, we will be supplying the materials. And we are in talks with all foreign customers at very advanced stage. We are working with them including Safran and the supply of material. So

India is fully geared up, and we are fully geared up at MIDHANI to supply these critical -- performance critical materials.

Amit Dixit: And what is the capacity utilization, if I may ask, of the 1,000 tons titanium plant as of now?

S.V.S. Narayana Murty: So if you look at, we have a total order book for INR 657 crore, and we have multiple titanium melting facilities. As you can see, we have multiple -- this was made by vacuum-arc remelting and we have multiple furnaces and about 27% of our order book is on titanium, and we can meet the requirements -- our -- capacity utilization is almost near to the fully established capacity. So I can give you...

Management: As on date order.

S.V.S. Narayana Murty: Yes. As on date order, around 29% of INR 741 crore's worth of titanium alloys are there. And we are fully operating our titanium plant.

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Management: During this period last year and now -- actually, last year, 390 tons will be melted, but this time, 45 tons will be melted, means at least 20% of titanium production has gone up.

Amit Dixit: [Inaudible 0:11:14]. Considerably particularly this quarter. So is it due to the product mix or the contracts that you're executing at the moment? And also, if you could just broadly highlight the revenue split by materials, titanium, super alloys, managing steel, et cetera.

S.V.S. Narayana Murty: Probably a little part of your question was not heard. Can you just repeat it?

Amit Dixit: Yes, sure. So the question is that this quarter, we saw that margins improved considerably. So could you also highlight the drivers behind that, whether it was revenue mix or the kind of contract that we are executing that carry possibly higher margins?

Also, if you could highlight the -- if you could mention the revenue mix in terms of products like titanium, what the percentage was titanium of revenue, super alloys, maraging steel, etc.?

S.V.S. Narayana Murty: Okay. Okay, fine. So if you look at the alloy-wise revenue in the third quarter for the 9 months, we have super alloy contribution is around 20% and titanium alloys is around 19%, maraging steel is about 15%, and special steel is about 37% and remaining all other grades about 9%. So predominantly, super alloys and titanium alloys constitute about 40% of our total revenue. So that is what we have been concentrating on currently.

Amit Dixit: And this is for 9 months, right?

S.V.S. Narayana Murty: Yes, this is for 9 months.

Amit Dixit: And what are the key margin drivers?

S.V.S. Narayana Murty: Key margin drivers, if you look at -- okay. We have ultrahigh-strength steels, which are -- where margins are significantly higher.

Amit Dixit: And this was just a broad application, correct?

S.V.S. Narayana Murty: It is for all missiles and rockets.

Moderator: Our next question comes from the line of Henil Bagadia from Equicorp.

Henil Bagadia: Congratulations on good set of results. I just wanted some clarification regarding the NADCAP certification. You said that the audit is done. So it is it was actually due in Q4 of this year, right?

So is it on place? Or do you expect some delays for that?

S.V.S. Narayana Murty: Okay. Actually, the audit is over, some minor queries we are answering. So it should be -- we should be getting it by end of Q4.

Henil Bagadia: Okay. Coming to the aerospace side. So we have -- also there has been a good direct with GTRE and PTC, we had also tested the Kaveri dry engine, and we have actually got under the crystalline turbine blade on PMD basis. And I think PT

C has also started getting orders. So how big -- can this opportunity be for us given that we'll be RM suppliers for this particular project?

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S.V.S. Narayana Murty: Okay. GTRE, we have been working for last almost 24 years for Kaveri new program, and MIDHANI was there right from day 1 of the Kaveri engine program. MIDHANI has supplied and Kaveri engine, whatever was flight tested, all it contains only MIDHANI materials, okay?

So we continue to work with the GTRE and we continue to supply materials to Indian aero manufacturers.

Henil Bagadia: Okay. So for this particular crystalline turbine blade on PMD basis, how big can the orders be because PTC has also started getting orders, I think, so they'll start sourcing the RMs from us?

S.V.S. Narayana Murty: Yes. There are multiple people who are doing these blades. The raw material that goes into the manufacturing of single crystal blades is melted only in MIDHANI. So whoever -- downstream whoever wants to make the blade, MIDHANI can supply the blade, blade material. Basically, blade is coming after the cast stick.

So cast sticks are made by MIDHANI. And blade is an outcome from the cast stick. So raw material has to be melted to the precise chemical composition, and it has to be made into the form of a blade. So MIDHANI is geared up to meet any requirements whatever are required.

Henil Bagadia: So sir, this utility will also be there in multiple programs like the Kaveri dry engine program for the UCAV program or the Manik STFE engine program? Or you don't see these blades being utilized then?

S.V.S. Narayana Murty: Yes. Yes. I mean the aero engines are picking up now. There are talks going on at multiple levels. And all materials requirement, whatever are required for any of these parties, MIDHANI is fully geared up to meet the metallic materials requirement. We will be there in the supplier list.

Henil Bagadia: Okay. Sir, coming to the ABHED bulletproof jacket, I think so we do plan to apply for the big INR1,000 crore s tender that is coming up. So I mean what would be the possible win because there will be multiple players here. Also, there has also been another private company based out of Delhi, which has also got the TOT from DRDO and IIT for the ABHED jacket. So what is the scope for MIDHANI versus what is the scope for them? I just want some more understanding?

S.V.S. Narayana Murty: Okay. See, it is like this. MIDHANI already have a technology called Bhabha Kavach from BARC. It is a TOT. Last quarter, we have taken a technology transfer from IIT Delhi -DRDO combined center of excellence that is called ABHED, what you have been mentioning.

So we are having capability already. We are under testing of the ABHED. Multiple testing needs to be done at the ballistic material's testing laboratory, and we are conducting and we are ready to take the orders now. Okay. We'll be participating aggressively, and we will be getting the order. And when such a big order comes, definitely it will be -- multiple people it will be given.

So we are hoping that we'll be in the race, and we'll work towards that.

Henil Bagadia: On the helical spring side, sir, what is the utilization there? And how do you see the opportunity because I think we have supplied it for the Vande Bharat and we also do plan to supply for the

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month, if I'm not mistaken. And about 250 springs for the Vande Bharat, the train that is required?

S.V.S. Narayana Murty: See, it is like this. Keeping in view of such requirement, MIDHANI has established a Spring plant. And now we are going to operationalize it for the requirements of Vande Bharat. And whatever requirements are there, now we are having plans to meet -- to participate in th

a t and

get the RDSO for approval.

And once that is there, we will be supplying for them. That is the whole idea. This is an imported plant. It is a -- machinery is having very, very sophisticated things. Not many people can supply this kind of sizes that are there in the requirement for Vande Bharat and all. So we are in the race for that.

Henil Bagadia: So if I get it clear, we'll have to first apply for the RDSO certification and then we'll be doing the supplies, right?

S.V.S. Narayana Murty: We are under the process of that. Once that certification is obtained, we'll be participating in the tenders and we'll be getting it.

Henil Bagadia: And lastly, before I get into the queue. So we also plan to supply to BEML, on the metro coaches that we also expand -- we plan to expand the scope to the metro. So have we supplied any test batch quantities to BEML or Alstom because I think so...

S.V.S. Narayana Murty: But yes, we'll be doing because for anything, no, because it is a passenger vehicle, RDSO certification is essential and we are in the process of going in that direction. So we will be getting once -- our certification is given, then we'll have continued supply of materials. It is yet to be done, not yet done until now.

Moderator: Next question comes from the line of Shashi Ranjan from Anandhan Capital .

Shashi Ranjan: Congratulations on good set of numbers. The first question is can you get me the status on the metal bank that we were planning.

S.V.S. Narayana Murty: Okay. So as you all know that keeping in view of the supply chain disruptions, MIDHANI has established a metal bank. So already that we are working with 5 of our customers to establish this metal bank in the premises of MIDHANI.

And already, the purchase procedures are ongoing, and the civil works are also underway. So maybe down the line within 6 months, a fully-fledged metal bank of 6 important raw materials

that are essential for all the defense and other customers will be in place inside MIDHANI.

So maybe you will see by end of Q1 '26/27, we'll be giving better information on the actual situation. Now currently, things are underway.

Shashi Ranjan: From my understanding that setting of this metal bank will help bring down the working capital days and the high inventory days that are plaguing the performance of MIDHANI?

S.V.S. Narayana Murty: No, this is a customer -owned metal bank that is located inside MIDHANI.

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Management: It won't -- it's not having any impact on the working capital of the company because the inventory that is being held in the metal bank is in the books of the customers, not in the books of MIDHANI.

Shashi Ranjan: Okay. So sir, what is the...

Management: If there is any requirement, we'll just be drawing that material on a loan basis and we'll be replenishing it.

Shashi Ranjan: Okay. So any steps that we are taking to bring down the working capital and the high inventory days as far as MIDHANI is concerned?

Management: Yes. That we are continuously working like if we can also see the improvement from Q2 to Q3 wherein the scrap utilizations have improved. So basically, the inventory today, when we look at the working capital, the major contributor is inventories, WFP and scrap.

So we are taking all the steps that continuous work is going on that. So effective utilization of the materials and remelting the things wherever the material. So scrap utilization has been increased and also the virgin and scrap composition mix also.

But of course, again, it depends on the product that we manufacture, certain products require the virgin. So there are certain restrictions, we cannot just use it. But otherwise, we are putting all the efforts to reduce the inventory, which will definitely have a positive impact on the working capital.

Shashi Ranjan: Before I turn up in the queue , the last

question is I have about Utkarsha Dhatu Nigam Limited, which is a JV between you and NALCO. So -- and that this will get us aluminium alloy of high grades. So are we looking into some grades like 2219 T6 grade use -- that can be used in Bharatiya Antariksh Station, the country is trying to get into space by 2028. So are we going to contribute to that as well through this JV between NALCO and MIDHANI?

S.V.S. Narayana Murty: So your question is Utkarsha. So with respect to that, the due to the non, I mean, viability of the project, it has been recommended for closure. So that is a very brief answer to your question. We are not going to pursue that project anymore. We are going to formally close down. We are continuously discussing with NALCO. Both of us are going to discuss on this and take the proposal for closures forward.

Then coming to the second one, yes, such alloys are required, but the total requirement, like you mentioned 2219, those alloys are required for ISRO, but currently, the total annual requirement is too small for anyone to have a dedicated plant because these are aerospace grade aluminum alloys and they need very, very careful processing until last stage. So because of the very small quantity, and we'll not be in a position to process them through Utkarsha.

Moderator: Our next question comes from the line of Ravi Naredi from Naredi Investments.

Ravi Naredi: Sir, basic raw material of titanium from where we get, how many we import and how many we received from recycled product?

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S.V.S. Narayana Murty: Okay it is like this, titanium alloys, as you know, India is having a titanium alloys production -- sponge production plant at Chavara in Kerala, okay? That is about 500 tons per annum. It makes titanium sponge. And the actual production is about 150 tons per annum and the quality of sponges that comes in different grades. So it will not be able to meet the total requirement of the order book, whatever MIDHANI have.

So normally, we import to meet the requirements, and we meet -- so we import from East European nations and -- to meet our requirements. So this is a short answer for you. We import these titanium sponge.

Ravi Naredi: Understand. Sir, in Kerala, any mines is there or it is scrap materials?

S.V.S. Narayana Murty: No, no. It is not scrap. Actually, if you look at titanium is processed from the beach sands of Kerala. The beach sands of Kerala, they have a mineral called ilmenite. So the ilmenite is processed because they have -- originally, they were having a titanium dioxide pigment plant, okay? So white color pigment, whatever you use in industries, it is called titanium dioxide. And because titanium dioxide is there, technology was available and within the defense lab, and it was used to make titanium's sponge. So there is no scrap recycling and there is no -- mineral is beach sand.

Ravi Naredi: So it is only in Kerala or other Indian state that...

S.V.S. Narayana Murty: No, no. Not like that. It is there along the coast of -- along the West Coast of -- East Coast also, you have, in fact, Odisha has some of the beach sands. It only -- it depends on the profitability and the amount of titanium in that. Otherwise, the sands are available, including Odisha, Andhra Pradesh, Tamil Nadu, Kerala, only these sands have this titanium content.

Ravi Naredi: Not in Goa and Mumbai side?

S.V.S. Narayana Murty: Goa beaches are there, they're silver. They are not having -- I do not know whether it is there in that. It all depends on the content there.

Ravi Naredi: Understand. Sir, other than this sand content, titanium we cannot get from the mines?

S.V.S. Narayana Murty: It is -- it depends on the ore you are talking about. So titanium ore is what is important. Normally, it is coming from beach sands, ilmenite, which is available in ore.

Moderator: Our next q

uestion comes from the line of Arya Shah from White Stone PMS.

Arya Shah: My first question is what is the order book time line execution, current order book?

S.V.S. Narayana Murty: Yes. So the current order book execution, okay, as the maximum period. Yes, total order book is INR2,594 crores as on today. Okay. So we have a time line of 2 years for execution.

Arya Shah: And the sustainable margin, the EBITDA margin?

Management: Around 23% on an average, we can take.

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Arya Shah: And I think in the Q2, you were mentioning some capex plan, which will be announced in Q3.

So could you talk about the capex plan for the next 2 years?

Management: That we are working on that, the projects are under evaluation. We are working on that. It's not yet finalized. Probably by end of this Q4, we would be able to give a clarity on that.

Arya Shah: And the powder plant capex, is the work ongoing and what would be the turnover estimated?

S.V.S. Narayana Murty: Yes, we are in the process of procuring some formalities are there, which have to be completed because some export license, that procedure is going on in foreign country. So once that is there, then we will be able to set up the plant and do. Now currently, equipment is yet to arrive.

Moderator: Our next question comes from the line of Sujal from Opportune.

Sujal: Congratulations on set of numbers first of all. Sir, I just want to understand that you have guided in last quarter, you have guided of INR 13 crore s revenue and also 23% of EBITDA margin. So I want to understand what are the growth drivers for that? And are we on the line or not?

S.V.S. Narayana Murty: Yes. Drivers for this Q3 performance. Yes. Basically, the drivers are titanium and super alloys, where we have executed whatever balance were there in Q2, we could liquidate them. And yes.

So basically, they are the super alloys and titanium alloys.

Sujal : Sir, I just want to ask about like you are telling according to your guidance, you are telling to bring INR650 crores in approx revenue incremental in quarter 4. So what are the growth drivers for that?

S.V.S. Narayana Murty: Yes, growth driver. So we are now currently manufacturing some of the aeronautical grids, okay? So some of the aero grids to our aero customers, we are now currently processing. And then whatever are under processing from Q3, we are going to liquidate them. And some special steels are also there in that, which will be booking them in the fourth quarter.

Sujal: So can you tell me, are we on properly in the line for again, like able to get the INR 650 crores of revenue? And also, can you please guide me on the upcoming capex for the year and order book?

S.V.S. Narayana Murty: Yes. One point. Regarding capex , yes, it is under the DPR stage. So we are just looking for it. Okay, once DPR is complete, we'll be able to share some more information and growth drivers you asked is predominantly superalloys and special steels, we are looking for the revenue that we are for Q 4 revenue. And third point is yes ...

Moderator: The next question comes from the line of Rushabh from RBSA Investment Manager.

Rushabh: I just want to understand, last quarter, I think you said that we had some ambitious growth and maybe you'll give some update on Q4. So I just want to understand because we are INR 1,000 crores company now, suppose you want to become a INR 2,000 crores company, what would be the constraints or product gaps that we have to fill? Are we fully just waiting for orders to come in and we are ready to execute them?

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S.V.S. Narayana Murty: Yes. One is capacity enhancement at effective utilization of some of these facilities. So probably we can answer your question in 2 prongs. One is there are facilities which can be, I mean, like where we can effectively

utilize more output from them with the existing facilities. And second thing is if you can establish some capex , that is the whole idea. Currently, as you told, we are INR1,000- plus crores company. If you want to take it to INR 2,000 crores company in that direction, that is the whole idea of management.

How to take the sales to the next level. So if you want to double the -- our capacity, we need to put some infrastructure. So we are currently looking on that. As I told in the previous question, we are now currently working on what are the important equipment that we need to -- facilities that we need to establish so that we can take it to that. So as a part of that, we are having some capex plan so that we will be able to share once DPR and other approvals, internal approvals are ready, maybe by Q4, end of Q4, we will be able to give you more information. But the idea is how to take into the growth path towards INR 2,000 crores , as you mentioned.

Rushabh: Okay. And the capex will be mostly brownfield or greenfield, sir, or you cannot share this?

S.V.S. Narayana Murty: Yes. No, we will be giving full details by probably once DPR is ready, we'll be able to give you full details.

Rushabh: Yes, sir, my second question was actually, we have -- recently, the FDA has been signed with the EU. So how does that help in terms of import of raw material for us?

S.V.S. Narayana Murty: Can you repeat?

Rushabh: Recently, the country has signed the trade agreement with EU . So how does it help us in respect to the import of raw material since we import a lot of materials from the Eastern Europe you mentioned? So how does it help us -- are we paying duty in that currently? Or how does it help us?

S.V.S. Narayana Murty: Yes. If you look at it, yes , we are importing some of the, I mean, raw materials. We are also trying parallelly how to indigenize them. So that is Plan B already we have, and we are trying to work. But predominantly, the metallic materials are imported. So as a part of that, we are already having an internal metal bank.

So to insulate MIDHANI from any supply chain constraint, Plan B, we are currently not having as of today any supply chain issue. So we only hope that the whatever agreements have taken place will boost the supplier de bottleneck only. So we are not anticipating any major constraints

in the supply of our import of raw materials.

Rushabh: So whatever import you doing, we're doing a duty free or we pay some duty to it? I'm trying to get that answer ?

Management: It's duty paid only.

Rushabh: Duty only. Okay, understood. And you mentioned about this metal land bank, which will be owned by the customer. So how does this agreement actually change the inventory days for us

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because we have to just -- I think more or less as a need basis for it. Currently, as we are holding 3 to 5 months of inventory now. So now customer the ownership will be the customer, the inventory ownership.

Management: It won't make any change in the inventory days. That's what I mentioned that suppose if that inventory is in the books of the company, then it will have an impact on the working capital as well the inventory days. Since that inventory is only like in the -- we are only a custodian, and the inventory will be in the books of customers. So the materials, whatever is required on a need basis, whatever based on the requirement, just will be drawn on a loan.

And as and when our material comes, which will get replenished, basically, in a net of that inventory will remain same. So because if I get my material, then my raw material inventory will go up. So immediately, once the MIDHANI material has come, the same will be replenished. So the next material impact remain same. It will not have any impact on the inventory days of the company because of metal bank.

Rushabh: Okay. And sir, just o

ne data point, if you could share. So for example, suppose sir, we are supplying to the indigenously made supposed light combat aircraft. So in terms of -- in terms of,

say, kgs or metric tons, what is the total amount -- total volume of which will be -- that

MIDHANI is supplying to, say, one light combat aircraft. Is there any data point that you can share across tandem of super alloys or whatever products we supply to an aircraft?

S.V.S. Narayana Murty: So in the aircraft, what happened, there are a lot of materials, not only MIDHANI manufactured items like the super alloys and titanium, special steels, there are aluminum composites and many other components are there. We are not very much sure what exactly the way and..

Rushabh: I'm asking only from the MIDHANI perspective. What MIDHANI supplies, how much do we supply in terms of kg, metric ton and whatever data point can you share? Other one from MIDHANI, not the other materials, only MIDHANI perspective ?

S.V.S. Narayana Murty: Yes. Just to give you -- what will happen is they will take maybe, say, 10 aircraft, 20 aircraft and they put a common material requirement, bill of material. So what will happen is we will not be knowing for how many aircraft they are using. But the difficulty in answering your question is only that we'll only know what is the purchase order placed on that in that very small component, they may be making are very big component. So numbers for which the order is placed is unknown.

Moderator: Our next question comes from the line of Henil Bagadia from Equicorp.

Henil Bagadia: Coming to the question related to the helical spring, I had just one small question. Sir, if -- I mean, the orders start picking up after we get the certification. So do we have plans to even supply to Alstom and Siemens given that they are also supplying orders out here? And do you see large export opportunity in this particular area?

S.V.S. Narayana Murty: Okay. To answer your question, yes, we will supply -- our plant is capable of supplying very high-quality large size springs also because the capacity is in such a direction. So we will be

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supplying to any customer, whoever is meeting -- I mean, their specifications, we are ready. And we are also open to exports. So we'll be trying everything to get orders for spring plant.

Henil Bagadia: Sir, the Vande Bharat, we are also supplying specialty steel on the axle side, right? So other than this spring, we will also be doing some RM supplies for the axle right?

S.V.S. Narayana Murty: It is like this. See, one of the important things for MIDHANI is we are also a raw material supplier, and we also are doing this value-added business. So we can make our own material internally and make the springs. So even there are some special springs, even other than railway springs, okay, there are many -- I mean, springs are used everywhere, okay? So any spring material also is available in-house and spring also can be made.

So that specialty will be there with MIDHANI. Yes, -- we will be doing specialized springs also.

And whatever composition is required for the spring from the manufacturer, even that also the raw material, that melting and that bar making also is within the capability of MIDHANI. So we are looking at very high-value products also from this, okay, which are non-railway also we can

do it.

Henil Bagadia: Are you looking on the vehicles or the light combat tanks or any such places where specialty springs is actually needed for ?

S.V.S. Narayana Murty: So we'll see. See first, we will start with railway, then we'll expand into other areas because the special springs are used by only in Western countries. And to the best of our knowledge, minus railway springs or elevator springs, or other carbon steel business, there are other grades of springs that are used by being imported. So we are looki

ng for value -added materials rather than this carbon springs. We'll see how it goes.

Henil Bagadia: Sir, on the rolling mill side, sir, are we supplying rolling roll plate mill -- sorry, the plates for NGCs or any other big naval programs?

S.V.S. Narayana Murty: See, this wide plate mill, whatever product is coming, we are supplying it to, for example, ISRO, for example, shipyards, all wide plates now very large plates are used in ship construction and defence applications. Recently, as I told you, Presidential Dais, we have supplied. So multiple customers are there that mill can do anything. Whatever material is loaded, it will roll and give a plate. So depending on the customer orders we use, predominantly, it is used for ISRO.

Henil Bagadia: So since you have got suboptimal utilization in the rolling plate mill facility, we also plan to do some contract manufacturing on the aluminium or the super specialty steel side for any of the industrial customers to just cover more of the fixed cost and also increase the utilization. Sir, any progress there?

S.V.S. Narayana Murty: Yes. Actually, what happened, okay, your question may be related to some of the opportunities that we are exploring with the other aerospace companies, who are requesting as far as to take up aluminium. Yes, there are orders within DPSUs and outside DPSUs for utilizing the rolling mill for aluminium. Yes, we are doing. Already we have done for your information on a trial basis. the products are good.

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And we are thinking of -- because it needs some additional facilities for setting up a full line. So at least for wide plate mill, utilization for rolling to sheets and plates can be -- are being explored currently. We are doing it.

Henil Bagadia: So the maraging steel side, sir, what is the capacity utilization? And are we supplying it just for the aerospace? Or are we supplying it for the missile steel and on the defence side also?

S.V.S. Narayana Murty: Which one, wide plate ?

Henil Bagadia: No, no, no maraging steel.

S.V.S. Narayana Murty: Maraging steel, see, as you know, it is known to everyone that the PSLV, the GSLV, and Launch Vehicle Mark 3. The booster case material that gets ignited when you see a Launch Vehicle -- the launch of -- any of these launch vehicles from Sriharikota, everything is made in MIDHANI plant, okay, that maraging steel plant. So our main customer, our biggest customer for maraging steel is ISRO, yes. Then second thing is the same grade is used in some of the missiles, okay?

The third thing, there are other opportunities, the other grades of high-strength steels, we are also exporting, okay? So maraging steel, yes, it is a big -- a very strategic thing. And we also export some of these grades, some of the non-cobalt containing grades are being exported also.

Henil Bagadia: Sir, lastly, on the Gaganyaan part. So we have got about 3 Gaganyaan missions, that is G1, G2, G3 this year also, we've got the Mangalyaan mission and the relaunch of the PSLV that was not successful last year. Sir, are you seeing any last -minute orders flow or most of these orders have actually been booked and the supplies will be in progress to ISRO?

S.V.S. Narayana Murty: It is like this. MIDHANI is supplying material, and these are raw materials basically. They are in the form of plate, sheet, bar, ring-rolled rings okay. So ISRO takes the materials and gives to subcontractors, like there are many subcontractors for ISRO for making the like solid rocket boosters, liquid engines and cryogenic engines. So our raw materials go. And the time line is like the moment they receive material, they will be start using these materials for fabrication of rocket boosters or the liquid engines or whatever they want.

So the orders for MIDHANI are put maybe at least 2 years in advance. It is not that the last minute they'll come

and give, okay? So it is a well -planned calendar for them. So their projects are already well in advance. And they will back -calculate the lead times, and they will put orders with us.

Henil Bagadia: A small follow -up, sir, when you said you plan to get into the value -add side, I actually assume you actually plan to get on the -- little bit on the forging side or probably on making some components here and there. So what exactly would you mean the value added when we see these contracts, where we are you just supplying RM suppliers?

S.V.S. Narayana Murty: Yes. So we can see, for example, spring. So spring is a value -added product. It is not a raw material. We are having fastener plant, for example, a INR 40 crores fastener plant is there in

also available. Fastener plant is also available. So our own raw material we'll take, we'll make fasteners and supply. So these are the -- like, for example, castings.

We have a raw material making -- alloy making plant. We are also having casting plant. So we make -- yes, MIDHANI makes all the titanium alloy castings and the super alloy castings for our customers. We have a welding electrode plant. So we have right from melting stage, we make the material, forge it, then roll it and then -- I mean wet dry it and make welding electrodes for some of our customers.

So we have a very large special welding plant, okay, welding electrode plant. So these are all the value-added products. So castings, fastener, these welding electrodes, these are all the plants. And some like, for example, that titanium windows for Ram Janmabhoomi, it is a fully fabricated one. So just we made everything within the plant, and we went and fixed it. So we are looking at products where we can add value rather than give only raw materials. So that is the whole idea of using that word value-added products.

Moderator: The next question comes from the line of Arya Shah from White Stone PMS.

Arya Shah: I just wanted to know the bulletproof jacket, how much is the capacity for the bulletproof jacket?

S.V.S. Narayana Murty: Capacity for?

Arya Shah: Bulletproof jacket?

S.V.S. Narayana Murty: Bulletproof jackets, okay. Okay. It is like this. So we are currently making -- I mean, numbers-wise, if you want to give me, we process in that in terms of the batches, okay? So each batch contains maybe 50 jackets, okay, 100 jackets depending on the order. So the limitation is not really the equipment availability are the facilities that are available.

So we can ramp up by putting a number of shifts we can increase and we can jack up also. So it all depends on order -- the facilities are a available end-to-end like from raw materials to products. And we also have an agreement for testing all these things, testing of jackets. So we are looking forward for getting the order.

Arya Shah: And could you say in the absolute terms, the defence factor y contributes to the revenue? The Rohtak plant, I think, the defence plant.

S.V.S. Narayana Murty: Yes. Defence, we have -- revenue from defence sector is 28% of the total revenue up to 9 months, December '25.

Arya Shah: And any order book there?

S.V.S. Narayana Murty: Yes. We have from defence, on order book. If we look at total -- yes, 72% of our order book is from defence. It includes -- all are there put together.

Moderator: Our next question comes from the line of Ravi Naredi: from Naredi Investment.

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Ravi Naredi: I would like to ask what is our key factor to run our company's shortage of raw material, shortage of capacity constraint or something else?

S.V.S. Narayana Murty: Yes. Raw material supply constraints are over there, okay? Now we are trying to insulate ourselves

from this raw material uncertainty by establishing metal bank. So unless there is a major geopolitical thing, we don't expect an issue with respect to raw materials. And that is with respect to capacity constraints, point number two, what you have raised, we are working at full capacity of the downstream mills.

If required, we can -- melting-wise, we have sufficient capacity, okay? So wherever possible, there are opportunities for us to even go outside wherever it is permitted from the customer. We can use outside -- I mean we can outsource the downstream processing requirements.

Only melting capability outside people may not have because the alloys that we are processing are very unique and they are -- I mean, their processing needs with special capabilities, okay?

So there should not be issue with respect to capacity also by doing a good plan. So that is what currently we are doing.

Ravi Naredi: So what growth we are expecting for financial year '27 and '28?

S.V.S. Narayana Murty: Yes. So that is '26/'27.

Management: Are you talking about '26/'27 or '27/'28?

Ravi Naredi: Both, both, both.

Management: Okay, maybe around 20% incremental revenues, we can expect it until the capex things are finalized. Once the capex clarity has come, then probably we will be able to revisit that figures.

Otherwise, in the current capacities and current utilization, we can expect a 20% increase year-over-year.

Ravi Naredi: And who gives you the capacity permission to increase the permission? Your Board is not authorized to do all such things?

S.V.S. Narayana Murty: No. No. It involves investment of money. So we have to go to Board and we have to take approval.

Management: Board is also empowered and above Board permitting, it requires ministry approval. Major projects are within the survey of Board only we are operating.

Ravi Naredi: But it is normal routine one or some specific need is required?

Management: No, we are planning from capex projects, which are unique and which will enhance our capacity as well as top line. Those are in the DPR stage. Maybe by end of Q4, we can be able to give correct picture of how much it is going and all.

Moderator: Our next question comes from the line of Parimal Mithani from Credentia Investment.

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Parimal Mithani: Sir, I have two questions. One is, in your previous calls, you have mentioned that you have 500 grades of material of which 100 are aeronautical grades. So how it is unique in India in terms of a company like us compared to our competitors globally? And how does it enhance our strength, if you can throw a light on it.

And sir, if you can give guidance in terms of how do you see MIDHANI in next 3 to 4 years since the government is keen on having indigenous manufacturing and a lot of emphasis on given on being self-sufficient in the defence and space and all that. If you have some road map, it will be much better for us.

S.V.S. Narayana Murty: Okay. Yes. Thank you. So you told -- first thing is our capability is to make alloys, okay, novel alloys. And the whole idea of establishing the company also is, again, towards Atmanirbhar, different platforms and different organizations have different requirements. The requirements of aerospace, for example, like ISRO and the examples like HAL or the materials requirement for, say, DRDO are different because it all depends on in which environment we are working.

So how do you see strength? For example, if a national program has to import material, today, for example, aluminum alloys, wide blades are being imported from outside the country, and that is how the -- it becomes critical. Suppose there is an issue with respect to import of those things. It is -- it will cumble the whole program.

So recently, we have seen also in the Ukrainian conflict or the COVID time, there were supply chain disruption

and there was large -- delays in obtaining materials. And because of the growth of the industry, the mills abroad are also booked. In fact, foreign customers come to us because our lead times are shorter sometimes.

So the strength is that our national programs are protected. If I say that 500 grades of alloys are there, out of which 100 aeronautical grades are there, there is no necessity for any of these 500 grades for any user within the country to go and import. So we are fully protecting them. Any new grade of alloy technology is available in this bouquet of 500 raw materials. That is point number one. And we consider it as a very great strength because national programs should not get suffered because of this, okay, because of lack of materials. And material is the first line of confrontation, okay? First line of defence is material. Material is not available. There are many people who can machine and give components, okay, because they can be used for. But material is one thing that no one will give.

And you are listening continuously this National Critical Minerals mission and all these things. So everybody is trying to control through materials, the strategic raw materials. So that is point number one. We are able to process the materials and give to our customers. You also told where you want to see MIDHANI in 3 to 4 years, and road map, yes, we have our own internal road map, a very strategic road map to develop alloys.

And we want to increase our production. We want to take the production to new heights so that by going for capex, so that we can meet the increasing demand. Even today, there are hundreds of crores of materials worth are getting imported, okay? So how to meet the full requirement,

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how to stop this import of materials. And if we can meet that requirement through upgradation of our facilities and plan in such a way that we can meet for the next 10 years, the growth plan by installing some additional capacities wherever there are technical things.

That is point number one. Another point is some of the older equipments that are inside the plant, which are nearing their end of life. I think if we can substitute with higher productivity machines, -- that also will aid MIDHANI to grow at 20%, whatever we were selling in the coming years.

That kind of growth plan, if you want to have, we have to have a certain capex plan. So currently, we are working on that.

And by installing additional capacity in critical areas, MIDHANI will be able to achieve higher growth. And that 3 to 5 -- we are looking at 10 years and beyond long-term plan. So that is what our -- slowly, we want to move towards a INR 2,000 crores company in maybe coming 10 years. So towards that, yes, we are doing a lot of things, and this capex is one of them. I hope this is what is required now currently.

Parimal Mithani: And yes, sir, second thing is, sir, since a couple of con-calls, we have been mentioning in the call that a lot of foreign vendors have shown interest and all that. But we have not seen any certification of -- in terms of deals or in terms of agreements with them. You think any -- in the next foreseeable next 2 years, can we see some certification with global vendors? And how does it -- because some of them are setting shops in India and how we'll stream that supply chain with them?

S.V.S. Narayana Murty: If you look at MIDHANI, last year, we have exported about INR 20 crores worth of materials, okay, INR 90 crores worth of -- our export order was INR 90 crores. And many of these people since the grades are aeronautical grades, the so-called super alloys and titanium alloys, they are obviously going to aeronautical customers.

Now with respect to your question that we are not seeing the foreign parties, yes, certification is a process. That is a process that takes a significant amount

of time. There are audits involved. In

fact, there are multiple audits involved. There are teams -- the technical teams with it. It is a process basically. So we are negotiating with different customers.

In fact, as I -- as we talked, there are some audits that are going on. So essentially, it is that once the audit teams are auditing, our certifications, whatever we are having, those things are in place. Obviously, we'll get order and the effort is towards that, okay, to increase the export market. So we are working on that.

Parimal Mithani: So in next 2 years, any certification can you say in terms of -- I understand the process, it's a long thing. But any like-for-like over next 2 years, can you see in terms of in that?

S.V.S. Narayana Murty: Yes, certainly, in the next 2 years, definitely, we can -- we'll have significant understanding for a couple of materials to some of the aero customers outside whomever you are popularly -- you are listening. So we'll be in their supplier's list.

Moderator: Ladies and gentlemen, that was the last question for today. I would like to hand the conference over to the management for the closing comments. Thank you, and over to you, team.

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S.V.S. Narayana Murty: So thank you so much. I think we have had a wonderful question. I think total 12 questions were asked by our members. We are very happy to answer. We only feel that there is enormous potential, and we are working towards improving our plans, growth plans. And as I mentioned during our discussion. So probably we'll see Q4 real time again with more interesting things from MIDHANI. So thank you all.

Moderator: Thank you. Ladies and gentlemen, on behalf of ICICI Securities, that concludes this conference.

Thank you for joining us, and you may now disconnect your lines.

S.V.S. Narayana Murty: Yes. Thank you.

Call: Jun 2026

MIDH I

MDN/CS/COMPLIANCE/2026-27

To,

BSE Limited,

P.J.Towers Dalal Street,

Mumbai- 400001

Scrip Code: 541195 June 6, 2026

National Stock Exchange of India Limited,

Exchange Plaza, Bandra Kurla Complex,

Bandra (East),

Mumbai —400051

Trading Symbol: MIDHANI

Sub: Transcript of the Analysts and Investors Meet/Conference Call held on June 3, 2026

Dear Sir/Madam,

1. Further to our letter dated June 3, 2026 intimating you about the audio recording of Analysts and Investors Meet/Conference Call on Q4 —FY26 Results, held on June 3, 2026, please find below the transcript of the aforesaid Conference Call.

2. The transcript of the call is also made available on the Company's website.

This is for your information and record.

Thanking you,

End: As above

MISHRA DHATU NIGAM LIMITED

(~m~~~i) (AGovt. of India Enterprise)

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Pl~l~1 q~ni ~.CIN: L14292TG1973G01001660

~ii~ Website: www.midhani-india.in Yours faithfully,

~Paul Ant~

iry&Compliance officer

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"Mishra Dhatu Nigam Limited

Q4 FY '26 Earnings Conference Call "

June 03, 2026

MANAGEMENT : DR. S.V.S. NARAYANA MURTY – CHAIRMAN AND
MANAGING DIRECTOR – MISHRA DHATU NIGAM
LIMITED

MRS. MADHUBALA KALLURI – DIRECTOR FINANCE
AND CHIEF FINANCIAL OFFICER – MISHRA DHATU
NIGAM LIMITED

MR. PADAVITTAN BABU – DIRECTOR , PRODUCTION
AND MARKETING – MISHRA DHATU NIGAM LIMITED

MODERATOR : MR. VIKAS SINGH – ICICI SECURITIES LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to MIDHANI Limited Q4 FY '26 Earnings Conference Call. This conference call may contain forward-looking statements about the company, which are based on the beliefs, opinions and expectations of the company as on date of this call. These statements are not guarantees of future performance and involve risks and

uncertainties that are difficult to predict.

As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touch-tone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Vikash Singh from ICICI Securities. Thank you, and over to you, sir. Vikash Singh: Thank you, Steve. Good morning, everyone. A very warm welcome to MIDHANI Q4 FY '26 results con call. We would like to thank the MIDHANI management who gave us the opportunity to host them. From the management side, we have with us Dr. S.V.S. Narayana Murty, Chairman and Managing Director; Mrs. Madhubala Kalluri, Director of Finance; and Mr. Padavittan Babu, Director Production and Marketing. Without taking any much time, I'll hand over to Chairman, sir, for his opening remarks. Over to you, sir.

Dr. S.V.S. Narayana Murty : Thank you. Good morning, everyone. It's a great pleasure to have this investor call -- conference call. As you know, Mishra Dhatu Nigam Limited is Miniratna Defence public sector undertaking. And in the quarter -- FY '25 -'26, we have achieved the highest ever quarterly turnover of INR552.7 crores, registering a growth of 34.63% against a turnover of INR410.56 crores recorded in the corresponding quarter in the previous year.

And our value of production during fourth quarter '25 -'26 stood at INR392.19 crores, registering a growth of 19.15% against value of production of INR329.19 crores recorded in the corresponding quarter in the previous year. Our PBT during fourth quarter stood at INR107 crores, with a growth of 38.67% against PBT of INR77.16 crores in the previous quarter. PAT in the fourth quarter stood at INR77.75 crores, with a growth of 38.49% against PAT of INR56.14 crores recorded in the previous quarter of this previous year. The company achieved the highest ever turnover of INR1,208.63 crores, registering a growth of 12.52% against the turnover of INR1,074.1 crores during the previous financial year, '24, '25. So the figures are pretty good.

And the order book position of the company as on April 1, 2026 is INR2,290 crores. And our PAT for FY '25 -'26 was INR130.79 crores with a growth of 18.82% against INR110.07 crores recorded in the previous financial year '24 -'25. So the figures are there. But I just want to take my time in highlighting major achievements. So apart from the highest turnover in the history of MIDHANI at INR1,207 crores, we have highest ever Titanium production.

So we have produced 700 tons of Titanium, almost doubling from previous years. And another important point for MIDHANI is we have signed an MOU, memorandum of understanding, with major stakeholders for the creation of a metal bank. As all of you know, there are certain supply chain disruptions for procurement of raw materials.

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Anticipating certain turbulences, we have established this -- initiated establishment of this metal bank for uninterrupted supply of critical raw materials for all Defence projects. And another important thing is for the presidential dais, we have supplied 90 tons of armor-grade steel, the one that honorable President has used on January 26 this year.

It was delivered by us in a very short time. And on the aero sector, we have

received

airworthiness certificates for 10 critical Aerospace grade, super alloys and steel from CEMILAC, Centre for Military Airworthiness and Certification, although it's in production of advanced aero engines. So this is a very, very major thing because obtaining this certificate allows us to go ahead with the production. And many of you may be knowing that we have delivered 31 beautiful architectural Titanium windows to Shri Ram Janmabhoomi at Ram Mandir at Ayodhya. This is the first time in India, a company has given Titanium for architectural purpose.

Many other countries are using this kind of advanced -- I mean, Titanium alloys for architectural purposes. But in India, this is the first time. So this is a great achievement for us. We have supplied about more than 700 ring-rolled rings of superalloys and Titanium alloys for aero engines. And again, for the first time we have developed a cast superalloy single-crystal blade material.

All of you may be knowing that the highest level of competitiveness in metallurgy is ability to produce the single crystal blade material. These are extreme, complex metallurgy with very, very tight compositional tolerances and gas contents, and it has to meet the rigor of the temperatures that a typical aero engines normally encounters. So it's a matter of great pride that we are able -- our material for the first time has passed all the tests by our customers.

Another very, very satisfying thing for MIDHANI is we have obtained at NADCAP certification for heat treatment. This is one of the highest level of certification in the aerospace sector and the Defence sector because directly, OEMs can procure material from the

manufacturers using this certification, through this certification.

So this is one more feather in our cap. And recently, we have inaugurated one of the world-class facility for aerospace fastener manufacturing facility worth about INR40 crores, which is capable of manufacturing the so-called bolts for all the aero sector and Defence sectors. These are basically superalloy fastener manufacturing and Titanium alloy manufacturing and special steels that are used in very, very performance-critical applications.

So these are some of the very, very high-end achievements that MIDHANI has made in the year FY '25-'26. And we are very happy with these few introductory words, I think probably we'll spend time on taking questions from our friends. Thank you so much.

Moderator: Thank you sir. The first question comes from the line of Sucrit Patil with Eyesight Fintrade. Please go ahead.

Sucrit Patil: I have 2 questions. First question for Mr. Murty is, looking ahead to 2027 financial year, what type of strategic pathways are you planning to position MIDHANI as a global leader in aerospace and Defence alloys, accelerate breakthroughs in superalloys and composites and Mishra Dhatu Nigam Limited

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future proof against supply chain shocks and evolving Defence procurement models? Just want to understand your view on this. That's my first question. I'll ask my second question after this.

Dr. S.V.S. Narayana Murty : See, regarding supply chain, I've already informed you that we have -- in the near short term, we are establishing a metal bank. Basically, India is not bestowed with the best of raw materials required for superalloy production, okay? We don't have the nickel, cobalt, moly, tungsten, vanadium, chromium, which normally go into manufacture of any of the superalloys, regular-grade superalloys. So we don't have the -- geographically, we are not bestowed with that kind of minerals to manufacture. And it is a long-term process.

So we need to insulate ourselves from the supply chain disruption. So in a short term, we are establishing a metal bank for 6 of these critical raw materials. So that is how we are trying to overcome the recent, whatever, disruptions have been

there. Regarding your first question, that

-- first part of your question, how we are positioning ourselves, yes, MIDHANI has the capability because we are masters in metallurgy.

So we are looking at the niche markets of Aerospace and Defence for manufacture of these very, very complex alloys. So that is how we position ourselves. We are the suppliers of these materials and we also expect some good overseas sales.

Sucrit Patil: Sorry, my second question, Mrs. Kalluri is, I just want to understand, over the next 2 years, what type of forward-looking capital frameworks are you planning to ensure the company can simultaneously fund advance alloy R&D while maintaining dividend discipline and build buffers against forex swings and raw material volatility in the long-term different cycle contracts?

Madhubala Kalluri: Good morning, sir. We're planning capex of around INR1,000 crores in the coming 3 years, sir.

Moderator: Ma'am, I'm sorry to interrupt. Your voice is not clear.

Madhubala Kalluri: Yes, the capex we are planning around INR1,000 crores in the coming 3 years, projects are in the stage of development, and we are putting DPRs. Most likely by end of this financial year, we will get further clarity on capex projects. And we are preferring to operate through OR and through term loans. That is the preference to capex. And balance items, we are managing through working capital requirements regularly. We are not foreseeing any much major issues in funding projects.

Moderator: The next question comes from the line of Rushabh with RBSA Investment.

Rushabh: Congratulations on a good set of numbers, sir. Sir, firstly, sir, I think previous calls, you have been mentioning that ultimately, you want to grow the company to around INR2,000 crores top line. And I think in last quarter, you mentioned that this quarter you'll be sharing some ambitious plans that we have. So anything that you would like to share on this?

Dr. S.V.S. Narayana Murty : One is, as we told, one of the questions that I think probably we had in the last Q3 call was we were not able to really -- I mean, there was some deficiency in converting into sales. So

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that question that we can now say that whatever we have made, not only that we have had the highest turnover, we could convert everything into sales. That is one point. Second thing is capex, okay? So wherever -- just now our Director of Finance also has mentioned, we are at a very advanced stage of DPR where we want to put money in our capital equipment.

And that probably in a month or 2, we'll be able to get approval from Board. So that is what is the major thing. So we are going to replace some of our aging equipment with state -of-the-art facilities in the downstream operations. So that is what we can share at this point in time.

Rushabh : Sir, whatever incremental capex that you are planning, you mentioned INR1,000 crores capex and also now I think you're doing some debottlenecking, is this toward high -value products only? Or what is the kind of new products that you're targeting with thi s capex ?

Dr. S.V.S. Narayana Murty : No, the capex is basically intended for two major equipment on the downstream operations. So these are not specific to anything because the process goes like melt -- after melting, it goes to downstream like forging and bar rolling or it is wire drawing, all these things. So basically, for majority of the products, these equipments are used, not specific for any single product.

Rushabh: Okay. And secondly, sir, you mentioned about this -- you doubled the production of Titanium from last year. So what is the trajectory going forward? Can you increase further production? And how does it impact our margins?

Dr. S.V.S. Narayana Murty : We have the capacity for Titanium production. I mean, we have installed a new vacuum arc remelting

furnace and sufficient capacity is there. As I told last year, we had almost 700 tons of Titanium . We are having capacity to produce much more than that. So currently, we have about more than INR660 crores worth of Titanium orders and we are likely to get more. So we are fully geared up for a good amount of Titanium production.

Rushabh: And sir, you mentioned about this INR2,000 crores revenue target, would that be possible from existing capex only, whatever you are doing so far?

Dr. S.V.S. Narayana Murty : No, we can do. It is not the question of -- I mean existing, also we can do. INR2,000 crores, okay, probably we would have told in maybe another 3 years kind of thing. But the idea is to improve our efficiency. The capex is -- some of the equipments, whatever we are having, they're installed somewhere around '80, '85 time.

So the efficiency of the latest equipment with Industry 4.0 and all this digitalization, we want to replace that, manually operated ones with the automated machines. So it will improve the efficiency and yield of the product. So idea is that once we install, our productivity will improve. So that is the basic idea, even with the existing thing also we can do.

Rushabh: Okay. And sir, you mentioned that we received NADCAP certification for heat treatment. So how does this change the things for us? Can we get some new customer orders? Or how does this develop?

Dr. S.V.S. Narayana Murty : Yes, that is the thing. Certainly, looking normally, once the plant is NADCAP certified, that means that end user can directly -- I mean, OEMs can directly procure materials from the Mishra Dhatu Nigam Limited

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manufacturers. That is the certification. So definitely, we are looking forward for many aero and Defence customers who can procure directly with these certificates. It will help us.

Rushabh: Okay. And just the last question. I think last 1 year, we have mentioned that we are also talking with the engine majors. I mean, I think they were targeting -- they were auditing a facility. So what is the status on that? And when can we start commercial supplies to them?

Dr. S.V.S. Narayana Murty : Because you know this auditing of the facilities is a little long -term drawn process, we need to supply material. They come multiple times, okay, then they'll see our facilities, suggest some improvement, then again, they will visit. So we are expecting -- okay, recently also, we had some visits. So we are -- maybe towards the end of '26, '27, we should be able to expect something.

Moderator: The next question comes from the line of Arya Shah with Whitestone PMS.

Arya Shah: I just wondered, sir, now can we expect a 20% revenue top line growth and 23% EBITDA margins from this year?

Dr. S.V.S. Narayana Murty : One thing is we had this year, maybe 12%, we have exceeded the top line growth, 12% to 15%, we should be able to maintain. Our target will be 20%. But it all depends on the supply chain constraints of raw materials. Now you have some issues related to LPG, energy. So once these things are stabilized and we are assured of the raw materials and the energy, it should be possible.

Arya Shah: And sir, margins, on the margin front, 23% or around 20%?

Padavittan Babu: It will be slightly up by 23% to 25% we can expect. When the revenue goes up by 20%, obviously, the margins will increase, maybe around we can expect 23% to 25% between EBITDA.

Arya Shah: Okay. And also about the powder facility, are the orders coming? Or what is the...

Dr. S.V.S. Narayana Murty : Regarding powder manufacturing facility, we had some issues with getting license. But now I think we should be in a position because recently, we had some reasonably positive news. So maybe by next quarter, we'll be able to get little clarity on that, okay? So it is yet to come. I mean, the facility is not yet installed. Purchase order was put long back, but th

ere were

clearance issue because this is a little dual -use equipment. So we'll be able to give better clarity in the next con call.

Arya Shah: Okay. And what kind of order book we should expect in the next coming -- this year, basically, end of this year?

Dr. S.V.S. Narayana Murty : Yes. So currently, our open order book is INR2,249 crores, maybe INR2,250 crores. So our expectation will be, we are in discussion with different par ties. So maybe we will be able to book about INR1,500 crores worth of orders in this financial year, FY '26 -'27.

Arya Shah: Okay. And my last question is on the export. What kind of order book can we expect this year?

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Padavittan Babu: This year, INR'25-'26, we have done INR85 crores, and we are expecting at least INR100 crores we'll be doing in this financial year.

Moderator: The next question comes from the line of Aditya Deorah with Divisha Investments.

Aditya Deorah: Sir, how much would be the product business as a part of our full year turnover?

Dr. S.V.S. Narayana Murty : Full year turnover, see, we are expecting -- our target is at least -- 15% growth, that is what is our target, okay? So based on this, you can see how much we are targeting.

Aditya Deorah: Sir, I would like to rephrase the question maybe. Sir, like we mentioned about the new products that we have started like maybe a Titanium alloy discs head for naval application or the Titanium and superalloy rings for aero engines. So if we consider this as the product business, so how much would this be as a portion of our full turnover, the entire turnover that we do, how much would be these businesses?

Dr. S.V.S. Narayana Murty : No, separately, you are asking individually?

Aditya Deorah: Yes. Individually as a whole, the product business.

Dr. S.V.S. Narayana Murty : It all depends on the orders that the customers are placing on us. Like, for example, now we have executed one order. Like for example, I told you the blade blanks, okay, the blade -- input for superalloy blades. So the customer has to give, so we mean -- cannot say that we can execute dispatch order. So it all depends on how they place order on us.

Padavittan Babu: Presently, the existing order, whatever we are having and the anticipated order whatever we are going to book, apart from all these things, there is an element of the raw material availability. Of course, fasteners all those -- we have to see that every month and which can be able to make, accordingly the decision will be made.

Exactly whatever today, even if we decide, I don't think it is going to happen. So means while going, it will be changing. So that is the reason, as of now, we will not be able to tell exactly which product or which sector we'll be -- we are exactly going to attempt. So as and when it is going, based on the availability, the decision will be taken, we'll do it.

Aditya Deorah: Okay. And sir, just segment -wise order booking for the order book that we have in terms of Defence, Aerospace, Energy and others, can you give the segment -wise for the turnover as well for the last financial year?

Dr. S.V.S. Narayana Murty : So we already given in that presentation.

Aditya Deorah: The revenue differentiation? [inaudible 0:22:40]

Dr. S.V.S. Narayana Murty : The question was on the open order for different sectors. The Defence is about 79% of the total order book.

Aditya Deorah: Sir, I am asking about the turnover. The order book is already given in the presentation. If you can provide it for the turnover for the revenue that we have generated, that would be helpful?

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Padavittan Babu: Yes. So the turnover, the '25 -'26, space is about INR93 crores. About INR301 crores from defense. PSUs are INR603 crores, public sector enterprises. Energy is about INR2 crores and others are INR129 crores

. Exports are INR78 crores.

Moderator: The next question comes from the line of Divam Ketan Doshi from 9to3 Capital.

Divam Ketan Doshi: Congrats on a good set of numbers. I just wanted to know, can we get the alloy wise gross margins because it is very difficult to -- differentiate because it has very different economics.

So I want Titanium, super alloys, maraging steel and UHSS?

Dr. S.V.S. Narayana Murty : Margins for each of the alloy?

Divam Ketan Doshi: Yes, yes, sir.

Dr. S.V.S. Narayana Murty : No. Normally, we don't provide such data. It is a little confidential. I'm sorry.

Divam Ketan Doshi: Okay. And one last question. At what revenue scale, will we begin actually exponentially leveraging from operating margins -- operating leverage, sorry.

Dr. S.V.S. Narayana Murty : Can you repeat it, please?

Divam Ketan Doshi: At what revenue scale can we benefit from the operating leverage?

Padavittan Babu: See, basically, these types -- in general, Titanium and maraging steel have a little higher margin compared to superalloys and all. So if we can increase those sales and all if we can get such orders, then probably the margins will improve. That is a mix we can talk about. It all depends on that order books and plant availability, machine, resources availability and other factors.

Moderator: The next question comes from the line of Shashi Ranjan with Anandan Capital.

Shashi Ranjan: Congratulations to the entire team and as well to the director as well for getting the NADCAP accreditation. My first question is, with the NADCAP in hand, where do we stand in a field of like investment casting to precision machining ecosystem and where we aspire to be in future in the next 1 year?

Dr. S.V.S. Narayana Murty : MIDHANI produces investment castings of both Titanium and superalloys, okay? The NADCAP certification is currently for heat treatment, okay? So we are also having idea to go for NDT in -- NADCAP certification in NDT. So currently, our investment cast business is about INR10 crores. So we are expecting orders after this. So we should be able to increase our business in that area.

Shashi Ranjan: Any acquisition that you're planning in field of maybe precision machining and casting -- precision components?

Dr. S.V.S. Narayana Murty : There are many outsourcing agencies in and around Hyderabad. So actually, acquisition may not be required because these precision manufacturers, many new companies have come up who work on, I mean, order basis. So we are not having any idea of acquisition of any company.

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Shashi Ranjan: So among those players, anyone who is the largest who is helping -- who's the largest supplier for MIDHANI among those players in Hyderabad you said, right?

Dr. S.V.S. Narayana Murty : There are very many -- I mean, there are companies who are doing extremely good for even satellite applications, launch vehicle applications. They're supplying engine parts, which are very complex. There are many reputed companies around this area. So machining of the parts per se is not a big, tough task. Making the material is where rejections are possible.

And during machining of the material, rejections normally will not be there, it will be almost zero, because the machines are so precision precise. So you don't expect any rejections. And many 5-axis CNC machines and all are there plenty in number around us. So that issue doesn't arise.

Shashi Ranjan: If you may allow, may I squeeze in one last question. As for the data, global OEMs have tripled India sourcing compared to what it was in 2019 to reach \$1.5 billion. Where do we stand here as MIDHANI, and where we aspire to go when it comes to OEM sourcing from India, global OEM from India?

Padavittan Babu: Yes, global OEM, whatever the increase is there, the procurement in the country, before that, whatever period you -- now you mention

ioned, MIDHANI also was not doing much of export. So

last 3, 4 years, you see we have gone a long way. So already whatever OEM audit and the product audit and customer -- means company audit is, I mean, in the advanced stage, we expect in the coming years, the export also will go, means, higher.

Shashi Ranjan: I firmly believe that under your ages, MIDHANI will soon catch up with the metal powder and further precision technology because your expertise is highly valued, and thank you so much for enlightening on MIDHANI.

Padavittan Babu: Thank you.

Dr. S.V.S. Narayana Murty : Thank you.

Moderator: The next question comes from the line of Viraj Yatish with Jupiter Financial.

Viraj Yatish: Congratulations on outstanding number, sir. My question is with metal bank and other things in place, how will the next 2 years be shaping in terms of top line and bottom line? If you can give some color on that?

Dr. S.V.S. Narayana Murty : Yes. Metal bank, maybe we are expecting within another 4 months, we'll be able to establish because now some civil works and all are going on. So for material to receive and all, it will take another 3, 4 months' time. Barring that one, that is the status of metal bank. The top and bottom line, we are expecting around 15% increase in the top line year-on-year and corresponding increase in the bottom line to maybe around 20%.

Viraj Yatish: Sir, net margins will be maintained while increasing the top line. Is it correct assumption?

Dr. S.V.S. Narayana Murty : Yes. Top line growth is expected. 15% is our target.

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Viraj Yatish: Sir, net profit margins would be maintained with the top line growth?

Padavittan Babu: It will be around 24% to 25% EBITDA margins we can expect, bottom line.

Viraj Yatish: Okay. And sir, any update on the old inventory, which was there, which we were supposed to discard it?

Dr. S.V.S. Narayana Murty : No, we are working on that. You might have seen, there is no much in crease actually. We are able to restrict it, and we'll be working on this year also to bring down and there will not be any increase in coming years.

Viraj Yatish: Would you like to give some number to that, sir?

Dr. S.V.S. Narayana Murty : Anything we mentioned here from inventory? Not there.

Padavittan Babu: We are expecting at least 10% -- I mean, from the opening revenue -- opening inventories maybe around 10% to 15% reduction also, so that the liquidation can be possible. That is what we are expecting. That is our target for this month, both WIP as well as scrap.

Moderator: The next question comes from the line of Rushabh with RBSA Investment.

Rushabh: If I take a slightly long -term view of MIDHANI for, say, next 5 to 7 years, because given the top-notch capabilities that we have, the only thing what we are lacking is the raw material availability, and now that is also thing solved. So if MIDHANI, say, wants to achieve INR5,000 crores top line, what additional certifications would be required or what additional things that will need to be done from our end?

Dr. S.V.S. Narayana Murty : Okay. If you look at very long -term growth of 5 to 7 years, one is the availability of raw material, that is we are indirectly taking care with metal bank. We are also into this capex plan about INR1,000 crores worth of it through establishment of downstream forging facilities. If we look at the exit data, about INR8,000 crores worth of materials of Titanium alloys, superalloys and steels are getting imported into the country. That means there are people who are importing materials, which are very well within the catalog of MIDHANI.

There MIDHANI capability exists within the country. So definitely, there is a good scope. If you are able to get those orders where people are able -- I mean people are importing, this thing is quite possible, reaching the higher revenue at a rate of 15% to 20

% growth year -on-year is not far from reality.

Rushabh: Understood, sir. And sir, currently, we're not facing any challenges, right, supply chain? Production is going on full swing currently?

Dr. S.V.S. Narayana Murty : No, that is what. I mean some energy issues are there because of this Middle East crisis and that European crisis, we are having some issues. But still, we are trying to identify alternate vendors we are trying to establish and we are trying to overcome, okay? That may lead to little delays in orders. But overall, we are trying to manage, and that is how we managed the last year. So now we are in a better position. So with metal bank plus support from government on LPG, we'll be able to cross, that is what is our expectation.

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Rushabh: Okay. In terms of the MIDHANI's product basket offering, is there any major white space that is still pending to cater to the major customers? Or we are now at least -- product wise, we are done with. We have all the major products in hand that we have to offer.

Dr. S.V.S. Narayana Murty : We are having -- we are not anticipating many big problems, except for this energy and raw materials. I think we have -- capability wise, there is no issue at all. We are 100% confident of executing all the orders.

Moderator: Next question comes from the line of Arya Shah with Whitestone PMS.

Arya Shah: Any update on ABHED bullet proof jacket or any order book expected this year?

Dr. S.V.S. Narayana Murty : Yes. So MIDHANI is having 2 types of technologies. One is Bhabha Kavach, that is taken from Bhabha Atomic Research Center, that's TOT. Another is having, last year, we have taken ABHED technology from DRDO, okay? DR DO in association with IIT Delhi have developed this technology.

So we have acquired the TOT from IIT Delhi DRDO cell, and we are currently in the process of manufacturing these jackets and supplying to our customers, okay, so that people -- these are one of the lightest targets for this range of that category. So we are anticipating good orders for ABHED jackets, okay? So soon, we should be able to book some good orders.

Arya Shah: So currently, what kind of order book do we have because we are supplying to the customers already?

Dr. S.V.S. Narayana Murty : We have given to OCTOPUS, one order is there with OCTOPUS. So that is what we have executed. And we are...

Arya Shah: What was the worth?

Dr. S.V.S. Narayana Murty : It was about INR1 crore.

Moderator: The next question comes from the line of Anik Mitra with Finnomics Solution.

Anik Mitra: Sir, my question is, the critical materials, like what are the sources of those critical materials?

And what sort of agreement do we have with the sources, say, in terms of time and in terms of supply -- continuation of supply?

Dr. S.V.S. Narayana Murty : Yes, that is, you mean critical raw materials.

Anik Mitra: Yes, sir. Yes, absolutely.

Dr. S.V.S. Narayana Murty : See critical raw materials, see, the business is highly sophisticated superalloys, Titanium alloys and high-strength steels. The raw materials that need to be used for manufacture of these high-end products are all high purity materials, high-purity raw materials, that is nickel, cobalt, molybdenum, tungsten, chromium, vanadium, rhenium, okay? So these alloys are not available in the country. India is not having capability for producing any of these materials. So we are depending on imports for these materials.

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So now we import them from various countries, okay? Majority of them either former USSR countries, East European countries, European countries, sometimes from U.S.A. So these come from multiple. I mean, there are more than 20 materials which we import. So they come from multiple countries and that is how the supply chain runs.

Anik Mitra: In terms of countries,

like what is the largest country? Like Kazakhstan, I have heard about it somewhere that Kazakhstan is the very significant contribution. So who are the top three countries you would say?

Dr. S.V.S. Narayana Murty : Probably, I mean, Europe, Europe supplies maximum, maximum by volume -- by value, Europe supplies maximum.

Anik Mitra: Okay. And sir, what is the kind of Kazakhstan?

Dr. S.V.S. Narayana Murty : What is the kind of?

Anik Mitra: Kazakhstan, I'm asking about the country called Kazakhstan. Kyrgyzstan, Kazakhstan, these type of countries are very...

Dr. S.V.S. Narayana Murty : Kazakhstan, we import sometimes from Kazakhstan, okay? We import Titanium sponge from them, so yes.

Moderator: The next question comes from the line of Nilesh Doshi with Green Lantern Capital.

Nilesh Doshi: From the call, what I understand is in terms of demand, I think the visibility is very strong. In terms of manufacturing capacity, also, I think we have enough and adequate capacity, except for you are going for automation and new machines, which will bring the value addition as well as the margin expansion. So the constraint historically we have always been on the raw material side which under your leadership, I think you are taking care of that. So with the metal bank coming, like, what, you plan to have these material store for how many years? Or what's exactly the internal planning you have?

Dr. S.V.S. Narayana Murty : The idea is, it is a perpetual bank, okay? And there will be material. Whenever there is a crisis, it will be taken out and we'll be replenishing as soon as it is available, okay? So when we want to execute an order, we should not have at least the supply chain, if it is disrupting, metal bank will be used. That is the idea. But this bank will be there forever.

Nilesh Doshi: Sir, with your experience over the last few years, I mean, we had a volatility in supply or actually, we had disruptions in supply, except post-Iran war, but what was the experience you had over the last few years?

Dr. S.V.S. Narayana Murty : Some of the raw materials, for example, I mean, there are raw materials, which we could not procure because of some sanctions, okay? From where we are procuring, they were barred, okay? There are occasions where there's spike in the prices. There are occasions where the material was ready, but it could not be shipped because of the ongoing crisis. It could not be transported.

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So there are multiple ways in which the supply chains are getting disrupted. So the whole idea is emerged from our ministry, because of these supply chain disruptions, we should have our own method by which we can overcome this. So this is the idea behind it.

Nilesh Doshi: So once we set up this metal Bank, in terms of the price volatility, how we will be protected? Because typically, we have Defence orders which are long-term orders, but no price variation clause. Or are we now moving towards the variability clause?

Madhubala Kalluri: The metal bank is being maintained for customers only. In case of emergency only, we will draw material from those metal banks, so on our fixed price contracts only, there is no price variation. That is being taken care while quoting itself.

Nilesh Doshi: But in the past, if I remember, 2 years ago, we had a long-term Defence order, and I think the

alloy prices have gone up substantially, the raw material prices. And that is why it was in fact...

Madhubala Kalluri: Sometimes we have to face the challenges. Otherwise, our prices are fixed prices only. And while in case of long-term contracts, we are doing pricing in such a way to take care of these uncertainties.

Moderator: The next question comes from the line of Arya Shah with Whitestone PMS.

Arya Shah: Sir, could you talk about the springs now, which we are going to supply to Vande Bharat? Are we already filling that tender or what is the approval -- or are we in the approval stage?

Dr. S.V.S. Narayana Murty : So now what we have done is, yes, we have engaged expert subcontractor, who will be operating our spring plant and shortly, maybe already we have initiated the work. In a month or 2, we should be able to make this spring plant fully operational. And we are also in discussion with people for orders.

Arya Shah: Okay. So we don't have any orders for the springs currently, right?

Dr. S.V.S. Narayana Murty : Yes. Currently, we are not having, but we are expecting.

Arya Shah: Okay. What kind of order are we expecting, INR100 crores, INR200 crores order this year?

Dr. S.V.S. Narayana Murty: No, I do not know. Maybe probably during next call, I'll be able to give a better picture, but we are now trying to get good orders, yes. Now we are in discussions.

Moderator: The next question comes from Nilesh Doshi with Green Lantern Capital.

Nilesh Doshi: Sir, you mentioned about the capital expenditure for a fastener plant. So can you just elaborate like when this plant would be ready and what kind of revenue we get out of that INR40 crores capex ?

Dr. S.V.S. Narayana Murty : One of the important things in the manufacture of any system, be it in missile, rocket, satellite or even chip is fasteners. And these fasteners are not normal fasteners like what you use. These are special aerospace-grade fasteners, meeting certain quality requirements and certain dimensional requirements. So MIDHANI, we have invested anticipating extreme demand and

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very limited number of people are there to manufacture this kind of fasteners. So we have established a INR40 crores facility, are catering basically to missile sector and space sector. So both places, the requirement is huge. So already currently, we are having already orders in the pipeline, which are getting executed. And we expect at least INR20 crores to INR30 crores per year order book from this sector alone.

Nilesh Doshi: So the plant is already ready?

Dr. S.V.S. Narayana Murty : Yes, yes, it is inaugurated. Already, it is ready. It is working. And one more point I want to tell. Compared to our competitors, a distinct advantage for MIDHANI is, we are raw material manufacturers.

Fastener manufacturers are importing wire and they are trying to make, whereas we can make our own wire. So there are grades in missiles, which are normally from other countries you know, that technology. So those grades are all imported, it's not readily available within the country. So we'll have the ability to make those grades and make fasteners from those grades. So that is the advantage over others. So again, anticipating this thing, this particular fastener plant has been established.

Nilesh Doshi: So on a long-term basis, like how large this revenue can become, let's say, over the next 3 years to 5 years?

Dr. S.V.S. Narayana Murty : Yes, every year -- that is what, every year, we expect it to be at least INR25 crores.

Nilesh Doshi: INR25 crores growth rate or INR25 crores would be a stable revenue?

Dr. S.V.S. Narayana Murty : No, no. Maybe every year, this is a kind of stable revenue at least.

Nilesh Doshi: Okay. But definitely, I would expect with a very high margin.

Dr. S.V.S. Narayana Murty : You are not wrong, definitely. It's a value-added product for us, yes.

Moderator: The next question comes from the line of Viraj Yatish with Jupiter Financial.

Viraj Yatish: Sir, my question is, what are our MOU targets for next year and the year after?

Dr. S.V.S. Narayana Murty : MOU targets are yet to be fixed. Actually, it is under discussion at Ministry. So probably that final decision has not yet been received. So in due course of time, we'll get maybe another -- I mean it will take time, yes.

Moderator: The next question comes from the line of Vikash Singh with ICICI Securities.

Vikash Singh: Sir, just one question. The next big program in the Aerospace segment in India could be AMCA. Just wanted to understand our standing in terms of capability or readiness wise? And do we think that we would be able to take a good chunk of order book for them as well?

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Dr. S.V.S. Narayana Murty : Certainly. That is what is our anticipation. AMCA orders we are expecting. We are already in -- people are approaching us. We are already doing some developmental works on AMCA program, okay? So the work has been initiated. MIDHANI is currently executing some of the AMCA alloys, both Superalloys as well as Titanium. Once the development is complete and it is meeting, I mean production orders, we will certainly expect.

Moderator: Thank you. Ladies and gentlemen, that was the last question for today. I now hand the conference over to the management for closing comments.

Dr. S.V.S. Narayana Murty : Thank you. I mean, we had a wonderful meeting with all of our friends. I think a total of 16 questions were asked, and it is a pleasure to give reply. Maybe 1 or 2 questions, we could not give, particularly those with respect to margins, gross margins on individual materials. Probably, that I could not answer probably to the satisfaction. But barring that one, I think we have given, and we look forward to your continuous support. Thank you so much for this opportunity.

Moderator: Thank you, sir. On behalf of ICICI Securities, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.